19TH ANNUAL REPORT

2024/25

FOR MORE

Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक

19TH ANNUAL REPORT

2024/25

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ABBREVIATION

Acronmy	Abbreviation
ADB	Asian Development Bank
AGM	Annual General Meeting
ALCO	Asset Liability Committee
ALM	Asset-Liability Management
AML/CFT	Anti-Money Laundering / Combating the Financing of Terrorism
ATM	Automated Teller Machine
BAFIA	Banks and Financial Institutions Act
BCM	Business Continuity Management
BCP	Business Continuity Plan
BIS	Bank for International Settlements
BLB	Branchless Banking
BOD	Board of Directors
BoP	Balance of Payments
CAR	Capital Adequacy Ratio
CASA	Current Account and Saving Account
CBS	Core Banking System
CD	Credit-to-Deposit
CDD	Customer Due Diligence
CDS	Central Depository Service
COO	Chief Operating Officer
CRM	Customer Relationship Management
CRMP	Credit Risk Management Policy
CRO	Chief Risk Officer
CRR	Cash Reserve Ratio
CSR	Corporate Social Responsibility
D.D./T.T.	Demand Draft / Telegraphic Transfer
DEMAT	Dematerialized Account
DPD	Days Past Due
DPS	Dividend Per Share
DRP	Disaster Recovery Plan
DTA	Deferred Tax Asset
DTL	Deferred Tax Liability
DWL	Deprived Wholesale Lending
EAD	Exposure at Default
ECA	Export Credit Agency
ECDD	Enhanced Customer Due Diligence
ECL	Expected Credit Loss
EFT	Electronic Funds Transfer
EIR	Effective Interest Rate
EPS	Earnings Per Share
ERP	Enterprise Resource Planning
ESG	Environmental, Social and Governance
ESRM	Environment and Social Risk Management
EVs	Electric Vehicles
FATF	Financial Action Task Force
FIU	Financial Intelligence Unit
FLASH	Fast Loan Against Shares
FT	Financing of Terrorism
FVOCI / FVTOCI	Fair Value Through Other Comprehensive Income
FVTPL / FVPL	Fair Value Through Profit or Loss
GBSL	Global Business Support Loan

Acronmy	Abbreviation
GDP	Gross Domestic Product
GIBL	Global IME Bank Ltd
GSKK	Global Sana Kisan Karja
HRM / HRD	Human Resource Management / Department
ICAAP	Internal Capital Adequacy Assessment Process
ICAN	Institute of Chartered Accountants of Nepal
IFC	International Finance Corporation
IFRS	International Financial Reporting Standards
IMF	International Monetary Fund
IRMC	Integrated Risk Management Committee
IRMD	Integrated Risk Management Department
KMP	Key Management Personnel
KPI	Key Performance Indicators
KRIs	Key Risk Indicators
KYC	Know Your Customers
LC	Letter of Credit
LCR	Liquidity Coverage Ratio
LGD	Loss Given Default
LOS	Loan Origination System
12mECL	12 months' expected credit loss
LTECLs	Lifetime Expected Credit Losses
MDBs	Multilateral Development Banks
MIS	Management Information Systems
MLRO	Money Laundering Reporting Officer
MOU	Memorandum of Understanding
MSMEs	Micro, Small, Medium Enterprises
NAS	Nepal Accounting Standards
NCI	Non-Controlling Interest
NEPSE	Nepal Stock Exchange
NFRS	Nepal Financial Reporting Standards
NII	Net Interest Income
NLA	Net Liquid Assets
NPA / NPL	Non-Performing Assets / Loans
NRB	Nepal Rastra Bank
NSFR	Net Stable Funding Ratio
OCI	Other Comprehensive Income
ORMU	Operation Risk Management Unit
PAT	Profit After Tax
PD	Probability of Default
PEPs	Politically Exposed Persons
POS	Point of Sale
QR	Quick Response
RCA	Risk and Control Assessment
ROA	Return on Assets
RWA	Risk-Weighted Assets
SDG	Sustainable Development Goals
SEBON	Securities Board of Nepal
SLR	Statutory Liquidity Ratio
SMEs	Small and Medium-sized Enterprises
SPPI	Solely Payments of Principal and Interest
WC	Working Capital

01

Overview

ABOUT THIS REPORT

This Annual Report provides a comprehensive overview of the performance of Global IME Bank Ltd. and its Group for the fiscal year under review. It presents a clear and structured account of the strategic initiatives undertaken to advance the Group's long-term vision, while prudently balancing the evolving expectations of shareholders, customers, regulators, employees, and other stakeholders. The report covers the period from 16th July 2024 to 16th July 2025 (1st Shrawan 2081 to 32nd Ashad 2082, Nepalese Financial Year) and incorporates post-balance sheet events and relevant developments up to the date of Board approval on 15th October 2025.

The financial information presented herein pertains to Global IME Bank Ltd. and its subsidiaries, namely Global IME Laghubitta Bittiya Sanstha Ltd., Global IME Capital Ltd. and Global IME Securities Ltd. Unless otherwise stated, the non-financial disclosures relate solely to the Bank and exclude the subsidiaries companies, as the Bank contributes over 90% of the Group's Profit After Tax (PAT) and accounts for more than 98% of the Group's total assets and total liabilities.

ORGANISATIONAL OVERVIEW

Incorporated in 2006 upon receiving a Class "A" commercial banking license from Nepal Rastra Bank, Global IME Bank Limited has grown into one of Nepal's leading financial institutions. Over the past 19 years, its growth has been guided by a disciplined consolidation strategy, culminating in the successful integration of 21 banks and financial institutions, including several landmark mergers within the commercial banking sector. Today, the Bank is the first private commercial bank in Nepal to maintain a physical presence in all 77 districts. Supported by an extensive nationwide network and international representation, Global IME Bank plays a pivotal role in advancing financial inclusion, enhancing economic connectivity, and contributing meaningfully to Nepal's sustainable economic development. Building on its nationwide presence, the Bank has embraced a digital-first approach to strengthen service delivery and broaden access to banking services. In the post–COVID-19 era, digital innovation has been transformative, improving efficiency, transparency, and financial inclusion—particularly for rural and low-income communities across Nepal.

Vision

The Bank shares a common vision of "The Bank for All" amongst its Promoters, Directors, Management Team and Staff in commitment to providing the highest standard of services for customers from all regions and societies.

Mission

To win respectable market share through customer focused quality products and services, innovative business solutions and technology driven banking thereby enhancing the growth and profitability of the bank so as to ensure the optimum benefit to all stake holders at all times.

Strategic Goals

01 **Process Optimization**
Optimize processes to improve efficiency while expanding and strengthening the Bank's brand and market presence.

02 **Responsible Banking**
Promote ethical banking practices that support financial inclusion, social responsibility, and national development priorities.

03 **Outstanding Customer Excellence**
Consistently deliver superior service quality that enhances customer satisfaction, loyalty, and trust.

04 **Going Digital**
Leverage digital technologies to deliver innovative, secure, and customer-centric banking solutions.

05 **Risk Mitigation and Compliance**
Strengthen enterprise-wide risk governance and ensure full compliance with all regulatory and ethical standards.

06 **Empowered and Devoted Human Capital**
Build a skilled, motivated, and values-driven workforce aligned with the Bank's strategic vision.

07 **Sustainable Returns to Investors**
Achieve stable and sustainable returns through prudent growth, profitability, and sound financial management.

CORE VALUES

GL-TRIP

GOVERNANCE

Every decision, process & action is guided by transparency, accountability & responsibility.
We commit to our customers,

RESPECT

We value every individual, listen actively, and treat others with dignity. Humility allows us to learn, grow & build meaningful connections.

LOYALTY

We commit to our customers, colleagues & organization. By staying true to our promises & consistently supporting one another, we build trust & enduring partnerships.

INTEGRITY

We act honestly, ethically, and consistently in all our dealings. Upholding integrity ensures trust, credibility, and long-term success.

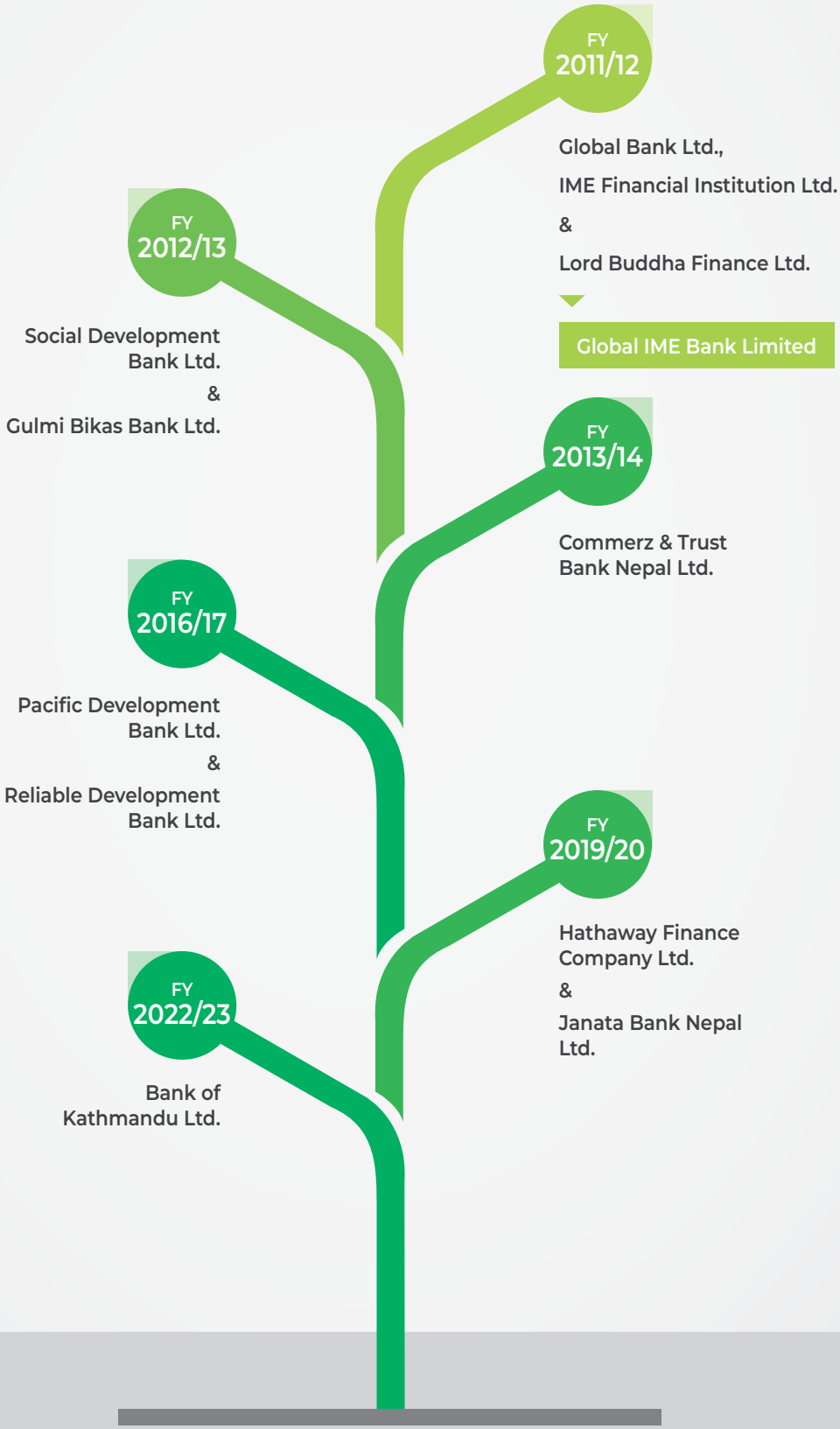
TEAMWORK

Every member contributes to our goals.
Open collaboration ensures that knowledge, skills & creativity are harnessed for maximum impact.

PROFESSIONALISM

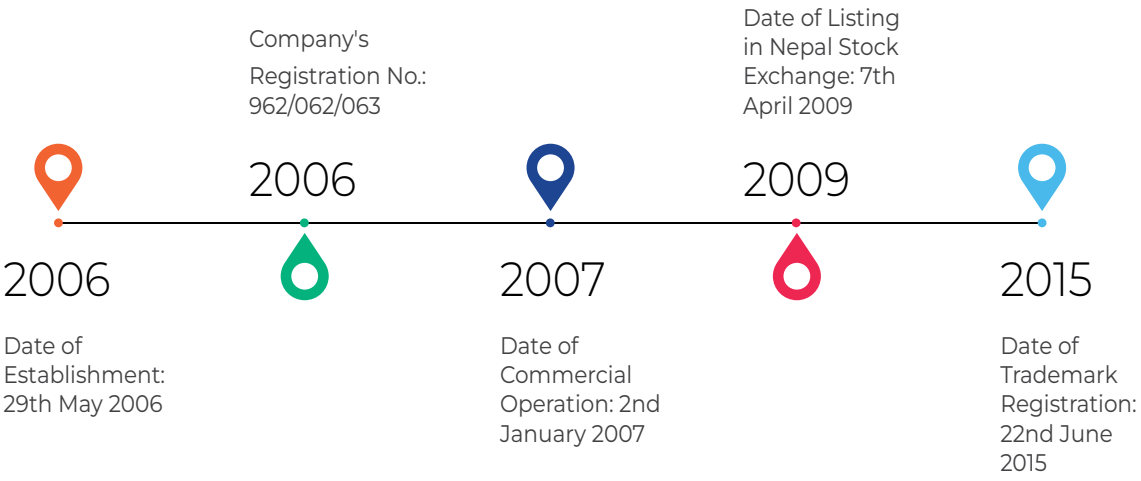
By being reliable, knowledgeable, and poised, we build credibility with colleagues, customers, and partners alike.

EVOLUTION THROUGH STRATEGIC CONSOLIDATION



PROFILE OF THE ORGANIZATION

INCORPORATION & REGISTRATION



SCALE OF OPERATIONS AND FINANCIAL STRENGTH

Balance Sheet Size
NPR
688 Billion +

Borrower's Trust:
NPR
440 Billion +

Shareholder's Fund
NPR
66 Billion +

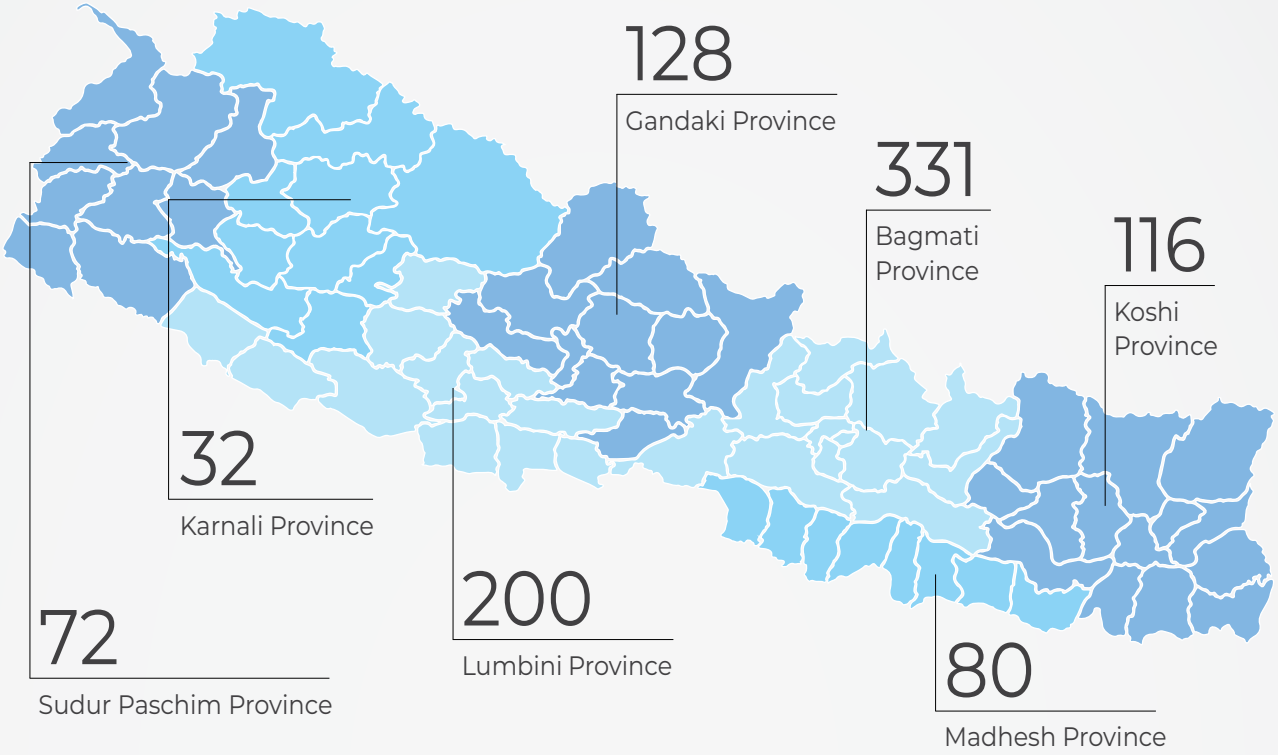
Depositor's Trust
NPR
575 Billion +

Mobile Banking Users
2.5 Million +

Loan Customers
88 Thousand+

Deposit Customers
5.5 Million +

NATIONWIDE REACH



352
Branches

384
ATMs

155
Branchless Banking Centers

68
Extension Counters

Representative Offices (Overseas): 3

DIGITAL BANKING AND PAYMENT INFRASTRUCTURE

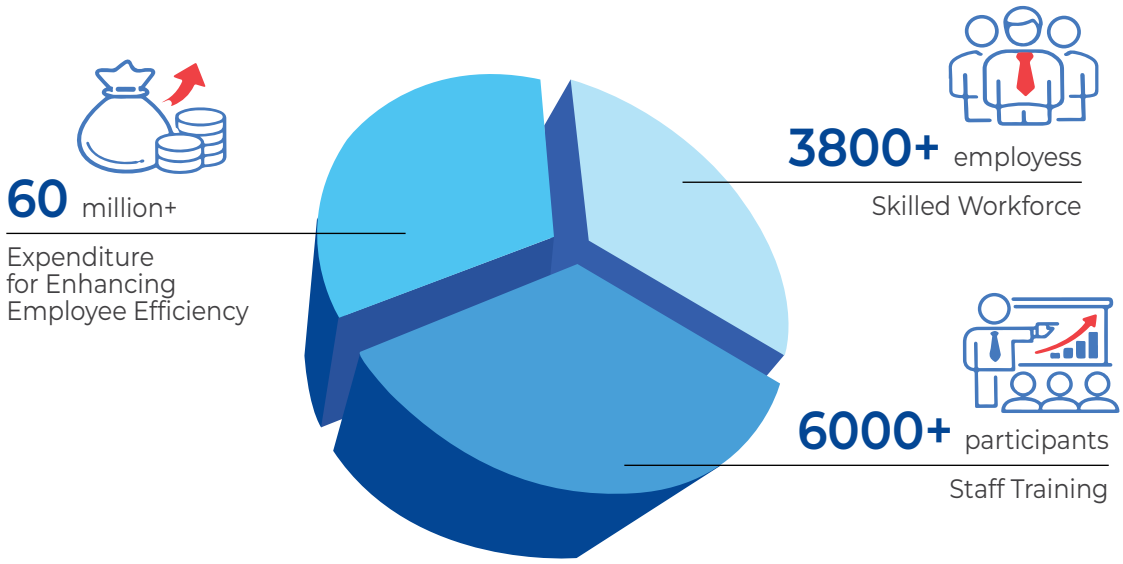
2800+
POS Terminals

1.1 Millions+
Debit Cards

79000+
QR Terminals

26000+
Credit Cards

HUMAN CAPITAL AND ORGANISATIONAL CAPABILITY



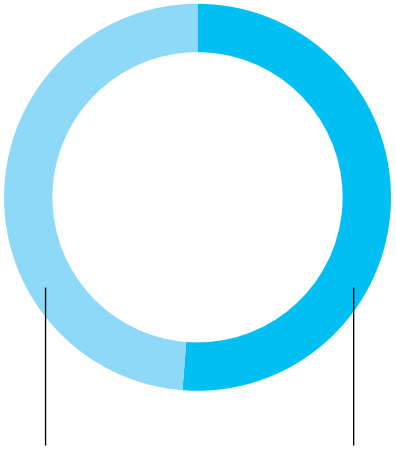
SOCIAL RESPONSIBILITY AND CREDIT STANDING

NPR **100** million+
CSR Expenditure

[ICRANP - IR] A-
Credit Rating

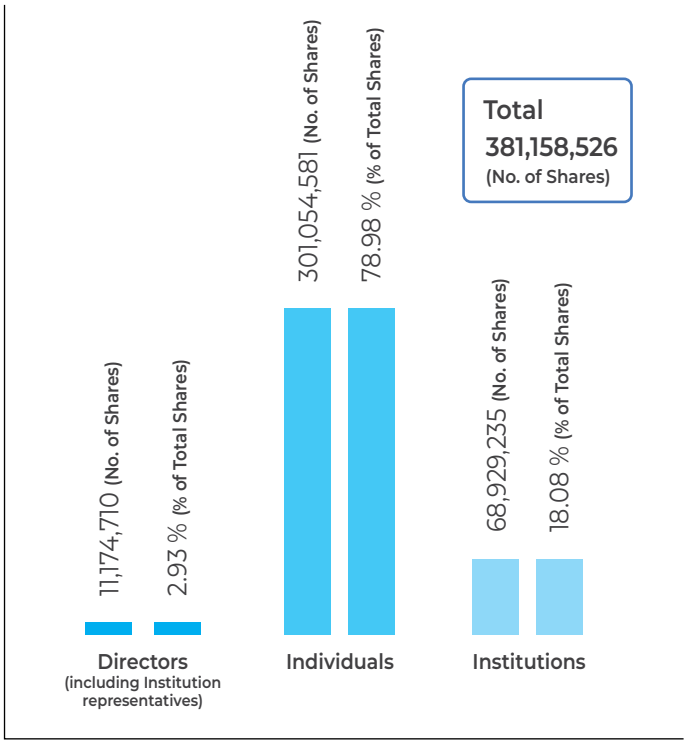
150+ international correspondent banks
International Reach

SHAREHOLDING STRUCTURE

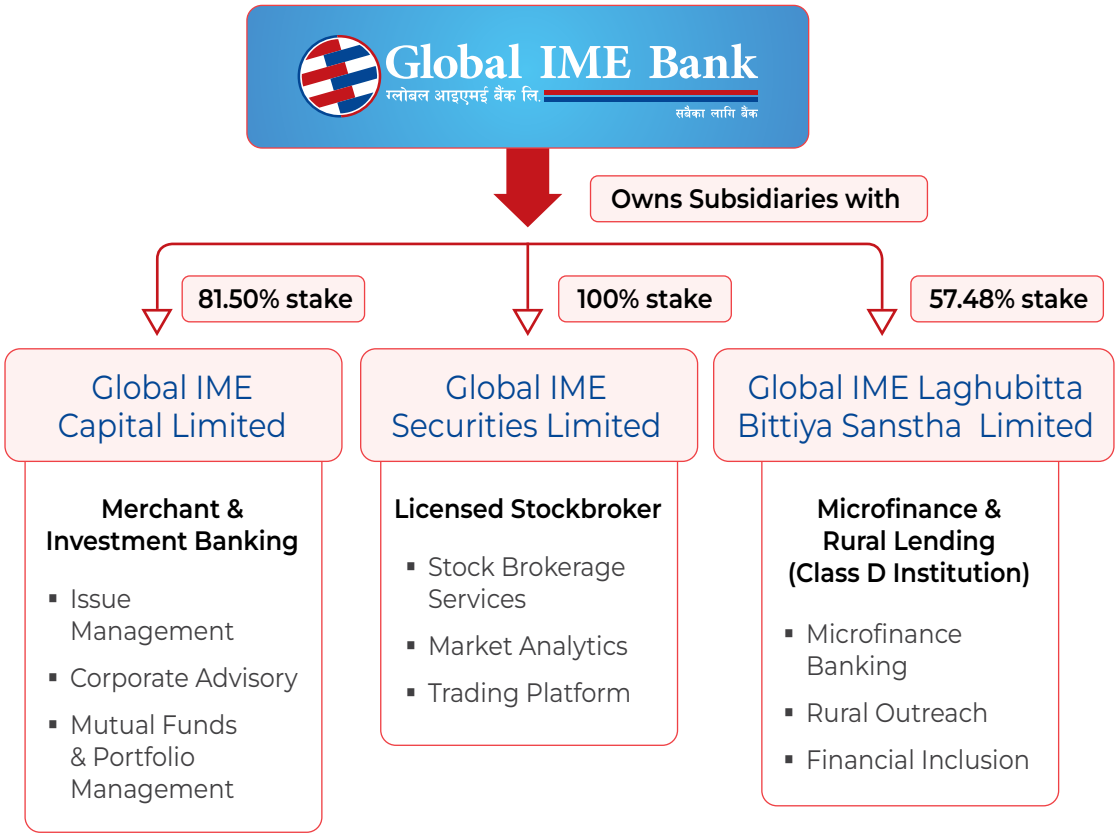


48.76%
Public Group

51.24%
Promoter Group



OPERATING STRUCTURE OF GLOBAL IME BANK



ACCOUNTING / FINANCIAL YEAR
16th July 2024 to 16th July 2025

STATUTORY AUDITOR
S.A.R. Associates, Chartered Accountants

COMPANY SECRETARY
Mr. Bishnu Prasad Banskota

INFORMATION OFFICER
Mr. Suman Pokharel
(Deputy Chief Executive Officer)

GRIEVANCE HANDLING OFFICER
Mr. Anil Joshi (Chief Operating Officer)

MILESTONES

2006 — Establishment Year

2007 — Started commercial operation as a national level "A" class Commercial Bank

2008 — Launched Global Remit/Card Products/ Internet Banking/ SMS Banking

2009 — Launched Credit Card and tied up with Visa

2010 — Selected as one of the authorized banks for various Government transactions

2011 — Started Remittance service for the Nepali workers in South Korea

2012 — 1st Merger with IME Finance & Lord Buddha Finance Launched BLB

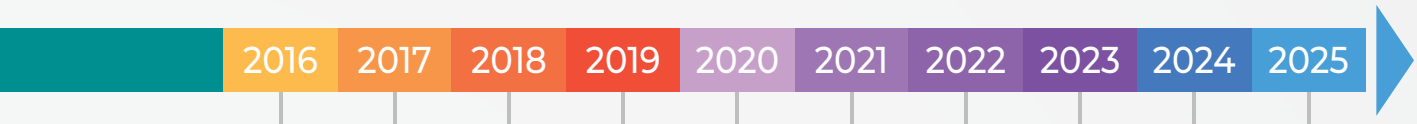
2013 — 2nd Merger with Gulmi Bikash Bank & Social Development Bank

2014 — Awarded "The Bank of the Year 2014" Nepal

3rd Merger with Commerz & Trust Bank

Opened Rep. office in Australia

2015 — Selected as the first handling Bank for Central Renewal Energy Fund (CREF)



2016

Awarded "Best Internet Bank Nepal" 2016

Opened Rep. office in India

2017

100+

Acquired Pacific Development Bank & Reliable Development Bank

Number of branches crossed 100

Paid up Capital reached to Rs. 8 Billion & above

Opened Rep. Office in UK

Corporate/Registered office shifted to own Building

2018

Crossed 100 BLB Points

Best Employer Award 2018 by World HRD Congress

2019

Acquisition of Hathaway Finance Ltd.

Merger with Janata Bank Nepal Ltd.

2020

Launch of Global Connect

2021

Upgraded to "A" Rating

Awarded "Nepal's Best Bank" by EuroMoney Awards for Excellence

2022

Branch presence in all 77 districts

2023

Merger with Bank of Kathmandu Ltd. (Total Merged/ Acquired Entities: 20)

2024

The first commercial bank in Nepal to reach NPR 5 trillion in deposits

2025

International Recognition: Honored with the "Best Bank Award 2025" by Global Finance Magazine based in the USA.

Excellence in Banking: Awarded "Best Bank Nepal" under the "Euromoney Awards for Excellence 2025".

LEADERSHIP INSIGHTS - BOARD OF DIRECTORS

Mr. Krishna Prasad Sharma
Director

Mr. Ram Bahadur Bhandari
Director

Mr. Chandra Prasad Dhakal
Chairman

Mr. Narayan Prasad Paudel
Director

Mr. Radhesh Pant
Director

Mr. Madan Lal Joshi
Director

MESSAGE FROM THE CHAIRMAN

Dear Shareholders,
On behalf of the Board of Directors, I thank you for your trust and continued support to Global IME Bank Ltd. As we present before you the Report of the Board and the audited financial statements for FY 2025 at our 19th Annual General Meeting, we reaffirm our commitment to protecting shareholder interests, upholding depositor confidence, and contributing to Nepal's economic progress.

The past year was shaped by major socio-political change, most notably the youth-led movements of September 2025. This Gen Z uprising called for greater transparency, digital freedom and accountability, and served as a historic reminder of the evolving aspirations of our nation's youngest demographic. While the unrest posed short-term challenges to the economy and public infrastructure, it also sparked an important national discourse on governance and inclusive growth. It reinforces the need for transparent institutions and digital empowerment. As a leading bank of the country, we are aligning our corporate governance and practices with these expectations and will continue to be a pillar of stability and a trusted partner in the nation's journey toward a more equitable and resilient future.

Globally, the year was marked by uncertainty. Geopolitical tensions, evolving trade dynamics, and the lingering post-pandemic effects weighed on growth. In Nepal, macroeconomic indicators showed moderate improvement, supported by record remittance inflows, enhanced external sector balances, easing inflation, and a more accommodative interest rate environment. At the same time, subdued private credit demand, rising non-performing assets across the sector, and structural constraints continued to temper sector performance.

Against this backdrop, the Bank delivered resilient balance sheet growth. Total assets expanded by 13.82 percent to NPR 688.1 billion, driven by steady core banking activity and continued balance sheet optimization. The Bank's capital position remained sound, with the Capital Adequacy Ratio improving to 12.65 percent reinforcing our ability to support growth while maintaining strong regulatory buffers. Profit after tax stood at NPR 5.08 billion, down 17.29 percent year-on-year, mainly due to margin compression in a low interest rate environment. Even so, efficiency has improved. The Cost of Funds declined sharply to 5.00 percent from 7.26 percent, reflecting the success of the Bank's low-cost deposit mobilization strategy.

> We reaffirm our commitment to protecting shareholder interests, upholding depositor confidence, and contributing to Nepal's economic progress.

A notable highlight of the year was the continued strengthening of the Bank's funding profile. The CASA ratio improved significantly to 44.61 percent from 38.85 percent, supported by strong growth in retail and transactional deposits. This helped cushion margins, with the NII ratio rising to 37.97 percent from 32.62 percent despite pressure on asset yields. Operational performance also remained robust. Operating profit per branch increased by 6.52 percent to NPR 37.57 million. This reflected disciplined cost management, productivity enhancements, and growing contribution from fee-based and digital banking activities. Liquidity stayed comfortable, with the liquidity ratio improving to 37.75 percent.

12.65%
Capital Adequacy Ratio

44.61%
CASA Ratio

Market confidence was evident in the Bank's share price reaching NPR 259.57, signaling sustained investor trust in the Bank's strategy, governance, and long-term value creation. The Bank has a presence in all 77 districts of the country. It has been providing banking services to more than five million customers through 352 branches, 155 branchless banking services, 384 ATMs, 68 extension and other counters, and three representative offices abroad. Guided by its vision "Bank for All," the Bank will review its business networks to achieve the target of becoming a Digital First Bank.

The Bank has continued to invest in faster, technology-friendly internal systems to improve efficiency and service quality. One among them is Integrated Loan Creation & Disbursement platform which has simplified loan booking and further strengthened operational control. In recognition of this excellence, the Bank received the prestigious Infosys Finacle Innovation Award 2025 which further validates its commitment to digital innovation.

The Board's foremost priority has been to ensure the Bank's stability, resilience, and alignment with national priorities and regulatory expectations. The Bank is fully compliant with the Banks and Financial Institutions Act, directives of Nepal Rastra Bank, the Companies Act, and all applicable corporate governance regulations. Transparency, sound governance, and prudent risk oversight remain central to our approach.

Strategic Direction: GIBL Mission 2030

During the year, the Bank made further progress in its five-year transformational roadmap — GIBL Mission 2030. This strategic framework defines where we aim to be by 2030 and how we plan to get there. Grounded in operational experience and informed by an honest assessment of opportunities and risks, Mission 2030 embodies our aspiration to become the "Bank of First Choice" through sustainable growth, operational excellence, customer centricity, and responsible banking.

37.97%
NII Ratio

37.75%
Liquidity Ratio

Mission 2030 is anchored in seven strategic priorities: becoming a Digital First Bank and optimizing the internal processes; delivering sustainable returns to investors; strengthening customer service excellence; fostering empowered and capable human capital; advancing responsible and inclusive banking practices; and reinforcing risk mitigation, compliance, and governance frameworks. Through disciplined execution of these priorities, the Bank aims to enhance resilience, improve asset quality, and create durable value for our stakeholders.

The Board is mindful of the structural challenges confronting Nepal's economy. These include heavy reliance on remittances, weak capital spending, infrastructure gaps, and the need for policy stability. As a systemically significant financial institution, we remain committed to supporting national development objectives, financing productive economic sectors, and expanding responsible access to finance.

Commitment to Shareholders

Despite sector-wide pressures, the Board has proposed a cash dividend of 8 percent. This reflects a balanced approach that preserves capital strength while delivering reasonable shareholder returns within the current context. We are confident that our governance standards, financial discipline, and strategic direction position the bank well for improved performance as conditions normalize.

I extend my gratitude to our valued customers for their loyalty, to regulators and government authorities for their guidance, and to our management and employees for their dedication. The Board remains committed to leading the Bank with integrity, prudence, and a long-term focus to ensure it continues to be a trusted partner in Nepal's economic journey.

Thank you for your continued support.

Chandra Prasad Dhakal
Chairman

PROFILE OF BOARD OF DIRECTORS

Chandra Prasad Dhakal
Chairman

Chandra Prasad Dhakal is founding Chairman of the prestigious IME Group. A successful entrepreneur, Dhakal is credited with making significant contributions to the expansion of domestic investment, attracting Foreign Direct Investment (FDI), and creating a business-friendly environment in Nepal. Under his visionary leadership, many banking and financial institutions have successfully merged into the Global IME Bank.

He founded IME with the goal of institutionalizing formal remittance channels, allowing Nepali migrant workers to easily send their earnings home, which has significantly boosted the national economy. In recognition of his contributions, Mr. Dhakal has received numerous awards and honors from both Government and Private sectors. Furthermore, Dhakal is the elected President of the Federation of Nepalese Chambers of Commerce and Industry (FNCCI) and serves as the Honorary Consul of the Republic of Indonesia to Nepal.

Radhesh Pant
Director

Radhesh Pant holds a Bachelor's degree in Aeronautical Engineering from the Indian Institute of Technology (IIT), Mumbai, and an MBA from the University of California, Los Angeles (UCLA). He brings over 30 years of experience in the corporate and academic sectors. He has successfully served as the Chief Executive Officer (CEO) of the former Bank of Kathmandu Ltd. and Kumari Bank Ltd., as well as the CEO of the Investment Board Nepal.

Pant has also served on the Board of Directors of Kathmandu Medical College. He is active in policy-making within the government and non-governmental sectors, specializing in economic analysis, research, and academic discourse regarding development and infrastructure. Additionally, he has served as the President and Advisor of the Nepal Bankers' Association. Currently, in addition to being a Board Director, he serves as the Coordinator of the Employee Service Facility Committee.

Ram Bahadur Bhandari

Director

Ram Bahadur Bhandari is Managing Director of Suryodaya Urja Pvt. Ltd. He is a prominent figure who has spent the last 25 years promoting solar energy businesses in remote areas of Nepal. He previously served as the Chairman of the Board of Directors of Siddhartha Development Bank Ltd., where he played a leading role during its merger. He also has experience serving on the Board of Directors of the former Bank of Nepal Limited.

Bhandari holds a Master's degree in Mathematics from Tribhuvan University. He has successfully served on the Alternative Energy Promotion Centre (AEPC) under the Ministry of Energy, Water Resources, and Irrigation. In addition to his role as a Board Director of the bank, he is a member of the Audit Committee and the Anti-Money Laundering/Combating the Financing of Terrorism (AML/CFT) Committee.

Krishna Prasad Sharma

Director

Krishna Prasad Sharma is a seasoned banker with over 32 years of experience in the banking sector. He has served as the Chief Executive Officer (CEO) of Rastriya Banijya Bank and has held board-level positions in various prestigious institutions, including Nabil Bank, Nepal Investment Bank, Employee Provident Fund, National Life Insurance Company, NLG Insurance Company, Credit Information Bureau (CIB), and Deposit and Credit Guarantee Fund.

Sharma holds a Bachelor's degree in Agricultural Science and Master's degrees in both Management and Sociology. In addition to his role as a Board Director, he serves as the Coordinator of the Audit Committee and the Employee Service Facility Committee, as well as a member of the Risk Management Committee.

Madan Lal Joshi

Director

Madan Lal Joshi possesses over two decades of experience in the banking and corporate sectors. He has previously served on the Board of Directors of the former Lumbini Bank Ltd. and Bank of Kathmandu Ltd. A graduate in Management, Joshi's extensive background includes serving as the Company Secretary of the former Narayani Finance Ltd., former President of the Narayani Chamber of Commerce and Industry (Chitwan), and Managing Director of Furniture Land Pvt. Ltd. He is also the proprietor of Chitwan Supply Center. Alongside his duties as a Board Director, he is the Coordinator of the Risk Management Committee.

Narayan Prasad Paudel

Director

Narayan Prasad Paudel brings extensive knowledge of Nepal's banking and financial landscape, having retired from Nepal Rastra Bank (the Central Bank) after 30 years of service at the Executive Director level. During his tenure at the Central Bank, he represented the institution on the Board of Directors for the Nepal Stock Exchange (NEPSE), Deposit and Credit Guarantee Fund, and Gramin Bikas Bank.

He holds a Master's degree in Economics from Tribhuvan University and an MBA from the United Kingdom. Paudel also successfully served as the Chief Executive Officer (CEO) of Prabhu Life Insurance Ltd. In his current capacity, he serves as the Coordinator of the Anti-Money Laundering (AML/CFT) Committee and is a member of the Risk Management Committee.

MISSION 2030: STRATEGIC GOALS

Mission 2030 sets out Global IME Bank Limited's five-year strategic roadmap to strengthen its position as Nepal's leading financial institution. Building on the foundations of Lakshya 2025, the strategy reinforces the Bank's vision of being "The Bank for All" through digital leadership, customer centricity, operational excellence, and responsible growth. The roadmap provides a clear and disciplined framework for execution, supported by agile monitoring and adaptive governance. Financial targets and strategic initiatives will be reviewed annually through the budgeting process, with performance tracked against defined key indicators. Guided by its GL-TRIP values and the collective commitment of its staff, Global IME Bank is well-positioned to deliver sustainable value and redefine banking excellence by 2030.

- PROCESS OPTIMIZATION
- RESPONSIBLE BANKING
- OUTSTANDING CUSTOMER EXCELLENCE
- GOING DIGITAL
- RISK MITIGATION AND COMPLIANCE
- EMPOWERED AND DEVOTED HUMAN CAPITAL
- SUSTAINABLE RETURNS TO INVESTORS

DIGITAL-FIRST BANK- POSITIONING & TRANSFORMATION JOURNEY

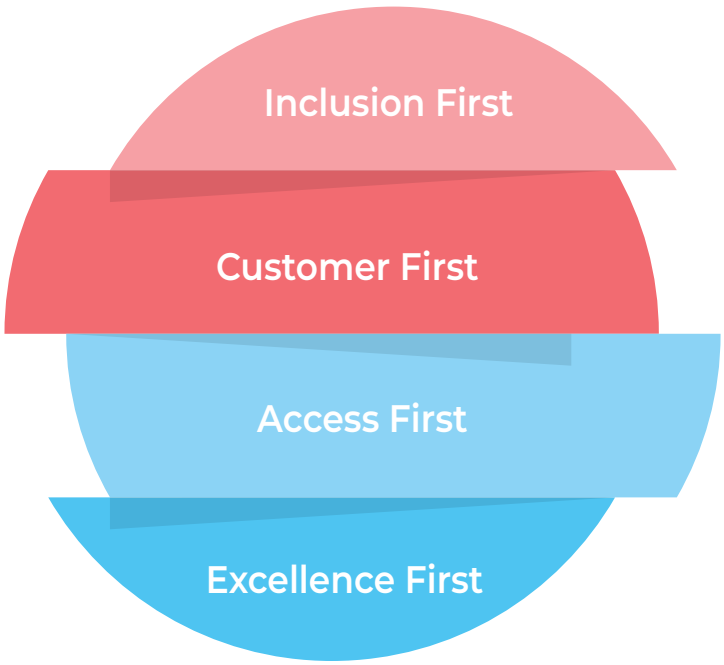
For a bank that began operations in 2007, achieving market leadership in less than two decades is an exemplary feat. This success reflects Global IME Bank's agility, resilience, and innovative mindset, enabling it to sustain growth and strengthen its market position over time. Digitalization at Global IME Bank was embedded in its blueprint from the outset. Early technology investments focused on essential business systems such as the Core Banking System (CBS), Management Information Systems (MIS), and other foundational banking platforms. These systems were designed with scalability and adaptability in mind, allowing the bank to support sustained growth over the years.

This adaptability proved critical during a decade marked by several healthy and historic mergers and acquisitions. The complex challenge of consolidating customer profiles, transaction histories, and financial data from 21 merged institutions was effectively managed through the continuous evolution of these core systems.

The bank's digital journey accelerated further with the introduction of SMS banking in the late 2000s, followed by internet banking and mobile banking channels in the following decade. These initiatives signaled Global IME Bank's intent to provide customers with accessible digital interfaces, enhancing service standards while maintaining a balanced, inclusive product mix and strong market positioning. As the bank approaches its 19th anniversary, its flagship digital platforms—Global Smart+ for retail customers and Biznex for businesses—have emerged as leading customer-facing banking solutions in Nepal. These platforms now handle the majority of digital payments and transactions, placing them among the most advanced and feature-rich banking applications in the country.

To further strengthen this momentum, Global IME Bank has formally embraced the "Digital First Bank" strategy. A Digital First bank is one where primary services, interactions, and value delivery are designed to be accessed digitally as the default. This vision is deeply embedded across the bank's operations and culture.

The Digital First strategy also reinforces the bank's core values



HIGHLIGHTS OF THE YEAR

International Recognition

Honored with the "Best Bank Award 2025" by Global Finance Magazine based in the USA.

Excellence in Banking

Awarded "Best Bank Nepal" under the "Euromoney Awards for Excellence 2025".

Technological Innovation

Honored with the "Gold" category award at the "Infosys Finacle Innovation Awards 2025".

Market Support for Entrepreneurs

Commenced "Global Haat Bazaar" to facilitate the marketing of products from micro, small, and medium enterprises.

Digital Partnership

Formed a partnership with the International Finance Corporation (IFC) for digital transformation and embedded finance advisory services.

Promoting Innovation

Successfully organized the "Global IME AI/ML Hackathon" targeting students, professionals, and startups to encourage innovation.

Employee Development

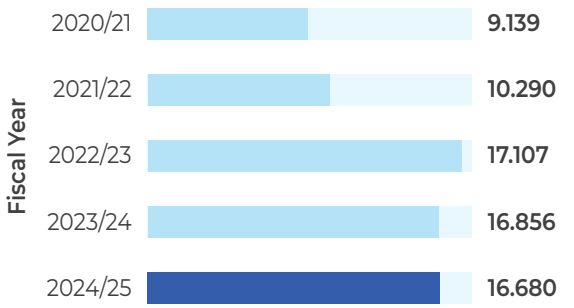
Started the "Global IME Toastmasters Club" to enhance the communication and leadership skills of employees.

Stakeholder Engagement

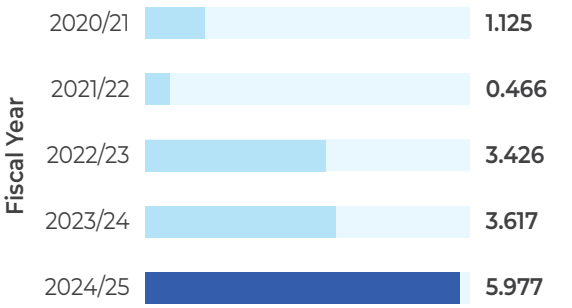
Launched a monthly newsletter to keep stakeholders updated on the bank's important programs and projects while encouraging mutual participation.

FINANCIAL INDICATORS

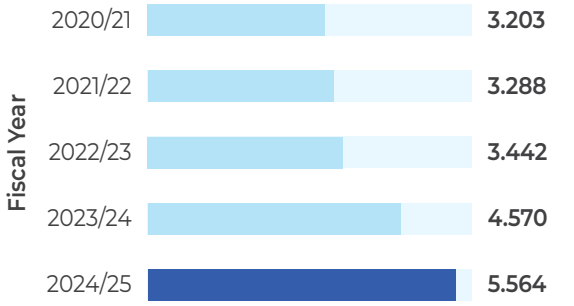
NET INTEREST INCOME AMOUNT (IN BILLIONS)



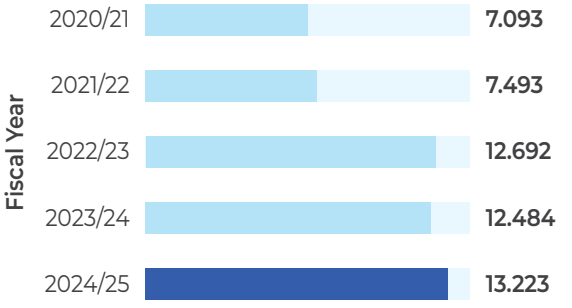
LOAN LOSS PROVISION / IMPAIRMENT AMOUNT (IN BILLIONS)



FEE, COMMISSION & OTHER OPERATING INCOME AMOUNT (IN BILLIONS)

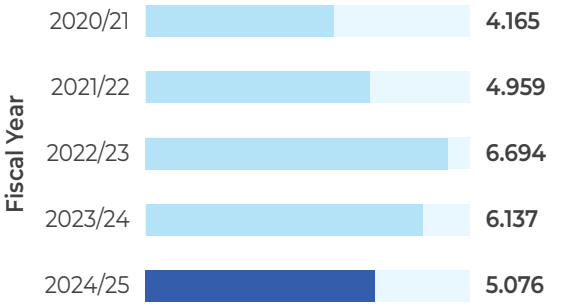


OPERATING PROFIT AMOUNT (IN BILLIONS)



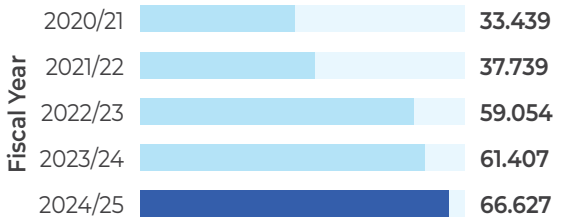
OPERATING EXPENSES AMOUNT (IN BILLIONS)

PROFIT AFTER TAX (PAT) AMOUNT (IN BILLIONS)

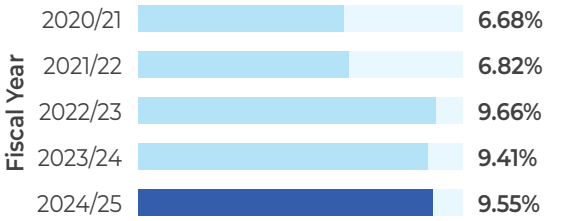


GROWTH AND MARKET EXPANSION

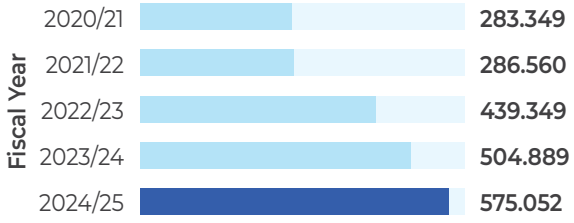
SHAREHOLDERS' EQUITY AMOUNT (IN BILLIONS)



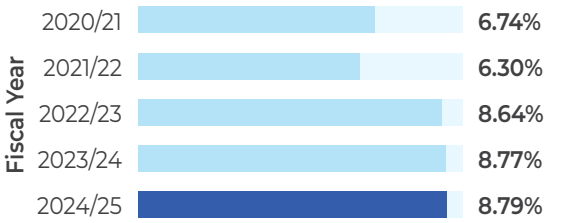
MARKET SHARE IN TOTAL EQUITY SHARE (%)



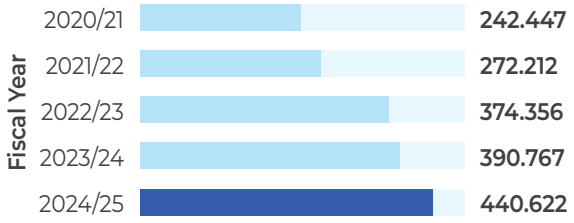
TOTAL DEPOSITS AMOUNT (IN BILLIONS)



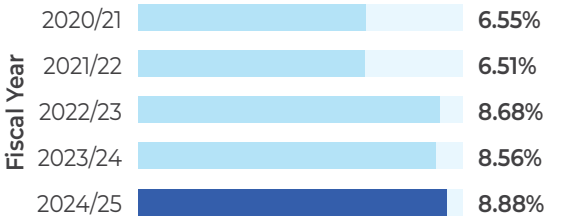
MARKET SHARE IN DEPOSITS SHARE (%)



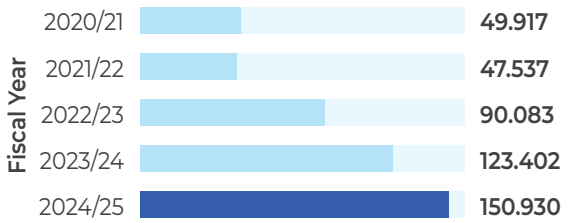
TOTAL LOANS AND ADVANCES AMOUNT (IN BILLIONS)



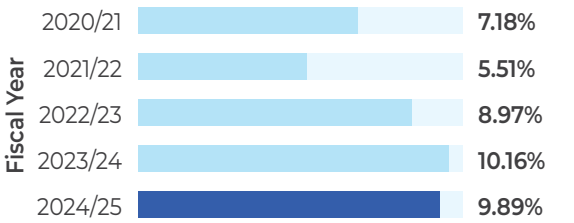
MARKET SHARE IN LOANS SHARE (%)



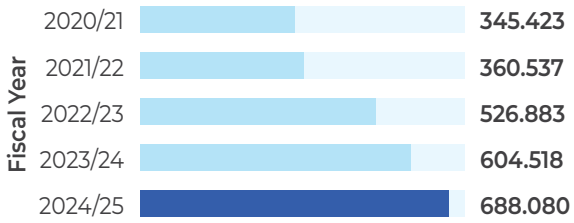
INVESTMENT IN SECURITIES AMOUNT (IN BILLIONS)



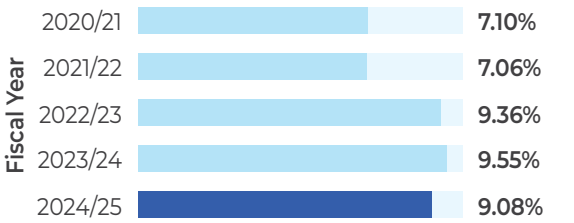
MARKET SHARE IN INVESTMENT SECURITIES SHARE (%)



TOTAL ASSETS AMOUNT (IN BILLIONS)

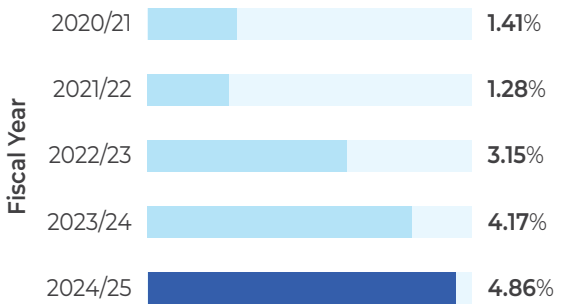


MARKET SHARE IN SAVINGS DEPOSITS SHARE (%)

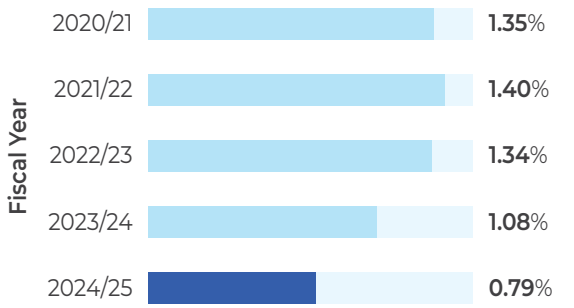


ASSET QUALITY AND RISK MANAGEMENT

NON-PERFORMING LOAN RATIO **NPL RATIO (%)**

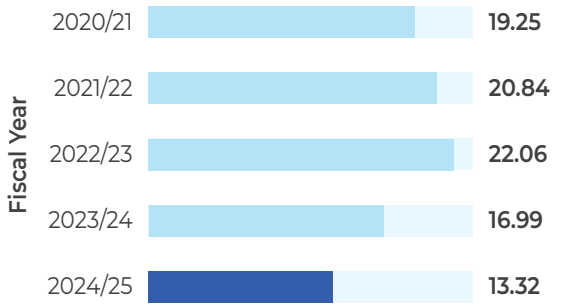


RETURN ON ASSETS **ROA (%)**



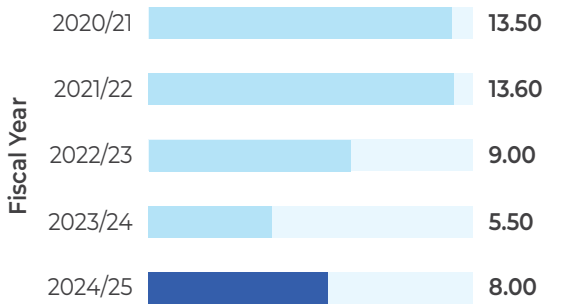
CAPITAL ADEQUACY RATIO **CAR (%)**

EARNINGS PER SHARE **EPS (NPR)**



NET WORTH PER SHARE **(NPR)**

DIVIDEND PER SHARE **DPS (NPR)**



FINANCIAL & OPERATIONAL HIGHLIGHTS

RESILIENT PERFORMANCE

NPR in Billion

Particulars	FY 2024/25	FY 2023/24	Change
Gross Interest Income	43.930	51.680	-15.00%
Net Interest Income	16.680	16.856	-1.05%
Fees and Commission Income	4.187	3.447	21.46%
Operating Income	1.377	1.123	22.68%
Operating Expenses	9.021	8.942	0.88%
Operating Profit (before provision & tax)	13.223	12.484	5.92%
Impairment Charge / (Reversal)	5.977	3.617	65.25%
Profit Before Income Tax	7.247	8.867	-18.28%
Profit After Tax	5.076	6.137	-17.29%

FINANCIAL STABILITY

NPR in Billion

Particulars	FY 2024/25	FY 2023/24	Change
Total Shareholders' Fund	66.627	61.407	8.50%
Customer Deposits	575.052	504.889	13.90%
Foreign Borrowings	12.416	12.101	2.61%
Gross Loans & Advances	440.622	390.767	12.76%
Investments	150.930	123.402	22.31%
Total Assets	688.080	604.518	13.82%
Total Liabilities	621.453	543.111	14.42%

REGULATORY RATIOS

Particulars	FY 2024/25	FY 2023/24	Change
Capital Adequacy Ratio (%)	12.65	12.39	2.13%
Tier-I Capital Ratio (%)	10.34	10.32	0.19%

CREDIT QUALITY

Particulars	FY 2024/25	FY 2023/24	Change
Gross NPL Ratio (%)	4.86	4.17	16.43%
Net NPL Ratio (%)	1.22	1.34	-8.92%

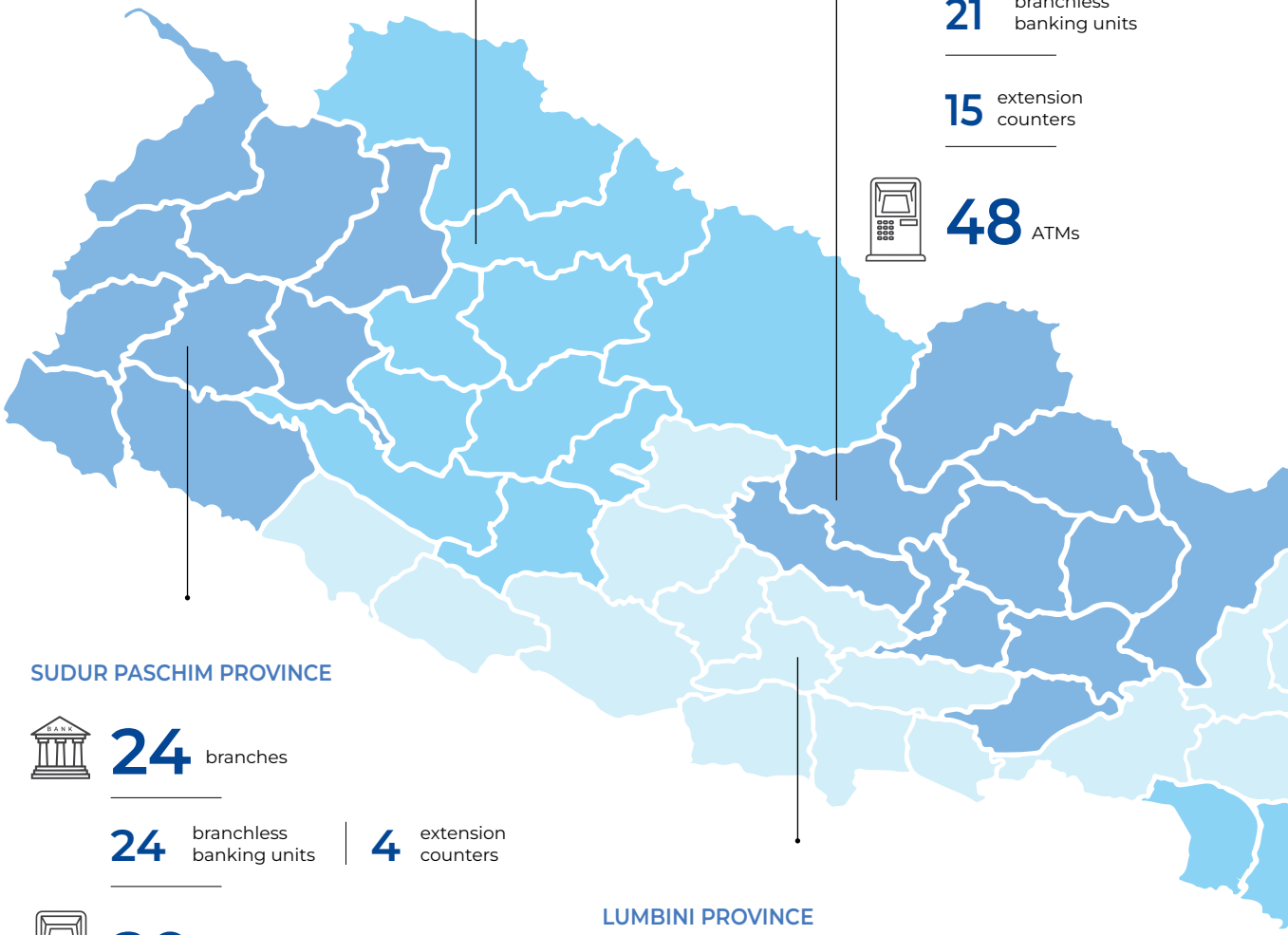
SHAREHOLDERS' INFORMATION

Particulars	FY 2024/25	FY 2023/24	Change
Market Value per Share (Public)	259.57	194.20	33.66%
Earnings per Share (NPR)	13.32	16.99	-21.60%
Price to Earning Ratio	19.49	11.43	70.49%
Total Assets Value per Share	1,805.23	1,673.23	7.89%
Net Worth per Share	174.80	169.97	2.84%
Return on Assets (%)	0.79	1.08	-27.60%
Return on Equity (%)	7.93	10.19	-22.18%
Cash Dividend (NPR per 100)	8.00	–	–
Stock Dividend (NPR per 100)	–	5.50	–
Net Interest Margin (%)	3.87	4.19	-7.55%
Credit to Deposit Ratio (%)	76.07	75.87	0.26%
Cost of Fund (%)	5.00	7.26	-31.13%
Cash Reserve Ratio (%)	4.33	4.27	1.41%
Statutory Liquidity Ratio (%)	31.17	31.15	0.06%
CASA Ratio (%)	44.61	38.85	14.84%
Liquidity Ratio (%)	37.75	37.11	1.72%
NII Ratio (%)	37.97	32.62	16.41%
Total Cost to Total Income Ratio (%)	40.55	41.74	-2.83%
Operating Profit per Employee (NPR Mio)	3.47	3.29	5.42%
Operating Profit per Branch (NPR Mio)	37.57	35.27	6.52%

OPERATIONAL INFORMATION

OPERATIONAL INFORMATION	FY 2024/25	FY 2023/24	Change
Number of Branches	352	354	-0.56%
Number of ATMs	384	384	0.00%
Number of Represetative Offices in Foreign Countries	3	3	0.00%
Number of BLB Agents	155	277	-44.04%
Number of Extension and Revenue Counters	68	69	-1.45%
Number of Deposit Accounts	5,591,849	5,142,537	8.74%
Number of Loan Accounts	88,087	80,986	8.77%
Debit Card	1,168,815	1,006,556	16.12%
Credit Card	26,638	18,677	42.62%
Mobile Banking Customer	2,574,803	2,229,972	15.46%
Internet Banking Customer	345,691	203,694	69.71%
Number of Employees	3,802	3,789	0.34%
Male Employees	2,281	2,276	0.22%
Female Employees	1,521	1,513	0.53%
Managerial Level Female Employees	42	36	16.67%
Managerial Level Male Employees	190	177	7.34%

GLOBAL IME'S PRESENCE: LOCAL AND GLOBAL



KARNALI PROVINCE

18 branches

2 branchless banking units

3 extension counters

9 ATMs

GANDAKI PROVINCE

44 branches

21 branchless banking units

15 extension counters

48 ATMs

SUDUR PASCHIM PROVINCE

24 branches

24 branchless banking units

4 extension counters

20 ATMs

LUMBINI PROVINCE

66 branches

51 branchless banking units

16 extension counters

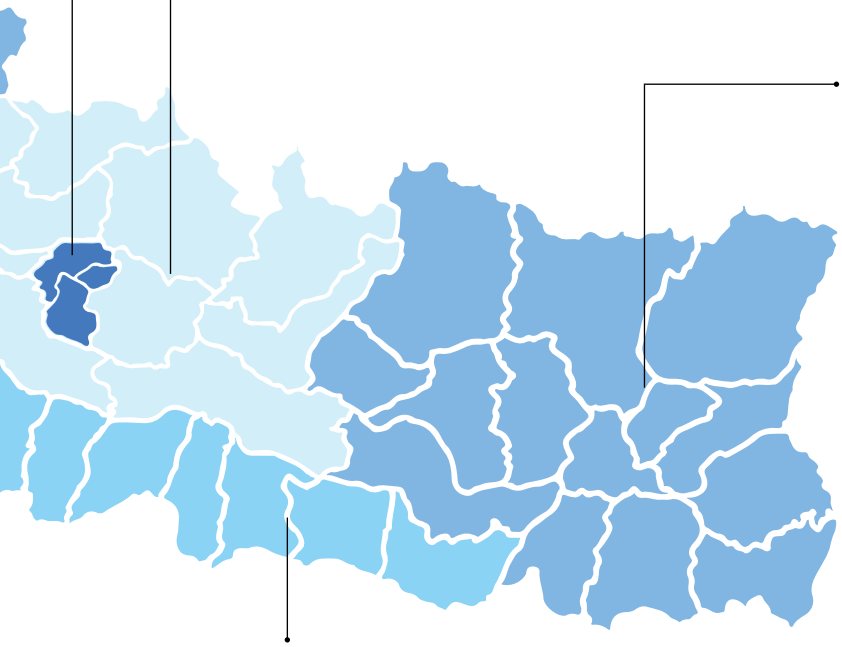
67 ATMs

Kathmandu Valley-wise Network

District	Branch	Extension Counter	BLB	ATMs
Kathmandu	64	13	3	107
Lalitpur	16	1	-	21
Bhaktapur	6	1	-	5

BAGMATI PROVINCE

130 branches | **16** branchless banking units | **20** extension counters | **165** ATMs



KOSHI PROVINCE

36 branches

28 branchless banking units | **5** extension counters

47 ATMs

MADHESH PROVINCE

34 branches | **13** branchless banking units | **5** extension counters | **28** ATMs

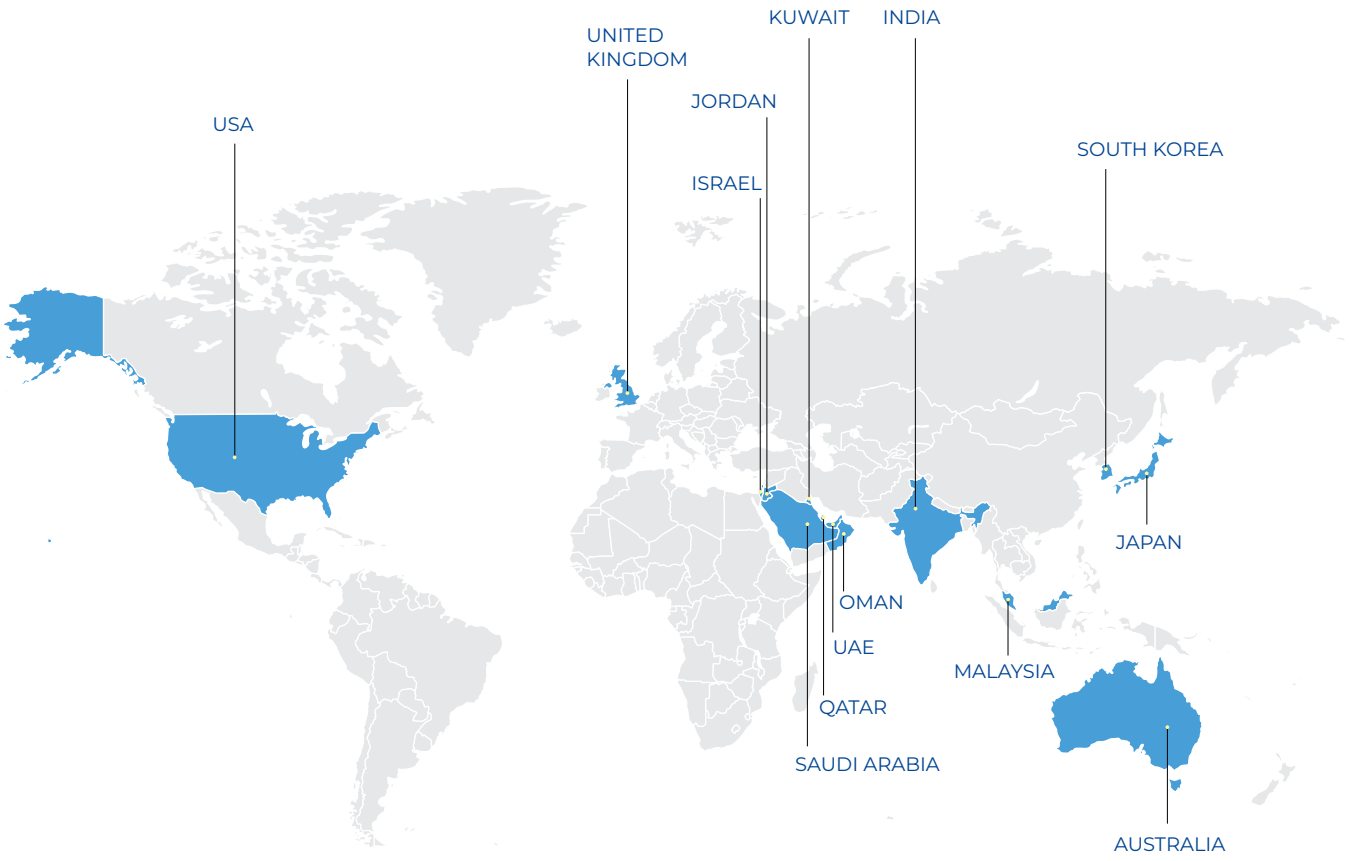
GLOBAL NETWORK

Connecting to our international clientele worldwide we have established a global vicinity, through networks of international representative offices in major Countries like United Kingdom (London), India (Delhi) and Australia (Sydney), partnerships with foreign financial institutions and targeted financial products for citizens and Non resident Nepalis (NRN's) all across the globe. We have taken initiatives that have been strategically designed to support international trade, facilitate remittance inflow and have provided banking services to Nepalese living abroad.

Our offices aim to promote international trade and encourage Nepali workers and students abroad to use formal banking channels for remittance inflow. Global IME is also in the process of extending our representative office in South Korea to provide banking services to Nepalese people working there.

The Bank is currently receiving remittances globally and maintains direct partnerships across more than 13 countries, including the United States of America, Qatar, the United Arab Emirates, Jordan, Kuwait, Bahrain, Saudi Arabia, Israel, South Korea, Japan, India, Australia, the United Kingdom, and Malaysia. In addition, the Bank has deployed representative officers in these countries to provide comprehensive banking and remittance support. These representatives primarily serve regions with a high concentration of Nepali workers and students, with the objective of promoting and facilitating trade, remittance inflows, and other cross-border financial services.

Global IME harnesses banking relationships to access financial services in different regions across continents. We have correspondent banking relationships with several international banks, including Standard Chartered Bank, Commerz Bank AG, Mashreq Bank PSC, Habib American Bank, Kookmin Bank, KEB Hana Bank, and Industrial Bank of Korea. These relationships enable us to facilitate transactions in various currencies, including AED, AUD, CAD, CNY, EUR, and USD.



KEY DIFFERENTIATORS

1. HIGHEST PAID-UP CAPITAL IN THE NEPALI BANKING INDUSTRY

Global IME Bank holds the highest paid-up capital of all commercial banks in Nepal, which demonstrates its stability and solidity of finances. The bank can expand its services, provide large-scale lending, and invest in innovative financial products with a sound capital base, and withstand during economic downturns.

2. LARGEST ASSET SIZE

Global IME Bank, being one of the largest financial institutions is a testimony to the bank's solid market position, good financial management, and the faith placed in it by depositors and investors both.

3. LARGEST CUSTOMER BASE IN THE INDUSTRY

With its large network of branches and digital banking products, Global IME Bank has the largest number of customers in Nepal. Its widespread reach, both urban and rural, provides access to financial services for individuals, businesses, and institutions across the country.

4. TOP BANK IN INWARD REMITTANCE HANDLING

The bank has a basic role to perform in remittance inflows, one of Nepal's biggest strength-giving drivers. With its base of support all over the world and partnership with international remittance service providers, Global IME Bank offers speedy, secure, and reliable money transfer facilities for Nepalese overseas.

5. TRUSTWORTHY PARTNER FOR GOVERNMENT REVENUE COLLECTION

Global IME Bank is an authorized partner for collecting government revenue, including taxes, customs duties, and other payments. This trust from the government underscores the bank's reliability, efficiency, and compliance with regulatory standards.

6. DIVERSIFIED FINANCIAL PORTFOLIO

The bank offers a range of financial products and services, including corporate banking, SME lending, retail banking, trade finance, investment banking, and online banking. Its diversified portfolio caters to various sectors, making it financially inclusive and fostering economic growth.

7. FIRST NEPALI BANK WITH REPRESENTATIVE OFFICES IN THREE COUNTRIES (INDIA, AUSTRALIA, AND THE UK)

Global IME Bank has set the trend by establishing representative offices in three of the world's foremost financial hubs—India, Australia, and the UK. These offices offer convenience-based financial services to Nepalese expatriates, businessmen, and investors, adding value to the bank's international outreach.

8. PREFERRED PARTNER FOR GLOBAL LENDERS (ADB, IFC, BII, SIFEM, AND OPEC)

Global IME Bank has acquired the trust of leading international financial institutions, like the Asian Development Bank (ADB), International Finance Corporation (IFC), British International Investment (BII), Swiss Investment Fund for Emerging Markets (SIFEM), and OPEC Fund for International Development (OPEC Fund). This alliance enhances the bank's chances of raising capital, funding gigantic projects, and supporting the Nepalese economy's growth.

With its financial strength, innovation, and global reach, Global IME Bank continues at the forefront of banking in Nepal.

AWARDS & RECOGNITIONS

2025
EuroMoney – Nepal's Best Bank

2025
Global Finance – Best Bank Award

2025
Infosys Transformation Excellence (Gold)

2024
EuroMoney – Nepal's Best Bank

2024
EuroMoney – Nepal's Best Bank for ESG

2024
Highest Remittance Inflows among Banks (2079/80)

2024
Global Finance – Best Bank Award

2024
Excellence in EFT, Mobile Banking & Alternate Channels, Digital Transformation

2023
Visa – Payments Excellence in Debit Card

2022
EuroMoney – Nepal's Best Bank

2018
Nepal Best Employer Brand Awards – World HRD Congress

2016
IFM Recognition

2014
Bank of the Year – The Banker

VALUE CREATION HIGHLIGHTS

CAPITAL INPUTS

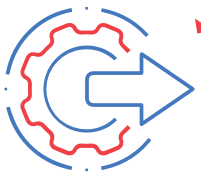
The Bank draws on a balanced mix of Six capitals to support sustainable value creation:

- Financial Capital
  Shareholders' equity, customer deposits, borrowings, and retained earnings
- Intellectual Capital
  Brand, Institutional Expertise, Data & Systems, Banking Policies and risk frameworks, policies, and product knowledge
- Manufactured Capital
  Branch network, extension counters, ATMs, Corporate Offices, data centers, Branch Less Banking and physical delivery channels
- Human Capital
  Skilled workforce, leadership capability, training and innovation culture
- Social & Relationship Capital
  Customer trust, regulator engagement, remittance partners, correspondent banks, and community relationships
- Natural Capital
  Responsible use of resources through green banking initiatives

CORE BUSINESS ACTIVITIES

These capitals are deployed through integrated banking activities:

- Deposit mobilisation and customer relationship management
- Credit intermediation aligned with priority sectors, deprived sector, and responsible lending principles
- Treasury, liquidity, and investment management in line with NRB regulations
- Remittance handling, transaction banking, and payment services
- Digital banking and technology-enabled service delivery
- Risk management, compliance, and governance oversight



OUTPUTS

Execution of core activities generates measurable operational outputs:

- Growth in deposits, loans, and advances
- Increased remittance flows and digital transaction volumes
- Stable asset quality and effective recovery performance
- Improved operational efficiency and service turnaround time
- Strong regulatory compliance and internal control environment

STAKEHOLDERS VALUE CREATION

The Bank's outputs translate into sustainable outcomes for key stakeholders:

- Customers: Accessible, reliable, and innovative financial and digital solutions
- Shareholders: Sustainable profitability, capital strength, and long-term returns
- Employees: Capability development, engagement, and career progression
- Regulators & Financial System: Stability, compliance, and sound risk management
- Communities & Economy: Financial inclusion, priority sector lending, remittance facilitation, and economic growth.

02

Management & Performance Report

MESSAGE FROM CHIEF EXECUTIVE OFFICER

With loans growing 12.76% and 2.92 million digital users, our commitment is execution—strengthening asset quality, scaling digital platforms, and delivering consistent, measurable performance under Mission 2030.

Dear Shareholders,

It is my privilege to present this Chief Executive Officer's Message in the Annual Report of Global IME Bank Ltd. for FY 2025. I thank our shareholders, customers, regulators, and partners for their continued trust. I also extend my sincere appreciation to our employees across the country for their professionalism and dedication during a demanding year.

The year was marked by both progress and volatility. The events of September 2025 tested the Bank's operational resilience and digital readiness. Nationwide disruptions affected businesses across the country. Even so, the Bank's business continuity plans worked as intended. Essential banking services remained available throughout the period of unrest. We are responding to the after-effects with a forward-looking approach. We are expanding support to SMEs and young entrepreneurs who are the backbone of this new economy. At the same time, we are strengthening digital security and engaging more closely with young customers. The lessons of the past year are shaping our strategy for sustainable growth and financial inclusion.

Sustained Growth

Despite a challenging macroeconomic environment, the Bank remained focused on sustainable growth. Our approach was anchored in responsible lending, low-cost deposit mobilization, diversification of non-interest income, and steady improvement in asset quality. In a difficult year for the sector, the Bank continued to set benchmarks in prudent lending. Supported by declining lending rates, gross loans grew by 12.76 percent. This significantly exceeded the commercial banking sector's average growth of 8.83 percent.

Total assets increased by 14 percent to NPR 688 billion as of 16 July 2025, up from NPR 604 billion a year earlier. In a low interest rate environment, our CASA deposits grew by NPR 60 billion. This strengthened our funding base and improved the CASA ratio to 44.61 percent in FY 2025, from 38.85 percent in FY 2024.

Falling interest rates put pressure on yields from loans, advances, and investments. As a result, interest rate income declined by 15 percent year-on-year. However, disciplined balance sheet management and a higher share of low-cost deposits helped reduce interest expenses by 21.75 percent, even as deposits grew. Consequently, net interest income declined only marginally by 1.05 percent.

Pressure on interest income was largely offset by strong growth in fee-based income. Higher credit-related fees, wider use of digital products, growth in card transactions, expanded remittance services, and improved trade-based business activity all contributed. Overall, fee-based income increased by 22 percent in 2025. The strong contribution from cards and digital channels further underscored our commitment to a cashless and digitally enabled economy.

Asset quality remained a key challenge during the year. The non-performing loan (NPL) ratio stood at 4.86 percent, up from 4.17 percent in the previous year. Despite this increase, the Bank remains well positioned to absorb additional credit costs. Our Tier 1 Capital Ratio improved slightly to 10.34 percent in FY 2025, up from 10.32 percent in FY 2024, reaffirming strong capital adequacy and loss absorption capacity.

The Bank recorded operating profit of approximately NPR 7.25 billion and net profit after tax of around NPR 5.08 billion. While interest income came under pressure, growth in fee-based and other operating income, combined with disciplined cost control, supported overall performance. Strengthening asset quality, improving recovery, and enhancing timely risk intervention remained our key management priorities during the year. Encouraging trends in the early months of FY 2026 point to sustained momentum.

Digital Transformation and Innovation

Accelerating digital transformation under the Digital First vision of GIBL Mission 2030 remained one of the core focus areas. During the year, the Bank expanded and refined digital processes across retail and corporate segments. These efforts improved customer convenience, reduced turnaround time, and strengthened controls. Our digital ecosystem has continued to grow driven by a dual focus on platform innovation and expanded user adoption. Active digital users increased to 2.92 million in FY 2025 from 2.43 million in FY 2024. This reflects deeper and more consistent customer engagement across our platforms. This momentum was reinforced by the launch of "Digital Universe," an integrated platform designed to improve interoperability and provide a scalable base for future innovation.

Through partnerships with accounting software providers, the Bank introduced API-based data sharing for SMEs. This allows real-time access to accounting data for transaction monitoring and credit assessment. It significantly reduces reliance on fixed collaterals such as land and buildings. In parallel, collaborations with fintech firms enabled the Bank to launch credit-score-based lending for agri-SMEs and women entrepreneurs, allowing access to small-ticket loans without traditional property-backed security.

In retail banking, our focus remained on improving the customer journey. We simplified onboarding processes and decentralized approval authorities for smaller loans. These changes significantly reduced Turnaround Time (TAT), while the digitization of onboarding helped improve consistency and service quality.

12.76%
Credit Growth

13.90%
Deposit Growth

A flagship success in this digital transition is the Fast Loan Against Shares (FLASH) platform. Fully integrated with our Core Banking System (CBS), FLASH allows customers to apply for loans of up to NPR 5 million through a digital interface, with only one branch visit required for final documentation. Since its inception, 261 customers have used the platform, accounting for 17.5 percent of borrowers in this segment. This reflects our ability to combine technological speed with banking precision, setting a new benchmark for automated credit delivery.

Key initiatives undertaken include:

- Implementation of Optical Character Recognition (OCR) for faster and more accurate account onboarding.
- Deployment of Robotic Process Automation (RPA) to streamline repetitive internal tasks and improve staff productivity.
- Rollout of an integrated loan creation and disbursement platform to strengthen operational control.
- Expansion of BizNex Corporate Internet Banking for improved transaction efficiency and reporting.
- Continued scaling of Global Smart Plus and self-service platforms, supported by expanded Video KYC capabilities.
- Digitalization of select retail lending processes to improve access and turnaround time.

These initiatives reflect our focus on customer-centric innovation and operational excellence, and have been validated by external recognition of the Bank's leadership in digital adoption.

Governance, Risk Management, and Responsible Banking

Risk management is a fundamental pillar of the Bank's value proposition and remains central to its long-term stability. Our Risk Management Framework is designed to identify and mitigate risks early, ensuring that business growth and financial resilience go hand in hand. Clear policies, defined limits, and regular reporting allow us to respond proactively to market changes.

The Board provides overall oversight of risk governance, supported by the Risk Management, Audit, and AML/CFT Committees. Senior Management drives the constant strengthening of policy execution, with support from committees like the Integrated Risk Management Committee (IRMC). We have embedded risk controls directly into operational workflows, making them a core part of daily business rather than a secondary check.

To maintain a high-quality balance sheet, the Bank conducts regular portfolio reviews using granular data analytics. These reviews help the Bank identify vulnerabilities before they become non-performing assets. Complementing this is our enhanced stress testing regime, which simulates extreme macroeconomic shifts—such as interest rate and currency volatility—to assess the impact on capital and liquidity buffers. These insights allow the Bank to proactively adjust its risk appetite and strategic asset allocation.

14.00%
Total Assets Growth

22.00%
Fee Based Income Growth

In our digital landscape, the strengthening of cyber security controls remains a top priority. We have deployed multi-layered defense systems, including real-time threat monitoring and advanced encryption, to protect information integrity. Parallel to these safeguards, our business continuity preparedness includes distributed recovery sites and simulation exercises to ensure service continuity during disruptions.

In line with global standards, the Bank has implemented enhanced customer due diligence (ECDD) protocols. This involves rigorous verification of ultimate beneficial ownership and monitoring transaction patterns through behavioral analysis. By strengthening the link between compliance and the business front-end, we ensure growth is built upon integrity and protected from financial crime.

The Bank follows the Three Lines of Defense model: business units manage risk at source, the IRMD and Compliance functions provide independent oversight, and Internal Audit offers independent assurance. This disciplined approach, supported by a strong capital position and the Internal Capital Adequacy Assessment Process (ICAAP), ensures we consistently meet and exceed regulatory requirements while pursuing sustainable growth.

Our commitment to responsible banking extends to measurable social impact. During the year, the Bank contributed more than NPR 4.75 billion to the Government of Nepal in taxes, including taxes collected on behalf of banking service users.

Similarly, CSR programs were implemented across all seven provinces, focusing on health, education, disaster relief, environmental conservation, financial literacy and digital awareness. Total CSR contribution in FY 2025 amounted to NPR 107.348 million.

People, Culture, and the Way Forward

Our employees are our greatest asset. We continued to invest in training, leadership development, and digital learning, while promoting a culture of accountability, innovation, and service excellence. With a nationwide presence and growing international engagement, our teams now serve more than five million customers across Nepal and beyond.

Looking ahead, the management remains focused on disciplined execution of Mission 2030 priorities: deepening digital adoption, strengthening core banking operations, expanding quality retail and SME lending, improving asset quality, growing fee-based income streams, and maintaining robust governance and compliance frameworks.

I thank the Board for its guidance, regulators for their oversight, our customers for their trust, and our employees for their dedication. Together, we will continue building a stronger, more innovative, and more inclusive Global IME Bank, delivering reliable service to customers and sustainable value to shareholders.

Thank you.

Surendra Raj Regmi
Chief Executive Officer

PROFILE OF THE EXECUTIVE MANAGEMENT

Surendra Raj Regmi

Chief Executive Officer

Leading the Bank's executive management team is **Mr. Surendra Raj Regmi**, Chief Executive Officer, a seasoned banking professional with over 36 years of distinguished experience in Nepal's financial sector. He began his banking career in 1988 with Rastriya Banijya Bank, where he developed extensive expertise across a wide range of banking functions, building a strong foundation in banking operations, risk management and institutional leadership. Since joining Global IME Bank in 2008, Mr. Regmi has held several key leadership roles, including Chief Credit Officer, Chief Operating Officer, and Chief Risk Officer. In these capacities, he has made significant contributions to the Bank's strategic direction, operational efficiency, risk governance and overall growth trajectory.

A visionary and result oriented leader, Mr. Regmi played an instrumental role in all of Bank's mergers and acquisitions, successfully leading integration processes and supporting the Bank's expansion strategy. His strong people leadership and change management capabilities have been central to aligning diverse teams, fostering organizational cohesion, and ensuring seamless post-merger transitions.

Beyond his executive responsibilities within the Bank, Mr. Regmi has also contributed to the broader financial ecosystem through leadership and governance roles in several institutions. He has served as Chairman of First Microfinance Laghubitta Bittiya Sanstha Limited, and as a Director of National Banking Institute Limited and Global IME Capital Limited. He currently also serves as Vice President of the Nepal Bankers' Association, reflecting his active engagement in advancing Nepal's banking industry.

Mr. Regmi holds a Master's degree in Economics from Tribhuvan University, Nepal, and an MBA from the University of Wales, United Kingdom. Under his leadership, Global IME Bank continues to strengthen its market presence, uphold sound governance, and create sustainable value for its stakeholders.

Suman Pokharel

Deputy Chief Executive Officer

At the forefront of the bank's digital transformation initiatives is **Mr. Suman Pokharel**, whose career spans over two decades in the financial services and payments industry. Renowned for his forward-thinking approach, Mr. Pokharel is committed to leveraging technology and innovation to redefine customer experience and enhance service delivery.

In his current role, he leads several key divisions including IT Systems, Digital Banking, Transaction Banking, Digital Innovations, Remittance and International Offices, Financial Resource Management, SME Lending, Deprived Sector Lending, Retail and Consumer Lending, as well as Credit Administration. His leadership ensures seamless integration between technology and banking operations, driving the bank's competitive edge in an increasingly digital landscape. Prior to joining the bank, Mr. Pokharel held several prominent leadership positions, including Senior Vice President at IME Group Nepal, Chief Executive Officer of IME Ltd., Chairman of Smart Choice Technologies Pvt. Ltd., Managing Director of Dish Media Network. Across these roles, he demonstrated expertise in leading high-impact projects, fostering strategic partnerships, and managing risk in complex financial ecosystems.

In addition to his executive responsibilities, Mr. Pokharel also serves as a Director on the Board of Nepal Infrastructure Bank Ltd., reflecting the Bank's strategic engagement in Nepal's financial and infrastructure sectors. Complementing his professional accomplishments, Mr. Pokharel has pursued executive education in Digital Strategy and Leadership from globally recognized institutions including MIT, Indian School of Business, Indian Institute of Management, AOTS Japan, and IDI USA. He holds a Master's degree in Business Studies from Tribhuvan University.

Bimal Daga

Assistant Chief Executive Officer

Supporting the bank's executive leadership is Mr. Bimal Daga, Assistant Chief Executive who brings with him over three decades of extensive experience in the banking sector. Academically, Mr. Daga holds a degree in Finance from Shri Ram College of Commerce, University of Delhi, and an MBA from Kathmandu University.

Mr. Daga is widely recognized within the industry for his ability to build and mentor highly motivated teams, fostering a culture of excellence and continuous learning. He is also regarded as an outstanding trainer, known for imparting valuable knowledge and skills to banking professionals. In his current executive role, Mr. Daga leads the bank on the areas of Operation, AML/CFT, Credit Administration, Trade Finance and Treasury Back.

In addition to his executive role, Mr. Daga represents the organization as a Director of the National Banking Institute of Nepal, further contributing to the advancement of banking education and professional development in the country.

Chandra Raj Sharma

Assistant Chief Executive Officer

Mr. Chandra Raj Sharma serves as Assistant Chief Executive Officer, bringing with him over two decades of multifaceted experience in the banking sector. A qualified Chartered Accountant and holder of an MBA from Tribhuvan University, Nepal, Mr. Sharma has developed deep expertise across key functional areas such as Internal Audit, Human Resources, Finance, Operations, Business, and Risk Management since beginning his banking career in 2003.

Throughout his professional journey, Mr. Sharma has held several leadership roles, including Chief Financial Officer and Chief Operating Officer, where his strategic acumen and financial stewardship have significantly contributed to organizational growth and operational efficiency. Currently, he leads the bank's financial management as the Chief Financial Officer, while also overseeing General Services and Performance Review Unit. In addition to his executive responsibilities, Mr. Sharma also represents the Bank as the Director of the Board of RSDC Laghubitta Bittiya Sanstha Ltd., thereby further strengthening Bank's presence and contribution in the microfinance sector.

Kalyan Bikram Pande

Assistant Chief Executive Officer

Mr. Kalyan Bikram Pande brings with him over two decades of comprehensive experience in the banking sector. With an academic foundation in both technology and business, Mr. Pande holds an MBA from Bangalore University and a Bachelor of Technology in Electrical Engineering, equipping him with a unique blend of analytical and strategic skills.

Mr. Pande began his banking career in 2004 from Kumari Bank Ltd and has since held various senior roles building deep expertise in corporate banking, credit management, and infrastructure financing. In his current executive role, Mr. Pande leads the bank in the areas of Strategy and Good Governance, Credit Monitoring and Recovery Business. His leadership has been instrumental in driving business growth and strengthening the bank's corporate banking portfolio.

In addition to his executive responsibilities, Mr. Pande also represents the Bank as the Chairperson of the Board of Mero Microfinance Laghubitta Bittiya Sanstha Ltd., thereby further strengthening Bank's presence and contribution in the microfinance sector.

Deep Chandra Regmi

Assistant Chief Executive Officer

Mr. Deep Chandra Regmi brings over 17 years of comprehensive experience in the banking sector, having begun his career at Standard Chartered Bank before joining Global IME Bank Ltd. in 2009. He holds a Master's degree in Business Administration from the Asian Institute of Technology, Thailand, which has equipped him with a robust understanding of business strategy and financial management. Throughout his career, Mr. Regmi has held several senior leadership positions, including Senior Relationship Manager, Head of Trade Finance, Chief Financial Officer, and Chief Human Resource Officer. His broad expertise across various facets of banking operations has enabled him to contribute significantly to the bank's financial management, human resources strategy, and trade finance functions.

Mr. Regmi serves as Chief Credit Officer, overseeing corporate and project financing and Chief of HR Oversight ensuring the bank's human resource policies and practices align with its strategic goals and organizational needs. In addition to his executive responsibilities, Mr. Regmi also represents the Bank as the Chairperson of the Board of Global IME Capital Ltd., a subsidiary of the Bank, thereby further strengthening Bank's presence and contribution in merchant banking sector.

Bhawani Dhakal

Deputy General Manager

Mr. Bhawani Dhakal brings over 19 years of dedicated experience in the banking sector, complemented by a strong legal background. He holds a Master's degree in Commercial Law from Tribhuvan University and began his professional journey as a private legal practitioner, serving as an advocate for 13 years before transitioning into the banking industry in 2006 with Global IME Bank Ltd. Throughout his banking career, Mr. Dhakal has held a diverse range of leadership roles, contributing to various key departments such as Human Resources, Internal Audit, Compliance, General Services, Credit Administration, and Branch Management. His broad-based expertise has been instrumental in ensuring regulatory compliance, strengthening internal governance frameworks, and enhancing operational efficiency across the bank.

In his current capacity, Mr. Dhakal leads the bank as Chief of Internal Audit. His role is pivotal in fostering a culture of accountability, risk awareness, and sustainable growth within the organization.

Beyond his executive responsibilities, Mr. Dhakal represents the bank as a Director at the Banking Finance & Insurance Institute of Nepal, further contributing to the development and professionalization of Nepal's banking and financial sectors.

Buddhi Akela

Deputy General Manager

Mr. Buddhi Akela, brings with him over two decades of in-depth experience in Nepal's banking sector. He holds a Master's degree in Business Administration from Pokhara University, providing him with a solid foundation in strategic and financial management. Mr. Akela began his banking career in 2004 at Nepal Bank Ltd. as Deputy Manager and joined Global IME Bank in 2006. Over the years, he has held critical roles across various divisions of the bank, including serving as Chief of Internal Audit, Head of Integrated Risk and leading the Credit Administration departments. His versatile expertise has been key in strengthening the bank's risk management frameworks and credit operations.

In his current role, Mr. Akela serves as the Chief Risk Officer, where he plays a vital role in upholding the bank's internal control systems, ensuring regulatory compliance, and prudent decision making and long term stability and accountability.

In addition to his executive responsibilities, Mr. Akela also represents the Bank as the Chairperson of the Board of Global IME Laghubitta Bittiya Sanstha Ltd., a subsidiary of the bank, thereby further strengthening Bank's presence and contribution in the microfinance sector.

Ranjan Kumar Thapa

Deputy General Manager

Mr. Ranjan Kumar Thapa serves as Deputy General Manager at Global IME Bank, where he leads the Treasury and International Banking Department as well as the Non-Resident and Overseas Banking. He holds an MBA from the University of Windsor, Canada.

Thapa brings strong, wide-ranging experience in banking and finance. Prior to his current role, he served as Chief Representative for ICICI Bank in Nepal, overseeing regulatory compliance and managing international banking relationships. Earlier in his career, he worked with Qatar Airways as a Lead Treasury Officer, where he was responsible for global cash and liquidity management.

He has also held several senior leadership roles within Global IME Bank, including overseeing Treasury, Correspondent Banking, Remittance, and Digital Banking, and previously served as Chief of Treasury and International Banking. Through these assignments, he has contributed significantly to strengthening the Bank's financial operations, international relationships, and digital service expansion.

In addition to his executive responsibilities, Mr. Thapa represents the Bank as a Director at Aadhyanta Fund Management Ltd, a leading fund management company, thereby further enhancing the Bank's presence and strategic engagement in the private equity sector.

Rupendra Wagle

Deputy General Manager

Mr. Rupendra Wagle serves as Deputy General Manager at Global IME Bank Ltd. and currently leads as Chief of Bagmati Province, one of the Bank's most important economic and business regions. With over two decades of banking experience, he has built strong expertise in branch banking, business development, customer relationship management, and operational leadership. He holds a Master's degree in Business Studies from Tribhuvan University.

He began his banking career in 2000 A.D. at Everest Bank Limited and later served at Rastriya Banijya Bank, gaining valuable exposure to both private and public sector banking practices. At Global IME Bank Ltd., he has played a significant role in strengthening branch banking operations, expanding customer outreach, and improving business performance across key market segments.

In addition to his executive responsibilities, Mr. Wagle represents the Bank as a Director at Global IME Laghubitta Bittiya Sanstha Ltd., a subsidiary of the Bank, further supporting the Bank's strategic interests in the microfinance sector.

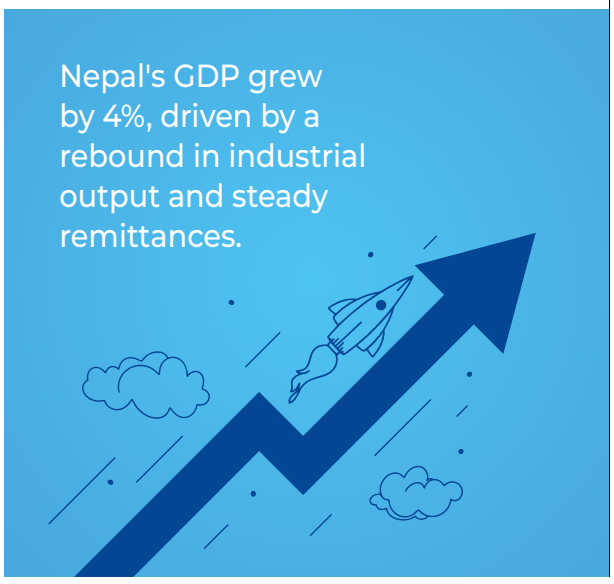
PERFORMANCE REPORT

WORLD ECONOMY IN A NUTSHELL

According to the World Economic Outlook published by the International Monetary Fund (IMF) in January 2025, global economic growth is projected to remain at 3.2 percent in 2025 and 3.1 percent in 2026. The IMF's revised estimates indicate that global growth was 3.3 percent in 2024.

Economic growth in advanced economies is estimated at 1.8 percent in 2024 and is projected at 1.6 percent in both 2025 and 2026. In emerging and developing economies, growth is estimated at 4.3 percent in 2024 and is projected to moderate to 4.2 percent in 2025 and 4.0 percent in 2026. Similarly, growth in emerging and developing Asian economies is estimated at 5.3 percent in 2024 and is projected at 5.2 percent in 2025 and 4.7 percent in 2026.

In 2024, consumer price inflation stood at 2.6 percent in advanced economies and 7.9 percent in emerging and developing economies. In 2025, inflation in advanced economies is projected to decline to 2.5 percent, while inflation in emerging and developing economies is expected to average around 5.3 percent. According to the IMF, global trade in goods and services is projected to grow by 3.6 percent in 2025, compared with 3.5 percent growth in 2024.



OVERVIEW OF THE NEPAL ECONOMY

Nepal's economy remains characterized by a mixed structure, with agriculture, industry, and services jointly contributing to national output, while remittances, tourism, and external trade continue to play a significant role in macroeconomic stability. In recent years, economic performance has reflected a gradual recovery from pandemic-induced disruptions, supported by improving domestic demand, easing inflationary pressures, and relative stability in the external sector.

In Fiscal Year 2081/82, real Gross Domestic Product (GDP) growth is estimated at 3.99 percent at basic prices and 4.61 percent at producers' prices, according to preliminary estimates from the National Statistics Office. In the previous fiscal year, growth stood at 3.36 percent at basic prices and 3.67 percent at producers' prices.

During the review year, agricultural sector output is estimated to have increased by 3.28 percent, while non-agricultural output is estimated to have grown by 4.28 percent. In the previous year, agricultural output grew by 3.35 percent and non-agricultural output by 3.86 percent. Within the non-agricultural sector in Fiscal Year 2081/82, industrial output is estimated to grow by 4.53 percent, while services output is projected to increase by 4.21 percent. In the previous fiscal year, industrial growth stood at 0.11 percent, whereas the services sector recorded growth of 4.35 percent.

Agriculture remains a vital sector for employment and livelihoods, contributing significantly to food security and rural incomes. However, growth in the sector remains vulnerable to monsoon variability, structural inefficiencies, and low productivity. Government initiatives aimed at commercialization, irrigation expansion, and modernization are expected to improve medium-term prospects, although structural transformation is likely to remain gradual.

INFLATION

Inflationary pressures moderated compared to previous years, supported by improved supply conditions, softer global commodity prices, and

prudent monetary policy. Nepal Rastra Bank continued to focus on maintaining price stability while ensuring adequate liquidity to support productive economic activities. The financial sector remained broadly stable, although challenges persisted in the form of rising non-performing loans, subdued credit demand, and cautious lending behavior by banks.

Annual average consumer price inflation stood at 4.06 percent in 2024/25, compared with 5.44 percent a year earlier. Although increases in the prices of rice, vegetables, lentils, and other food items during the first five months of the review year contributed to a slight rise in inflation, the rate eased as prices of these products gradually declined.

The easing of inflation, which began in the second quarter, was supported by several factors, including favorable global inflation trends—particularly in India—effective domestic monetary and fiscal policies, timely adjustments to petroleum product prices by Nepal Oil Corporation in line with declining international crude oil prices, slower growth in import prices, wages and salaries, and wholesale price indices, as well as moderated domestic demand pressures. These combined factors contributed to the sustained decline in consumer price inflation throughout the fiscal year.

The external sector showed relative resilience, supported by robust remittance inflows, which continue to be a key source of foreign exchange and household consumption. While merchandise exports remain limited and structurally constrained, import growth moderated, helping contain the trade deficit. Tourism continued its gradual recovery, contributing positively to foreign exchange earnings and employment.

EXTERNAL SECTOR AND EXCHANGE RATE

During 2024/25, merchandise exports increased by 81.8 percent to Rs. 277.03 billion, compared with a decrease of 3.0 percent in the previous year. Destination-wise, exports to India, China, and other countries increased by 117.8 percent, 1.6 percent, and 6.7 percent, respectively. Exports of soybean oil, polyester yarn and thread, jute goods, tea, and shoes and sandals increased, whereas exports of palm oil,

zinc sheets, juice, ginger, and readymade garments declined during the review year.

During 2024/25, merchandise imports increased by 13.3 percent to Rs. 1,804.12 billion, compared with a decline of 1.2 percent a year earlier. Imports from India, China, and other countries rose by 7.5 percent, 14.2 percent, and 31.7 percent, respectively. Imports of crude soybean oil, transport equipment, vehicles and spare parts, rice/paddy, edible oil, and sponge iron increased, whereas imports of petroleum products, aircraft spare parts, gold, chemical fertilizer, and electrical equipment declined during the review year.

Remittance inflows increased by 19.2 percent to Rs. 1,723.27 billion during 2024/25, compared with an increase of 16.5 percent in the previous year. The number of Nepali workers receiving first-time approval for foreign employment stood at 505,957, while those receiving approval for re-entry totaled 333,309. In the previous year, these figures were 460,102 and 281,195, respectively.

The Nepali currency depreciated by 2.66 percent against the US dollar in mid-July 2025 compared with mid-July 2024, following a depreciation of 1.64 percent in the previous year. The buying exchange rate stood at Rs. 137.00 per US dollar in mid-July 2025, compared with Rs. 133.36 in mid-July 2024.

CURRENT ACCOUNT AND BALANCE OF PAYMENTS

The current account recorded a surplus of Rs. 409.20 billion in the review year, compared with a surplus of Rs. 221.71 billion in the previous year. In US dollar terms, the current account surplus amounted to USD 3.01 billion, compared with USD 1.67 billion in the previous year.

The Balance of Payments (BoP) registered a surplus of Rs. 594.54 billion during the review year, compared with a surplus of Rs. 502.49 billion in the previous year. In US dollar terms, the BoP surplus stood at USD 4.37 billion, compared with USD 3.77 billion in the previous year.

Gross foreign exchange reserves increased by 31.2 percent to Rs. 2,677.68 billion in mid-July 2025, up from Rs. 2,041.10 billion in mid-July 2024. In US dollar terms, reserves rose by 27.7 percent to USD 19.50 billion from USD 15.27 billion over the same period.

BANKING SECTOR PERFORMANCE

CREDIT GROWTH

Private sector credit extended by Banks and Financial Institutions (BFIs) increased by Rs. 423.73 billion (8.4 percent) during the review year, compared with an increase of Rs. 276.94 billion (5.8 percent) in the previous year. Of the total outstanding credit of BFIs during the review year, 64.7 percent was secured against land and building collateral, while 14.5 percent was backed by current assets (such as agricultural and non-agricultural products). A year earlier, these ratios stood at 66.5 percent and 13.2 percent, respectively.

Outstanding loans of BFIs to the industrial production sector increased by 7.9 percent; loans to transportation, communication, and public sectors rose by 15.5 percent; lending to the wholesale and retail sector increased by 3.4 percent; and loans to the service sector expanded by 12.8 percent. In contrast, lending to the agriculture sector declined by 0.2 percent during the review year.

DEPOSIT MOBILIZATION

Deposits at BFIs increased by 12.6 percent (Rs. 811.49 billion) during the review year, compared with an increase of 13.0 percent (Rs. 742.37 billion) in the previous year. As of mid-July 2025, the shares of demand, savings, and fixed deposits in total deposits stood at 7.1 percent, 36.8 percent, and 48.3 percent, respectively. A year earlier, these shares were 5.8 percent, 30.3 percent, and 56.4 percent, respectively.

Key Banking Sector Indicators

Indicator	Industry (Class A, B & C)	Industry (Class A)	Global IME (Class A)
A. Credit & Deposit Ratios (%)			
CD Ratio	75.79	75.02	76.07
Fixed Deposit / Total Deposit	48.02	47.59	47.90
Saving Deposit / Total Deposit	36.60	36.56	37.83
Current Deposit / Total Deposit	7.23	7.78	6.80
Call Deposit / Total Deposit	7.49	7.36	6.79
NPL / Total Loan	4.62	4.44	4.86
Deprived Sector Loan / Total Loan	5.52	5.40	5.23
B. Liquidity Ratios (%)			
Total Liquid Assets / Total Deposit	24.92	25.15	37.75
C. Capital Adequacy Ratios (%)			
Core Capital / RWA	10.13	10.05	10.34
Total Capital / RWA	12.95	12.90	12.65

BANK'S PERFORMANCE AND POSITION

RESILIENT PERFORMANCE

In FY 2024/25, the Bank demonstrated resilient operating performance despite pressure on interest-based income. Gross interest income declined by 15.0 percent to NPR 43.93 billion, reflecting margin compression and moderating interest rates. Consequently, net interest income decreased marginally by 1.05 percent to NPR 16.68 billion.

Non-interest income showed strong momentum during the year. Fees and commission income increased by 21.46 percent to NPR 4.19 billion, supported by higher transaction volumes, trade finance activities, and service-based income streams. Other operating income grew by 22.68 percent to NPR 1.38 billion, underscoring improved income diversification.

Operating expenses remained well controlled, increasing by only 0.88 percent to NPR 9.02 billion, reflecting prudent cost management. As a result, operating profit before provisions and tax rose by 5.92 percent to NPR 13.22 billion.

However, impairment charges increased significantly by 65.25 percent to NPR 5.98 billion, reflecting a conservative provisioning approach amid asset quality pressures and regulatory prudence. Consequently, profitability declined, with profit before tax decreasing by 18.28 percent to NPR 7.25 billion and profit after tax declining by 17.29 percent to NPR 5.08 billion.

FINANCIAL STABILITY

The Bank's balance sheet expanded steadily during the year, reflecting strong business growth and financial resilience. Total assets increased by 13.82 percent to NPR 688.08 billion, supported by growth in customer deposits and credit expansion.

Customer deposits rose by 13.90 percent to NPR 575.05 billion, demonstrating continued depositor confidence and a stable funding base. Gross loans and advances increased by 12.76 percent to NPR 440.62 billion, indicating sustained credit demand across key segments. Investments grew by 22.31 percent to NPR 150.93 billion, strengthening liquidity and income stability.

Total shareholders' funds increased by 8.50 percent to NPR 66.63 billion, reinforcing the Bank's capital base and loss-absorbing capacity.

REGULATORY RATIOS

The Bank remained compliant with regulatory capital requirements. The Capital Adequacy Ratio improved to 12.65 percent from 12.39 percent, while the Tier I Capital Ratio stood at 10.34 percent, reflecting adequate capitalization to support future growth and absorb potential risks.

BUSINESS LINE REVIEW

LOANS AND ADVANCES

The Bank's loan portfolio remained well diversified as of mid-July 2025, with modest changes in composition driven by uneven growth rates across segments. Corporate loans accounted for 43.10 percent of total lending as of mid-July 2025, maintaining a stable position compared with 43.09 percent a year earlier. The segment recorded growth of 12.77 percent, reflecting selective expansion in well-rated corporate and project-based exposures.

Retail loans constituted 24.97 percent of the total credit portfolio, compared with 23.07 percent in mid-July 2024. This segment recorded the highest growth rate at 22.06 percent, strengthening its contribution to the overall loan mix. SME loans represented 28.12 percent of total lending as of mid-July 2025, down from 30.07 percent a year earlier. Despite positive year-on-year growth, the segment's share moderated due to relatively stronger expansion in retail lending and more cautious growth in other sectors.

Deprived sector lending remained stable at 3.68 percent as of mid-July 2025, despite growth of 14.27 percent. The card segment's share remained marginal at 0.13 percent.

Amount in NPR Billion

Segment	Mid-July 2025	Composition	Mid-July 2024	Composition	Loan Growth	Loan Growth %
Corporate	189.90	43.10%	168.39	43.09%	21.51	12.77%
SME	123.91	28.12%	117.52	30.07%	6.39	5.44%
Retail	110.02	24.97%	90.14	23.07%	19.88	22.06%
Deprived Sector	16.21	3.68%	14.19	3.63%	2.03	14.27%
Card	0.58	0.13%	0.53	0.14%	0.05	8.91%
Total	440.62	100.00%	390.77	100.00%	49.86	12.76%

A. Corporate Segment

Indicator	2025	2024	2023
Corporate Loan (NPR Billion)	189.90	168.39	157.88
Share of Renewable Energy Loans in Project-Based Lending	33.42%	34.53%	37.80%
Share of Corporate Loans in Total Bank Credit	43.10%	43.09%	42.17%
Share of Corporate Loans in Interest Income	41.25%	42.06%	—

Portfolio Expansion:
The corporate loan portfolio increased to NPR 189.90 billion in 2025, up from NPR 168.39 billion in 2024, reflecting selective growth in well-rated corporate and project-based exposures.

Stable Share in Total Credit:
Corporate loans accounted for 43.10 percent of total bank credit, remaining broadly stable over the past three years and indicating a balanced credit portfolio structure.

Renewable Energy Focus:
Renewable energy loans constituted 33.42 percent of project-based corporate lending, underscoring the Bank's continued support for sustainable and green infrastructure development despite a marginal decline from previous years.

Interest Income Contribution:
Corporate loans contributed 41.25 percent to total interest income, slightly lower than the prior year, reflecting portfolio rebalancing and competitive pricing dynamics.

B. SME Segment

The SME segment remains a core growth pillar, supporting economic activity and employment, while the Bank continues to emphasize credit quality, sectoral diversification, and risk containment.

Indicator	2025	2024	2023
SME Loan (NPR Billion)	123.91	117.52	120.66
Number of Customers	17,730	15,537	15,069
Share of SME Loans in Total Bank Credit	28.12%	30.07%	32.23%
Share of SME Loans in Interest Income	29.55%	30.75%	—

Stable Portfolio Size:
The SME loan portfolio stood at NPR 123.91 billion in 2025, broadly stable compared with NPR 117.52 billion in 2024, reflecting a cautious and selective lending approach amid a challenging business environment.

Expanding Customer Base:
The number of SME borrowers increased to 17,730, up from 15,537 in 2024, indicating wider outreach and improved access to finance for small and medium enterprises.

Moderating Share in Total Credit:
SME loans constituted 28.12 percent of total bank credit, declining from 32.23 percent in 2023, consistent with the Bank's portfolio rebalancing toward retail and other diversified segments.

Interest Income Contribution:
SME loans contributed 29.55 percent to total interest income, marginally lower than the previous year, reflecting competitive pricing and prudent risk-based lending.

C. Retail Segment

Retail lending continues to strengthen income stability, support granular risk distribution, and align with the Bank's long-term growth and risk management objectives.

Indicator	2025	2024	2023
Retail Loan (NPR Billion)	110.02	90.14	81.42
Number of Retail Customers	48,673	46,144	42,022
Share of Retail Loans in Total Bank Credit	24.97%	23.07%	21.75%
Share of Retail Loans in Interest Income	26.39%	23.46%	—

Strong Portfolio Growth:
The retail loan portfolio expanded to NPR 110.02 billion in 2025, recording 22.0 percent year-on-year growth, reflecting sustained demand and a strategic focus on retail lending.

Growing Customer Base:
The number of retail loan customers increased to 48,673, demonstrating enhanced market penetration and improved access to retail credit products.

Rising Share in Total Credit:
Retail loans accounted for 24.97 percent of total bank credit, up from 21.75 percent in 2023, supporting portfolio diversification and reduced concentration risk.

Improved Income Contribution:
The contribution of retail loans to total interest income increased to 26.39 percent, indicating favorable yield characteristics and an improved portfolio mix.

Promoting Cleaner Mobility
During the year, the Bank facilitated the purchase of 812 electric vehicles (EVs) under its green financing initiatives, reflecting its commitment to cleaner mobility and sustainable consumer choices.

Green Home Initiative: Green Home Loans
During the year, the Bank supported the construction of 563 homes under its Green Home Loan program. This initiative demonstrates the Bank's commitment to environmentally responsible financing and sustainable living.

The expanding portfolio size, growing customer base, and increasing contribution to both total credit and interest income underscore the strengthening role of retail lending in the Bank's business model. Retail loans continue to enhance income stability and portfolio diversification. Going forward, sustained growth will depend on prudent underwriting standards, effective credit risk management, and a continued focus on customer experience and digital lending capabilities.

D. Deprived Sector Lending

Deprived sector lending in Nepal is a mandatory credit policy prescribed by Nepal Rastra Bank (NRB), requiring banks and financial institutions to allocate a specified portion of their total loan portfolio to low-income and marginalized individuals and communities. Such lending is predominantly routed through NRB-licensed microfinance institutions, ensuring wider outreach and effective implementation. The portfolio supports financial inclusion and livelihood enhancement while being managed within prudent risk management, compliance, and credit monitoring frameworks.

Indicator	2025	2024	2023
Deprived Sector Loan (NPR Billion)	16.21	14.19	14.40
Share of Deprived Sector Loans in Total Bank Credit	3.68%	3.63%	3.85%
Share of Deprived Sector Loans in Interest Income	2.81%	3.19%	—

Portfolio Growth:
The deprived sector loan portfolio increased to NPR 16.21 billion in 2025, up from NPR 14.19 billion in 2024, reflecting the Bank's continued commitment to inclusive and priority-sector lending.

Stable Share in Total Credit:
Deprived sector loans accounted for 3.68 percent of total bank credit, remaining broadly stable over the past three years and in line with regulatory requirements.

Interest Income Contribution:
The segment contributed 2.81 percent to total interest income, marginally lower than the previous year, reflecting concessional pricing and regulatory-driven lending.

SOURCES OF FUNDS

During the year, the Bank recorded strong and broad-based growth in its deposit franchise, reflecting sustained depositor confidence, effective mobilization strategies, and a deliberate focus on improving funding quality. Total deposits increased by 13.90 percent to Rs. 575.05 billion, compared with Rs. 504.89 billion in the previous year.

Amount in NPR Billion

	Current Year	Previous Year	Growth
Institutional Customers	**197.50**	**169.73**	**16.37%**
– Term deposits	121.35	111.21	9.12%
– Call deposits	38.93	30.30	28.48%
– Current deposits	33.11	24.63	34.44%
– Other deposits	4.11	3.58	14.70%
Individual Customers	**377.55**	**335.16**	**12.65%**
– Term deposits	153.99	163.54	(5.84%)
– Savings deposits	217.18	167.25	29.86%
– Current deposits	6.26	4.27	46.49%
– Other deposits	0.12	0.10	14.05%
Total Deposits	**575.05**	**504.89**	**13.90%**
CASA Ratio	**44.61%**	**38.85%**	**14.84%**

Institutional Deposits

Within this segment, term deposits increased by 9.12 percent to Rs. 121.35 billion, reflecting selective longer-tenor placements amid evolving interest rate expectations. Call deposits rose sharply by 28.48 percent to Rs. 38.93 billion, indicating higher liquidity balances maintained by institutions. Current deposits also expanded significantly by 34.44 percent to Rs. 33.11 billion, strengthening the low-cost funding base, while other deposits increased by 14.70 percent to Rs. 4.11 billion.

Overall, the composition of institutional deposits demonstrates a strategic shift toward non-maturity and transactional balances, enhancing funding flexibility while supporting cost efficiency.

INDIVIDUAL DEPOSITS

Individual customer deposits, which continue to form the core and most stable component of the Bank's funding base, grew by 12.65 percent to Rs. 377.55 billion.

Growth was predominantly driven by savings deposits, which surged by 29.86 percent to Rs. 217.18 billion, underscoring improved customer engagement and successful retail banking initiatives. Current deposits recorded strong growth of 46.49 percent to Rs. 6.26 billion, albeit from a smaller base, contributing positively to the Bank's low-cost deposit mix. Other deposits increased by 14.05 percent to Rs. 0.12 billion.

Conversely, individual term deposits declined by 5.84 percent to Rs. 153.99 billion, reflecting depositor preference for liquidity and flexible products in a changing interest rate environment. This shift was more than offset by strong growth in savings and current accounts.

CASA Ratio and Deposit Quality

The Bank's focused emphasis on low-cost deposit mobilization resulted in a significant improvement in the CASA ratio, which increased to 44.61 percent from 38.85 percent in the previous year, representing growth of 14.84 percent. This improvement reflects a favorable shift in the deposit mix toward savings and current accounts across both institutional and individual segments.

TREASURY

The Bank's interest-bearing treasury investments continued to demonstrate strong and consistent growth during the review period, increasing from NPR 155.43 billion in 2024 to NPR 185.12 billion in 2025. Investments in government bonds also expanded steadily, rising from NPR 57.46 billion in 2024 to NPR 65.62 billion in 2025. The gradual build-up of government securities reflects the Bank's prudent asset allocation approach, ensuring capital preservation, regulatory compliance, and stable income generation. This growth underscores a disciplined treasury strategy focused on effective liquidity deployment and optimization of risk-adjusted returns in a challenging interest rate environment.

As a result, the contribution of interest income from investment securities to total interest income increased significantly, from 13.76 percent in 2024 to 15.65 percent in 2025. This improvement indicates enhanced income diversification and reduced concentration risk from loan-based interest income, thereby strengthening the resilience of the Bank's earnings profile.

On the non-interest income front, the contribution of foreign exchange (FX) income to total non-interest income increased from 12.80 percent in 2024 to 16.68 percent in 2025. This improvement reflects strengthened treasury operations, higher transaction volumes, and effective management of foreign currency exposures amid a dynamic external environment.

Overall, performance in this segment underscores the Bank's robust treasury management capabilities, the growing contribution of investment securities to core income, and a well-diversified non-interest income base, supporting sustainable profitability and financial stability over the medium term.

Treasury Business Indicators

Indicator	2025	2024	2023
Interest-Bearing Treasury Investments (NPR Billion)	185.12	155.43	100.43
Investment in Government Bonds (NPR Billion)	65.62	57.46	46.94
Share of Interest Income from Investment Securities	15.65%	13.76%	9.39%
Share of FX Income in Total Non-Interest Income	16.68%	12.80%	14.32%

REMITTANCE

The Bank's remittance business continued to demonstrate steady operational growth in FY 2025, supported by an expanded partner network, strong infrastructure, and its established position as Nepal's leading remittance-handling bank. Global IME Bank remains the number one remittance-handling bank in the country, reflecting its extensive global reach, trusted partnerships, and long-standing customer confidence.

Total remittance transactions increased from 2.55 million in FY 2024 to 2.63 million in FY 2025, underscoring sustained inflows through formal banking channels. The Bank's leadership position is further reinforced by the expansion in active remittance partners, which increased from 32 in FY 2024 to 42 in FY 2025, enabling broader geographic coverage across major migrant destinations.

Total remittance volume in US dollar terms recorded a marginal increase from USD 0.91 million in FY 2024 to USD 0.93 million in FY 2025. In addition to transaction growth, deposits mobilized through the Remittance Unit increased substantially from NPR 32.99 billion to NPR 41.53 billion, highlighting the Bank's ability to effectively channel remittance inflows into stable, low-cost deposits and strengthen its funding base.

On the income side, remittance commission income amounted to NPR 0.25 billion in FY 2025, compared with NPR 0.28 billion in FY 2024. This decline was partially offset by a reduction in commission expenses from NPR 0.14 billion to NPR 0.13 billion, resulting in a relatively stable net commission contribution. The Bank's focus on efficiency, digital remittance solutions, and competitive pricing continues to support sustainable margins in a highly competitive market.

Overall, Global IME Bank's continued market leadership as Nepal's leading remittance-handling bank, combined with expanding partnerships, strong deposit mobilization, and disciplined cost management, reinforces the strategic importance of the remittance business in driving transaction volumes, liquidity, and long-term customer relationships.

Remittance Business Indicators

Indicator	2025	2024
Total Remittance Transactions	2,632,844	2,549,132
Total Active Remittance Partners	42	32
Total USD Volume (USD Million)	0.93	0.91
Deposits Mobilized through Remittance Unit (NPR Billion)	41.53	32.99
Remittance Commission Income (NPR Billion)	0.25	0.28
Remittance Commission Expenses (NPR Billion)	0.13	0.14

TRANSACTION BANKING

During the year, the Bank recorded strong growth across its Transaction Banking (TB) product suite, supported by rising digital adoption, expanded payment infrastructure, and improved conversion of newly acquired customers into active transactional users.

Transaction Banking Product Metrics

TB Products	Current Year	Previous Year	Change
Debit Cards (Registered)	1,168,815	1,006,556	16.12%
Credit Cards (Registered)	26,638	18,677	42.62%
Mobile Banking Customers	2,574,803	2,229,972	15.46%
Internet Banking Customers	345,691	203,694	69.71%
QR Terminals	79,165	63,009	25.64%
POS Terminals	2,846	1,877	51.62%

At the product level, total registered debit cards increased by 16.12 percent to 1.17 million, while total registered credit cards grew by a robust 42.62 percent to 26,638, reflecting focused acquisition and usage-led campaigns. The Bank's digital customer base continued to expand, with mobile banking customers increasing by 15.46 percent to 2.57 million and internet banking customers rising sharply by 69.71 percent to 345,691, underscoring accelerated migration toward digital and self-service channels.

On the payments side, QR-based acceptance expanded by 25.64 percent to 79,165, and the POS network grew by 51.62 percent to 2,846, strengthening the Bank's merchant acquiring footprint nationwide.

These gains were complemented by improved customer conversion outcomes across provinces, particularly in digital onboarding. In FY 2025, overall debit card conversion among new customers stood at 39 percent, compared with 44 percent in FY 2024, reflecting a more selective acquisition mix and greater emphasis on digital-first engagement. In contrast, mobile banking conversion improved to 73 percent from 71 percent, highlighting growing customer preference for app-based banking at the point of onboarding.

New Customer Conversion by Province

Province	Debit Card FY25	Mobile Banking FY25	Debit Card FY24	Mobile Banking FY24
Bagmati	34%	78%	40%	75%
Gandaki	42%	68%	48%	68%
Karnali	35%	68%	29%	47%
Koshi	52%	78%	58%	78%
Lumbini	43%	72%	47%	69%
Madhesh	39%	66%	38%	62%
Sudur Paschim	37%	61%	44%	66%
Total	**39%**	**73%**	**44%**	**71%**

Province-wise, Koshi Province continued to demonstrate the highest digital penetration, with 52 percent debit card conversion and 78 percent mobile banking conversion, while maintaining stable year-on-year mobile adoption. Bagmati Province recorded 78 percent mobile banking conversion, while Lumbini and Gandaki Provinces maintained strong mobile conversion levels of 72 percent and 68 percent, respectively.

Notably, Karnali Province showed significant improvement in mobile banking conversion, increasing to 68 percent from 47 percent, reflecting the impact of targeted financial inclusion and digital literacy initiatives. Although Sudur Paschim Province recorded a moderation in both debit card and mobile banking conversion, adoption levels remained consistent with regional market dynamics.

PRIORITY SECTOR LENDING & REGULATORY PERFORMANCE

During the reporting year, the Bank's total priority sector lending increased significantly to NPR 124.96 billion from NPR 102.57 billion in the previous year, reflecting a strong commitment to supporting national priority sectors in line with Nepal Rastra Bank (NRB) guidelines.

Agriculture Lending

Agriculture lending stood at NPR 52.27 billion, accounting for 12.14% of total lending—marginally above the NRB regulatory requirement of 12.00%. This reflects sustained compliance despite the higher regulatory threshold compared to the previous year (11.00%), demonstrating the Bank's continued focus on financing agriculture and allied activities.

In the prior year, agriculture lending amounted to NPR 47.08 billion (12.20%), indicating stable proportional contribution alongside healthy growth in absolute terms.

Hydropower/Energy Lending

Loans to the hydropower and energy sector totaled NPR 25.93 billion, representing 6.02% of total lending, which remains below the NRB's stipulated requirement of 7.00%. Although the Bank recorded growth in absolute terms from NPR 24.50 billion in the previous year, the sector's relative share declined against the higher regulatory benchmark (increased from 6.50%).

This shortfall underscores the need for accelerated deployment in energy projects, particularly in large-scale and commercially viable hydropower initiatives.

Small and Medium Industries (SMIs) Lending

Lending to Small and Medium Industries (as defined under Nepal Rastra Bank Unified Directives No. 17) increased markedly to NPR 46.76 billion, accounting for 10.86% of total lending, compared to NPR 30.98 billion (8.03%) in the previous year.

Despite this strong growth, the Bank remains below the enhanced NRB requirement of 12.00%, reflecting both rising regulatory expectations and the Bank's ongoing efforts to expand credit access to SMEs amid a challenging operating environment.

Loans	Current Year Amount (NPR Billion)	% of Total Lending	Regulatory Requirement	Previous Year Amount (NPR Billion)	% of Total Lending	Regulatory Requirement
Agriculture	52.27	12.14%	12.00%	47.08	12.20%	11.00%
Hydropower/Energy	25.93	6.02%	7.00%	24.50	6.35%	6.50%
Small and Medium Industries	46.76	10.86%	12.00%	30.98	8.03%	11.00%
Total	**124.96**			**102.57**		

IMPLEMENTATION OF THE EXPECTED CREDIT LOSS (ECL) FRAMEWORK

In line with regulatory directives issued by Nepal Rastra Bank (NRB), all Banks and Financial Institutions (BFIs) in Nepal implemented the Expected Credit Loss (ECL) impairment framework effective from FY 2024/25.

The Bank, following regulatory backstop as mentioned in Clause 16 of "NFRS 9- Expected Credit Loss Related Guidelines, 2024" has recognize impairment on credit exposures as the HIGHER of total ECL calculated as per NFRS 9 and existing regulatory provisions of Unified Directives issued by Nepal Rastra Bank.

The ECL model represents a forward-looking approach to credit risk provisioning, requiring the recognition of expected losses based on changes in credit risk since initial recognition, rather than on an incurred-loss basis.

Under this framework, financial assets are classified into three stages based on credit risk assessment:

- **Stage 1:** Performing assets with no significant increase in credit risk (12-month ECL)
- **Stage 2:** Assets with a significant increase in credit risk (lifetime ECL)
- **Stage 3:** Credit-impaired assets (lifetime ECL, with interest income recognised on a net basis)

Credit Exposure Profile by Stage

(NPR in Billion)

	Gross Carrying Amount (by Stage)			
Category	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers	363.33	43.66	41.45	448.43
Loan commitments	52.67	1.51	–	54.18
Bank guarantees	52.48	–	–	52.48
Letters of credit and others	26.38	–	–	26.38
Total	**494.86**	**45.17**	**41.45**	**581.47**

As at the reporting date, the Bank's total gross credit exposure, including both on-balance sheet and off-balance sheet items, amounted to NPR 581.47 billion. of this:

- **Stage 1:** Exposures accounted for NPR 494.86 billion, representing the majority of the portfolio and reflecting a predominantly performing asset base.
- **Stage 2:** Exposures stood at NPR 45.17 billion, comprising accounts that have experienced a significant increase in credit risk but are not credit-impaired.
- **Stage 3:** Exposures amounted to NPR 41.45 billion, representing credit-impaired assets.

Loans and advances to customers constituted the largest component of total exposure, with a gross carrying amount of NPR 448.43 billion. Of this portfolio, 81.03% remained in Stage 1, 9.74% in Stage 2, and 9.24% in Stage 3.

Off-balance sheet exposures, including loan commitments, bank guarantees, and letters of credit, were largely concentrated in Stage 1, reflecting their relatively lower credit risk profile.

Expected Credit Loss Provisioning

(NPR in Billion)

	Expected Credit Loss (by Stage)			
Category	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers	2.02	5.32	11.53	18.86
Loan commitments	1.65	0.14	–	1.79
Bank guarantees	0.00	–	–	0.00
Letters of credit and others	0.10	–	–	0.10
Total	**3.77**	**5.46**	**11.53**	**20.75**

Total Expected Credit Loss (ECL) allowance recognised under the framework amounted to NPR 20.75 billion as at the reporting date.

- **Stage 1 :** ECL stood at NPR 3.77 billion, representing 12-month expected losses on performing assets.
- **Stage 2 :** ECL amounted to NPR 5.46 billion, reflecting lifetime expected losses on assets with increased credit risk.
- **Stage 3 :** ECL totalled NPR 11.53 billion, accounting for the largest share of total ECL due to higher probability of default and loss-given-default assumptions.

ECL on loans and advances to customers amounted to NPR 18.86 billion, while off-balance sheet exposures accounted for NPR 1.89 billion, primarily relating to loan commitments. ECL on bank guarantees and letters of credit remained minimal, consistent with their underlying risk characteristics.

Impact and Risk Management Perspective
The implementation of the ECL framework has resulted in the earlier recognition of credit losses, enhanced sensitivity to macroeconomic conditions, and stronger alignment between credit risk management and financial reporting.

The higher concentration of ECL in Stage 3 exposures reflects prudent provisioning against impaired assets, while the strong predominance of Stage 1 exposures underscores the underlying quality and resilience of the Bank's credit portfolio.

Overall, the adoption of the ECL framework represents a significant strengthening of credit risk governance, transparency, and regulatory compliance in line with NRB's evolving standards. It positions the Bank to maintain a more robust, disciplined, and forward-looking approach to risk management in the years ahead.

ASSET QUALITY REVIEW

Gross Loans (Classification)	Current Year	Previous Year	Change
Pass	380.59	346.74	33.86
Watch list	38.62	27.72	10.89
Non-Performing	21.41	16.31	5.10
Total	**440.62**	**390.77**	**49.86**

During FY 2024/25, the Bank's gross loan portfolio expanded by 12.76% to NPR 440.62 billion, reflecting continued credit growth despite a challenging macroeconomic environment characterised by pressure on borrower cash flows and selective sectoral stress.

The performing (Pass) loan portfolio increased by NPR 33.86 billion to NPR 380.59 billion, continuing to represent the dominant share of total loans and underscoring the underlying resilience of the Bank's credit book. However, Watchlist loans rose significantly by NPR 10.89 billion to NPR 38.62 billion, indicating emerging stress in certain borrower segments as well as the Bank's more cautious credit risk classification approach.

Non-Performing Loans (NPLs) increased to NPR 21.41 billion, resulting in an NPL ratio of 4.86%, compared to 4.17% in the previous year. While this increase reflects the impact of prevailing economic pressures, the overall level remains manageable and within the Bank's defined risk tolerance levels.

These asset quality trends should be viewed in the context of Nepal Rastra Bank (NRB) regulatory relaxations, including restructuring and rescheduling measures, which have helped contain sharper deterioration and provide temporary relief to viable borrowers. The rise in Watchlist loans suggests that a portion of credit stress may have been deferred, warranting continued close monitoring as regulatory support measures are gradually withdrawn.

Overall, the Bank's asset quality remains stable, albeit under cautious observation, supported by prudent underwriting standards, proactive credit monitoring, and strengthened recovery initiatives. This positions the Bank to effectively manage potential asset quality pressures in the periods ahead.

DIGITAL TRANSFORMATION & COST EFFICIENCY GAINS

Global IME Bank continues to realise tangible operational and cost-efficiency gains through its digital transformation initiatives. By embedding automation, paperless workflows, and system-driven controls across core operations, the Bank has enhanced productivity, reduced reliance on manual processes, and improved service reliability and scalability.

Operational Automation and Productivity Improvements

During the year, the Bank successfully automated several high-volume and repetitive operational activities, resulting in significant time savings and improved resource utilisation. Key initiatives include:

- Reduction in turnaround time for daily account freezing activities: Manual processing, which previously required approximately 5–10 minutes per account, has been streamlined to under 30 seconds through automation.

- Automation of user creation in the Core Banking System: Previously, user creation followed a manual maker-checker process that took approximately two minutes per request and required the simultaneous availability of two staff members. This process has now been fully automated, with system bots completing the task in under one minute without human intervention. The automation ensures round-the-clock availability, eliminates delays associated with staff dependency, and maintains robust internal control standards.

- Enhancement of maker-checker workflows: Automation has addressed inherent limitations of manual maker-checker processes, which were restricted to standard working hours. System-driven processes now operate on both scheduled and on-demand cycles, enabling continuous processing, faster response times, and improved operational resilience.

These initiatives collectively reinforce the Bank's commitment to operational excellence, cost optimisation, and the strategic use of technology to deliver scalable and efficient banking services.

Paperless Operations and Sustainability Outcomes

As part of the Bank's broader digital transformation and sustainability initiatives, internal memo management has been transitioned to a fully digital platform, with physical documentation required only in exceptional circumstances. The Bank processes approximately 50,000 internal memos annually. This shift to paperless operations has eliminated the use of an estimated 250,000 sheets of paper per year, contributing to cost savings, reduced storage requirements, faster turnaround times, and enhanced traceability and auditability of internal communications. The initiative reflects the Bank's commitment to operational efficiency while advancing its environmental sustainability objectives.

Clearing Automation and Resource Optimisation

The Bank has implemented automated cheque clearing processes to manage an average of approximately 5,000 inward cheques per day. Automation has significantly reduced manual intervention, enhanced processing accuracy, and ensured strict adherence to clearing timelines prescribed by National Clearing House Limited (NCHL).

This initiative has strengthened operational reliability while optimising resource utilisation within back-office functions.

Digital KPIs and Cost Efficiency Impact

The Bank's digital transformation initiatives have delivered measurable improvements across key digital performance indicators, including reduced processing times, increased straight-through processing rates, enhanced system availability, and improved staff productivity. The migration from manual and paper-based processes to digital and automated workflows has contributed to lower operating costs, improved service consistency, and greater scalability. Collectively, these advancements reinforce the Bank's strategic focus on technology-driven efficiency and long-term operational sustainability.

Information Security Policy

Global IME Bank places the highest priority on data security, underpinned by a robust Information Security Policy approved by the Board of Directors. This policy forms the cornerstone of the Bank's framework for effectively managing and safeguarding organisational data.

The Bank maintains a comprehensive Information Security Policy framework designed to protect the confidentiality, integrity, and availability of information assets, in alignment with regulatory requirements and industry best practices. Key highlights of the framework include:

- All information and IT assets are formally identified, classified, and controlled based on their sensitivity and criticality.
- Physical, environmental, and logical access controls are implemented, including strong user authentication mechanisms, role-based access controls, and periodic access reviews.
- Systems are secured through standardised configuration management, system hardening practices, and robust network security controls.
- A structured vulnerability management programme is in place, encompassing regular vulnerability assessments, penetration testing, and timely patch management.
- Audit trails and system logs are maintained to support continuous monitoring, forensic investigation, and regulatory compliance.
- Data protection is ensured through encryption, secure backup and restoration processes, defined retention schedules, and secure data disposal practices.
- A formal incident response framework enables the timely detection, reporting, containment, and recovery from information security incidents.
- Acceptable use, internet usage, and clean desk policies promote organisation-wide security awareness and accountability.
- Regular information systems audits, control testing, and management reviews ensure the ongoing effectiveness and continuous enhancement of information security controls.

HUMAN CAPITAL DEVELOPMENT

	FY 2025			FY 2024		
Service Period	F	M	Total	F	M	Total
Less than 5 Years	364	476	840	316	407	723
5 to 10 Years	580	1072	1,652	668	1,171	1,839
11 to 15 Years	368	430	798	358	451	809
16 to 20 Years	197	269	466	160	213	373
More than 20 Years	12	34	46	12	33	45
Grand Total	**1,521**	**2,281**	**3,802**	**1,514**	**2,275**	**3,789**

Stable Growth and Balanced Composition

Global IME Bank's workforce remained largely stable in FY 2025. The Bank concluded the year with 3,802 employees, compared to 3,789 in FY 2024. While the overall increase was modest, it reflects steady and well-managed workforce planning aligned with business requirements.

The gender composition remained consistent year-on-year. The male workforce accounted for 2,281 employees, while female employees numbered 1,521. Female representation stood at 40%, unchanged from the previous year, demonstrating a stable and balanced diversity profile despite the marginal increase in total staff strength.

Strong Mid-Tenure Base and Growing Talent Pipeline

Employees with five to ten years of service continued to form the backbone of the Bank's workforce, contributing to operational stability and institutional strength.

At the same time, FY 2025 recorded a stronger intake at the early-career level. Employees with less than five years of service increased to 840 from 723 in the previous year, reflecting a growing pipeline of new talent and a forward-looking approach to succession planning.

Retention at the mid-senior level remained broadly stable. Employees with 11 to 15 years of service stood at 798, compared to 809 in FY 2024. A notable increase was observed in the longer-tenure category, with employees serving 16 to 20 years rising to 466 from 373, indicating enhanced retention of experienced professionals and strengthening leadership continuity.

The number of employees with more than 20 years of service remained small but steady. The Bank recorded 46 such employees in FY 2025, compared to 45 in the previous year. Although limited in number, these long-serving professionals play a critical role in preserving institutional knowledge and ensuring organisational continuity.

Mid-Career Strength and Succession Continuity

The Bank's age profile reflects a predominantly young and mid-career workforce, supporting long-term sustainability while retaining sufficient senior depth. Employees aged 26 to 35 years continue to form the largest cohort, with 1,985 staff members, underscoring the Bank's strong reliance on prime working-age professionals.

The 36 to 45 age group increased to 1,336 from 1,283 in the previous year, indicating that employees are remaining with the Bank and progressively transitioning into senior and managerial roles. Collectively, employees aged 26 to 45 account for nearly 87% of the total workforce. This reflects a workforce with strong growth potential, supported by an increasingly experienced and stable middle management layer.

	FY 2025			FY 2024		
Age Group	F	M	Total	F	M	Total
18 - 20 Years	1		1	1	3	4
21 - 25 Years	59	71	130	46	57	103
26 - 35 Years	821	1164	1985	864	1,217	2,081
36 - 45 Years	529	807	1336	504	779	1,283
46 - 55 Years	106	220	326	93	200	293
56 - 60 Years	5	14	19	6	13	19
Above 60 Years		5	5		6	6
Grand Total	**1,521**	**2,281**	**3,802**	**1,514**	**2,275**	**3,789**

Diversity Profile

Female representation remained steady at 40% during the year, reflecting the Bank's continued commitment to gender diversity.

Bagmati Province recorded the strongest gender balance, with women accounting for 54% of staff. Units at the central level, along with Koshi, Gandaki, and Lumbini Provinces, also maintained relatively balanced gender representation.

Workforce Diversity by Province

	FY 2025			FY 2024		
Province	F	M	Diversity	F	M	Diversity
Executive Office	1	14	7%	1	15	6%
Bagmati	729	611	54%	723	610	54%
Gandaki	108	202	35%	110	206	35%
Karnali	28	87	24%	29	81	26%
Koshi	115	216	35%	111	225	33%
Lumbini	191	341	36%	194	343	36%
Madhesh	55	239	19%	53	236	18%
Sudurpashchim	47	174	21%	48	158	23%
Units	247	397	38%	245	401	38%
Grand Total	1521	2281	40%	1514	2275	40%
Grand Total	**1,521**	**2,281**	**3,802**	**1,514**	**2,275**	**3,789**

Onboarding and Talent Integration

Onboarding at Global IME Bank is designed to provide a positive and engaging start to each employee's professional journey. The process focuses on ensuring that new hires feel welcomed, supported, and confident from the outset.

All entry-level recruits participate in a mandatory three-day induction programme. The programme covers the Bank's values, products, operational processes, and compliance standards, alongside interactive sessions that promote engagement and collaboration. This structured approach enables new employees to integrate quickly and contribute productively at an early stage of their banking careers.

Turnover and Recruitment by Age Group

Age Group	Turnover	Recruitment
21 to 25	5	58
26 to 35	115	95
36 to 45	22	13
46 to 55	2	-
Grand Total	**144**	**166**

Remuneration and Benefits

As a leading bank in Nepal, Global IME Bank is committed to offering fair and competitive remuneration across all employee categories. Salaries are reviewed periodically to ensure alignment with industry standards and market benchmarks. As an equal opportunity employer, the Bank upholds pay equity across the organization. Male and female employees performing similar roles at comparable levels are remunerated equally.

Standard Benefits and Recognition Provided to all Employees

- Salary and allowances
- Festival allowances
- Staff bonus in accordance with the Bonus Act
- Career advancement opportunities
- Learning and development opportunities
- Staff loan facilities
- Medical coverage
- Mandatory annual refreshment leave
- Long-service recognition (upon completion of 15 years of service)

Value created for Global IME Bank Ltd.

Outcomes	2025	2024
Total Monetary Benefits paid to employees NPR In Million (other than retirement benefits)	4,202	4,168
Total Number of new recruits	166	311
Staff Attrition Rate	3.80%	4.54%
Total number of Promotions	640	1043
Total Female in Managerial Position	42	36
Incidents of Discrimination	**ZERO**	**ZERO**

Employee Development

During the year, the Bank continued to strengthen its human capital through a structured and multi-channel learning framework. A total of 7,284 employees participated in 416 training programs delivered through classroom, virtual, certification, and e-learning platforms. The training strategy emphasized both scale and effectiveness, with classroom sessions ensuring in-depth learning, while virtual and e-learning modes enabled wider outreach and flexibility.

Training Delivery in 2025	No. of Participant	No. of Program
Classroom Trainings	4,012	370
Virtual Trainings	1,590	10
Certification Programme	36	7
E- Learning*	1,646	29
Total	**7,284**	**416**

Focused certification programs were conducted to build specialized technical and regulatory competencies, supporting professional excellence across key functions. These initiatives reflect the Bank's commitment to enhancing employee capability, productivity, and leadership readiness, thereby supporting sustainable organizational growth and improved service delivery.

Synopsis of training programs are as below:

Training Focus in 2025	No. of Participant	No. of Program
Compliance	2092	58
Credit	723	51
Customer Service	186	13
ESRM & Green Financing	357	29
Leadership	195	32
Operation	1073	85
Risk Management	128	36
Soft Skills	130	16
Technology	636	64
General Banking	118	3
Grand Total	**5638**	**387**

The Bank also leveraged digital learning platforms to promote continuous, self-paced development aligned with evolving business needs where 1,646 participants participated in 29 different programs.

BUSINESS CONTINUITY AND DISASTER RECOVERY PLAN

A robust Business Continuity and Disaster Recovery (BC/DR) framework is essential to ensure that the Bank can sustain critical operations in the event of unforeseen disruptions. The framework identifies potential events that could impact normal operations and outlines structured contingency measures to maintain service continuity and enable timely recovery.

The Bank has implemented the following key measures under its recovery framework:

- **Data Backup:** Regular and secure data backups are maintained to prevent data loss and support swift restoration of systems and information in the event of disruption.
- **Incident Response and Recovery:** A well-defined incident response framework is in place to ensure the rapid detection, containment, and resolution of cybersecurity and operational incidents.
- **Disaster Recovery Sites:** Global IME Bank maintains a primary data centre and a geographically separate Disaster Recovery (DR) site to ensure continuity of critical banking operations during system outages or major disruptions.
- **Continuous Testing:** Periodic disaster recovery drills and simulation exercises are conducted to assess preparedness, validate recovery procedures, and ensure effective execution during actual incidents.
- **Employee Training:** Employees receive regular training to effectively manage incidents, minimise operational disruptions, and ensure a coordinated and timely response.

SERVICE EXCELLENCE

Guided by our aspiration to become the industry's leading digital financial institution, we remain committed to delivering a seamless banking experience that strengthens long-term relationships with our valued customers. Global IME Bank believes that strong and enduring relationships are built on a deep understanding of customers' needs and the consistent enhancement of the banking experience. By actively listening to customer feedback and responding with relevant and timely solutions, we continuously refine our services to exceed expectations. Through personalized offerings and innovative digital platforms, we foster trust, transparency, and convenience.

During 2025, the Bank handled a significantly higher volume of customer enquiries across multiple channels, demonstrating increased customer engagement and trust in our services. Enquiries related to card and digital products rose to 191,459, underscoring the growing adoption of digital banking platforms. Loan and deposit-related enquiries increased to 32,489, reflecting active customer participation in core banking products. Enquiries related to operational activities reached 264,880, indicating improved accessibility and greater utilization of banking services.

Customer Enquiries Received

Category	2025	2024
Card and Digital Products	191,459	155,554
Loans and Deposit Products	32,489	23,566
Operational Activities	264,880	65,250
Total	**488,828**	**244,370**

To manage the rising service demand, the Bank has strengthened its service infrastructure, streamlined processes, and leveraged digital tools to ensure timely resolution and consistent service quality. Continuous monitoring of enquiry trends and customer feedback enables the Bank to enhance service efficiency, improve turnaround times, and deliver a seamless banking experience across all customer touchpoints.

Addressing Customer Complaints

Global IME Bank is committed to ensuring that customer concerns and grievances are addressed promptly, transparently, and effectively. Customers may lodge complaints through the following channels:

Branch Channel

- Visit or contact the nearest branch
- Record concerns in the Customer Feedback Register available at all branches

Alternative Channel

- Customer Support Centre – Global Connect (toll-free number)
  - Sunday to Friday: 6:00 AM to 10:00 PM
  - Saturday and Public Holidays: 10:00 AM to 4:00 PM

Website

- Submit grievances online through: https://www.globalimebank.com/grievance/

Email

- globalconnect@gibl.com.np

Written Correspondence

- Any customer touchpoint or at the Corporate Office

EXTERNAL FACTORS AFFECTING PERFORMANCE

The banking sector continued to operate in a challenging macroeconomic environment marked by economic deceleration and subdued private sector activity. The prolonged slowdown adversely affected business performance and household income levels, placing pressure on borrowers' repayment capacity. This, in turn, impacted asset quality across the sector and constrained the pace of credit recycling, with broader implications for economic growth and investment. Key external factors that may affect the Bank's performance are outlined below:

1. Macroeconomic Conditions

Overall economic growth, inflation, employment levels, and sectoral performance remain significant external determinants of the Bank's performance. A prolonged economic slowdown directly affects credit demand, borrowers' repayment capacity, asset quality, and balance sheet growth, with consequential effects on profitability and capital adequacy.

2. Monetary Policy and Interest Rate Environment

Monetary policy measures and liquidity management actions of Nepal Rastra Bank materially influence lending rates, deposit pricing, net interest margins, and system liquidity. Evolving regulatory policies, prudential norms, provisioning requirements, and capital adequacy standards directly affect the Bank's risk appetite, compliance costs, and earnings profile. While these measures strengthen systemic stability, they may constrain short-term profitability.

3. Credit Risk Environment and Sectoral Performance

The performance of key sectors such as real estate, construction, trade, tourism, agriculture, and SMEs has a direct bearing on asset quality. Sector-specific stress may lead to higher levels of non-performing assets and increased provisioning requirements.

4. Fiscal Policy and Government Spending

Government budget priorities and the pace of capital expenditure execution influence investment activity and credit absorption in the economy. Delays in or shifts in fiscal policy may dampen lending opportunities and transaction volumes.

5. Political Stability and Policy Continuity

Changes in government and evolving policy priorities may create uncertainty, delay infrastructure and private sector projects, and affect investor confidence, thereby indirectly influencing credit demand and business growth.

6. Liquidity Conditions in the Financial System

System-wide liquidity—driven by remittance inflows, government cash balances, and monetary operations—affects the Bank's funding profile, credit growth capacity, and interest margins.

7. Technological and Digital Ecosystem

Rapid digitalization and rising cybersecurity risks require continuous investment in systems and controls. While such investments may increase operating costs in the short term, they enhance efficiency, resilience, and customer experience over the long term.

STRATEGIC DIRECTION AND TRANSFORMATION PLAN

The Bank is pursuing the following short-term strategic priorities to optimize performance and strengthen resilience amid evolving economic conditions:

1. Strengthen Asset Quality and Credit Monitoring

Intensify portfolio reviews, enhance early warning systems, and implement sector-specific monitoring to contain potential slippages arising from macroeconomic slowdown and sectoral stress.

2. Prudent and Selective Credit Deployment

Focus on low-risk, cash flow-based lending and priority sectors, while maintaining cautious exposure to stressed segments.

3. Active Liquidity and Interest Rate Management

Optimize asset-liability positioning to manage interest rate volatility, protect net interest margins, and ensure compliance with regulatory liquidity requirements.

4. Accelerate Recovery and Resolution Efforts

Strengthen non-performing asset (NPA) recovery, restructuring initiatives, and legal follow-up mechanisms to mitigate pressure on profitability and capital.

5. Cost Optimization and Efficiency Improvement
Rationalize operating expenses, leverage digital channels, and enhance process efficiency to offset margin compression and improve overall productivity.

6. Regulatory Compliance and Capital Conservation
Proactively align with new directives issued by Nepal Rastra Bank, strengthen provisioning buffers, and preserve capital adequacy in line with evolving regulatory requirements.

7. Risk Diversification
Reduce concentration risk by diversifying the loan portfolio across sectors, geographies, and borrower segments.

Long-Term Strategic Direction: GIBL Mission 2030
The Bank's long-term strategies are closely aligned with GIBL Mission 2030 to optimize performance and create sustainable value.

GIBL Mission 2030 represents Global IME Bank's five-year strategic roadmap for 2026–2030. Its strategic intent is articulated in the Mission 2030 statement: to become the first-choice bank for all, with a global footprint and a strong commitment to responsible banking, empowering stakeholders through service innovation and digital transformation. The key strategic pillars are summarized below:

1. Sustainable and Resilient Business Growth
Pursue balanced growth through the diversification of income streams, expansion of non-interest income, and the development of resilient customer segments.

2. Digital Transformation and Technology Investment
Invest in digital banking platforms, data analytics, and cybersecurity to enhance customer experience, improve operational efficiency, and strengthen risk management capabilities.

3. Strengthening Risk Governance and Credit Culture
Institutionalize advanced risk assessment models, sectoral risk frameworks, and stress-testing practices aligned with macroeconomic cycles.

4. Long-Term Liquidity and Funding Stability
Diversify funding sources, strengthen low-cost deposit mobilization, and deepen remittance-linked and transactional banking relationships.

5. Support to Priority Sectors and National Development
Align the lending strategy with national priorities, including agriculture, SMEs, infrastructure, renewable energy, and financial inclusion, to support sustainable economic growth.

6. Enhanced Resilience to Policy and Political Changes
Build strategic flexibility through scenario planning, stress testing, and adaptive business models to navigate policy uncertainty and external shocks. Maintain strong capital buffers and optimize the balance sheet structure to support growth opportunities while complying with evolving regulatory standards.

7. Climate and Disaster Risk Integration
Integrate environmental and climate-related risks into credit appraisal and portfolio management frameworks to promote responsible and sustainable banking practices.

FUTURE OUTLOOK AND PROSPECTS
The operating environment for Nepal's banking sector is expected to remain challenging in the near term, reflecting moderate economic growth, evolving monetary conditions, and heightened regulatory oversight. Macroeconomic uncertainties and sector-specific stress may continue to constrain credit expansion and exert pressure on asset quality. Nevertheless, stable remittance inflows, adequate liquidity conditions, and a gradual recovery in key sectors are expected to support overall financial system stability.

In this context, Global IME Bank will continue to prioritize balance sheet strength, prudent risk management, and strict regulatory compliance. In the short term, the Bank's focus will remain on selective lending, proactive management of non-performing assets, optimization of funding costs, and disciplined cost control to safeguard profitability.

Over the medium to long term, the Bank expects to benefit from economic normalization, improved fiscal execution, and renewed investment activity. Ongoing digital transformation initiatives, diversification of income streams, and strengthened risk governance frameworks are expected to enhance operational efficiency and institutional resilience. By aligning growth with national development priorities and maintaining strong capital and liquidity buffers, Global IME Bank is well positioned to deliver sustainable value to its stakeholders.

KEY INITIATIVES AND ACTIVITIES DURING THE YEAR
- **Launch of 5-in-1 Account Facility under the Business Process Management (BPM) Platform**
  Introduced a 5-in-1 account facility enabling customers opening a bank account and/or maintaining an account with GIBL to seamlessly access DEMAT, Mero Share, Centralized Application

Supported by Blocked Account (C-ASBA) for CRN, and Trade Management System (TMS) services. Customers can avail themselves of these services by visiting a branch or through the online portal, ensuring greater convenience and integration.

- **Launch of Global Junior App**
  Launched the Global Junior App, a dedicated digital platform designed for children aged 12–18 to promote financial literacy and responsible money management. The app features merchant QR payments, savings goals, task assignments, and a goal-based reward system, all under parental supervision. Linked to the parent's mobile banking application, it includes functionalities such as balance viewing, allowance requests, and task approvals, providing a safe and secure environment for young users.

- **Launch of the New Corporate Website**
  Launched a redesigned corporate website (www.globalimebank.com), to deliver an intuitive and seamless user experience, enabling customers to access information and services with ease. Key features include:
  - Modern and user-friendly design
  - AI-powered search functionality
  - Personalized recommendations
  - Enhanced financial calculators
  - Optimized product pages

- **Launch of Global Mahila Udhyami Karja**
  Introduced Global Mahila Udhyami Karja, a dedicated financing scheme aimed at empowering women entrepreneurs and strengthening their participation in Nepal's SME sector. This initiative reinforces the Bank's commitment to gender-inclusive banking by offering tailored financial solutions and strategic incentives to support women-led enterprises.

- **Upgrade of Corporate Internet Banking Solution – GLOBAL BIZNEX**
  Rolled out an upgraded version of GLOBAL BIZNEX, the Bank's Corporate Internet Banking Solution, designed to enable institutional customers to conduct banking transactions conveniently and securely from their offices or homes.

- **Implementation of Sustainability Initiatives**
  Initiated various sustainability measures aimed at reducing environmental impact and promoting responsible banking practices in daily operations. Key focus areas included:
  - Energy conservation and efficiency
  - Waste and water management practices
  - Procurement of sustainable products
  - Promotion of digital solutions
  - Green infrastructure and environmental initiatives
  - Awareness-building programs

- **Global IME AI/ML Hackathon**
  Successfully organized the Global IME AI/ML Hackathon, centered on Artificial Intelligence and Machine Learning, to foster innovation in banking services. The event engaged students, startups, developers, data scientists, and researchers nationwide. A total of 21 teams were invited to pitch their project ideas, reflecting strong participation from across the country.

- **Launch of Global Payment Gateway**
  Launched the Global Payment Gateway in collaboration with CyberSource, a leading global online payment platform. This service enables merchants to accept domestic and international online payments via Visa and MasterCard directly through their websites or mobile applications.

- **Launch of "Global Sky Club Card"**
  Introduced the Bank's first co-branded debit card, the Global Sky Club Card, in collaboration with Yeti Airlines. This Platinum Debit Card represents a strategic initiative to enhance customer loyalty and engagement for both Global IME Bank and Yeti Airlines, offering exclusive travel-related privileges, discounts, and rewards.

CONTRIBUTION TO THE NATIONAL EXCHEQUER AND THE ECONOMY

During the financial year, the Bank made a significant contribution to the national exchequer, reaffirming its role as a responsible corporate citizen and a key stakeholder in Nepal's economic development. The Bank contributed over NPR 4.750 billion in income tax and tax deducted at source (TDS) collected on behalf of customers and creditors to the Government of Nepal, thereby supporting public finance, infrastructure development, and social sector spending.

Beyond its direct fiscal contributions, the Bank's operations facilitated economic activity across priority sectors through credit intermediation, employment generation, and the promotion of financial inclusion, thereby strengthening the overall financial ecosystem. This contribution underscores the Bank's commitment to sustainable value creation for the state, the economy, and society at large, in alignment with national development priorities.

BANK PRODUCTS AND SERVICES

DEPOSIT PRODUCTS: THE FOUNDATION OF TRUST

The Bank has established itself as more than a traditional financial intermediary through customer-centric product design, sustained digital transformation, and a strong commitment to financial inclusion. It serves as a trusted partner throughout the financial lifecycle of its customers—from facilitating a child's first savings account to safeguarding the retirement security of senior citizens. As it looks to the future, the Bank is committed to the continuous enhancement of its deposit offerings, ensuring long-term reliability, accessibility, and innovation while supporting Nepal's evolving financial ecosystem.

MARKET PERFORMANCE AND PORTFOLIO COMPOSITION

As of mid-October 2025, the Bank's deposit portfolio reflects solid growth, resilience, and diversification. Total deposits in the banking industry stood at NPR 7,522.09 billion, with commercial banks accounting for NPR 6,759.25 billion. In this competitive environment, the Bank maintained total deposits of NPR 603.08 billion—approximately 9% of the industry's overall deposit base.

Key Performance Indicators

- Retail Deposit Base: Retail deposits make up approximately 65% of the Bank's total deposit portfolio. This strong retail orientation provides a stable and diversified funding base for the Bank, mitigating concentration risk and reducing exposure to large-scale institutional withdrawals.
- Savings Deposit Composition: Savings deposits account for over 38% of total deposits, exceeding the industry average. This reflects the Bank's effectiveness in positioning itself as a preferred institution for transactional and liquidity management needs.
- Nationwide Presence: The Bank has presence in all 77 districts of Nepal and serves a customer base exceeding 5 million. This reinforces the Bank's commitment to inclusive banking and nationwide financial access.

Portfolio Strategy and Outlook

The Bank's deposit portfolio strategy prioritizes inclusivity, sustainability, and customer engagement. It has implemented targeted programs to reactivate dormant accounts, while comprehensive digital integration across customer touch points continues to enhance service delivery, improve retention, and support long-term deposit growth.

SPECIALIZED AND TARGETED SAVINGS SOLUTIONS

The Bank recognizes that a one-size-fits-all approach is not sufficient for serving a diverse customer base. Accordingly, its savings portfolio is thoughtfully segmented to address the distinct life stages, financial behaviors, and socio-economic needs of its customers.

Inclusive Demographic Products

The Bank has developed specialized savings accounts tailored to key demographic segments of the society. Some of them include:

- Jestha Nagarik Bachat Khata: Designed for senior citizens, this account emphasizes convenience, accessibility, and dignity in banking services.
- Balbalika Bachat Khata: A dedicated savings product for children, this account encourages early financial literacy and fosters a culture of saving from a young age.
- Global Nari Bachat Khata: Designed to empower women and homemakers, this product features low entry barriers while providing full access to modern banking facilities and digital services.

STRENGTHENING THE GLOBAL CONNECTION

The Nepali diaspora plays a significant role in the national economy, particularly through remittance inflows. To support this segment, the Bank offers Remitter Accounts designed to facilitate easy inward remittances while providing competitive returns.

For the Non-Resident Nepali (NRN) community and foreign entities, the Global NRN FCY Savings Deposit offers a strong and efficient platform for foreign currency management. Together, these products contribute to strengthening Nepal's foreign currency reserves while ensuring that the diaspora remains digitally connected and financially engaged with the country.

TERM DEPOSITS: WEALTH CREATION AND FINANCIAL DISCIPLINE

In the Term Deposit (Fixed Deposit) segment, the Bank emphasizes sustainable wealth creation and disciplined financial planning. It encourages customers to move beyond basic savings toward structured, goal-oriented investment strategies.

The Bank's goal-based term deposit products, which are supported by digital top-up functionality, promote consistent and disciplined accumulation. Key features of these products include:

- Global Top-Up: A flexible fixed deposit product that allows customers to increase their investment conveniently through mobile banking.
- Global Meri Unilai: A differentiated term deposit product designed to support the economic empowerment of women.
- Global IME Remitter Term Deposit: A specialized product offering premium interest rates to migrant workers to ensure that income earned in foreign countries is optimized upon repatriation.

Through a range of recurring and flexible term deposit options, the Bank enables customers to balance their liquidity needs while benefiting from the higher yields associated with longer-term investments.

ADVANCING FINANCIAL INCLUSION THROUGH BRANCHLESS BANKING (BLB)

The Bank's commitment to its vision of being a "Bank for All" is most evident through its Branchless Banking (BLB) initiative. This delivery model serves as a key channel for extending formal financial services to underserved and remote communities where traditional branch infrastructure is considered not viable.

Impact and Scale

An estimated 800 branchless banking outlets are in operation across the country. The Bank operates 150 of them, representing 18.75% of the national network. This scale reflects the Bank's strong commitment to expanding access to safe, regulated savings products and reducing reliance on high-cost informal credit channels.

Technology at the Grassroots

Using biometric authentication and card-based technologies, the Bank's BLB agents provide secure and reliable "doorstep banking" services to its customers. These services include:

- Real-time account opening and balance inquiries
- Secure cash deposits and withdrawals
- Utility bill payments and access to microcredit facilities

By extending services to remote and underserved regions, the Bank goes beyond facilitating basic transactions. It actively promotes inclusive economic participation, enhances financial resilience, and protects vulnerable populations from predatory informal lending practices.

LOAN PRODUCTS: THE BANK'S INITIATIVES FOR ENTREPRENEURSHIP DEVELOPMENT

A. SME BANKING

Micro, Small, and Medium Enterprises (MSMEs) are the backbone of Nepali economy. They play a critical role in promoting inclusive and balanced economic growth, fostering entrepreneurship and innovation, enabling local value creation, and generating employment across both urban and rural areas. Despite their significance, access to finance remains a major constraint for these ventures. The SME Finance Forum estimated in 2018 that the financing gap for unserved MSMEs in Nepal stood at USD 3.6 billion, a finding corroborated by a contemporaneous study by the Asian Development Bank (ADB).

To address this challenge and promote inclusive economic growth, the Bank has adopted a focused SME strategy supported by localized engagement programs and ground-level activation initiatives aimed at nurturing entrepreneurship nationwide. As part of this strategy, the Bank has identified five priority SME segments aligned with the Government of Nepal's priority sectors. Each segment is supported through tailored lending and advisory solutions designed to address sector-specific requirements.

Priority SME Sectors:

1. Manufacturing
2. Agro-based and agro-processing
3. Handicraft and cottage industries
4. Tourism and hospitality
5. ICT and service-oriented enterprises

SME Products and Lending Solutions

The Bank offers a comprehensive suite of SME loan products designed to support businesses at various stages of growth.

a) Global Small Business Loan

This product is targeted at informal micro-entrepreneurs operating in proximity to the Bank's service outlets who aspire to expand their businesses. It supports business growth with loan facilities of up to NPR 1.5 million. As one of the flagship products, it reflects the Bank's commitment to its vision of becoming a "Bank for All."

b) Global Krishi Karja (GKK)

Global Krishi Karja is designed to support rural and semi-urban farmers with viable business plans and entrepreneurial intent but limited access to capital. It finances seasonal crops and allied agri-businesses, including livestock, fisheries, poultry, sericulture, and floriculture. The product serves both formal and informal agri-SMEs by offering credit of up to NPR 10 million.

Global Sana Kisan Karja (GSKK) – under GKK

Global Sana Kisan Karja focuses on integrating smallholder farmers into the formal banking system through affordable, small-ticket agricultural loans. The product primarily targets small-scale farmers, over 60% of whom are still excluded from institutional banking in Nepal. Under this scheme, the Bank offers loans of up to NPR 2 million with flexible, farmer-friendly features, including acceptance of land without road access as secondary collateral, disbursement schedules aligned with agricultural production cycles, and group guarantee mechanisms that eliminate the requirement for secondary collateral. Customized, commodity-specific loan schemes are also available.

Through this commodity-focused approach, the Bank is expanding its agricultural portfolio while contributing to the sustainable development of the country's agricultural sector.

c) Global Byawasaya Tewa Karja (Global Business Support Loan) Scheme

This scheme is designed to support MSMEs, particularly micro enterprises and informal and semi-formal businesses, through:

- Competitive interest rates
- Simplified processes for granular loans of up to NPR 20 million
- Faster turnaround time (TAT) and enhanced service delivery through delegated lending authority

d) Global Ma Udhyami Karja

Global Ma Udhyami Karja is designed to support women-led enterprises with a minimum of 50% female ownership. It prioritizes ventures that utilize local raw materials, create value, generate employment, and contribute to social development. The scheme also offers institutional support, including personalized advisory services, capacity-building programs, linkages to suppliers and marketplaces, and assistance with digital management tools such as bookkeeping systems.

e) Global Tech SME Loan

The Global Tech SME Loan supports Nepal-based IT and technology-enabled enterprises through a streamlined, innovation-focused lending framework. Key features of this product include minimal documentation requirements, smart credit scoring, and bundled banking solutions. Some of the features of this product include:

- Maximum loan amount: NPR 5 million
- Maximum working capital limit: NPR 3 million
- Lightweight, checklist-based scorecard methodology
- No mandatory requirement for additional real estate collateral

B. RETAIL BANKING

The Bank offers a comprehensive range of retail loan products, including home loans, education loans, loans against shares, auto loans, hire purchase loans, mortgage loans, and professional and personal loans. These products address diverse household and individual financing needs of customers while supporting broader economic development.

Home loans promote homeownership and stimulate growth in the construction and allied sectors. Education loans contribute to human capital development by enabling access to higher education domestically and internationally, while auto and hire purchase loans enhance mobility and support income-generating activities. Similarly, loans against shares provide liquidity for the Bank's customers without requiring the sale of underlying assets. Personal loans address short-term requirements such as medical expenses and emergency needs which helps strengthen household financial resilience.

Together, these retail lending products enhance living standards, advance financial inclusion, diversify the Bank's credit portfolio, and contribute to sustainable economic growth in Nepal.

To promote retail banking products, the Bank has put in place simplified customer onboarding processes and delegated approval authority for small-ticket loans to reduce turnaround time. Similarly, select products offer digital onboarding which significantly improves customer convenience and overall service experience.

Global Remit Karja

Global Remit Karja is a fully digital, collateral-free loan product designed for Nepalis currently employed out of the country. Recognizing that unexpected expenses and urgent financial needs may arise at any time, the product provides a secure and affordable source of credit to support families, facilitate investments in Nepal, and reduce reliance on high-cost informal borrowing.

By offering collateral-free financing, the Bank aims to encourage the use of formal remittance channels, enhance financial inclusion, and expand access to affordable credit. Applications for this loan product can be submitted through the Global Smart Plus mobile application. As the loan is entirely digital, no collateral or guarantor is required. Borrowers can prepay or settle the loan early without additional charges.

Global Education Loan

Global Education Loan is designed to support students pursuing higher education both within and outside the country. By facilitating access to quality education,

the product contributes to long-term human capital development and enables students to achieve their academic and professional aspirations globally.

Global Home Loan

The Bank's home loan solutions are structured to support homeownership and residential investment. Financing is available for the purchase of houses, bungalows, and apartments, as well as for home renovation and the acquisition of residential land. Flexible repayment structures allow customers to select housing finance solutions that best fit their individual needs.

Global Auto Loan

Global Auto Loan supports vehicle ownership with competitive interest rates, flexible tenures, and a streamlined approval process. The product caters to both new vehicle purchases and refinancing requirements, enabling customers to meet mobility and investment needs through affordable and structured financing options.

Global Share Loan

The Global Share Loan enables customers to leverage their equity investments to meet their funding requirements while retaining ownership of their shares. This facility provides liquidity for investment opportunities, business expansion, or personal financial needs without requiring asset liquidation.

C. GREEN AND SUSTAINABLE BANKING

Solar Energy Financing

Solar energy systems generate electricity by converting sunlight into power through photovoltaic (PV) cells. This clean energy process produces zero emissions and offers an environmentally responsible solution for both commercial users and large-scale energy projects. The Bank finances solar energy systems tailored to a range of applications, including rooftop installations and utility-scale solar power projects. Through these initiatives, the Bank supports the transition to renewable energy and contributes to the reduction of carbon emissions and long-term energy sustainability in Nepal.

Green Home Financing

Green homes are designed to minimize environmental impact through the efficient use of energy, water, and building materials. Such homes reduce pressure on natural resources and limit carbon emissions by incorporating eco-friendly practices, including rainwater harvesting, wastewater recycling, organic waste composting, and the integration of green spaces. They also promote energy efficiency through the use of renewable energy sources such as solar power, as well as natural lighting and ventilation systems. Green homes are more than just environmentally friendly buildings. They reflect a sustainable lifestyle rooted in resource efficiency and environmental stewardship. Through this loan product, the Bank promotes environmentally responsible housing by offering financing under defined eligibility criteria at competitive interest rates.

Electric Mobility

Electric vehicles (EVs) offer significant environmental and economic benefits, including zero tailpipe emissions, lower noise levels, reduced maintenance requirements, and lower operating costs compared to conventional internal combustion engine vehicles. EV adoption is accelerating globally, and Nepal is among the countries with a relatively high uptake of electric mobility solutions.

Urban centers such as Kathmandu are facing air quality challenges driven by vehicular emissions. Electric vehicles provide a cleaner alternative that can substantially reduce pollution and improve public health. As part of its commitment to sustainable development, the Bank has been supporting the adoption of electric vehicles through targeted financing solutions. By promoting electric mobility, the Bank aims to reduce carbon emissions, improve air quality, and contribute to a greener and more resilient economy in Nepal.

D. FINANCIAL SOLUTIONS FOR LARGE AND COMPLEX PROJECTS

a. Corporate Banking

The Bank provides comprehensive financial solutions to corporate and conglomerate clients. Financing requirements of this sector can be met through bilateral arrangements or structured through consortium and syndicated facilities, depending on the scale and complexity of the transaction. Over the years, the Bank's Corporate Credit Services Unit has successfully built and managed a diversified credit portfolio across sectors like agriculture, manufacturing, energy, construction, transportation, information technology, trading and tourism.

b. Project Financing

The Bank finances a wide range of infrastructure and industrial projects, including several greenfield initiatives. Some of the important sectors include hydropower, cement, steel, hospitality, and housing. Project appraisal is conducted by experienced relationship managers and credit specialists

who assess both financial viability and technical feasibility of projects. Under its infrastructure and project financing framework, the Bank offers a comprehensive suite of credit facilities—such as term loans, working capital facilities, letters of credit, and bridge financing—structured to align with project cash flows and business requirements.

Highlights of the Bank's Project Finance Portfolio:

- Hydropower and solar energy projects with a combined installed capacity of 1,425 MW
- The largest privately developed solar power project in Nepal generating 30 MW
- Large-scale cement industries with a total installed capacity of 17,750 tons per day (TPD) in clinkerization units and 18,500 TPD in grinding units
- Multi-specialty healthcare institutions providing world-class medical services with a combined capacity exceeding 1,000 beds
- Renowned multinational hotel chains present in over 100 countries
- Leading educational institutions affiliated with both national and international universities
- Large-scale agro projects and commercial farming ventures recognized as industry benchmarks

c. Trade Finance

Trade finance encompasses financial instruments and services that facilitate domestic and international trade. These include lending, issuance of letters of credit, factoring, export credit facilities, and trade-related insurance. Participants in trade finance typically include importers and exporters, banks and financial institutions, insurers, export credit agencies, and other specialized service providers. Through its trade finance offerings, the Bank supports the smooth flow of goods and services across borders while managing associated commercial and credit risks.

d. Term Loan Financing

Term loan facilities are extended to businesses primarily for the acquisition or creation of fixed assets. Disbursements may be made in a single tranche or in multiple tranches, depending on the nature and progress of the underlying transactions, within approved limits. Term loans generally have maturities exceeding one year and are repaid over the agreed tenor through equal or structured (balloon) installments, aligned with the borrower's projected cash flows. These facilities are typically secured, with the primary security being the assets financed, supplemented by additional collateral, where required, to mitigate credit risk.

e. Working Capital Finance

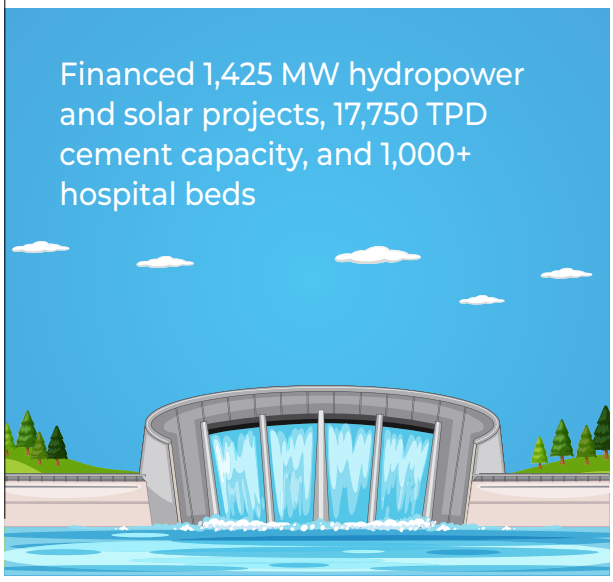
Working capital finance is provided to support the day-to-day operational requirements of businesses. Such facilities are generally extended against the borrower's net current assets and are intended to bridge short-term cash flow gaps arising from operating cycles.

Working capital loans are not designed for long-term asset acquisition or investment purposes. Businesses with cyclical or seasonal revenue patterns often rely on these facilities to manage periods of reduced cash inflows and maintain operational continuity.

f. Consortium Lending

In consortium lending arrangements, multiple banks and financial institutions jointly finance a single borrower under a unified framework. These arrangements involve common appraisal standards, shared documentation, coordinated supervision, and joint monitoring mechanisms.

A comprehensive agreement governs the consortium's participation, including pricing, fund utilization, monitoring requirements, repayment terms, and security structures. The borrower typically appoints a lead institution, referred to as the Lead Bank, to coordinate the syndication and manage ongoing consortium operations. Securities provided by the borrower are generally charged on a pari-passu (proportionate) basis in favor of all participating lenders on the basis of their respective exposure in the total credit facility.



DIGITAL PRODUCTS: ELEVATING DIGITAL BANKING EXPERIENCE

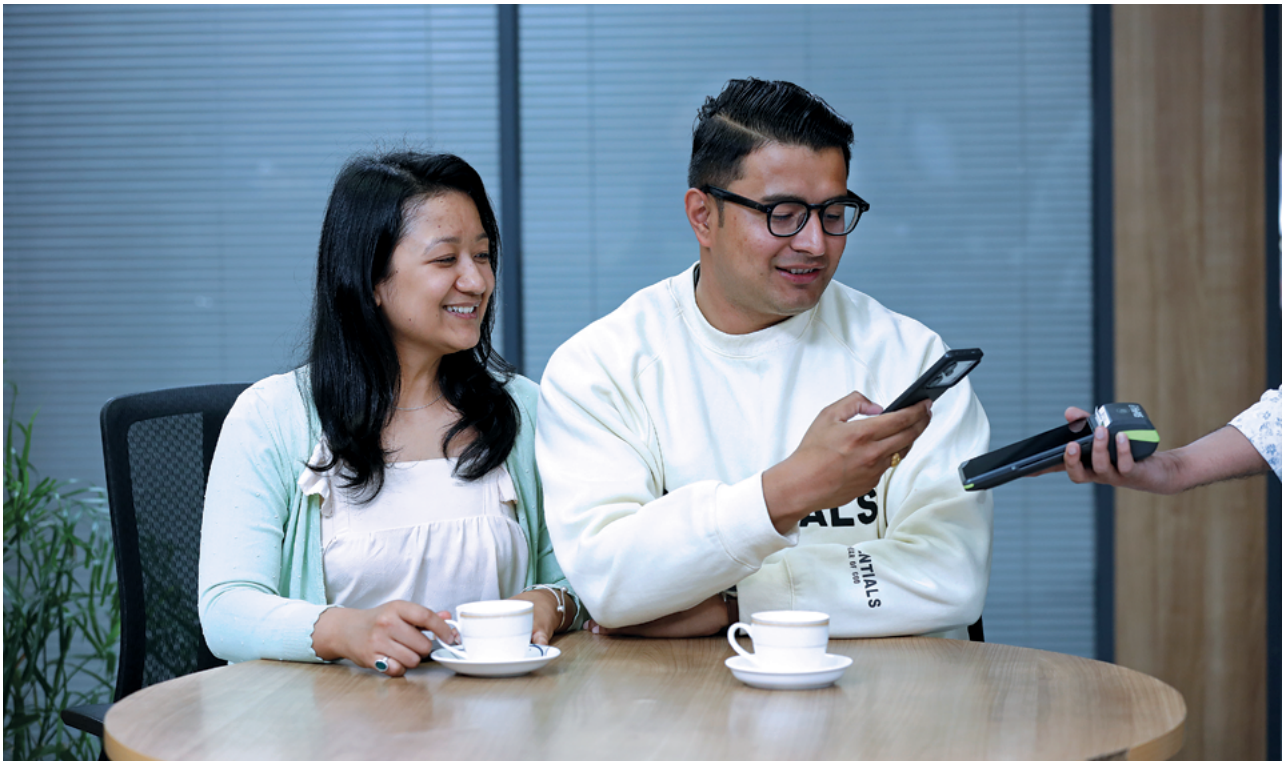
PAYMENT SOLUTIONS

- **Global Smart Plus:** Global Smart Plus provides a comprehensive suite of banking services through its internet and mobile banking platforms. Designed with a user-friendly interface, the platform enables customers to manage their banking needs efficiently via mobile devices or personal computers. Tailored to meet the demands of the digital age, it delivers fast, secure, and reliable banking solutions for both individual and business customers.

- **Point of Sale (POS) Devices:** The Bank's POS devices offer businesses a secure and reliable platform to accept payments. These terminals support major international card networks, including VISA, Mastercard, and UnionPay International (UPI), facilitating both domestic and cross-border transactions. All POS terminals of the Bank are enabled with Verified by VISA (VBV) technology which provides enhanced transaction security.

- **QR Code Payment Services:** The QR Code Payment service enables merchants to accept digital payments quickly and efficiently. Customers can make payments by scanning a QR code using their mobile banking applications or digital wallets. The service supports multiple payment channels, including Fonepay, mobile banking apps, digital wallets, and UnionPay International (UPI), and also facilitates cross-border transactions, supporting businesses engaged in international commerce.

- **Digital Account Opening and Video KYC:** The Bank offers a fully digital account opening facility through secure Video KYC which can be accessed via smartphones, tablets, or laptops. Customers can complete the onboarding process through an easy video interaction with Bank representatives. In addition to account opening, Video KYC enables customers to request supplementary services such as debit cards, mobile and internet banking, DEMAT accounts, and Meroshare registration. This service is available to customers residing both within and outside the country.



CARD PRODUCTS: EVERYDAY PAYMENT SOLUTIONS

- VISA International Gold Credit Card: A premium credit card designed for international transactions, enabling payments in USD and accepted globally, except in Nepal, India, and Bhutan.
- VISA Domestic Classic Credit Card: This credit card is designed to meet short-term credit and purchasing needs within Nepal, India, and Bhutan.
- Global Easy Buy Easy Pay (EBEP): A credit card–based installment facility that allows customers to purchase goods with minimal down payment and zero-interest EMIs. It supports financing for consumer goods such as electronics, mobile phones, and home appliances.
- Global Debit International Card: An internationally valid USD debit card designed to support overseas transactions and travel-related expenses. The card is pre-activated for international e-commerce and online transactions, offering secure and convenient global usage.
- Global Sky Club VISA Debit Card: Developed in partnership with Yeti Airlines, this travel-focused debit card offers exclusive benefits, including discounted airfares, Yeti Sky Club reward points, priority check-in, and additional baggage allowance on Yeti Airlines flights.
- Global IME VISA Debit Card: Chip-enabled debit cards that provide secure access to cash withdrawals and cashless payments through POS terminals and e-commerce platforms by enhancing transaction security and customer convenience.
- Global E-COM Card: A USD-denominated VISA debit card designed for international e-commerce transactions, with an annual transaction limit of USD 500. The card facilitates secure payments for global services such as examination fees, subscriptions, and membership payments.

CARD INITIATIVES

E-COM CARD

Seamless Digital Journey via Global Smart Plus

Global IME Bank's E-com Card is designed for customers who prefer secure and convenient online payments. The entire customer journey—from request to usage—is fully digital through the Global Smart Plus Mobile Banking App.

Key Highlights

- End-to-end digital request and instant loading through Global Smart Plus
- Secure online payments for international and domestic e-commerce platforms
- No branch visit required
- Easy card management and balance control through mobile banking

The E-com Card empowers customers to shop, pay, and subscribe online with confidence and ease.

BIZNEX

Complete Digital Solutions for Institutions (Web-Based Platform)

BizNex is Global IME Bank's comprehensive web-based digital platform designed to meet the financial and non-financial needs of institutions and organizations.

Key Highlights

- Integrated financial services for payments and collections
- Non-financial digital solutions for operational efficiency
- Centralized dashboard for control and monitoring
- Secure, scalable, and institution-focused design

BizNex enables institutions to streamline operations, improve transparency, and adopt digital transformation with confidence.

GLOBAL SKY CLUB CARD

Platinum Debit Card Program in Collaboration with Yeti Airlines

The Global Sky Club Card is a premium Platinum Debit Card developed for frequent flyers and valued customers of Yeti Airlines. This card delivers exceptional value through exclusive travel-related benefits and everyday spending rewards.

Key Highlights

- 100% cashback on first Yeti Airlines ticket purchases (as per offer terms)
- Cashback on every ticket purchase (10%, Max 500.00)
- Loyalty benefits on non-cash transactions- POS/ e-com Transaction.
- Premium services and privileges linked with Yeti Airlines

The Global Sky Club Card transforms everyday spending into rewarding travel experiences.

INTERNATIONAL TRAVEL CARD

Instant International Travel Card within NRB Limits

The International Travel Card is an instantly issued international Travel Card designed to meet the needs of travelers, in line with Nepal Rastra Bank (NRB) guidelines.

Key Highlights

- Instant issuance within the prescribed NRB limit
- Worldwide acceptance at POS, ATM, and e-commerce platforms
- Pre-activated e-commerce functionality
- Safe and convenient alternative to carrying cash abroad

This card ensures a smooth, secure, and globally accepted payment experience for international travelers.

INTERNATIONAL CREDIT CARD

Premium USD- Credit Card

Global IME Bank's International Credit Card is a premium USD-based credit card tailored for frequent travelers and international spenders.

Key Highlights

- USD-denominated credit limit
- Accepted globally at POS, ATM, and e-commerce platforms
- Trusted and reliable payment instrument for international travel
- Enhanced convenience, security, and spending flexibility

The International Credit Card is a dependable financial companion for customers with global lifestyle and travel needs.

03

Corporate Governance

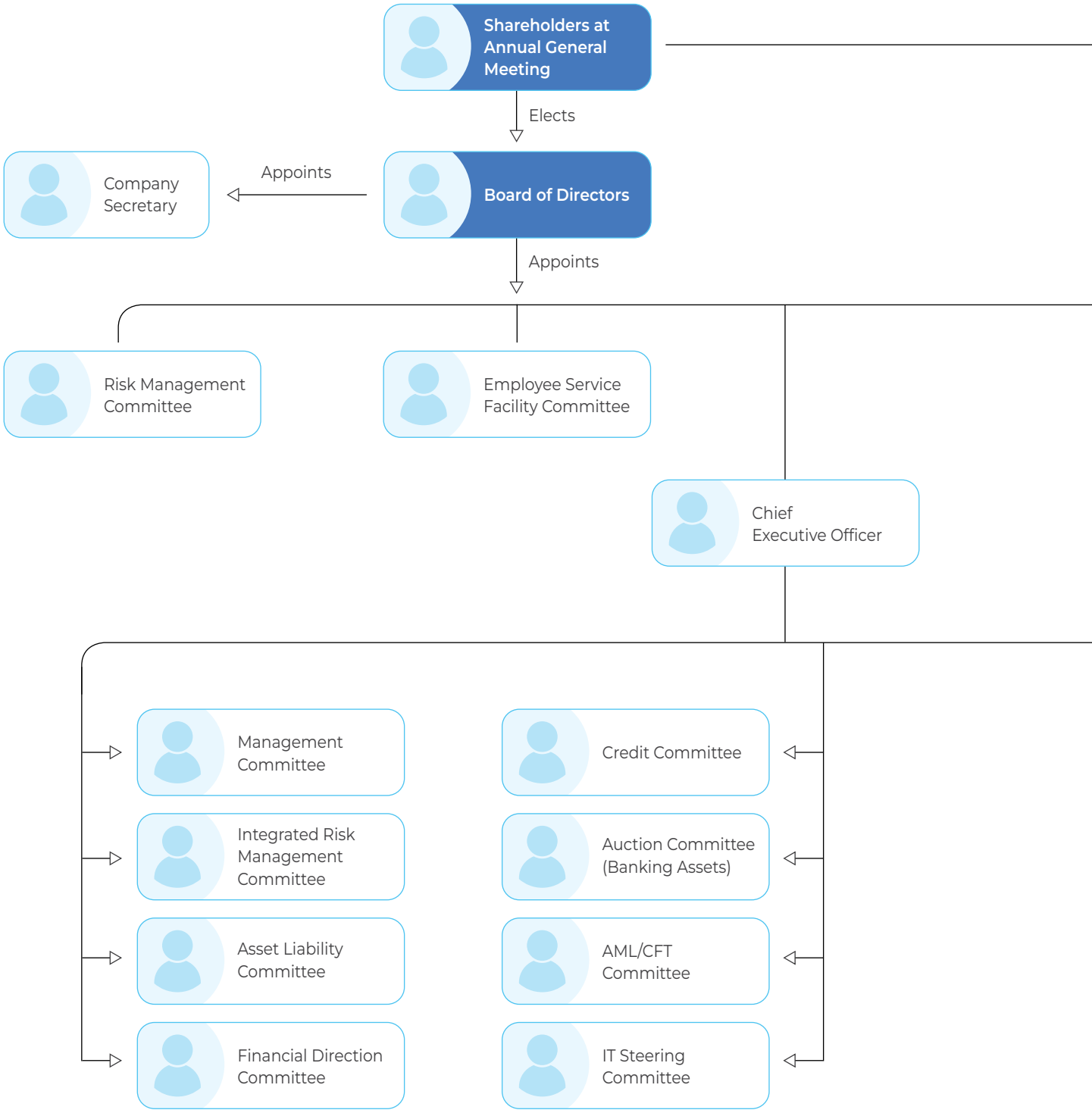
STATEMENT OF CORPORATE GOVERNANCE

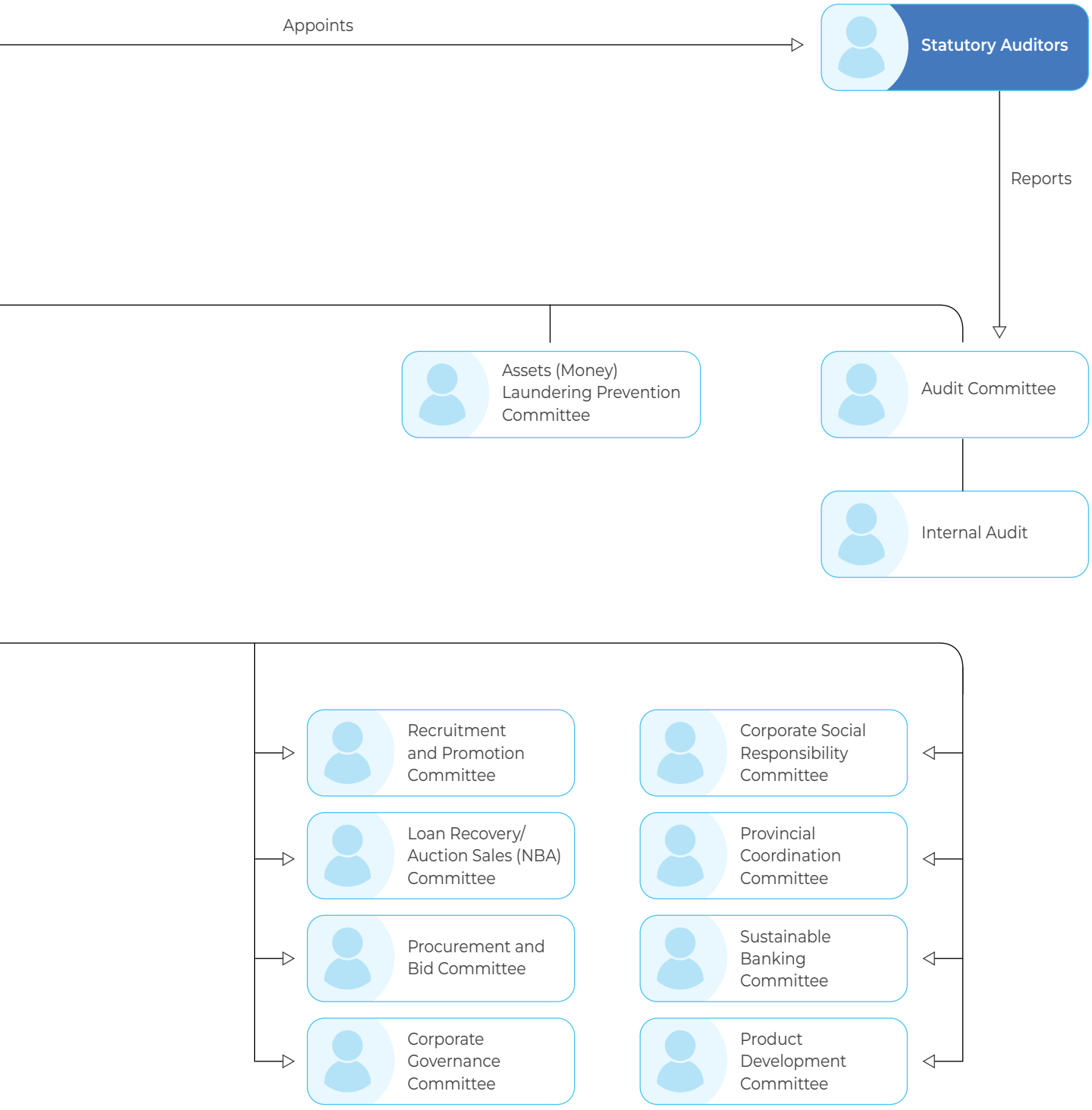
As a publicly listed company, the Bank discloses its corporate governance practices annually in its report. Its compliance status is duly certified by the Statutory Auditor in accordance with the Corporate Governance Directives, 2017 issued by the Securities Board of Nepal (SEBON).

This Statement of Corporate Governance outlines the principles and practices that govern the Bank's operations. The Bank is committed to maintaining the highest standards of corporate governance to promote transparency, accountability, and sustainable growth, while safeguarding the interests of shareholders, depositors, regulators, customers, employees, and other stakeholders.

The Board of Directors approves the Bank's governance policies and practices, and delegates appropriate authority to Board Committees and management to ensure effective oversight, operational integrity, ethical conduct, and regulatory compliance. The Board also promotes a strong culture of integrity and responsible decision-making across the organization.

GOVERNANCE STRUCTURE




Appoints
Statutory Auditors
Reports
Assets (Money) Laundering Prevention Committee
Audit Committee
Internal Audit
Recruitment and Promotion Committee
Loan Recovery/ Auction Sales (NBA) Committee
Procurement and Bid Committee
Corporate Governance Committee
Corporate Social Responsibility Committee
Provincial Coordination Committee
Sustainable Banking Committee
Product Development Committee

BOARD OF DIRECTORS

APPOINTMENT

Members of the Board of Directors are appointed by the shareholders through the Annual General Meeting, in accordance with the relevant provisions of the following:

- Companies Act, 2006
- Banks and Financial Institutions Act (BAFIA), 2017
- Articles of Association of the Bank

In addition, the Board may appoint a Director possessing specialized business expertise where such expertise is considered necessary for the effective functioning of the Board, in accordance with applicable laws and regulations.

COMPOSITION

In accordance with section 14 of the Banks and Financial Institutions Act, 2017, the Bank shall have a minimum of five (5) and a maximum of seven (7) Directors, including one (1) Independent Director.

As of the reporting date, the Board comprises six (6) Directors, of whom:

- Three (3) represent promoter shareholders; and
- Three (3) represent public shareholders.

CHANGES IN THE BOARD

Ms. Bhagirathi Bhattarai Gyawali, who was appointed as the Independent Director on 25 July 2024, resigned from the position on 12 March 2025.

ROLES AND RESPONSIBILITIES

The Board of Directors operates independently of the Bank's day-to-day management. It is responsible for policy formulation, governance, and oversight in support of the Bank's strategic objectives. The Board provides overall direction, supervision, and control, and holds ultimate accountability for strategy, governance, and performance.

The execution of approved strategies is delegated to the Senior Management Team, led by the Chief Executive Officer. A core responsibility of the Board is to monitor and evaluate the performance of senior management to ensure alignment with the Bank's strategic goals and risk appetite.

The Board is also responsible for establishing an effective human resource framework by approving appropriate Karmachari Sewa Biniyamawali (Employees Service, Terms and Conditions Bylaws), recruitment guidelines, and related policies to ensure a competent and professional workforce. In view of its fiduciary responsibility to mobilize public deposits, the Board exercises a high level of prudence and oversight in supervising the Bank's operations.

The Board approves key policies and ensures their consistent implementation across the Bank. It remains adequately informed about the Bank's financial position, operational performance, and management practices, and initiates corrective measures when required. Board Directors are expected to maintain a sound understanding of applicable laws, regulations, and regulatory directives, and to ensure continuous compliance.

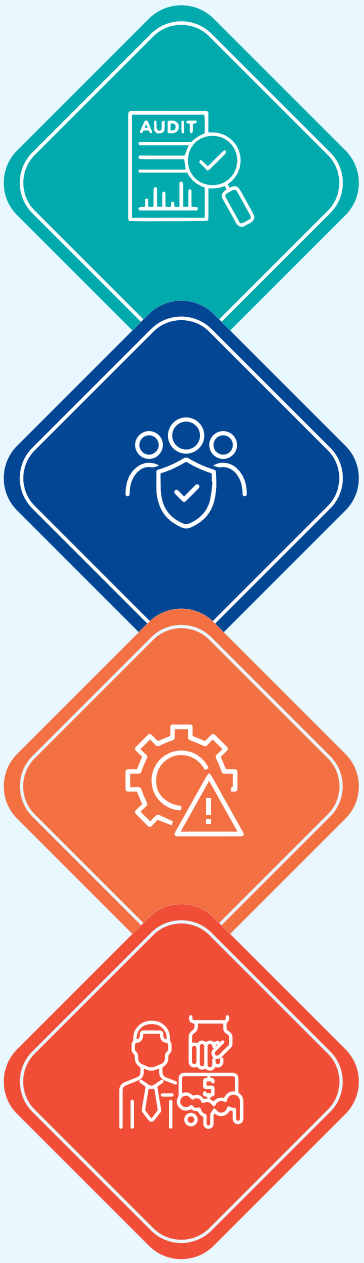
Key responsibilities of the Board include:

- Setting the Bank's strategic objectives and overseeing their implementation
- Ensuring compliance with laws and regulatory requirements
- Monitoring financial performance, internal controls, and risk management
- Establishing corporate policies, governance standards, and ethical practices

BOARD COMMITTEES

The Board establishes committees as required to support the effective discharge of its responsibilities. Each Committee operates under a formal Terms of Reference (ToR) approved by the Board. The ToR defines the committee's composition, mandate, roles, authority, and administrative procedures.

As of the reporting date, the following Board Committees are in place:



- Audit Committee
- Employee Service Facility Committee
- Risk Management Committee
- Anti-Money Laundering / Combating the Financing of Terrorism Committee

SKILLS, COMPETENCIES AND EXPERIENCE OF THE BOARD

Chandra Prasad Dhakal
Chairman

Bachelor's Degree in Management, Tribhuvan University

Founding Chairman of IME Group; President, Federation of Nepalese Chambers of Commerce and Industry

Radhesh Pant
Director

MBA, University of California, USA

Former CEO, Kumari Bank Ltd.; Former CEO, Bank of Kathmandu Ltd.

Ram Bahadur Bhandari
Director

Master's in Mathematics, Tribhuvan University

Former Board Member, Janata Bank Nepal Ltd. and Siddhartha Development Bank Ltd.; MD, Suryodaya Urja Pvt. Ltd.

Krishna Prasad Sharma
Director

MBA; Master of Arts in Sociology, Tribhuvan University

Former CEO, Rastriya Banijya Bank Ltd.; former Board Member, Nabil Bank Ltd., Employee Provident Fund, and Nepal Investment Bank Ltd.

Madan Lal Joshi
Director

Bachelor's Degree in Management, Tribhuvan University

Former Board Member, Lumbini Bank Ltd. and Bank of Kathmandu Ltd.

Narayan Prasad Poudel
Director

MBA, University of Lincolnshire & Humberside, UK; Master's in Economics, Tribhuvan University

Former Executive Director, Nepal Rastra Bank; former CEO, Prabhu Life Insurance Ltd.

Directors' Shareholding Status

(As of 16 July 2025)

Director	Position	No. of Shares	% of Total Shares
Chandra Prasad Dhakal (Representing IME Investment Pvt. Ltd.)	Chairman	9,554,159	2.51%
Radhesh Pant	Director	1,453,254	0.38%
Ram Bahadur Bhandari	Director	150,196	0.04%
Krishna Prasad Sharma	Director	2,832	0.00%
Madan Lal Joshi	Director	8,866	0.00%
Narayan Prasad Poudel (Representing D.D. Investment Pvt. Ltd.)	Director	5,403	0.00%
Total		**11,174,710**	**2.93%**

BOARD MEETINGS AND ATTENDANCE

The Board meets regularly atleast twelve (12) times a year, with no more than sixty (60) days between two meetings. Other meetings are convened when required.

The Company Secretary coordinates Board meetings and ensures that Directors receive complete information and detailed working papers for each agenda item well in advance for review and consideration. During meetings, the Chairperson allocates sufficient time for discussion and encourages open dialogue. Directors are free to question, deliberate and express their views to discharge their responsibilities effectively.

During the review period, fourteen (14) Board meetings were held. Attendance details of the Board meeting are presented below:

● Present ● Absent

Date	Meeting No.	Chandra Prasad Dhakal	Radhesh Pant	Ram Bahadur Bhandari	Krishna Prasad Sharma	Madan Lal Joshi	Narayan Prasad Poudel	Bhagirathi Bhattarai Gyawali
July 25 2024	443	●	●	●	●	●	●	–
August 16 2024	444	●	●	●	●	●	●	●
September 9 2024	445	●	●	●	●	●	●	●
October 7 2024	446	●	●	●	●	●	●	●
October 30 2024	447	●	●	●	●	●	●	●
November 26 2024	448	●	●	●	●	●	●	●
December 30 2024	449	●	●	●	●	●	●	●
January 26 2025	450	●	●	●	●	●	●	●
February 21 2025	451	●	●	●	●	●	●	●
March 19 2025	452	●	●	●	●	●	●	–
May 15 2025	453	●	●	●	●	●	●	–
May 19 2025	454	●	●	●	●	●	●	–
June 14 2025	455	●	●	●	●	●	●	–
July 12 2025	456	●	●	●	●	●	●	–

BOARD COMMITTEES AND TERMS OF REFERENCE

1. Board Audit Committee

The Board Audit Committee is chaired by a non-executive Director, with the Head of the Internal Audit Department serving as Member Secretary.

The Committee reviews the Bank's financial condition, internal control systems, audit programs, and audit findings. It holds detailed discussions on audit outcomes and provides necessary guidance to management.

Primary objectives

The Committee assists the Board in overseeing:

- The Integrity and reliability of financial statements and disclosures
- The adequacy and effectiveness of internal controls, internal audit, and risk management
- Compliance with laws, regulations, prudential guidelines, and internal policies
- The independence, performance, and effectiveness of internal and external audit functions

Key duties and responsibilities

The Committee performs the following duties in support of the Board:

- Reviews quarterly/annual financial statements before submission to the Board
- Supports accurate, complete, and fair financial reporting
- Reviews the adequacy of provisions, including loan classification and contingent liabilities
- Monitors accounts and budgets, and reports key observations to the Board
- Reviews the effectiveness of internal controls in day-to-day operations
- Oversees internal audit plans, procedures, and findings
- Reviews statutory auditor observations and tracks corrective actions
- Monitors implementation of audit recommendations and reports progress to the Board
- Recommends the appointment of statutory auditors as per applicable laws
- Reviews compliance with NRB directives and supervisory observations and ensures proper recording and reporting
- Performs additional duties under applicable laws, including BAFIA and the Companies Act

Committee members

- Mr. Krishna Prasad Sharma – Director (Coordinator)
- Mr. Ram Bahadur Bhandari – Director (Member)
- Mr. Madan Lal Joshi – Director (Member)**
- Mr. Bhawani Dhakal – Chief Internal Audit Officer (Member Secretary)

** Mr. Madan Lal Joshi vacated the Committee with effect from 28 April 2025.

MEETINGS HELD DURING THE YEAR

● Present ● Absent

Date of Meeting	Meeting No.	Mr. Krishna Prasad Sharma	Mr. Ram Bahadur Bhandari	Mr. Madan Lal Joshi
July 22, 2024	262	●	●	●
August 6, 2024	263	●	●	●
September 8, 2024	264	●	●	●
October 7, 2024	265	●	●	●
November 13, 2024	266	●	●	●
December 1, 2024	267	●	●	●
December 17, 2024	268	●	●	●
January 1, 2025	269	●	●	●
January 28, 2025	270	●	●	●
April 3, 2025	271	●	●	●
April 27, 2025	272	●	●	●
May 19, 2025	273	●	●	-
June 30, 2025	274	●	●	-

2. Board Employee Service and Facility Committee

The Committee is chaired by a non-executive Director. The Chief Executive Officer and Chief Financial Officer serve as members, and the Head of the Human Resource Department serves as the Member Secretary.

The Chief Executive Officer does not participate in meetings relating to his/her own service conditions and benefits.

Key responsibilities

- Supports Board in formulating and implementing the remuneration policy
- Reviews employee remuneration structures and market trends
- Recommends remuneration increments in compliance with regulations
- Develops and reviews job descriptions, performance targets, and evaluation criteria
- Reviews HR policies covering recruitment, appointment, transfer, promotion, career development, performance management, rewards, disciplinary actions, and labor relations
- Reviews organizational structure and recommends succession planning

Committee members

- Mr. Radhesh Pant – Director (Coordinator)
- Mr. Krishna Prasad Sharma – Director (Member)
- Mr. Surendra Raj Regmi – Chief Executive Officer (Member)
- Mr. Chandra Raj Sharma – Chief Financial Officer (Member)
- Mrs. Anamika Singh – Chief Human Resource Officer (Member Secretary)

Meetings held during the year

Date of Meeting	Mr. Radhesh Pant	Mr. Krishna Prasad Sharma
August 5, 2024	●	●
December 19, 2024	●	●
January 6, 2025	●	●
March 3, 2025	●	●

3. Board Risk Management Committee

The Committee is chaired by a non-executive Director. The Head of the Operations Department serves as a member, and the Chief Risk Officer serves as Member Secretary. The Coordinator of the Audit Committee serves as an ex-officio member.

The Committee operates in line with the Unified Directives of Nepal Rastra Bank, including provisions outlined under Chapter 6, Section 7(3).

Objectives and responsibilities

The Committee recommends risk management frameworks and processes to ensure effective mitigation of credit, liquidity, market, and operational risks. It also ensures that internal control, compliance, governance, and quality management systems align with directives of Nepal Rastra Bank and the Board. Other responsibilities include:

- Advises the Board on the adequacy and effectiveness of the Bank's risk identification and risk management framework, and submit recommendations to strengthen and continuously improve the overall risk management system.

- Updates the Board on the Bank's risk management processes and procedural guidelines, including the nature and level of risks inherent in its business operations, the Bank's risk appetite, and the risk management strategies adopted, and recommends enhancements as required.

- Reviews risk management reports across functional areas; deliberate on the assessment, measurement, monitoring, and control of key risk categories; and submits recommendations to the Board.

- Advises and supports the Board in monitoring the Bank's current and forward-looking risk strategy and risk appetite across all material risk types, ensuring alignment with the Bank's business strategy, objectives, corporate culture, and values, and recommends measures to ensure adequate capital is maintained at all times.

- Review and analyze the Bank's capital adequacy in relation to risk-weighted assets, the Internal Capital Adequacy Assessment Process (ICAAP), and the adequacy of existing capital policies in light of the Bank's strategy and risk tolerance, and submit recommendations to the Board.

- Recommends the development and ongoing maintenance of an appropriate risk management policy framework and organizational structure, in line with Nepal Rastra Bank circulars and guidelines; review internal exposure limits across markets and sectors; and recommend improvements to policies and procedures in line with prevailing best practices.

- Assists the Board in overseeing the effective implementation of the Bank's risk appetite framework and risk strategy, including the risk limits established by management.
- Provides recommendations to the Board on the appropriateness of any further delegation of credit approval authority.
- Reviews and assesses the effectiveness of strategies and policies intended to ensure the adequacy, composition, and allocation of internal capital and equity to cover the Bank's risk profile.
- Conducts a comprehensive review of potential scenarios, including stressed and extreme conditions, to evaluate the impact of internal and external events on the Bank's risk profile.

Committee members

- Mr. Madan Lal Joshi – Director (Coordinator)
- Mr. Krishna Prasad Sharma – Director (Member)
- Mr. Narayan Prasad Poudel – Director (Member)
- Mr. Anil Joshi – Chief Operating Officer (Member)
- Mr. Buddhi Akela – Chief Risk Officer (Member Secretary)

Meetings held during the year

Date of Meeting	Meeting No.	Mr. Madan Lal Joshi	Mr. Krishna Prasad Sharma	Mr. Narayan Prasad Poudel
July 24, 2024	89	●	●	●
August 14, 2024	90	●	●	●
October 06, 2024	91	●	●	●
November 13, 2024	92	●	●	●
December 16, 2024	93	●	●	●
February 02, 2025	94	●	●	●
March 24, 2025	95	●	●	●
May 08, 2025	96	●	●	●
June 16, 2025	97	●	●	●
July 04, 2025	98	●	●	●

4. Board AML/CFT Committee

The AML/CFT Committee is chaired by a non-executive Director. The Chief Compliance Officer and Chief Risk Officer serve as members, while the Money Laundering Reporting Officer is the Member Secretary.

The Committee assists the Board in overseeing the Bank's AML/CFT framework in line with applicable laws, regulations, directives, and international standards, including Financial Action Task Force (FATF) recommendations.

- Reviews compliance with the Anti-Money Laundering and Combating the Financing of Terrorism Act, 2006, the Anti-Money Laundering and Combating the Financing of Terrorism Rules, 2016, and the Bank's applicable directives (including Directive No. 19), and submit the related reports to the Board
- Evaluates the adequacy of the Bank's internal policies, procedures, and operational frameworks developed and implemented in line with the Act, the Rules, the Bank's directives, and the recommendations of the Financial Action Task Force (FATF), and recommend necessary improvements and implementation measures.
- Reviews the adequacy of the processes adopted to identify and prevent transactions related to money laundering and terrorist financing, including the effectiveness of the information technology systems supporting these processes, and recommend improvements to the Board.
- Assess customer identification arrangements and ensure effective formulation and implementation of Customer Identification and Customer Acceptance policies based on risk categorization, including provisions relating to Politically Exposed Persons (PEPs) and ultimate beneficial owners.

- Submits a quarterly report to the Board on the Bank's compliance status and implementation progress relating to the Act, Rules, directives issued by Nepal Rastra Bank, and the Bank's internal AML/CFT policies concerning transactions associated with money laundering and terrorist financing.

- Reviews reports and information received from management, and provide recommendations to the Board Committee as required, including:
  - AML/CFT risk management reports;
  - Reports on KYC verification, Customer Due Diligence (CDD), Politically Exposed Persons (PEPs), and Enhanced Customer Due Diligence (ECDD), including processes, relevant policies, and institutional corrective actions, as well as the use of technology to strengthen these areas; and
  - Reports assessing required policy and procedural improvements based on remarks and observations relating to money laundering and terrorist financing identified through internal audit, external audit, and inspections by Nepal Rastra Bank.

- Analyzes money laundering and terrorist financing risks arising from new products or services, procurement of IT systems, wire transfers, e-banking/mobile banking (including QR-based transactions), mobile wallet transactions, and other online and offline transactions, and provides detailed recommendations to strengthen policies and procedures for effective risk management.

- Monitors national and international developments, emerging challenges, and issues relating to money laundering and terrorist financing; assess their potential impact on the Bank/financial institution; and recommend appropriate policy measures to the Board.
- Oversees AML/CFT training and capacity-building programs for implementation officers, significant shareholders (holding ownership of 2% or more), Board Committee members, senior management, and employees who are directly or regularly involved in AML/CFT-related activities.
- Ensures that customer identification and AML/CFT compliance requirements are fully implemented and strictly adhered to, supported by periodic audits and checks to assess the effectiveness and efficiency of the system.
- Conducts periodic reviews of internal AML/CFT policies, guidelines, and control frameworks, and submit recommendations to the Board regarding their adequacy and required enhancements.
- Ensures that the AML/CFT system is operating effectively, risks are managed at an acceptable level, suspicious activities are appropriately monitored, and required reports are submitted to relevant authorities
- Review whether the required information and reports relating to the control of money laundering and terrorist financing have been submitted regularly to the Financial Intelligence Unit (FIU) and other relevant authorities through prescribed channels, and ensure compliance with Section 44 (a) of the Anti-Money Laundering Act, 2006.
- Ensure that AML/CFT activities are implemented under a risk-based approach, and that annual programs and budgets are prepared accordingly with approval of the Board Committee, supported by effective implementation, monitoring mechanisms, and regular supervision.

Committee members

- Mr. Narayan Prasad Poudel – Director (Coordinator)
- Mr. Ram Bahadur Bhandari – Director (Member)
- Mr. Buddhi Akela – Chief Risk Officer (Member)
- Mr. Yadav Sharma – Money Laundering Reporting Officer (Member Secretary)

MEETINGS HELD DURING THE YEAR

Date of Meeting	Meeting No.	Mr. Narayan Prasad Poudel	Mr. Ram Bahadur Bhandari
August 27, 2024	41	●	●
October 06, 2024	42	●	●
December 22, 2024	43	●	●
February 11, 2025	44	●	●
May 06, 2025	45	●	●
July 11, 2025	46	●	●

MANAGEMENT COMMITTEES

In addition to Board committees, the Bank has several management-level committees responsible for functional oversight and operational coordination. These committees strengthen execution, risk monitoring, and internal control by ensuring structured decision-making at the management level.

1. Management Committee

Position	Name	Designation
Chief Executive Officer	Mr. Surendra Raj Regmi	Coordinator
Deputy Chief Executive Officer	Mr. Suman Pokharel	Member
Assistant Chief Executive Officer	Mr. Bimal Daga	Member
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Member Secretary
Assistant Chief Executive Officer	Mr. Kalyan Bikram Pande	Member
Assistant Chief Executive Officer	Mr. Deep Chandra Regmi	Member
Deputy General Manager	Mr. Bhawani Dhakal	Member
Deputy General Manager	Mr. Buddhi Akela	Member
Deputy General Manager	Mr. Ranjan Kumar Thapa	Member
Deputy General Manager	Mr. Rupendra Wagle	Member

2. Asset Liability Committee

Position	Name	Designation
Chief Executive Officer	Mr. Surendra Raj Regmi	Coordinator
Deputy Chief Executive Officer	Mr. Suman Pokharel	Member
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Member
Assistant Chief Executive Officer	Mr. Deep Chandra Regmi	Member
Deputy General Manager	Mr. Buddhi Akela	Member
Deputy General Manager	Mr. Ranjan Kumar Thapa	Member
Assistant General Manager	Mr. Raja Aryal	Member
Deputy Manager	Mr. Shishir Shakya	Member
Manager	Mr. Anil Pyakurel	Member Secretary

3. Integrated Risk Management Committee

Position	Name	Designation
Chief Executive Officer	Mr. Surendra Raj Regmi	Coordinator
Deputy Chief Executive Officer	Mr. Suman Pokharel	Member
Assistant Chief Executive Officer	Mr. Bimal Daga	Member
Assistant Chief Executive Officer	Mr. Kalyan Bikram Pande	Member
Assistant Chief Executive Officer	Mr. Deep Chandra Regmi	Member
Deputy General Manager	Mr. Buddhi Akela	Member Secretary
Assistant General Manager	Mr. Anil Joshi	Member

4. Credit Committee

Position	Name	Designation
Chief Executive Officer	Mr. Surendra Raj Regmi	Coordinator
Deputy Chief Executive Officer	Mr. Suman Pokharel	Member
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Member Secretary
Assistant Chief Executive Officer	Mr. Deep Chandra Regmi	Member

5. Financial Direction Committee

Position	Name	Designation
Chief Executive Officer	Mr. Surendra Raj Regmi	Coordinator
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Member
Assistant Chief Executive Officer	Mr. Bimal Daga	Member
Assistant General Manager	Mr. Anil Joshi	Member
Chief Manager	Mr. Dhojae Saud	Member Secretary

6. Auction (Banking Assets) Committee

Position	Name	Designation
Chief Executive Officer	Mr. Surendra Raj Regmi	Coordinator
Deputy Chief Executive Officer	Mr. Suman Pokharel	Member
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Member
Assistant General Manager	Mr. Anil Joshi	Member
Chief Manager	Mr. Dhojae Saud	Member Secretary

7. AML/CFT Management Committee

Position	Name	Designation
Deputy Chief Executive Officer	Mr. Suman Pokharel	Coordinator
Assistant Chief Executive Officer	Mr. Bimal Daga	Member
Deputy General Manager	Mr. Buddhi Akela	Member
Assistant General Manager	Mr. Anil Joshi	Member
Assistant General Manager	Mr. Ritesh Lamichhane	Member
Chief Manager	Mr. Manindra Raj Joshi	Member
Senior Manager	Mr. Yadav Sharma	Member Secretary

8. Procurement and Bid Committee

Position	Name	Designation
Deputy Chief Executive Officer	Mr. Suman Pokharel	Coordinator
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Member
Deputy General Manager	Mr. Buddhi Akela	Member
Assistant General Manager	Mr. Anil Joshi	Member
Chief Manager	Mr. Dhojae Saud	Member Secretary

9. Corporate Governance Committee

Position	Name	Designation
Deputy Chief Executive Officer	Mr. Suman Pokharel	Coordinator
Assistant Chief Executive Officer	Mr. Bimal Daga	Member
Assistant Chief Executive Officer	Mr. Kalyan Bikram Pande	Member
Deputy General Manager	Mr. Bhawani Dhakal	Member
Deputy General Manager	Mr. Buddhi Akela	Member
Assistant General Manager	Mrs. Shanta Siwakoti	Member
Manager	Mr. Pralhad Nidhi Tiwari	Member Secretary

10. Recruitment and Promotion Committee

Position	Name	Designation
Deputy Chief Executive Officer	Mr. Suman Pokharel	Coordinator
Assistant Chief Executive Officer	Mr. Kalyan Bikram Pande	Member
Chief Human Resources Officer	Mrs. Anamika Singh	Member Secretary

11. Loan Recovery/Auction Committee

Position	Name	Designation
Deputy Chief Executive Officer	Mr. Suman Pokharel	Coordinator
Assistant Chief Executive Officer	Mr. Kalyan Bikram Pande	Member
Assistant Chief Executive Officer	Mr. Deep Chandra Regmi	Member
Senior Manager	Mr. Yogendra Rana	Member Secretary
Manager	Mr. Bhoj Raj Bhandari	Member

12. Corporate Social Responsibility Committee

Position	Name	Designation
Deputy Chief Executive Officer	Mr. Suman Pokharel	Coordinator
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Member
Assistant Manager	Mr. Yogesh Pokharel	Member Secretary

13. IT Steering Committee

Position	Name	Designation
Deputy Chief Executive Officer	Mr. Suman Pokharel	Coordinator
Assistant Chief Executive Officer	Mr. Bimal Daga	Member
Deputy General Manager	Mr. Buddhi Akela	Member
Assistant General Manager	Mr. Anil Joshi	Member
Assistant General Manager	Mr. Ritesh Lamichhane	Member
Chief Manager	Mr. Manindra Raj Joshi	Member
Assistant Manager	Mr. Shikhar Subedi	Member Secretary

14. Province Coordination Committee

Position	Name	Designation
Assistant Chief Executive Officer	Mr. Chandra Raj Sharma	Coordinator
Assistant General Manager	Mr. Sulav Hari Joshi	COP - Koshi Province
Assistant General Manager	Mr. Rupendra Wagle	COP - Bagmati Province
Assistant General Manager	Mr. Dilip Pokharel	COP - Lumbini Province
Chief Manager	Mr. Sushovan Devkota	COP - Gandaki Province
Senior Manager	Mr. Chitra Kumar Chalise	COP - Madhesh Province
Senior Manager	Mr. Mahesh Silwal	COP – Sudurpashchim Province
Senior Manager	Mr. Prabesh Pandey	Cluster Head - Bagmati Province
Manager	Mr. Nawaraj Dahal	COP - Karnali Province
Manager	Mr. Jog Lal Bhusal	Cluster Head - Lumbini Province

15. Product Development Committee

Position	Name	Designation
Assistant Chief Executive Officer	Mr. Deep Chandra Regmi	Coordinator
Assistant General Manager	Mr. Raja Aryal	Member
Assistant General Manager	Mr. Ritesh Lamichhane	Member
Assistant General Manager	Mrs. Shanta Siwakoti	Member
Senior Manager	Mr. Narahari Silwal	Member
Assistant Manager	Mr. Sulochan Wagle	Member Secretary

16. Sustainable Banking Committee

Position	Name	Designation
Assistant Chief Executive Officer	Mr. Deep Chandra Regmi	Coordinator
Senior Manager	Mr. Narahari Silwal	Member
Senior Manager	Mr. Ashim Karmacharya	Member
Deputy Manager	Mr. Shishir Shakya	Member
Deputy Manager	Mr. Rakesh Gyawali	Member Secretary

DISCLOSURE AND ETHICS

The Board of Directors of Global IME Bank Ltd. affirms that Global IME Bank Limited places corporate governance at the core of its leadership, oversight, and long-term value creation philosophy. The Board fully recognizes its fiduciary responsibility to safeguard depositor interests, protect shareholder value, and ensure the Bank's resilience and sustainability, in line with the Governance Principles.

For the financial year ended 16th July 2025, the Board confirms that the Bank has complied, in all material respects, with the requirements of the Banks and Financial Institutions Act (BAFIA), 2017, the Company Act, 2006, and the applicable provisions of the Nepal Rastra Bank (NRB) Unified Directives, including those governing Board effectiveness, risk governance, internal control, compliance, AML/CFT, and others.

The Board maintains a clear separation between its oversight role and executive management responsibilities, ensuring objective judgment and effective supervision as required under NRB Corporate Governance Directives. The Board provides strategic direction, approves key policies and the Bank's risk appetite, and closely monitors management performance and regulatory compliance.

To support effective governance, the Board has constituted the Audit Committee, Risk Management Committee, Employee Service Facility Committee and AML/CFT Committee, each operating under formally approved charters in accordance with NRB directives. These committees enable focused oversight of financial reporting integrity, risk management, internal controls, and leadership development.

The Board is satisfied that the Bank has in place a sound risk governance, internal control, and assurance framework, supported by independent Risk Management, Compliance, and Internal Audit functions, which provide reasonable assurance on the effectiveness of controls and adherence to regulatory requirements.

The Board also places strong emphasis on ethical conduct, transparency, and accountability, reinforced through the Bank's Code of Conduct and Whistleblower Mechanism, fostering a culture of integrity across the organization.

Based on the Board's oversight and assurance processes, Board confirm that the Bank's corporate governance framework operated effectively during the year under review. Any exceptions, where applicable, have been appropriately disclosed along with corrective actions. The Board remains committed to continuously strengthening governance practices in alignment with NRB regulations and evolving best practices.

OTHER MATTERS RELATING TO GOVERNANCE

Directors' Education Program

Following the appointment or nomination of a new Director, the Bank arranges a comprehensive orientation program within a month. The program covers, among other matters:

- Organizational structure and business scope
- Governance framework, strategic objectives, and business plan
- Roles, duties, and responsibilities of Directors
- Risk management framework and strategies
- Financial position and operating performance of the Bank
- Applicable laws, regulations, and regulatory directives
- Products, services, systems, and NRB circulars/ guidelines

The Bank also ensures that Directors participate in orientation or refresher training at least once each financial year to strengthen governance effectiveness and risk oversight. These programs focus on transparency and disclosure, conflict of interest, compliance, coordination with regulators, and international best practices.

Program	Date	Attendance
Directors' Orientation	17 - 18 May 2024	All Directors
Directors' Learning Program	6 August 2025	All Directors

WHISTLE BLOWING POLICY

PURPOSE

The Bank requires all officials to conduct themselves in an honest and responsible professional manner. The Whistle Blower Policy promotes ethical conduct, transparency, and accountability by providing a secure channel to report any actual or suspected misconduct, unethical practices, fraud, violations of applicable laws and regulations, or breaches of the Bank's Code of Conduct.

The Policy encourages responsible reporting while ensuring confidentiality and protecting whistleblowers against retaliation, victimization, or adverse action.

SCOPE

The Policy applies to Directors, employees, vendors, service providers, and other stakeholders with a legitimate relationship with the Bank. It covers disclosures relating to corruption, misuse of office, non-adherence to the Code of Conduct, criminal offences, internal control weaknesses, fraud, abuse of authority, non-compliance with Nepal Rastra Bank directives, and any other actions that may adversely affect the Bank's interest or reputation.

All disclosures are reviewed and investigated under the oversight of the Board Audit Committee in accordance with prescribed procedures.

REPORTING MECHANISM

Whistleblowers are encouraged to report violations promptly. Disclosures may be made anonymously. However, they should contain sufficient factual information to allow proper review and investigation. Reports lacking adequate detail may not be actionable.

Disclosures may be made through:

a. Immediate Supervisor or Head of Department
b. Any reliable staff member of the Bank
c. Grievance Handling Team
d. Human Resource Department
e. Chief Executive Officer (direct reporting)

ANTI-HARASSMENT POLICY

PURPOSE

The Bank is committed to maintaining a respectful and inclusive workplace. It promotes an environment characterized by mutual trust, free from intimidation, discrimination, oppression, or exploitation.

The policy aims to prevent, prohibit, and address all forms of harassment, including verbal, physical, psychological, or other conduct that creates an intimidating, hostile, or offensive workplace. It promotes ethical conduct, supports compliance with applicable laws and regulations, and provides a transparent mechanism for reporting and addressing complaints fairly and promptly.

SCOPE

The policy applies to all Directors, employees, trainees, contractual staff, consultants, and any individuals engaged by or representing the Bank. It covers harassment occurring at offices, branches, training programs, official meetings, work-related travel, and any work-related setting. It also extends to interactions with customers, vendors, service providers, and third parties where such conduct is connected to the Bank's operations.

ANTI-BRIBERY AND CORRUPTION POLICY

PURPOSE

The Bank is committed to conducting business ethically and in compliance with all applicable laws and regulations. This policy establishes the Bank's zero-tolerance stance against bribery and corruption, recognizing that such practices undermine public trust, damage institutional reputation, and weaken the integrity of financial systems. The purpose is to prevent, detect, and address any form of bribery or corruption within the Bank.

SCOPE

This policy applies to all Board Directors, permanent and temporary employees, and contractual staff, regardless of location. Management is responsible for ensuring that bribery prevention policies and procedures are communicated effectively through internal and external communication and training, proportionate to identified risks.

POLICY OBJECTIVES

The Policy aims to:

a. Establish principles for conducting business with integrity and the highest ethical standards
b. Provide guidance on behaviors that may violate anti-bribery and anti-corruption laws
c. Ensure proper and intended use of the Bank's resources
d. Promote a culture of honesty, openness, and accountability

BOARD OF DIRECTORS' REPORT FISCAL YEAR 2024/25

Esteemed Shareholders,

On behalf of the Board of Directors, I extend a cordial welcome to all respected shareholders present at the 19th Annual General Meeting of Global IME Bank Limited. The Bank will complete 19 years of commercial operations on January 2. I am pleased to state that, throughout this 19-year journey, the Bank has been able to move continuously forward toward its objectives because of the support, cooperation, trust, and goodwill we have received from you.

Before this distinguished meeting, we present before you, for approval, the Board of Directors' report, which includes the Board's Annual Report as well as the consolidated statement of the Bank's financial position (balance sheet) as of mid-July 2025; the profit and loss statement for FY 2025; the cash flow statement; the statement of changes in equity; and a summary of various business activities of the Bank. This Annual Report has been prepared and submitted in accordance with the Banks and Financial Institutions Act, 2017; the Companies Act, 2006; directives issued by Nepal Rastra Bank; prevailing laws; and the Securities Board of Nepal's Corporate Governance Directive for Listed Public Entities, 2017.

1. IMPACT OF NATIONAL AND INTERNATIONAL CONDITIONS ON BUSINESS TRANSACTIONS

(a) The Global Economy

According to the International Monetary Fund (IMF), the global economy continues to face pressure from tighter trade policies among major powers. These challenges come on top of lingering effects of the COVID-19 pandemic, the Russia–Ukraine war, and geopolitical tensions in the Middle East. As a result, the global economy, which expanded by 3.3 percent in 2024, is projected to grow by only 2.8 percent in 2025.

The IMF projects that advanced economies, which expanded by 1.8 percent in 2024, will expand by 1.4 percent in 2025. Emerging markets and developing economies are also expected to slow, with growth easing to 3.7 percent from 4.3 percent last year. India's growth is projected to moderate to 6.2 percent in 2025 from 6.5 percent in 2024, while China's growth is expected to slow to 4.0 percent from 5.0 percent.

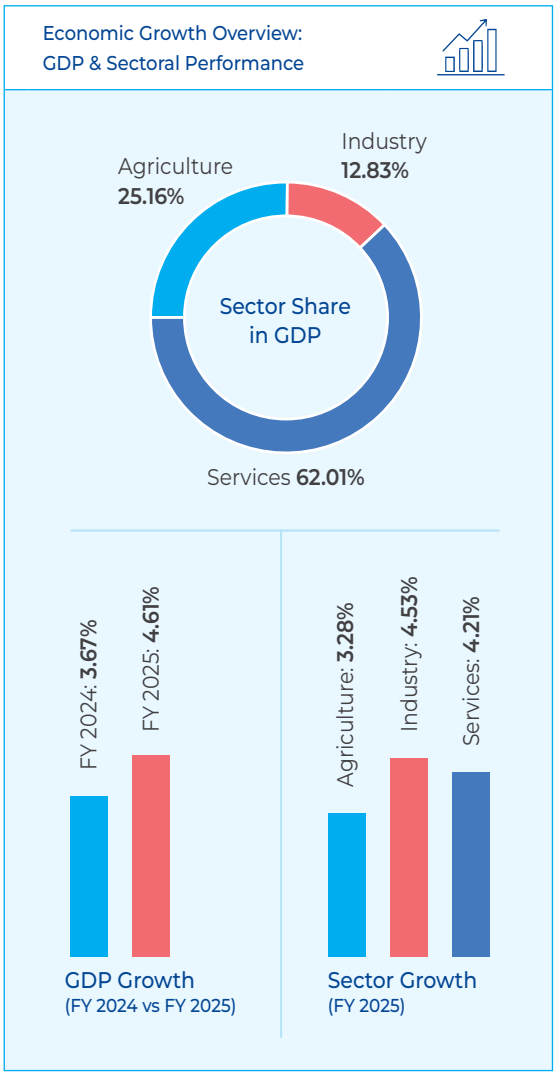
Global inflation has been declining for the past three years. World consumer inflation, which stood at 5.7 percent in 2024, is projected to fall to 4.3 percent in 2025. Inflation in advanced economies is expected to remain broadly stable at 2.5 percent, slightly lower than 2.6 percent last year. In emerging and developing economies, inflation is projected to ease more sharply, falling to 5.5 percent from 7.7.

While global inflationary pressures show signs of moderation, the International Monetary Fund (IMF) maintains a cautious outlook, citing persistent upside risks. Specifically, heightened geopolitical volatility and the proliferation of protectionist trade regimes remain significant factors that could catalyze renewed price instability within certain jurisdictions.

As inflation pressures have eased, many central banks have shifted toward more accommodative monetary policies. The European Central Bank (ECB) has reduced its deposit facility rate eight times since June 2024. Similarly, the Reserve Bank of India lowered its policy rate three consecutive times from February 2025, bringing it down to 5.5 percent by June 2025. The People's Bank of China reduced the one-year Loan Prime Rate from 3.55 percent in June 2023 to 3.00 percent in June 2025. In the U.S., the Federal Reserve cut the federal funds rate three times from the 5.25–5.50 percent range in September 2024 and maintained it at 4.25–4.50 percent in December 2024.

(b) Domestic Economic Conditions and Activities

Compared to the previous fiscal year, Nepal's internal and external economic indicators in FY 2025 have appeared positive. According to the National Statistics Office, economic growth in FY 2024 is estimated at 4.61 percent, whereas the growth rate in the previous year was 3.67 percent. In FY 2025, growth is estimated at 3.28 percent in agriculture, 4.53 percent in industry, and 4.21 percent in services. The shares of agriculture, industry, and services in gross domestic product are 25.16 percent, 12.83 percent, and 62.01 percent, respectively. In FY 2025, gross domestic savings stood at 6.55 percent of GDP.



According to Nepal Rastra Bank's annual statistics for FY 2025, the annual average inflation rate declined to 4.06 percent, compared to 5.44 percent in the previous year. The balance of payments recorded a surplus of NPR 594.54 billion. Merchandise exports increased by 81.8 percent and merchandise imports went up by 13.3 percent. In the previous year, imports had declined by 1.2 percent and exports by 3.0 percent. Analysis of trade flows by destination reveals significant momentum in outbound shipments to India, which recorded a 117.8% increase. Exports to China and other regions saw more moderate gains of 1.6% and 6.7%, respectively. Concurrently, import volumes from these sources expanded across the board, led by a 31.7% rise from other countries, followed by China at 14.2% and India at 7.5%.

On a year-on-year basis, in the final month of FY 2025, the customs-based export unit value index decreased by 2.3 percent, while the import unit value index increased by 0.5 percent, while the terms of trade declined by 2.8 percent.

Remittance inflows rose to the highest level to date, increasing by 19.2 percent to NPR 1,723.27 billion. In the previous year, remittance growth was 16.5 percent. Total foreign exchange reserves increased by 31.2 percent to NPR 2,677.68 billion as of mid-July 2025, sufficient to cover 15.4 months of imports of goods and services.

Despite the favorable decline in international crude oil prices, the surge in gold prices increased the fiscal pressure on imports. This was further compounded by exchange rate volatility, as the Nepali Rupee weakened by 2.66% against the U.S. Dollar over the fiscal year. Consequently, the buying rate concluded the period at NPR 137 per USD as of mid-July 2025.

Deposits collected by banks and financial institutions increased by 12.6 percent to NPR 7,264.0 billion. Within total deposits, the shares of current, savings, and fixed deposits were 7.1 percent, 36.8 percent, and 48.3 percent, respectively. In the previous year, these shares were 5.8 percent, 30.3 percent, and 56.4 percent, respectively. Institutional deposits accounted for 36.1 percent of total deposits, compared to 36.2 percent in the previous year.

Despite the favorable decline in international crude oil prices, the surge in gold prices increased the fiscal pressure on imports. This was further compounded by exchange rate volatility, as the Nepali Rupee weakened by 2.66% against the U.S. Dollar.

During the period under review, private sector credit expansion recorded a growth of 8.4%, trailing the monetary policy target of 12.5% with a realization rate of 67.2%. On an institutional basis, credit growth was led by commercial banks at 8.6%, followed by finance companies at 8.4% and development banks at 6.1%. The portfolio composition remained weighted toward the non-financial corporate sector, which accounted for 62.8% of total outstanding credit, while the individual and household segment comprised the remaining 37.2%. Although aggregate deposit and credit growth moderated against initial projections, an expansion in the money supply bolstered systemic liquidity, facilitating a gradual recovery in broader business activity.

During the review period, total tourist arrivals increased by 1.7 percent to 1,147,834. The government has declared 2023–2033 as the "Visit Nepal Decade," and continued expansion of tourism infrastructure, such as hotels, motels, airports, and resorts, was expected to support stronger growth. However, human and physical losses caused by unlawful involvement of suspicious individuals in protests called by the Gen Z generation, could negatively affect tourist inflows.

In FY 2025, total installed electricity capacity increased to 3,591 MW, with hydropower accounting for 3,390 MW. During the period, total liquidity absorption amounted to NPR 2,465.135 billion. The weighted average interest rate on 91-day Treasury bills was 3.00 percent in the last month of FY 2024 to 2.96 percent in the same month of FY 2025.

In the last month of FY 2024, the average base rate was 8.00 percent for commercial banks, 9.71 percent for development banks, and 11.21 percent for finance companies. By mid-July 2025, these had declined to 6.02 percent, 8.30 percent, and 8.97 percent, respectively.

Due to excess liquidity in the banking system, deposit and lending rates remained on a downward trend. In the last month of FY 2025, the weighted average deposit rate of commercial banks was 4.19 percent, compared to 5.77 percent in the previous year.

Similarly, in the last month of FY 2024, the weighted average lending rate was 9.93 percent for commercial banks, 11.34 percent for development banks, and 12.55 percent for finance companies. These rates declined to 7.85 percent, 8.95 percent, and 10.22 percent, respectively, in the same month of FY 2025.

2. BANK'S PERFORMANCE REVIEW FOR FY 2024/25

(a) Financial Position

NPR in Billion

Particulars	FY 2025	FY 2024	Change	Change (%)
Paid-up Capital	38.12	36.13	1.99	5.50
Total Deposits	575.05	504.89	70.16	13.90
Total Loans	440.62	390.77	49.86	12.76
Investments	150.93	123.40	27.53	22.31
Reserves and Funds	28.51	25.28	3.23	12.79
Debentures and Bonds	10.70	10.70	-	-

The Bank's capital, deposits, loans, and investments all recorded satisfactory growth by mid-July 2025 compared to mid-July 2024.

(b) Operating Results

In FY 2025, the Bank achieved operating profit of approximately NPR 7.25 billion and profit after tax of approximately NPR 5.08 billion. A brief summary of operating profit for FY 2025 is as follows:

NPR in Billion

Particulars	FY 2025	FY 2024	Change	Change (%)
Interest Income	43.93	51.68	(7.75)	(15.00)
Interest Expense	27.25	34.82	(7.57)	(21.75)
Net Interest Income	16.68	16.86	(0.18)	(1.05)
Fee and Operating Income	5.56	4.57	0.99	21.76
Staff and Operating Expenses	9.02	8.94	0.08	0.88
Change in Provision for Possible Losses	5.98	3.62	2.36	65.25
Income Tax Expense	7.25	8.87	(1.62)	(18.28)
Operating Profit	2.17	2.73	(0.56)	(20.50)
Net Profit	5.08	6.14	(1.06)	(17.29)

As credit expansion trailed deposit mobilization, the financial system continued to experience a period of surplus liquidity. To mitigate downward pressure on interest rates and preserve market equilibrium, Nepal Rastra Bank (NRB) leveraged its Interest Rate Corridor (IRC) framework, actively absorbing excess liquidity through various monetary instruments as conditions necessitated.

As of mid-July 2025, stock market capitalization stood at NPR 4,656.99 billion, up from NPR 3,553.68 billion in mid-July 2024. Banks, financial institutions and insurance companies accounted for 54.1 percent of total market capitalization.

Although the economy has shown positive recovery from the slowdown caused by COVID-19 and domestic and international economic crises, overall economic activity remained weaker than expected. As a result, banks' profits did not rise compared to the previous year. Loan recovery also remained subdued, leading to a further rise in non-performing loans and non-banking assets, which weighed on profitability.

The Nepali economy remains navigating several structural headwinds. Key challenges include a high reliance on remittance inflows driven by labor migration and a simultaneous loss of skilled human capital, often referred to as 'brain drain.' Furthermore, the fiscal environment is constrained by sub-optimal capital expenditure and diminishing foreign aid.

Economic momentum could improve if key reforms are advanced in a timely manner. These include ensuring policy stability, strengthening governance, promoting productive and job-creating industries, enhancing public-private collaboration, improving capital expenditure, revitalizing real estate transactions, resolving the cooperative sector crisis, and establishing an asset management company.

Progress on these fronts would help restore confidence, stimulate economic activity, and expand credit demand.

For the promotion of the national economy, it is necessary to align with the government's priorities and comply with Nepal Rastra Bank's policies, rules, and directives. The Bank has remained vigilant and committed to this approach.

In FY 2025, the Bank's net interest income declined by NPR 176.4 million compared to the previous year, while fee and operating income increased by NPR 994.4 million. Operating expenses also rose by NPR 78.7 million.

Net interest income contracted mainly because the interest spread–related concession granted following the merger, which had supported earnings in the first six months of the previous year, came to an end. As a result, the Bank's net profit fell by NPR 1.06 billion during the review period.

As in the previous fiscal year, net profit remained under pressure due to weak credit demand, excess liquidity, and lower-than-expected credit disbursement and interest recovery. In this fiscal year, total loans grew by 12.76 percent, while deposits increased by 13.90 percent. Although deposit rates declined sharply, the increase in the deposit base and relatively low loan growth directly impacted net interest income.

In addition, as in the previous year, some challenges persisted in loan recovery this year as well, requiring additional loan loss provisioning. This further reduced operating profit.

Despite these pressures, growth in operating income and tighter control over operating expenses helped support overall profitability and maintain stability.

(c) Progress to Date in the Current Fiscal Year

According to Nepal Rastra Bank's report on the current economic and financial situation for the first two months of FY 2026, external sector indicators such as remittances, balance of payments, current account, imports/exports, and foreign exchange reserves remain broadly balanced. However, credit flow to the private sector, government expenditure, and revenue mobilization have yet to show significant improvement.

Public demonstrations on September 8 and 9, 2025, called by the Gen Z movement to demand a corruption-free society and better governance, took a violent turn due to unlawful involvement of suspicious elements. The unrest resulted in dozens of deaths, hundreds of people injured or disabled, and extensive damage caused by arson and vandalism. Major national assets and institutions, including Singha Durbar (the main administrative center), the Supreme Court, tourism infrastructure, private houses, shops, departmental stores, private-sector hotels, industries, businesses, and public property, were affected. These events highlight a serious challenge to national stability. At the same time, they also point to the possibility of building a more prosperous nation under a citizen-led government formed after the Gen Z movement.

The federal parliamentary election announced for March 5, 2026, is expected to contribute to political stability. It is also likely to strengthen public confidence and support the continuation of the economic recovery process.

3. LONG-TERM BUSINESS STRATEGY – "GIBL MISSION 2030"

The Bank is an enduring institution with continuity and a long-term business outlook. Based on the consolidation of achievements in past years and an objective review of weaknesses, it has prepared a transformational five-year strategic roadmap, "GIBL Mission 2030." The roadmap has set clear goals and action plans to define where the Bank aims to be by 2030. The implementation has already begun.

The implementation of "GIBL Mission 2030," developed on the basis of past achievements and learning, will support digital innovation, customer-centric service, operational excellence, and sustainable business growth. Its core objective is to position the Bank as the "bank of first choice."

This plan, focused on responsible banking practices with international presence and aimed at ensuring sustainable returns to shareholders, has been prepared based on years of business experience. Developed with inputs from the Board, senior management, and employees, the plan aligns departmental action plans with the Bank's long-term priorities, including digital transformation, operational excellence, risk mitigation, customer-centric service, and employee capability and productivity.

This roadmap emphasizes business expansion, efficiency gains, and a reduction of non-performing loans (NPA). It targets a significant increase in net profit by 2030, alongside optimal utilization of financial resources to maintain a prudent credit-to-deposit (CD) ratio and to keep non-performing loans at minimal levels.

Strategic Goals under GIBL Mission 2030

1. Digital First Bank and Process Optimization
   The concept of a Digital First Bank is being advanced so that customers can access as many services and facilities as possible through various digital channels without visiting branches. To increase digital adoption and customer engagement, Digital Self-Service Branches, AI-based chatbots, fully digitized products and service delivery systems (BPM), and automated and time-relevant operating systems such as CRM, LOS, HRM, ERP, and The Bank will implement Trade Finance Automation, , while Business process reengineering, strategic outsourcing of non-core services, AI-based workflows, automated credit scoring, and structured branch network management will be used for streamlining its operations

2. Sustainable Return to Investors
   For sustainable business growth, the Bank will prioritize CASA deposits on the deposit side and SME/Retail/MSME/Priority Sector Lending on the credit side, and emphasize fee-based (non-interest) income. The Bank will focus on liquidity management, cost control, effective management of assets and NPAs, agricultural lending, remittance-to-savings conversion, and opportunities for international network expansion. The Bank believes that this will provide shareholders with long-term and fair returns.

3. Customer Service Excellence
   The Bank will implement an Omni channel model to deliver an excellent customer experience. It will establish a Customer Service Excellence Unit to provide 24/7 service. Customer loyalty programs and a strengthened Customer Service Desk will further enhance customer engagement, satisfaction, and trust.

4. Empowered and Devoted Human Capital
   To build a capable and committed workforce, the Bank will focus on right-fit hiring, continuous learning, and transparent performance management. Employee engagement programs, targeted upskilling, and a strong HR framework will help the Bank attract, develop and retain talented human resources.

5. Responsible Banking
   The Bank will remain active in enhancing environmental protection and social impact through green and sustainable banking practices, environment-friendly products, social responsibility initiatives, consumer protection and inclusion—particularly women's empowerment—and sustainable human resource practices. It will encourage lending to businesses that support sustainable, low-carbon, and circular economy directions to help achieve national and international goals.

6. Risk Mitigation and Compliance
   To strengthen risk management, fraud control, credit risk control, and regulatory compliance, the Bank will implement digital monitoring systems, credit scoring, intelligent dashboards, AML/CFT systems, employee training, and a comprehensive corporate governance framework to ensure transparency, accountability, and timely execution across operations.

Under the plan, the Bank aims to expand its balance sheet beyond NPR 1 trillion, increase the share of retail and small and medium enterprises loans to 65 percent, and maintain a CASA (current and savings) deposit ratio of 50 percent.

Key priorities of the plan include process reengineering, branch network optimization, full automation of digital systems, and the adoption of green and sustainable practices through policy and implementation measures. The Bank also plans to build a state-of-the-art central office/corporate building on its own land in the central area of the capital.

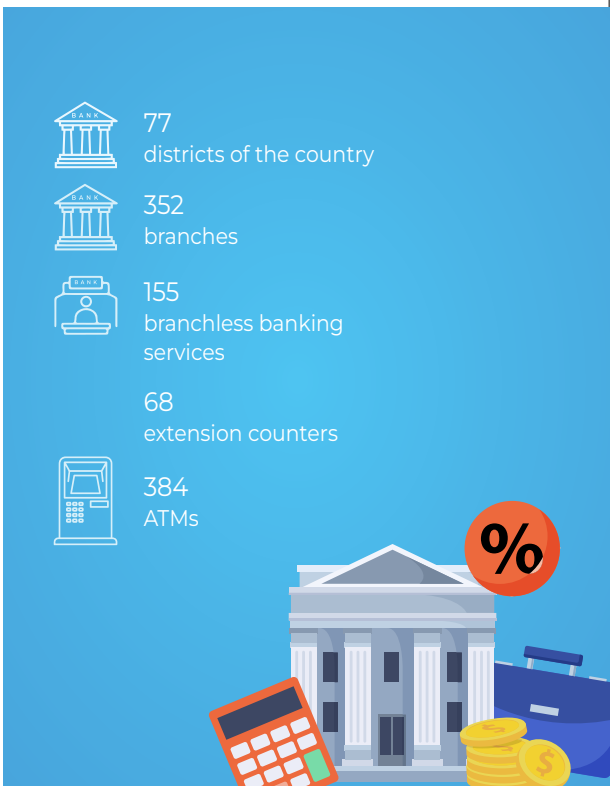
Over the long-term, the Bank seeks to expand its international presence, strengthen risk management and compliance, and uphold transparency. It aims to develop as a financial institution that promotes an inclusive culture based on performance and

institutional social responsibility as a responsible corporate member of society.

To achieve the objective of establishing the Bank as a leading bank with excellent and reliable service, fair returns to shareholders, and strong national and international reputation, the following strategic action plans will be adopted:

The Bank has a presence in all 77 districts of the country. It has been providing banking services to more than five million customers through a network of 352 branches, 155 branchless banking services, 384 ATMs, 68 extension and other counters, and three representative offices abroad. In line with the motto "Bank for All," the Bank will review its business networks to achieve the target of becoming a Digital First Bank.

Prioritizing the Bank's business interests, business relationships have been established with international financial institutions such as the International Finance Corporation (IFC), Swiss Investment Fund for Emerging Markets (SIFEM), Global Climate Partnership Fund (GCPF), KFW Development Bank (KfW), Asian Development Bank (ADB), and the OPEC Fund for International Development. We remain committed to the prudent and strategic mobilization of credit facilities sourced from international financial institutions. These enduring partnerships continue to bolster the Bank's global profile and enhance our institutional credibility within the international financial community.



Remittances are the backbone of Nepal's economy and a key and reliable base of this Bank's business. To further increase the share of remittances received through banking channels, the Bank will make market expansion and management more effective. Remittances will be linked effectively with the Bank's core business—deposit collection and lending/investment.

Similarly, the Bank will place emphasis on the effectiveness of representative offices in Australia, India, and the United Kingdom. Feasibility study work will continue—subject to regulatory approvals—on opening physical/digital offices in major economies such as South Korea, Australia, the UK, and the USA by identifying business opportunities.

Technology-driven banking solutions will remain a priority. The Bank will further refine existing services and introduce new technology-friendly solutions, based on the conclusion that business effectiveness has improved through initiatives, such as customer-centric BPM enabling online account opening; issuance of dollar cards, credit cards, and ATM cards; payments and card-related services; LC/guarantee facilities; share-backed loans; and the operation of a Digital Universe allowing cash and check transactions without direct employee involvement.

Realizing that employers are key assets, the Bank has been preparing and implementing an annual training calendar for career development of its human resources by linking their knowledge and experience with its business objectives. This will be made more effective and digital-friendly, and collaboration with domestic and international HR-related institutions will be expanded to ensure continuous knowledge exchange across the entire workforce and to evaluate the effectiveness of such learning/training.

The Bank will emphasize making risk management more effective by following and implementing international best practices, increasing the use of technology in risk management, improving credit quality, strengthening regular monitoring and inspection of borrowers' businesses, and making the centrally established Credit Monitoring Unit—responsible for timely identification and management of loans showing early warning signals—more effective, automated, and agile.

Similarly, regional offices will be given greater authority and strengthened further, while the central office will be increasingly engaged in policy formulation and development of new services/products.

Through the continuity of the aforesaid programs, the Bank will remain active in expanding business, strengthening risk management, and ensuring fair returns to respected shareholders and a sense of secure investment in the coming days.

4. INTERNATIONAL AWARDS

The Bank has been honored with the Euromoney Awards for Excellence—The Best Bank in Nepal 2025. Established in 1992 by Euromoney magazine, this award is renowned for its in-depth analysis and critique of the banking sector. The Bank received this international recognition based on the financial services provided to customers, resource mobilization, expansion of reach, establishment of strategic relationships, institutional social responsibility, adoption of new technologies in banking, investments in environmental, social, and governance areas, and high-level performance.

The Bank has once again been recognized as the 'Best Bank in Nepal,' marking its third such award. With previous wins in 2022 and 2024, this consistent recognition reflects the Bank's sustained performance and institutional strength within the industry.

Similarly, the Bank has also been honored with the Global Finance Best Bank Award 2025. Since the Bank also received this award in 2024, it has become the first Nepali bank to be honored with this prestigious award for two consecutive years. Global Finance has been providing this recognition to outstanding central and commercial banks worldwide. Global Finance magazine has honored leading banks, including this Bank, across Africa, Asia-Pacific, the Caribbean, Central America, Latin America, Central and Eastern Europe, the Middle East, North America, and Western Europe. Receiving an award typically earned by the world's largest banks has enhanced the Bank's professionalism and international image.

5. CUSTOMER RELATIONS

The Bank's customer base has been expanding continuously. The Bank is pleased to inform that its deposit customer count has now exceeded five million. Customer numbers have continued to grow due to merger and ongoing business expansion. The Bank will adopt a policy of further strengthening customer service while prioritizing service and satisfaction for all customers.

6. DIGITALIZATION AND TECHNOLOGY

In today's era of science and technology, digital technology has become an integral part of human life. After the COVID-19 pandemic, there has been a transformative shift in the digital domain. Digitization has made an important contribution to expanding access to banking and financial services for rural and low-income communities in Nepal.

In line with the policy of making all services faster, more accurate, automated, and transparent by reducing labor, time, and cost while improving service delivery, quality, and consistency, the Bank has expanded the use of automated platforms. Artificial intelligence (AI) has brought significant changes in customer service and internal workflows. The Bank has developed an AI-driven smart chatbot which has enhanced self-service capability by providing timely responses to customers' relevant and constructive questions and inquiries.

To make the account-opening process faster and more effective, an advanced system using Optical Character Recognition (OCR) has been implemented. By minimizing manual data entry and automatically processing and validating the information provided in forms, this system has improved overall efficiency, enhanced customer experience, and strengthened operational effectiveness.

Similarly, to enable employees to devote valuable time to more creative tasks, the Bank has implemented Robotic Process Automation (RPA). This has automated repetitive and routine processes which has significantly improved employee efficiency and enhanced overall operational effectiveness.

The Bank has developed and implemented more rapid and technology-friendly internal systems, making internal workflows more effective and improving service quality. One among them is Integrated Loan Creation & Disbursement platform which has simplified loan booking and further strengthened operational control. In recognition of this excellence, the Bank has received a prestigious award such as the Infosys Finacle Innovation Award 2025, further validating the Bank's commitment to digital innovation.

For corporate customers, the Bank has launched Global BizNex Corporate Internet Banking. This service includes salary payments, management and detailed reporting, payments for other expenses, and related

facilities. Fund transfers, payment processing, salary payments, LC management, exchange rates, forward contracts, and payment tracking can be securely conducted through this platform. The Bank has adopted a policy of continuously adding new features by developing it as a one-stop solution to meet all banking needs of corporate and business entities.

Similarly, the electronic check clearing solution has proven important for check management. Through Intelligent Character Recognition (ICR) and OCR along with RPA, check processing has been automated with fewer staff and strengthened internal controls.

A policy has been adopted to integrate Mobile Banking, Internet Banking, and other digital technologies. Currently, more than two million retail customers use Global Smart Plus Mobile Banking, and the scope of the BizNex platform—designed as a digital revolution in corporate banking—is expected to expand significantly.

Video KYC has been upgraded into a comprehensive video banking platform, laying the foundation for a digital-first service approach. In addition, the introduction of share-backed loan facilities through digital channels has simplified and streamlined the retail digital lending process.

To promote innovation among students, professionals, and startups, the Bank successfully organized the first-ever Global IME AI/ML Hackathon in banking history in this fiscal year. The event created unprecedented opportunities to co-develop solutions with the fintech community, encouraged collaborative innovation, and strengthened the Bank's role within the broader financial ecosystem. Building on this, the Bank maintains a policy of continuously introducing new technology-friendly services in the coming days.

For better compliance with the Nepal Rastra Bank's directives and prevailing laws related to anti-money laundering, the Bank has been using AML software to manage customer information, conduct necessary reporting, and automate identification and reporting of suspicious transactions. This will be further strengthened. The Bank also remains vigilant against potential IT-related incidents, taking proactive measures to identify and mitigate risks. For this purpose, in line with the Nepal Rastra Bank's directive, an Information Technology Incident Response Team has been mobilized. To support the full digitalization of banking services, the Bank will continue conducting Information System Audits and further strengthen its IT systems in the coming years.

7. CONTRIBUTION TO THE NATIONAL ECONOMY

In FY 2025, the Bank contributed over NPR 4.75 billion to the government through corporate income tax and withholding taxes. Its expanded service network has mobilized scattered capital and made a significant contribution to the development of the industrial sector, a backbone of the economy. Additionally, through regular employment and service contracts, the Bank provided direct employment opportunities to more than 4,000 Nepali citizens.

8. CORPORATE SOCIAL RESPONSIBILITY

As a responsible corporate citizen, the Bank is committed to fulfilling its social responsibilities. It has implemented a comprehensive CSR policy targeting poor, marginalized, and other priority groups. Programs include social projects, financial literacy initiatives, direct grants in designated areas, and expenditure aligned with Nepal Rastra Bank guidelines.

Programs are selected and implemented proportionately across all seven provinces. During this period, the Bank organized free health camps, prostate screenings, basic burn first-response support, and distributed essential health and sanitation materials. In collaboration with various organizations, it promoted women's health through cervical cancer (VIA) screenings, uterine prolapse treatment support, and medicine distribution.

The Bank also supported the construction, repair, and reconstruction of school infrastructure and provided scholarships to talented, economically disadvantaged

Bank's Socio-economic Impact: FY 2025

NPR **4,75B+**
Fiscal contribution
Contributed to national revenue via corporate & witholding taxes

4,000+
Job creation
Direct employment and service for Nepal citizens

students. It also supplied computers, smart boards, and educational materials to community schools and collaborated on e-learning curriculum development. Under its scholarship program, talented girls from poor backgrounds, who passed Grade 6 in community schools, received support upon enrolment in Grade 7.

The Bank has also supported humanitarian assistance, relief, and rescue in natural disasters and calamities (such as floods, landslides, and inundation) by contributing to the Prime Minister's Disaster Relief Fund and by supporting the Nepal Police and the Nepali Army with rescue equipment and preparedness measures. It also provided humanitarian assistance to helpless, vulnerable, disabled, orphaned, and physically or mentally weak individuals living in shelters.

In collaboration with various organizations, the Bank has carried out activities such as wildlife conservation and tree plantation, mitigation of environmental impacts, and waste management in several mountain peaks. To support environmental conservation and income generation for poor and marginalized groups, the Bank has also supported plantation of income-generating trees/plants and fruit trees. Support has also been provided to the Clean Mountain Campaign and for construction of cremation sites.

The Bank has conducted financial literacy and digital banking awareness programs in different locations across the country. Through branch offices, the Bank identified targeted groups and conducted programs in 79 locations across the country. As prescribed by Nepal Rastra Bank, targeted groups include employees, farmers, micro/small/medium entrepreneurs, daily wage workers, prospective foreign workers, students, women, remittance recipients, and youth. The program included topics such as savings, credit, remittance, digital banking, insurance, investment, additional banking services, awareness on financial fraud, and financial discipline.

The Bank's CSR efforts also align with the United Nations Sustainable Development Goals (SDGs) 2016–2030, including promoting access to safe drinking water and fostering peaceful, inclusive societies.

To expand access to quality education for all and promote life-useful learning opportunities, the Bank organized the Global IME AI/ML Hackathon—the first of its kind in the Nepali banking sector. Under the "Let's Open an Account" campaign, when any Nepali citizen opened a bank account for the first time, NPR 100 was credited to first-time bank account holders to encourage financial inclusion.

In addition, in collaboration with the Karnali Province Government, the Bank conducted the program "Bank Account in Daughter's Name, Security for Life" within Karnali Province, which benefited the targeted group.

Likewise, to reduce accidents and improve traffic management, traffic signs were installed in various places. The Bank also supported construction, repair, reconstruction, and protection of passenger waiting shelters in different locations.

Under CSR, including the above headings, the Bank contributed NPR 107.348 million in FY 2025.

9. CORPORATE GOVERNANCE

The Board of Directors and management are always committed to maintaining corporate governance within the Bank. In view of the Bank's expanding transactions and branch network, we have been making timely adjustments and changes to the institutional structure with a focus on governance.

In addition to full compliance with international governance standards, international best practices, and applicable guidelines, all Board members and employees have been fully complying with the codes of conduct prescribed by Nepal Rastra Bank. As the bank's business volume and operational activities have expanded, internal control systems and related processes have been strengthened in a timely manner. The organization structure, along with the roles and responsibilities of officials, has been reviewed and adjusted as required to further enhance employee capacity accountability.

The Audit Committee of the Bank has been regularly monitoring all operations and ensuring compliance with Nepal Rastra Bank's directives and the adequacy of the Bank's internal systems and processes. The Bank remains committed to conducting all activities transparently and further strengthening corporate governance.

10. AMOUNT RECOMMENDED FOR DIVIDEND DISTRIBUTION

The Board proposes the distribution of a cash dividend for FY 2025. The proposed dividend is 8.00 percent (including tax) of the Bank's paid-up capital of NPR 38,115,852,615.86, amounting to NPR 3,049,268,209.28.

Additionally, any shareholders whose taxes on dividend has remained unpaid in prior years will be adjusted against the cash dividend approved for distribution this year.

11. FINANCIAL STATEMENTS AND AUDIT

The statement of financial position (balance sheet) as of mid-July 2025, the profit and loss statement for FY 2025, the cash flow statement, the statement of changes in equity, related schedules, and the auditor's report are included as an integral part of this report. As per the Companies Act, 2006, other details are presented in 'Annex A'

12. CHANGES IN THE BOARD OF DIRECTORS AND MANAGEMENT

From the 17th Annual General Meeting dated December 23, 2023, the following Directors elected unanimously for four years have continued in office: Chandra Prasad Dhakal (Representative—IME Investment Ltd.), Radhesh Pant, Ram Bahadur Bhandari, Krishna Prasad Sharma, Madan Lal Joshi, and Narayan Prasad Poudel (Representative—DD Investment Pvt. Ltd.).

The Bank expresses its gratitude to Mrs. Bhagirathi Bhattarai Gyawali, who served as an independent director from July 25, 2024 to March 12, 2025, for her contribution to advance its business interests during that period.

Currently, the Bank has an active Board of Directors comprising six members. Subject to the Banks and Financial Institutions Act, 2017; the Bank's Memorandum and Articles of Association; directives issued by Nepal Rastra Bank; and prevailing laws, the Board has been playing an important role in: formulating and implementing necessary policies, rules, guidelines, and procedures; managing overall risks; operating the Bank in the interest of depositors, customers, and general shareholders; maintaining governance; accepting deposits; making investments; managing employees; approving business plans and budgets; delegating powers to the Chief Executive Officer to make business operations efficient and effective; and ensuring implementation of directives received from regulators such as Nepal Rastra Bank and the Securities Board, as well as from auditors.

The then Chief Executive Officer, Ratna Raj Bajracharya completed his four-year term on August 16, 2024. Surendra Raj Regmi was appointed as Chief Executive Officer effective from August 18, 2024, and has since assumed the role.

13. ACKNOWLEDGEMENT

Finally, I would like to express my heartfelt gratitude to our respected shareholders for their invaluable support and suggestions, offered directly or indirectly, which have contributed to the Bank's continued progress and prosperity. I am equally thankful to our valued customers for their sustained trust and confidence in the Bank.

I also extend sincere appreciation to the Government of Nepal, Ministry of Finance, Nepal Rastra Bank, Office of the Company Registrar, Securities Board of Nepal, Nepal Stock Exchange Ltd., and other regulatory bodies for their guidance and support in the Bank's business interests. My thanks likewise go to all employees whose continued dedication and hard work drive the Bank's growth, as well as to the media fraternity for their cooperation and engagement.

As we move forward, we reaffirm our commitment to delivering higher-quality banking services, ensuring that shareholders feel secure in their investments while receiving fair and sustainable returns. The Bank's Board of Directors always welcomes your views and suggestions.

Thank you.
On behalf of the Board of Directors,
Chandra Prasad Dhakal
Chairman
Date: October 15, 2025

BOARD AUDIT COMMITTEE REPORT

OVERVIEW

The Board Audit Committee is a formal committee of the Board of Directors. It supports the Board in overseeing financial reporting, internal controls, risk management, compliance, and audit functions. The Committee operates in line with its approved Terms of Reference and applicable regulatory requirements.

COMPOSITION AND MEETINGS

During the reporting period, the Committee consisted of two Board members, while the Chief Internal Audit Officer served as its Member Secretary. The Committee had three Board members at the beginning of the reporting period. However, Madan Lal Joshi vacated the office with effect from 28 April 2025.

The Committee held 13 meetings during the year, in accordance with the approved schedule and as required. Senior management, including the Chief Financial Officer and the Compliance Officer, attended meetings when relevant. Representatives of the external auditors were also invited as needed.

KEY RESPONSIBILITIES

The Committee's key responsibilities include:

- Ensuring the integrity and reliability of the Bank's financial statements and disclosures
- Reviewing the adequacy and effectiveness of internal controls, internal audit, and risk management frameworks
- Monitoring compliance with laws, regulations, prudential guidelines and internal policies
- Overseeing the independence, performance, and effectiveness of internal and external audit functions

FINANCIAL REPORTING OVERSIGHT

The Committee reviewed the Bank's quarterly and annual financial statements before submission to the Board. Reviews focused on compliance with financial reporting standards, regulatory requirements, and the adequacy of disclosures.

Significant accounting matters, including key judgements and estimates, were discussed with management and the external auditors. The Committee is satisfied that the financial statements present a true and fair view of the Bank's financial position and performance.

SIGNIFICANT MATTERS RELATING TO THE FINANCIAL STATEMENTS

The Committee reviewed matters raised by the Bank's external auditors through the Management Letter and Key Audit Matters. It ensured regular follow-up on unresolved issues, in line with the prescribed review cycle.

OVERALL APPROACH TO RISK MANAGEMENT AND INTERNAL CONTROLS

The Committee reviewed the adequacy and effectiveness of the internal control systems across financial reporting, operational processes, and information technology systems. Key risk areas and mitigation measures were discussed in detail. The Committee monitored management's actions to address any control gaps. During the year, it noted improvements in internal control processes.

INTERNAL AUDIT AND EFFECTIVE IMPLEMENTATION OF INTERNAL CONTROLS

The independence of the Internal Audit Function is maintained through the direct reporting of the Head of Internal Audit to the Board Audit Committee. The scope of internal audit work is approved in line with the Audit Committee Charter, regulatory requirements, and the risk-based Internal Audit Plan. This ensures that all significant activities of the Bank are covered. The Committee reviews internal audit performance through periodic reports and summaries of key findings.

The Head of Internal Audit has direct and unrestricted access to the Committee and meets regularly without the presence of management. This allows the Committee to receive an independent annual assessment of the adequacy and effectiveness of the Bank's internal control system, based on audits conducted during the year. The Audit Committee Charter and Terms of Reference are reviewed and updated periodically to reflect changes in applicable laws and regulatory requirements.

During the year, the Committee approved the annual internal audit plan, ensuring appropriate coverage of key risk areas. Internal audit reports, including findings and recommendations, were reviewed periodically. It also monitored management's progress in implementing audit recommendations. It is satisfied with the independence, scope, and effectiveness of the internal audit function.

EXTERNAL AUDIT

The Committee reviewed the scope and approach of the external audit and assessed the independence and performance of the external auditors. Audit findings, management letters, and significant observations were discussed in detail in Committee meetings. Based on its review, the Committee recommended the reappointment of the external auditors and their remuneration to the Board.

The Bank received an unqualified audit report for the year ended 16 July 2025 from its external auditors, M/S S.A.R. Associates, Chartered Accountants. The existing auditors have also provided consent to continue as auditors of the Bank for FY 2026, if appointed.

COMPLIANCE WITH LAWS AND REGULATORY STANDARDS

The Committee reviewed reports on regulatory compliance, including observations from regulators and the status of corrective actions. It also monitored compliance with applicable laws, regulations, and internal policies. No material non-compliance issues remained unaddressed during the year.

REPORTING TO THE BOARD

The Committee maintains regular communication with the Board of Directors and provides updates after each meeting. Minutes, along with its observations and recommendations, are submitted to the Board for ratification to support informed decision-making and effective oversight.

In addition, the Committee promptly informs the Board of any critical matters, including:

- Identified conflicts of interest within the Bank
- Suspected or detected fraud, irregularities, or material weaknesses in internal controls
- Suspected breaches of laws and regulations, including securities-related regulations; and
- Any other matters the Committee considers necessary for the Board's attention

BOARD EMPLOYEE SERVICE FACILITY COMMITTEE REPORT

OVERVIEW

The Board-level Employee Service Facility Committee is constituted by the Board of Directors in accordance with the provisions of the Banks and Financial Institutions Act (BAFIA), 2017, and directives issued by Nepal Rastra Bank. It plays a strategic governance role in ensuring that the Bank's people, leadership, and compensation practices support its safety, soundness, and long-term performance. The Committee assists the Board in developing remuneration policies and in planning succession for the Chief Executive Officer and senior management. Its work supports strong corporate governance and ensures alignment with the Bank's strategic objectives, risk appetite, and core values.

COMPOSITION OF THE COMMITTEE

During the reporting period, the Committee comprised two Board members. The Chief Executive Officer and the Chief Financial Officer also served as Committee members, while the Head of the Human Resource Department served as the Member Secretary.

MEETINGS

The Committee met four times during the financial year. All meetings were held in accordance with the approved Terms of Reference (ToR), and quorum requirements were met.

Agenda papers, supporting documents, and relevant information were circulated to Committee members in advance. This enabled meaningful deliberation and effective decision-making.

RESPONSIBILITIES DISCHARGED

During the year, the Committee discharged the following key responsibilities:

- Reviewed the alignment of the Human Resources Strategy with the Bank's long-term business objectives and growth plans
- Reviewed and submitted policies, plans, and standards related to human resource management, including recruitment, selection, appointment, placement, transfer, promotion, career development, performance evaluation, rewards and disciplinary actions, labor relations, and employee conduct
- Reviewed the existing employee organizational structure to ensure an appropriate mix of skills, experience, diversity, and independence
- Reviewed the overall employee remuneration structure
- Ensured remuneration practices were aligned with the Bank's performance, long-term objectives, and the risk management framework
- Considered market benchmarks and regulatory guidance while making remuneration-related recommendations.

The Committee remains focused on ensuring the right leadership, incentives, culture, and people practices are in place to protect the Bank's stability, integrity, and long-term value. It continues to support the Board in strengthening leadership effectiveness, enhancing corporate governance standards, and promoting responsible remuneration practices at the Bank.

CREATING VALUE THROUGH CORPORATE GOVERNANCE

The Bank believes that sound corporate governance is essential for creating sustainable value and maintaining stakeholder confidence. Effective governance practices strengthen transparency, accountability, ethical conduct, and risk management, enabling the Bank to achieve its strategic objectives while safeguarding the interests of shareholders, customers, regulators, employees, and other stakeholders. Through strong oversight by the Board and management, the Bank continues to enhance operational efficiency, financial stability, compliance culture, and long-term institutional sustainability.

DIRECTORS' STATEMENT ON THE ADEQUACY OF THE INTERNAL CONTROL SYSTEM

The Board of Directors of Global IME Bank Ltd. recognizes its responsibility for maintaining a sound and effective internal control system. This system is designed to safeguard the Bank's assets, ensure the reliability and integrity of financial and operational information, support compliance with applicable laws, regulations, and regulatory directives, and enable the achievement of the Bank's strategic and operational objectives.

The internal control system is designed in line with the size, nature, complexity, and risk profile of the Bank's operations. It is built on clear governance structures, proper segregation of duties, defined authority and accountability, and comprehensive policies and procedures. Effective information and communication systems support this framework. The key elements of this framework include risk management processes, internal audit, compliance monitoring, and information technology controls. The Board, primarily through the Board Audit Committee and other Board level committees, regularly reviews the adequacy and effectiveness of the internal controls. The Board Audit Committee oversees financial reporting, internal controls over financial reporting, internal audit activities, risk management, and compliance. It reviews reports from management, internal audit, external auditors, and regulators, and monitors the timely implementation of corrective actions.

The Internal Audit Function operates independently and provides reasonable assurance on the effectiveness of internal controls, risk management, and governance processes. Based on reviews and assessments carried out during the financial year, and on assurances provided by management, internal audit, and external auditors, the Board is satisfied that the Bank's internal control system is adequate and effective. The system is considered appropriate for the nature and scale of the Bank's operations and provides reasonable assurance on the reliability of financial reporting, protection of assets, compliance with laws and regulations, and the orderly conduct of business.

The Board also reviews the overall soundness of internal controls on an ongoing basis and monitors the accuracy and integrity of the Bank's financial records. The financial statements are prepared on a going-concern basis and, in the Board's opinion, comply with International Financial Reporting Standards and relevant regulatory guidelines. The Board remains committed to strengthening the internal control environment through continuous improvement in policies, processes, systems, and oversight mechanisms, in line with regulatory expectations, evolving risk conditions, and recognized corporate governance practices.

For and on behalf of the Board of Directors

STATEMENT ON ETHICS AND THE BUSINESS CODE OF CONDUCT

Global IME Bank Ltd. is committed to conducting its business with the highest standards of integrity, transparency, professionalism, and ethics. The Bank has adopted a comprehensive Code of Conduct (COC), aligned with Nepal Rastra Bank Unified Directive 6, which applies to the Board of Directors, senior management, employees, and all representatives of the Bank. The COC sets clear expectations for ethical behavior, responsible decision-making, and compliance with laws and regulations.

It covers fair business practices, conflict of interest management, protection of confidential information, prohibition of insider trading, and prevention of fraud, corruption, and money laundering, while promoting responsible use of the Bank's assets. The Board oversees COC implementation through policies, monitoring, and periodic reviews. Management ensures ethical values are embedded via communication, training, and disciplinary measures for breaches. A formal Whistleblower Policy provides a secure channel to report unethical conduct, with protection against retaliation. A committee from HR, Internal Audit, Risk, and Compliance monitors adherence and reports quarterly to the General Compliance and Good Governance Unit.

For and on behalf of the Board of Directors

ANNUAL COMPLIANCE REPORT ON CORPORATE GOVERNANCE

(As per the Corporate Governance Directives, 2017 issued by the Securities Board of Nepal)

Institutional Information

Particulars	Details
Name of the Institution	Global IME Bank Ltd.
Address	Kamaladi, Kathmandu
Website	www.globalimebank.com
Telephone	+977-1-5326247, 5328671
Compliance Period	FY 2025 (Mid July 2024 – Mid July 2025)

1. INFORMATION ON THE BOARD AND BOARD COMMITTEES

(a) Chairperson of the Board and Appointment Date

Particulars	Details
Name	Mr. Chandra Prasad Dhakal
Appointment Date	Appointed as Chairperson at the 17th Annual General Meeting held on 14 December 2023

(b) Shareholding Structure of the Bank

Shareholding Category	Percentage
Promoter Shareholding	51.24%
Public Shareholding	48.76%
Total	100.00%

(c) Board of Directors

S.N.	Name of Director	Representative Group	Shares Held	Last Appointment Date	Date of Oath Taken	Appointment Process / Remarks
1	Chandra Prasad Dhakal (Representative –IME Investment Ltd.)	Promoter	9,554,159	14 December 2023	17 December 2023	As per the 17th AGM held on 14 December 2023
2	Ram Bahadur Bhandari	Promoter	150,196	14 December 2023	17 December 2023	As per the 17th AGM held on 14 December 2023
3	Radhesh Pant	Promoter	1,453,254	14 December 2023	17 December 2023	As per the 17th AGM held on 14 December 2023
4	Krishna Prasad Sharma	Public	2,832	14 December 2023	17 December 2023	As per the 17th AGM held on 14 December 2023
5	Madan Lal Joshi	Public	8,866	14 December 2023	17 December 2023	As per the 17th AGM held on 14 December 2023
6	Narayan Prasad Poudel (Representative – D. D. Investment Pvt. Ltd.)	Public	5,403	14 December 2023	17 December 2023	As per the 17th AGM held on 14 December 2023
7	Bhagirathi Bhattarai Gyawali	Independent	271	25 July 2024	16 August 2024	Served from 25 July 2024 to 10 April 2025

(d) Meetings of the Board

S.N.	Board Meeting Dates (FY 2024–25)	No. of Directors Present	Directors Signing Minutes with Dissenting Opinion	Board Meeting Dates (FY 2023–24)
1	25 July 2024	6	None	21 July 2023
2	16 August 2024	6	None	29 July 2023
3	9 September 2024	5	None	14 August 2023
4	7 October 2024	6	None	18 September 2023
5	30 October 2024	7	None	13 October 2023
6	26 November 2024	6	None	5 November 2023
7	30 December 2024	6	None	10 November 2023
8	26 January 2025	7	None	28 November 2023
9	21 February 2025	7	None	13 December 2023
10	19 March 2025	6	None	17 December 2023
11	15 May 2025	6	None	24 January 2024
12	19 May 2025	6	None	7 February 2024
13	14 June 2025	5	None	9 March 2024
14	12 July 2025	4	None	8 April 2024
15			None	26 April 2024
16			None	17 May 2024
17			None	9 June 2024
18			None	7 July 2024
19			None	14 July 2024

(e) Other Details of Board Meetings

- Meetings adjourned due to lack of quorum: Not applicable.
- Other details: A total of 14 Board meetings were held in FY 2025. No Board member recorded a dissenting opinion.

Additional Governance Practices

Item	Status / Details
Presence of Alternate Director in Board meetings	No provision for Alternate Directors
Separate records maintained for attendance, discussions, and decisions (minutes)	Yes
Maximum gap between two consecutive Board meetings	No meeting was held with a gap exceeding 60 days
AGM date for fixing Board meeting allowances	14 December 2023 (17th AGM)
Board meeting fee per member	Chairperson: NPR 25,000; Director: NPR 22,000
Total Board meeting expenses during the financial year	NPR 1,868,000

2. INFORMATION ON DIRECTORS' CONDUCT AND OTHER DETAILS

Particulars	Status / Details
Code of conduct for Directors	Yes
Presence of one or more Directors from a single family	No

Orientation / Refresher Programs for the Board of Directors

S.N.	Program	Date	No. of Directors Present
1	Roles, Duties and Rights of the Board; Supervisory Jurisdiction; Corporate Governance; National and International Practices; AML/CFT	17–18 May 2024	6
2	Corporate Governance in the Banking System; Transparency, Disclosure, Conflict of Interest, Compliance, and International Best Practices; AML/CFT and related offences in modern banking	6 August 2025	6

Disclosure by Directors within 15 days of appointment

Directors have submitted written disclosures within 15 days of appointment regarding:

- Contracts entered into (or proposed) by the Director or immediate family members with the Bank;
- Shares or debentures held by the Director or immediate family members in the Bank's parent or subsidiary companies;
- Directorship or significant shareholding in other organizations; and
- Family members working as employees or representatives of the Bank.

Status: All required disclosures have been submitted.

Particulars	Status
Director/CEO/paid representative/employee in similar organizations	No such records
Disciplinary action taken by regulators or other bodies	No such records

3. INFORMATION ON RISK MANAGEMENT AND INTERNAL CONTROL SYSTEM

(a) Risk Management Committee formed	Yes

(b) Board-level Risk Management Committee

(i) Committee Members

Madan Lal Joshi	Coordinator
Narayan Prasad Poudel	Member
Krishna Prasad Sharma	Member
Chief of Country Operation	Member
Chief Risk Officer	Member Secretary

(ii) Number of RMC meetings held

RMC meetings	10

(c) Internal control procedures in place

Yes	Policies in place include: Credit Policy, Credit Risk Management Policy, Operational Risk Management Policy, Market Risk Management Policy, Liquidity Risk Management Policy, Information Technology Policy, and Information Security Policy

(d) Committee for internal control system

Yes. A Management-level Risk Management Committee has been formed.

(e) Internal control system monitoring

A management-level committee monitors the internal control system on an ongoing basis.

(f) AML/CFT-related Committee

A Board-level committee has been formed to minimize AML/CFT risk.

Narayan Prasad Poudel, Director	Coordinator
Ram Bahadur Bhandari, Director	Member
Chief Risk & Compliance Officer	Member
Money Laundering Reporting Officer	Member Secretary

Number of AML/CFT Committee meetings held: Six

(g) Financial Administration Bylaws

Yes.

4. INFORMATION DISCLOSURE AND INFORMATION FLOW

(a) Information published by the organization

Information	Date of Publication
Notice of Annual General Meeting	6 November 2024 and 11 November 2024
Notice of Special General Meeting	Not applicable
Annual Report	As per law
Quarterly Reports	As per law
Price Sensitive Information	Dividend declared at the 459th Board Meeting: 11 October 2025, 9:30 AM
Information submitted to Regulators	11 October 2025
Others	None

(b) Prosecution by SEBON or other regulators for non-disclosure

Not prosecuted.

(c) Date of completion of previous AGM/SGM

Thursday, 12 December 2024

5. CORPORATE STRUCTURE AND EMPLOYEES

Particulars	Status / Details
Personnel Policy Guidelines covering HR structure, recruitment, career development, training, salary and benefits, attendance and leave, code of conduct, etc.	Yes
Organizational structure	Attached

(c) Management Team: Education and Experience

S.N.	Name	Position	Education	Experience
1	Surendra Raj Regmi	CEO	Post Graduate	More than 37 Years
2	Suman Pokharel	DCEO	Post Graduate	More than 21 Years
3	Bimal Daga	ACEO	Post Graduate	More than 32 Years
4	Chandra Raj Sharma	ACEO	Chartered Accountant, MBA	More than 22 Years
5	Kalyan Bikram Pande	ACEO	Post Graduate	More than 21 Years
6	Buddhi Akela	DGM	Post Graduate	More than 21 Years
7	Bhawani Dhakal	DGM	Post Graduate	More than 19 Years
8	Deep Chandra Regmi	DGM	Post Graduate	More than 18 Years
9	Ranjan Kumar Thapa	DGM	Post Graduate	More than 14 Years

(d) Other Employee-related Details

Particulars	Status / Details
Posts filled according to organizational structure	Yes
Recruitment procedure	Employee Service Regulation, 2020
No. of management-level employees	Top Management: 16; Manager Level: 218
Total employees	3,802
Employee succession plan	Yes
No. of trainings conducted during the year	406
No. of employee participations in trainings	6,192
Total training expenses	NPR 63,484,038.62
Employee expenses as % of total expenses	52.01%
Training expenses as % of total employee expenses	1.35%

6. ACCOUNTS AND AUDIT

(a) Accounting Information

Particulars	Status / Details
Financial statements prepared as per NFRS	Prepared in accordance with NFRS
Date of latest financial statements approved by the Board	11 October 2025 for FY 2025
Publication dates of quarterly financials (FY2025)	23 Oct 2024 (First); 20 Jan 2025 (Second); 20 Apr 2025 (Third); 13 Aug 2025 (Fourth)
Date of completion of final audit	11 October 2025 for FY 2025
Approval of financial statements by General Meeting	18th AGM held on 12 Dec 2024 approved FY 2024 financial statements

Details of Internal Audit

Particulars	Status / Details
Internal audit conducted internally or externally	Conducted internally
External expert appointed	Not appointed
Frequency of internal audit	As per the approved audit plan

(b) Internal Audit Committee

S.N.	Name	Role	Educational Qualification
1	Krishna Prasad Sharma	Coordinator	Post Graduate
2	Ram Bahadur Bhandari	Member	Post Graduate
3	Head – Internal Audit	Member Secretary	Post Graduate

Number of Audit Committee meetings held: 13

7. OTHER DETAILS

Particulars	Status / Details
Loans/borrowings from Directors or BFIs where close family members have financial interest	Not taken
Use of Bank property by persons with financial interest beyond lawful benefits	No such information has come to notice
Compliance with licensing conditions	Yes
Implementation of regulatory inspection/supervisory instructions	Followed; policy and long-term instructions are being implemented on priority
Court cases pending against the institution or Directors	None, except routine business-related cases

Approval and Submission

Date of approval of the compliance report: 15 October 2025

Note: This Annual Compliance Report for FY 2025 has been submitted to the Securities Board of Nepal following authorization by the Board of Directors and verification by the Statutory Auditors.

ANNEXURE A

AS REQUIRED BY SEC 109 OF COMPANIES ACT 2063, TO BE INCLUDED SEPARATELY WITH BOARD'S REPORT

1. **Information on shares forfeited by the Bank during the year:**
   There is no forfeiture of share during the fiscal year 2024-25.

2. **Financial position of the Bank and its subsidiary in the previous year ended:**
   The detailed financial position of the Bank and its subsidiaries is comprehensively presented in the Directors' Report and the Audited Consolidated Financial Statements for the fiscal year 2024-25. In addition, the Bank's overall performance, key achievements, and operating highlights for the year have been outlined in the Board Report for FY 2024-25.

3. **Major transactions carried out by the Bank and its subsidiary during the financial year 2024-25, and any significant changes in the business of the Bank during the period:**
   The major transactions undertaken by the Bank and its subsidiaries are detailed in the attached Consolidated Statement of Financial Position, Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Cash Flow Statement, Consolidated Statement of Changes in Equity, Significant Accounting Policies, Notes to the Accounts and other disclosures.

4. **Information provided by key shareholder to the company during the previous fiscal year.**
   No such transaction noted.

5. **Information regarding the purchase and ownership of shares by the Directors and Management team of the company, and further information received by the company from the directors if involved in the share transactions.**
   The Directors and members of management team are not involved in the share transaction of the company. Management team has not taken any shares apart from the ones separated for the employees. Shareholding patterns of the Directors are as follows:

S.No.	Name of Shareholder	Representative	No. of Shares
1	Mr. Chandra Prasad Dhakal	Promoter (Representing IME Investment Pvt. Ltd.)	9,554,159
2	Mr. Radhesh Pant	Promoter	1,453,254
3	Mr. Ram Bahadur Bhandari	Promoter	150,196
4	Mr. Krishna Prasad Sharma	Public	2,832
5	Mr. Madan Lal Joshi	Public	8,866
6	Mr. Narayan Prasad Paudel	Public (Representing D.D. Investment Pvt. Ltd.)	5,403

6. **Information provided to the company by any directors or his close relatives on their personal interest in the company related agreements in the previous fiscal year.**
   No such information has been provided to the company.

7. **If company has purchased its own shares, the reason for purchasing its own shares, the number of shares purchased and the amount and also the payment by the company for such kind of purchase details.**
   No such transaction has taken place.

8. **Distribution of Profit:**
   The bank has recommended distributing cash dividend of Rs. 3,049,268,209.28 (i.e. 8.00%) from the net profit of current year and accumulated reserves. Amount transferred to statutory and regulatory reserves as directed by Nepal Rastra Bank from the net profit are shown separately in the financial statements.

9. **Statement of the total management expenses for the financial year**
   Particulars of the total management expenses for the financial year 2024-25 are as follows:

Particulars	Amount
Staff Expenses*	4,691,555,650
Other Operating Expenses	4,329,468,134
Total	**9,021,023,784**

* Staff Expenses include provision for annual staff bonus of Rs 805,181,784.

10. Details on the members of the Audit Committee; salary, bonus and facilities provided to the members; work carried out by the committee and any suggestions given:

Board members representing Audit Committee are as below:

Mr. Krishna Prasad Sharma, Director - Coordinator
Mr. Ram Bahadur Bhandari, Director - Member
Chief, Internal Audit Department - Member Secretary

For every audit committee meeting held, the board members representing audit committee are paid Rs. 22,000/- as meeting allowance. In this current fiscal year, a total allowance of Rs. 792,000/- has been paid to the audit committee members. Audit committee, in regular intervals, discusses internal and annual audit report prepared by Internal Audit Department and presents it to the Board of Directors. During the review year, Audit Committee meeting was held 13 times with different agenda. As a result, the committee has given suggestions to the Board of Directors on various areas of financial position, internal control operation, legal compliance and risk minimization.

11. Payments due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank and their close relatives, or from any firm, company or corporate body in which they are involved in.

No payment is due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank or any of their close relatives, or from any firm, company or corporate body in which they are involved in.

12. Remuneration, allowances and facilities provided to the Directors, Managing Director, Chief Executive Officer and other official of the bank.

The amounts paid as remunerations, allowances and facilities to the Directors, Chief Executive Officer and other office bearers are as provided below:

a. Chairman and Board members:

Chairman of the Board of Directors and the Board members are paid Rs. 25,000 and Rs. 22,000 respectively as meeting allowance per meeting and the sub-committee members are paid Rs. 22,000 as meeting allowance per meeting. Sum of Rs. 25,000 per month is provided to board of directors for communication and travelling facilities.

During the fiscal year a sum of Rs 1,868,000 has been paid to the Chairman and the board members as meeting allowance and Rs 1,892,000 for sub-committee members (including audit committee members). Rs. 7,471,766.36 has been incurred as other board related expenses. Auditor Remuneration for FY 2024-25 was Rs. 4,633,000.

b. Chief Executive Officer, Company Secretary and other officials:

Particulars	Mr. Surendra Raj Regmi (17th August 2024 to 16th July 2025)	Mr. Ratna Raj Bajracharya (16th July 2024 to 16th August 2024)
Salary	6,963,000	633,000.00
Allowance	4,620,000	420,000.00
Provident Fund	696,300	63,300.00
Leave Fare Allowance	690,491.80	362,508.20
Dashain Allowance	1,053,000	-
Others		-
Total	**14,022,791.80**	**1,478,808.20**

The performance based salary provided to the CEO is as follows:

Particulars	Mr. Surendra Raj Regmi (17th August 2024 to 16th July 2025)	Mr. Ratna Raj Bajracharya (16th July 2024 to 16th August 2024)
Employee Bonus of FY 2023-24	3,031,185.41	5,136,291.42

Other Facilities

a) Telephone & Mobile Expense Rs. 22,220.00
b) Repair and maintenance of vehicle Rs. 43,198.00
c) Fuel Rs. 187,725.00

ii. Company Secretary and other officials

- For staffs up to the position of assistant manager, salary, allowance and provident fund totaling to Rs. 413,855,390 and in addition to this, fuel and mobile facility is provided as per the bank's rule.
- Company Secretary has been paid remuneration of Rs 2,466,750.00 during the year.
- Remuneration and facilities so provided has been paid only after deducting income tax and TDS as per Income Tax Act.
- Other facilities and allowances have been provided as per the company's employee bye- laws and any decision made by the board of directors.

13. Dividend yet to be collected by the Shareholders:
The dividend yet to be collected by shareholders is Rs. 412,266,781.00

14. Details of property purchased or sold u/s 141 by the Bank during the year:

a) The details of assets required by the bank such as vehicle, office equipment, capital expenditure, leasehold improvement purchased and sold has been shown under schedule 4.13 of the attached financial statement.

b) The bank has purchased or sold the assets as per the prevailing market price and the procedures prescribed in the financial policy of the bank.

15. Details of transactions between related companies u/s 175.
The details of transaction between the related companies have been provided in Note 5.7 of the financial statement published with this annual report.

16. Details to be disclosed in Board of Director's report as per the Company Act and other related acts:
There are no additional details for disclosure.

17. Any other issues:
There are no other issues for disclosure.

DISCLOSURE RELATED TO SUB RULE (2) OF RULE 26 OF SECURITIES REGISTRATION AND ISSUANCE REGULATION, 2073

1. Report of Board of Directors:
   Included in the Annual Report

2. Report of the Auditors:
   Included in the Annual Report

3. Audited Financial Details:
   Included in the Annual Report

4. Details relating to Legal Action

a. Law Suits filed by/against the Bank:
   No such except business cases.

b. Law Suits filed by/against the promoters/directors involving charge of regulatory violations or criminal offences:
   No information received by the Bank.

c. Case filed against any promoters/directors for financial fraud:
   No information received by the Bank.

5. Analysis of share transaction and progress of organized institution:

a. Management view on share transactions of the bank on Nepal Stock Exchange:
   Since the share prices are determined by open market operations at Nepal Stock Exchange under the supervision of Securities Board of Nepal, management has no comment on the same.

b. Maximum, minimum and closing share price of organized institution including total transacted number of shares and transacted days during the Year:

Quarter (Months)	Maximum Share Price	Minimum Share Price	Closing Share Price	Total Transacted Number of Shares	Total Number of Trading days
I Quarter (Shrawan- Ashwin)*	302.00	193.60	263.00	25,003,399	57
II Quarter (Kartik- Poush)	271.00	217.00	222.00	7,628,089	55
III Quarter (Magh- Chaitra)	251.00	210.70	218.69	6,999,364	56
IV Quarter (Baisakh- Ashad)	267.50	213.00	259.97	15,672,293	63

6. Problems and Challenges

a. Problems and Challenges Faced:

Internal

- Operational Risk & Cost Efficiency: Strengthening internal controls and streamlining processes to minimize operational risk and optimize cost structures.
- Asset Quality Management: Maintaining disciplined credit practices to preserve asset quality and keep NPAs at prudent levels.
- Liquidity Optimization: Deploying excess liquidity judiciously to enhance returns while safeguarding liquidity and regulatory compliance.
- Technology & Cyber Risk: Managing technology-related risks through robust cybersecurity, system resilience, and continuous oversight of digital channels.
- Human Capital Management: Enhancing workforce capability and engagement to maximize productivity and reduce employee turnover.

External

- Macroeconomic Stress: Adverse impact of economic slowdown on borrowers' cash flows, affecting repayment capacity and credit performance.
- Sustainable Banking & Returns: Balancing prudent, sustainable banking operations with shareholders' expectations of stable profitability under challenging conditions.
- Muted Credit Growth & Pricing Pressure: Low credit expansion amid cautious demand and volatility in deposit rates impacting interest margins.
- Asset Quality & Recovery: Elevated focus on managing non-performing assets and strengthening recovery and resolution mechanisms.
- Regulatory Impact on Profitability: Pressure on expected profitability arising from the introduction of new regulatory policies, guidelines, and supervisory directives.
- Post-Merger Challenges: Operational, cultural, and systems-related challenges associated with recent large-scale mergers within the banking sector.

b. Strategy followed by the management in solving such problems and challenges:

- Asset–Liability Management: Strengthening ALM practices and risk-based portfolio diversification to maintain balance sheet resilience.
- Recession Management & Credit Support: Supporting affected businesses and individuals through structured loan rescheduling and restructuring, while safeguarding asset quality.
- Cost & Risk Asset Oversight: Exercising strict control over operating expenses and enhancing monitoring of high-risk assets including the regular assessment and effective management of operational, market, and business risks.
- NPL Recovery: Assigning high priority to recovery, resolution, and proactive management of non-performing loans.
- Digital Innovation: Developing and expanding innovative digital banking products and services to improve efficiency and customer experience.
- Human Capital Development: Implementing structured training and development programs aligned with strategic and operational needs.

7. Corporate Governance

The Bank remains firmly committed to the highest standards of corporate governance, ensuring full compliance with the directions, guidelines, and prudential requirements issued by Nepal Rastra Bank. Robust governance oversight is reinforced through regular meetings of the Board of Directors and its Committees, as well as periodic sessions of the Management Committee, which collectively review operational performance, risk exposures, and strategic progress. The Internal Audit Department enhances the independent assurance, internal control effectiveness, and regulatory compliance. In addition, key governance forums including the Asset–Liability Management Committee (ALCO) and Risk Management Committees covering operational, credit, and market risks convene regularly to ensure disciplined balance sheet management and proactive risk oversight. The Board and Management remain jointly accountable for upholding sound governance practices and are fully committed to complying with the Corporate Governance Directives, 2074, issued by the Securities Board of Nepal, applicable to all listed entities.

04

Risk Management

1. RISK MANAGEMENT FRAMEWORK

At Global IME Bank, managing risk is not just a regulatory requirement, it is an integral part of how we safeguard assets, protect stakeholders, and ensure long-term stability. Our Risk Management Framework is designed to systematically identify, assess, and mitigate uncertainties that could impact our strategic goals. By embedding risk management into every level of the organization, we ensure that business expansion and financial resilience go hand in hand. The risk management system of Global IME Bank Limited includes policies, procedures, limits and controls in its foundation that provide adequate, timely, and continuous identification, assessment, measurement, monitoring, mitigation and reporting of risks posed by its activities at the business line and different levels of the Bank. To ensure effective and efficient risk controlled business operations, the Bank has put in place a sound risk management system to enhance our ability to anticipate and manage risks proactively. Followings are the key elements of risk management framework of Global IME Bank Limited.

1.1 Governance and Oversight

Risk governance is overseen by the Board of Directors, which is responsible for approving the Bank's risk appetite and risk management policies. The Board Level Risk Management Committee, Audit Committee and AML/CFT Committee provide continuous focus on the oversight of material risks and the effectiveness of the risk management system. Senior Management is responsible for implementing the approved policies and ensuring that risks are managed within the defined risk appetite. Management Level Integrated Risk Management Committee and other management level committees like ALCO, Information Technology Steering Committee (ITSC), Corporate Governance Committee (CGC), AML/CFT Committee etc. ensure the board approved risk management policies are fully implemented in practice for effective risk management at Bank.

The bank's policies and more detailed procedures provide guidance for the day-to-day implementation of broad risk strategies and generally work as safeguard against unexpected risks. The Bank assesses the effectiveness of the risk measurement, monitoring and management reporting systems by considering the adequacy of the risk monitoring practices and reports addressing all material risks, appropriateness of the key assumptions, data sources, etc. The bank's internal control system is adequately tested and reviewed by its internal/IS/external audit, as applicable. The coverage, procedures and findings of the audit regarding the internal controls are adequately reviewed by the Audit Committee, and any material weakness found is addressed promptly and appropriately.

1.2 Three Lines of Defense Model

The Bank follows the Three Lines of Defense Model to ensure clear accountability and effective risk control:

First Line of Defense

Business units own and manage risks arising from their activities and are responsible for adhering to approved policies and limits.

Second Line of Defense

The Integrated Risk Management Department and Compliance Functions provide independent oversight, risk monitoring, and guidance.

Third Line of Defense

Internal Audit provides independent assurance on the adequacy and effectiveness of the risk management framework and internal controls.

OUR SHARED APPROACH TO RISK MANAGEMENT

THE BOARD

Responsibilities:

Approves strategic objectives and risk appetite, and overall risk management Strategy

Reviews key risks, mitigating measures and oversees bank-wide exposires

Assess the effectiveness of risk management through periodic reporting and monitoring

Board Committees:

Board

Board Risk Management Committee

Board Audit Committee

Board AML/CFT Committee

SENIOR MANAGEMENT

Responsibilities:

Implement the Board- approved risk management framework, policies and ris appetite across the Bank.

Identifies, measures, monitors, and controls key risks and ensures timely mitigation actions.

Establishes effective internal control, risk systems, and adequate organizational structures for risk management.

Report risk exposures, breaches, and the effectiveness of risk management practices to the board and its committees regularly.

Management Committees:

Core Management Committee

Extended Management Committee

Corporate Governance Committe

Integrated Risk Management Committee

Asset Liability Committee

Credit Committee

Financial Direction Committee

AML/CFT Management Committee

IT Steering Committee

CREDIT, RISK & COMPLIANCE UNIT

Responsibilities:

Develops, implements, and continuously enhances credit, risk & Compliance policies and frameworks.

Identifies, measures and monitors key risks and asset quality.

Oversees credit appraisal, portfolio performance and risk mitigation.

Provides independent risk analysis and regular reporting to management and the Board

Risk Divisions:

Credit Risk

Operation Risk

Market Risk

Information Security

Credit Administration

Credit Monitoring

AML/CFT Compliance

1.3 Risk Limits & Appetite

The Bank has enacted Risk Appetite Statement in credit and other operational areas, that defines the level and types of risk it is willing to accept in pursuit of its strategic objectives. The statement includes quantitative limits and qualitative statements covering key risk categories and is reviewed periodically to ensure continued alignment with the Bank's strategy and capital position.

1.4 Risk Identification and Assessment

The Bank identifies and assesses all material risks on an ongoing basis. Key risk categories include credit risk, market risk, liquidity risk, interest rate risk, operational risk, information security risk, E&S risk, compliance and legal risk, strategic risk, reputational risk and other emerging risks. Risk identification & assessments are supported by structured processes, including policies development/review procedure, new product approval procedures, risk and control self-assessments, scenario analysis, key risk indicators, incident reporting, exception reporting, continuous monitoring etc.

1.5 Risk Measurement and Mitigation

Risks are measured using appropriate methodologies and metrics relevant to each risk type. The Bank employs a range of risk mitigation techniques, including credit limits, concentration limit, collateral requirements, guarantees, diversification, hedging strategies, internal controls, insurance arrangements etc. to ensure risks remain within approved tolerances.

1.6 Risk Monitoring and Reporting

Risk exposures are continuously monitored through defined limit frameworks, key risk indicators, and regular management reporting. Any breaches of limits or emerging risk concerns are promptly escalated to Senior Management, relevant Board-level committees, and the Board, as appropriate, to ensure timely corrective action.

1.7 Capital and Liquidity Management

The Bank maintains a strong capital and liquidity position to absorb potential losses under normal and stressed conditions. Internal capital and liquidity adequacy assessments are conducted regularly to ensure sufficient buffers are maintained in line with regulatory and internal requirements.

1.8 Stress Testing

The Bank conducts regular stress testing and scenario analysis to assess the potential impact of adverse economic and financial conditions on its capital, liquidity, and overall risk profile. The results are used to inform strategic planning and risk appetite decisions.

1.9 Risk Culture

Global IME Bank promotes a strong risk culture founded on clear accountability, continuous training, and performance management practices that emphasize prudent risk-taking, ethical conduct, and compliance.

This disciplined and proactive risk culture has been fundamental to Global IME Bank's continued success, enabling us to seize growth opportunities while maintaining financial strength. As part of our ongoing efforts, we have implemented targeted initiatives to further strengthen our risk management practices and align with global best practices.

2. CULTIVATING A STRONG RISK CULTURE

At Global IME Bank, maintaining a unified and resilient risk culture is essential to safeguarding our financial strength and operational integrity. With a history of successful mergers and acquisitions, we have worked diligently to harmonize risk principles across all integrated entities, ensuring a consistent and disciplined approach to risk management throughout the organization.

Recognizing that risk awareness must be embedded at every level, we have implemented comprehensive initiatives to align employees with the Bank's risk values, appetite, and tolerance levels. These efforts include:

- Conferences and Engagement Programs – Encouraging open discussions on risk awareness and best practices.
- Structured Training Sessions – Providing both in-person and virtual learning opportunities to reinforce a shared understanding of risk management principles.
- Active Communication Channels – Facilitating seamless exchange of insights and concerns, ensuring that risk-related matters are promptly identified and addressed.

We uphold a zero-tolerance policy for actions that could compromise the Bank's reputation, regulatory compliance, or ethical standards. As a socially responsible financial institution, we are committed to operating sustainably and transparently, ensuring that our risk culture aligns with the highest professional and societal expectations.

Furthermore, we encourage bottom-up communication, empowering employees at all levels

to escalate concerns and challenge behaviors that do not align with our risk values. By fostering a culture of accountability, responsibility, and transparency, we reinforce our commitment to prudent risk management and sustainable banking practices.

3. COLLABORATION WITH THE INTERNATIONAL FINANCE CORPORATION (IFC) TO STRENGTHEN RISK MANAGEMENT FRAMEWORK

In line with our commitment to enhancing our risk management practices, Global IME has partnered with the International Finance Corporation (IFC). This collaboration focuses on strengthening our capabilities in key areas such as operational risk, credit risk, and asset-liability management (ALM)/ market risk.

This partnership is part of a comprehensive, 30-month initiative aimed at refining our risk management framework to align with international best practices. Through this collaboration, we are enhancing our ability to identify, assess, and manage risks effectively, ensuring the long-term growth and operational resilience of Global IME. The program will bolster our risk management system, equipping us with the tools to navigate an increasingly complex financial landscape.

4. RISK GOVERNANCE FRAMEWORK: ENSURING ACCOUNTABILITY AND OVERSIGHT

At Global IME Bank, a well-defined risk governance structure is in practice for maintaining financial discipline and operational resilience. It ensures that risk identification, assessment, and mitigation are carried out systematically, with clear accountability at every level of the organization.

The Board of Directors (BOD) plays a pivotal role in setting the Bank's risk appetite and tolerance levels, ensuring that comprehensive mechanisms are in place for risk monitoring and management. The Board also reviews and approves key risk management policies and strategies, ensuring that risk oversight aligns with the Bank's broader objectives. Supporting the Board in these efforts, the Risk Management Committee provides additional oversight, refining and strengthening the Bank's risk governance model.

To ensure structured risk management and timely reporting, we have established dedicated departments and committees, each with distinct responsibilities:

By maintaining a clear and structured risk governance system, Global IME Bank reinforces its commitment to responsible banking, ensuring that risk is managed proactively while supporting sustainable growth and operational efficiency.

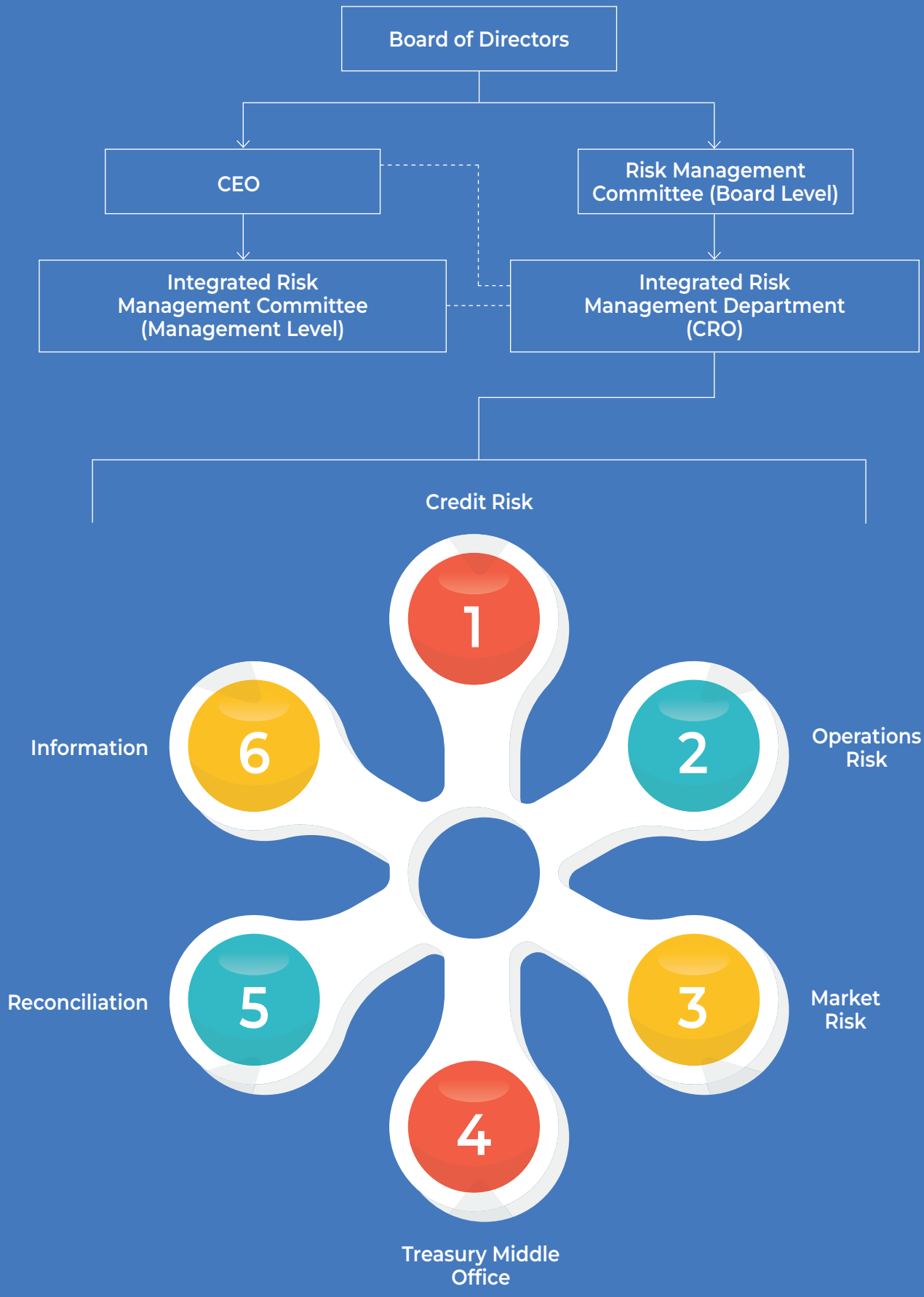
5. STRUCTURED RISK OVERSIGHT AT GLOBAL IME BANK LIMITED

At Global IME, our Integrated Risk Management Department (IRMD) is dedicated to safeguarding our operations by maintaining a comprehensive risk oversight. We actively monitor credit risk, operational risk, market and liquidity risk, information security risk, and environmental and social risk and other material risks ensuring that our risk culture and values are upheld at all times.

Our IRMD operates as an independent unit led by the Chief Risk Officer (CRO), who directly reports to the Board Level Risk Management Committee. This structure ensures clear accountability and effective risk control measures across all functions. The department works closely with various departments/units to develop and implement risk policies, procedures, manuals, and guidelines, ensuring that our risk management framework remains robust and adaptable.

Additionally, IRMD is responsible for regularly reviewing and updating risk management policies, which are presented to the Risk Management Committee (RMC) and the Board for evaluation and approval. Risk assessment reports are generated and shared with the Integrated Risk Management Committee (IRMC), RMC, and the Board, ensuring proactive risk mitigation and strategic decision-making.

STRUCTURE OF RISK MANAGEMENT



The IRMD consists of the following specialized units, each focusing on critical risk areas:

- Credit Risk: Critically assess/review the credit proposals, monitors credit exposure and ensures adherence to risk tolerance levels. Also incorporates the E&S risk.
- Operational Risk: Identifies and mitigates operational vulnerabilities.
- Reconciliation: Identify and support on settlement of unreconciled items.
- ·Market Risk: Manages market fluctuations and liquidity risks.
- ·Treasury Middle Office: Concurrently review the activities of treasury front office and back office.
- Information Security Unit: Safeguards our systems against cyber threats and data breaches.

By reinforcing a structured and proactive risk management system, we strengthen our resilience, enhance regulatory compliance, and uphold Global IME's commitment to sustainable and secure banking practices.

6. PRINCIPAL RISKS AND UNCERTAINTIES FACED BY THE BANK AND OUR RISK MANAGEMENT APPROACHES

6.1 CREDIT RISK MANAGEMENT

At Global IME Bank Limited, credit risk is managed through a comprehensive and structured framework designed to protect the Bank's asset quality and support sustainable growth. The framework is guided by applicable regulatory requirements and Board-approved policies, including the Credit Policy, Credit Guidelines, Credit Risk Management Policy, Integrated Product Papers, and related procedural documents. These collectively ensure consistency, prudence, and regulatory compliance across all credit activities.

a) Governance and Control Framework
The Bank manages credit risk in accordance with the Three Lines of Defense model. Business units are responsible for originating credit exposures within approved parameters, while independent risk management functions provide oversight, review, and challenge. Internal Audit delivers independent assurance on the effectiveness of credit risk controls and governance processes.

b) Credit Appraisal and Approval
The Bank follows a rigorous and independent credit appraisal and review process, fully segregated from business and sales functions, without lending authority, to ensure objectivity in credit decision-making. All credit proposals undergo comprehensive evaluation, including assessment of borrower creditworthiness, cash flow and repayment capacity, industry and economic outlook, and internal risk rating.

Credit approvals are governed by clearly defined, class-based approval authorities and structured approval processes.

c) Disbursement and Documentation Control
A separate disbursement mechanism is maintained at the Bank to ensure that all pre-disbursement conditions, documentation requirements, and compliance with approved terms and conditions are fully met prior to fund release. This function is separately carried out by centralized Credit Administration Unit.

d) Portfolio Management and Monitoring
Credit exposures are actively managed through defined limits by borrower, group, segment, sector, product, and geography to avoid undue concentration. The credit portfolio is subject to continuous onsite and offsite monitoring, including review of repayment behavior, financial performance, covenant compliance, and early warning indicators. Portfolio performance is regularly reviewed to identify emerging risks and trends.

At operational level, different assets quality indicators like, concentration review, NPL, adequacy of LLP, loan degradation rate, recovery rate etc. are regularly monitored for effective management of credit portolio.

e) Risk Measurement and Mitigation
Basically, at institutional level, the bank follows the credit risk measurement approach (SSA) as outlined in Capital Adequacy Framework of NRB. Additionally, the Bank utilizes an internal credit risk rating model to assess borrower risk profiles and support pricing and portfolio management.

Credit risks are mitigated through comprehensive appraisal process, appropriate collateral, guarantees, covenants, diversification and by adoption of other prudent credit practices. Collateral valuation and legal enforceability are reviewed periodically to ensure continued effectiveness.

f) Problem Loan Management and Provisioning
The Bank maintains structured processes for the classification, provisioning, and management of non-performing assets in line with regulatory requirements. Dedicated recovery department focus on the timely resolution and recovery of stressed and impaired assets, enabling effective remedial action.

In accordance with regulatory guidelines, the Bank maintains adequate loan loss provisions to cover anticipated credit losses within its credit portfolio, thereby strengthening balance sheet resilience and supporting prudent risk management practices.

g) Stress Testing and Risk Assessment
Regular credit stress testing and scenario analysis are conducted to assess the impact of adverse economic and industry-specific conditions on asset quality and capital adequacy. In addition, periodic economic and sectoral risk assessments are undertaken, with material risks escalated to Senior Management, the Risk Management Committee, and the Board, as appropriate.

h) Management Information Systems and Continuous Improvement
To further strengthen credit risk management, the Bank continues to enhance its Management Information Systems (MIS), enabling effective portfolio monitoring, timely reporting, and informed decision-making. Continuous monitoring and stress testing ensure early identification and proactive management of weakening credit exposures, safeguarding the long-term quality and resilience of the Bank's credit portfolio.

6.2 MANAGING OPERATIONAL RISKS

At Global IME Bank Limited, operational risk management is an integral part of the Bank's overall risk management framework. As the Bank continues to expand its branch network, workforce, and operational footprint, including the integration of acquired financial institutions, the complexity and scale of operational risks have increased. While operational risks are inherent in all business activities and cannot be entirely eliminated, the Bank places strong emphasis on effective management to minimize potential impacts and strengthen internal control mechanisms.

a) Governance and Oversight
The governance of operational risk is structured across multiple levels, including the Management-level Risk Management Committee, Board-level Risk Management Committee, and the Board, ensuring appropriate oversight at all stages. Roles and responsibilities are clearly defined throughout the organization and aligned with the Three Lines of Defense model. An independent operational risk management function, reporting directly to the Chief Risk Officer, operates through the Operational Risk Unit within the Integrated Risk Management Department (IRMD). This unit is responsible for the identification, assessment, monitoring, and reporting of operational risks across the Bank. It also reviews and recommends enhancements to operational risk policies, procedures, and systems to maintain effectiveness and ensure alignment with regulatory expectations and international best practices. Additionally, it also daily monitors the reconciliation status of nostro accounts.

b) Policies, Framework, and Risk Appetite
The Bank's operational risk management framework is underpinned by a Board-approved policy and framework, aligned with regulatory requirements and international standards.
A clearly defined Operational Risk Appetite

While operational risks are inherent in all business activities and cannot be entirely eliminated, the Bank places strong emphasis on effective management to minimize potential impacts and strengthen internal control mechanisms.

Statement articulates the level of risk the Bank is willing to accept, along with escalation thresholds for material issues. Policies are periodically reviewed and updated to reflect changes in business activities, technology, and regulatory developments, ensuring that risk management practices remain robust and adaptive.

c) Risk Identification and Assessment
Structured processes are in place to identify and assess operational risks arising from people, processes, systems, and external events. Key tools employed include Risk and Control Assessments (RCA), incident and loss event reporting, and exception tracking, which facilitate the evaluation of existing controls and highlight areas requiring improvement. Regular Risk and Control Self-Assessments (RCA) are conducted across branches to identify critical operational risks and assess control effectiveness. Operational risk considerations are integrated into new product approvals, system changes, and process redesigns, ensuring proactive risk management at all stages of business operations.

d) Loss Event and Incident Management
The Bank has a mechanism to capture, analyze, and report operational loss events and near misses. This mechanism supports root cause analysis, enabling the identification of control weaknesses and the implementation of corrective actions. Lessons learned from loss events are leveraged to improve controls, enhance risk awareness, and reduce the likelihood of recurrence.

e) Monitoring, Reporting, and Control
Operational risk monitoring is reinforced through a centralized digital platform that facilitates systematic data collection, trend analysis, and root cause investigation. Operational risks are continuously monitored through Key Risk Indicators (KRIs), management dashboards, and exception reports. Material issues are promptly escalated to senior management and relevant committees in accordance with established protocols. Regular reporting to the Board and management ensures that operational risk exposures, incidents, and control effectiveness are communicated effectively.

f) Business Continuity and Resilience
The Bank places significant emphasis on business continuity and resilience. Comprehensive Business Continuity Management (BCM) and Disaster Recovery Plans (DRP) are maintained to ensure uninterrupted operation of critical functions. These plans are regularly tested to assess preparedness and recovery capabilities, with a focus on operational resilience, system availability, cybersecurity, and third-party risk management.

g) Outsourcing and Third-Party Risk Management
Effective management of outsourcing and third-party risks is a key focus area. The Bank conducts thorough due diligence and risk assessments of service providers, establishes clear service level agreements (SLAs), monitors ongoing performance, and maintains contingency plans for critical outsourced activities.

h) Stress Testing and Scenario Analysis
Operational risks are also assessed through stress testing and scenario analysis to evaluate the impact of severe but plausible events. The insights gained are used to enhance internal controls, improve contingency planning, and support capital adequacy assessments.

i) Capacity Building and Operational Resilience
To promote operational resilience, the bank monitors operational exceptions, supports timely resolution of issues, and conducts targeted training programs to enhance staff awareness and capability in managing operational risks. These initiatives foster a proactive risk culture, embed accountability, and strengthen operational discipline across the Bank. Promotion of a proactive risk culture that encourages timely reporting and control ownership.

j) Continuous Improvement
Operational risk management practices are continuously reviewed and improved to address evolving business complexity and emerging risks. Independent reviews by the Internal Audit function assess the effectiveness of operational risk controls, while ongoing enhancements in systems, processes, and governance further reinforce the Bank's capacity to operate safely, efficiently, and resiliently. Through these comprehensive efforts, Global IME Bank Limited maintains a robust operational risk management framework that supports sustainable growth and stakeholder confidence.

6.3 MARKET RISK MANAGEMENT

At Global IME Bank Limited, market risk arises from fluctuations in interest rates, foreign exchange rates, equity prices, and other market variables that can affect the Bank's financial position. Effective management of market risk is critical to maintaining the Bank's financial stability, profitability, and resilience. The Bank has established a comprehensive market risk management framework that aligns with regulatory requirements, international best practices, and internal policies.

a) Governance and Oversight
Market risk management is overseen by the Board of Directors, the Board-level Risk Management Committee, management level integrated risk management committee (IRMC) and Assets Liabilities Committees (ALCO). The Market Risk function within IRMD reporting independently to the Chief Risk Officer (CRO), also serves as the middle office for treasury operations. The unit monitors trading and investment activities, ensures compliance with approved limits and policies, and escalates material deviations for corrective action.

b) Policies, Framework, and Risk Appetite
The Bank operates under a Board-approved Market Risk Management Policy that defines the acceptable level of risk exposures and establishes risk appetite thresholds for different market variables. Policies are regularly reviewed to account for market developments, regulatory changes, and the Bank's evolving business strategy.

c) Risk Measurement, Monitoring and Mitigations
At institutional level, market risk is measured through Net Open Position Approach as per regulatory provision. On the operational level, the market risk function employs risk measurement tools, including, sensitivity analysis and scenario analysis, to quantify potential losses under normal and stressed conditions. Cumulative gap analysis of interest rate change is calculated on periodic basis for interest rate risk management. Price risk is monitored through Mark to Market of Investment Portfolio Report on monthly basis. Market exposures are monitored daily, and compliance with approved limits is ensured across all trading and investment activities.

Foreign exchange trade deal size limit, open position limit, stop loss limit etc. have been set and adhered in practice to mitigate the foreign currency risk.

d) Stress Testing and Scenario Analysis
Regular stress testing and scenario analysis assess the potential impact of severe but plausible market events, such as interest rate shocks, foreign exchange volatility, or equity market disruptions. The insights gained are used to strengthen risk mitigation strategies, improve portfolio diversification, and support capital adequacy planning.

e) Best Practices and Continuous Improvement
The Bank follows industry best practices, including diversification of investment portfolios, hedging of interest rate and foreign exchange exposures, and proactive monitoring of market positions. Market risk management processes are continuously enhanced through independent reviews, staff training, and technological improvements to ensure resilience and adherence to regulatory standards.

6.4 LIQUIDITY RISK MANAGEMENT

For Global IME Bank Limited, liquidity risk relates to the Bank's ability to meet its financial obligations as they fall due without incurring unacceptable losses. Bank ensures effective liquidity risk management by maintaining sufficient funds to operate under normal conditions and withstand periods of market stress, thereby safeguarding depositor confidence and financial stability.

a) Governance and Oversight
Liquidity risk management is governed/overseen by the Board of Directors, the Board-level Risk Management Committee, management level integrated risk management committee (IRMC) and Assets Liabilities Committees (ALCO). The Market Risk function within IRMD plays a central role in monitoring daily liquidity positions, ensuring compliance with internal policies, regulatory liquidity requirements, and approved limits. Material deviations or potential liquidity stress situations are promptly escalated for action.

b) Policies, Framework, and Risk Appetite
The Bank has a Board-approved Liquidity Risk Management Policy that defines liquidity risk appetite, acceptable funding gaps, and contingency measures. The policy sets clear limits on concentration of funding sources, reliance on short-term funding, and liquidity coverage ratios etc. Policies are periodically reviewed to reflect market developments, regulatory requirements, and the Bank's evolving business needs.

c) Liquidity Monitoring and Controls
The Bank conducts liquidity monitoring regularly, using cash flow forecasts, liquidity ratios (CRR, SLR, NLA, CD Ratio, LCR, NSFR, Deposit Concentration etc.), and maturity gap analysis to ensure sufficient funds are available for all obligations. The market risk function within IRMD monitors the stability of funding sources, maintains liquidity buffers, and tracks compliance with internal and regulatory liquidity requirements. Exception reports and key risk indicators support timely decision-making.

d) Stress Testing and Contingency Planning
Regular stress testing evaluates liquidity under various scenarios, including sudden deposit withdrawals, market disruptions, and funding constraints. Results of stress testing inform strategic decisions on balance sheet management and risk mitigation. The Bank also has board approved contingency funding plans, detailing alternative funding sources, asset liquidation strategies, and access to interbank markets to address potential liquidity shortfalls.

e) Best Practices and Continuous Improvement
Global IME Bank adheres to industry best practices in liquidity management, including maintaining diversified funding sources, proactive monitoring of liquidity gaps, and alignment of asset-liability management with liquidity requirements. Continuous improvements are implemented through independent audits, scenario testing, and staff training programs, ensuring robust liquidity risk management and resilience against unforeseen market shocks.

6.5 MANAGING INFORMATION SECURITY RISKS

Global IME Bank Limited (GIBL) recognizes the critical importance of protecting the confidentiality, integrity, and availability of information assets belonging to the Bank and its customers. In an increasingly digital operating environment characterized by expanded use of electronic banking channels, social platforms, and heightened cyber threats, information security risk has emerged as a key area of operational and reputational risk. Unauthorized access, use, disclosure, alteration, or destruction of sensitive information may result in financial losses, regulatory non-compliance, and damage to the Bank's reputation.

To effectively manage information security risks, GIBL has established a robust governance and control framework, overseen by IT Steering Committee at Management level, supported by the following institutional arrangements and practices:

a) Information Security Unit (ISU):
The Bank has established a dedicated Information Security Unit (ISU) under the Integrated Risk Management Department (IRMD). The ISU is led by an Information Security Officer and reports directly to the Chief Risk Officer. The Unit is responsible for developing, implementing, and maintaining comprehensive information security policies, procedures, and guidelines. It also promotes organization-wide awareness of information security best practices and collaborates with departmental system owners and users to implement appropriate security controls and standards.

b) ICT Security Policy and Regulatory Alignment:
GIBL maintains an up-to-date Information and Communication Technology (ICT) Security Policy aligned with Nepal Rastra Bank (NRB) ICT guidelines and relevant international standards to ensure regulatory compliance and effective risk mitigation.

c) System Review and Asset Management:
The Bank ensures that its IT processes, systems, assets, and inventories are adequately documented, maintained, and reviewed on a periodic basis to identify vulnerabilities and enhance system resilience.

d) IT Risk Appetite and Tolerance:
GIBL defines acceptable levels of IT and information security risk in line with its overall risk appetite framework. Controls are implemented to ensure that IT environments are adequately protected against emerging risks and threats.

e) Information Security Framework and Best Practices:
A structured information security framework is in place to guide employees in adhering to best practices for data protection and information assurance, in accordance with the Bank's ICT policies.

f) Information Systems (IS) Audit:
Periodic Information Systems audits, SWIFT audits, PCIDSS Certifications of the Bank are conducted in compliance with NRB regulations. Audit findings and recommendations are reported to senior management and relevant

Board-level committees for review, corrective action, and continuous improvement.

g) Cybersecurity Risk Management:
The Bank has implemented multiple preventive and detective cybersecurity controls to safeguard its systems and data. These include anti-virus and anti-spyware solutions, firewalls, perimeter security, vulnerability assessments, intrusion detection and prevention systems, and other relevant cybersecurity measures to strengthen defense against cyber threats.

h) Ongoing Mitigation Measures and Security Enhancements:
To improve preparedness and resilience against cyber threats, the bank has strengthened its security initiatives as follows:

- Continuous Customer Awareness:
  Regular dissemination of alerts via social media, digital channels etc. Focus on phishing, malware risks, and safe digital banking practices.
- Enhanced Monitoring:
  Continuous monitoring of domains, social media, and mobile banking platforms for fraudulent apps, URLs, and campaigns.
- Collaboration with Authorities:
  Coordinated efforts with the Cyber Bureau and other agencies for reporting, investigation, and takedown of malicious content.
- Technical Security Enhancements:
  Deployment of brand protection solutions, app and domain monitoring tools, and advanced endpoint security; Strengthening security controls to prevent unauthorized access and data breaches.
- Incident Response Readiness:
  Maintaining rapid response mechanisms to address malware, phishing, and fraud-related incidents; Ensuring timely investigation, customer support, and corrective measures.

6.6 ENVIRONMENTAL AND SOCIAL RISK MANAGEMENT (ESRM)

Global IME is committed to fostering sustainable banking practices. We are continuously strengthening our Environment and Social Risk Management (ESRM) system, aligning with the NRB, national laws and regulations, as well as global environmental and social standards.

GIBL has established a comprehensive institutional framework to effectively identify, assess, and manage environmental and social (E&S) risks, as outlined below:

a) Comprehensive Policies and Guidelines:
The Bank has enacted a robust Environmental and Social Risk Management Policy and Environmental and Social Risk Management Guidelines in compliance with Nepal Rastra Bank (NRB) regulations.

b) Organizational Arrangement:
ESRM Unit integrated with Credit Risk within Integrated Risk Management Department and Green & Sustainable Banking Unit under Business Department to promote sustainable practices within the Bank. ESRM unit is equipped with qualified/specialized Environmental and Social Risk Officers.

c) Credit Proposal Review Mechanism:
Credit proposals above certain threshold, requiring ESDD and that fall under critical sectors are reviewed by the E&S officer before detailed Credit Risk Review. The ESRM Unit plays a key role in the credit appraisal process by assessing environmental and social risks associated with borrowers. These assessments are integrated into the Bank's overall Credit Risk Management framework. Based on detailed due diligence and site visit findings, the Unit recommends appropriate mitigation measures, corrective actions, and credit conditions.

d) E&S Risk Management Tools:
The Bank applies recognized E&S risk assessment tools, including Environmental and Social Due Diligence (ESDD) checklists, corrective action plans, covenants, and monitoring, relevant to the NRB, environmental regulations, and the IFC Performance Standards.

e) ESMS and ESRM Risk Grading:
GIBL supports the implementation of an effective Environmental and Social Management System (ESMS), including E&S risk grading, to ensure consistent identification and management of E&S risks across the Bank.

f) Capacity Building through Training/Workshops:
GIBL regularly conducts training programs and workshops to enhance staff awareness and build internal capacity in environmental and social risk management. Staff are provided with necessary training to strengthen understanding and implementation of the ESMS.

g) Reporting Mechanism:
To strengthen governance and oversight, ESRM assessments and reports are periodically submitted to the Management-level Integrated Risk Management Committee and the Board-level Risk Management Committee for review and monitoring. Additionally, GIBL regularly reports on ESRM activities to the central bank and other relevant stakeholders.

h) Financing climate-friendly business:
GIBL has developed different green/sustainable-linked loan products and schemes to reduce the high-risk portfolio and transition towards the low-carbon economy. A few examples include Global Green Home Loan, Green Auto Loan, Green SME Loan, Rooftop Solar Loan etc. These loans are provided to businesses that have a positive impact on the environment and society, hence on the bank's portfolio.

6.7 OTHER RISKS MANAGEMENT APPROACHES

6.7.1 Compliance Risk Management

Compliance risk arises from failure to adhere to laws, regulations, financial reporting standards, contracts, or internal policies, potentially resulting in fines, legal penalties, or reputational damage. To manage this risk, the Bank has established a General Compliance Unit, under Strategy & Good Governance Department, which monitors compliance across all functions through compliance matrices. Departmental checklists and internal controls are maintained to ensure adherence to regulatory requirements and internal policies, creating a robust compliance culture throughout the Bank. Additionally, enforcement of audit remarks are conducted through this unit for timely correction.

6.7.2 AML/CFT Risk Management

The Bank places significant emphasis on mitigating risks related to Money Laundering (ML) and Financing of Terrorism (FT). A comprehensive AML/CFT Policy and Guideline has been developed in alignment with the AML Act, NRB Directives, and FATF recommendations. Implementation extends across all branches. A dedicated AML/CFT Compliance Department, equipped with experienced personnel and reporting to the Board-Level Money Laundering Prevention Committee, oversees the Bank's AML regime. A separate Management-Level AML/CFT Committee, headed by the Deputy CEO, supports operational oversight. Each branch is assigned a Branch Compliance Officer responsible for implementing KYC/AML/CFT procedures, monitoring suspicious transactions, and reporting directly to the Money Laundering Reporting Officer (MLRO) at the AML/CFT Compliance Department.

6.7.3 Legal Risk Management

Legal risk refers to potential losses arising from claims, regulatory changes, or inadequate legal safeguards. The Bank manages this risk through the Legal Department, which provides guidance on legal compliance, monitors litigation exposure, and ensures that all contracts and legal obligations are properly executed and protected.

6.7.4 Human Resource Risk Management

Recognizing employees as a core asset, the Human Resource Department (HRD) manages human capital risks through structured recruitment, appropriate succession planning, training, performance management, and talent retention strategies. HRD initiatives are designed to optimize workforce capabilities, align staff performance with organizational goals, and mitigate risks associated with staff turnover, skill gaps, or misconduct.

6.7.5 Strategic and Reputational Risk Management

The Bank actively identifies and mitigates strategic and reputational risks that could affect its long-term objectives and public perception. Strategic risks are addressed through careful business planning, market analysis, and alignment of initiatives with the Bank's mission. Reputational risks are managed through transparent communication, customer protection related regulations, strong corporate governance, and adherence to ethical standards, ensuring trust with customers, regulators, and stakeholders.

05

Sustainability Report

SUSTAINABILITY AT A GLANCE

"Global IME Bank is committed to being a responsible bank for all, leading the way towards sustainable banking and creating a positive impact on society as a whole."

GOVERNANCE

The bank continued to strengthen its commitment to responsible and inclusive banking during the reporting period by reinforcing its sustainability, governance and institutional capacity. The bank established a dedicated Green and Sustainable Banking Unit to lead green finance initiatives, build internal capacity, and integrate sustainable banking practices across the organization. To further institutionalize this effort, the bank introduced a management-level Sustainable Banking Committee to provide oversight, guidance, and coordination for integrating Environmental, Social and Governance (ESG) principles, climate risk management, and sustainable finance across the bank's operations, products, and risk framework.

STRATEGY

One of the major strategic goals under GIBL's Mission 2030 is responsible banking. The bank's sustainability strategy is guided by its Mission 2030 and the bank's broader ambition to embed responsible, future-ready banking across business, risk, and operations. In line with the bank's stated Mission 2030 direction, the bank is pursuing deeper digitization across its work processes while expanding its reach and relevance to customers. This strategic direction supports pathway that integrates climate awareness, market responsiveness, and innovation into financing decisions and everyday operations. The bank has a broad sustainability strategy that connects climate risk management, green business growth, green finance taxonomy alignment, and responsible operations. Under Mission 2030, the bank's direction is to strengthen resilience, support the transition to a greener economy, and position as an increasingly integrated part of how the bank lends, operates, and creates long-term value.

RISK MANAGEMENT

The bank is progressively strengthening the integration of environmental risk considerations into its overall risk management framework through the Environmental and Social Due Diligence (ESDD) component of the credit appraisal process. The ESDD checklist includes a specific consideration of climate change risks and opportunities. Climate risk assessment has been incorporated into critical sectors such as hydropower. Furthermore, the bank applies International Finance Corporation (IFC) Performance Standards across selected high-risk sectors to assess environmental and social risks, while the ESRM team recommends appropriate mitigation and adaptation action plans. The bank has also begun identifying data gaps needed to strengthen climate risk management processes, particularly in climate-vulnerable sectors. In parallel, impact assessment under an MRV framework for selected sectors is in progress. The bank continues to identify opportunities through market trends, client engagement, and strategic partnerships to enhance climate risk awareness, deepen sector knowledge, and promote sustainable business development within its overall risk management and portfolio strategy.

METRICS AND TARGETS

The bank is strengthening its sustainability metrics and targets through a combination of operational initiatives, expansion in its green and sustainable finance portfolio, portfolio-level emissions measurement, and broader social impact. At the operational level, the bank has undertaken internal measures to reduce its carbon footprint through the installation of EV charging facilities, the installation of rainwater harvesting systems, rooftop solar PV system and the implementation of energy-saving upgrades across its operations. These initiatives reflect the bank's commitment to improving resource efficiency, reducing operational emissions, and embedding sustainability considerations into its own infrastructure and business practices. On 12 June 2024, the bank became a signatory to the Partnership for Carbon Accounting Financials (PCAF) and adopted the PCAF Global Greenhouse Gas Accounting and Reporting Standard for the Financial Industry. This represents an important step in enabling the bank to measure and disclose financed emissions across relevant asset classes, improve climate transparency, and support more informed climate-aligned financial decision-making.

The bank is aligning its existing portfolio with the Green Finance Taxonomy through tailored green finance products and solutions, with the aim of progressively expanding its green and sustainable finance portfolio. In parallel, it is strengthening impact measurement systems under an MRV framework for selected industry segments and working to align green portfolio classification with the Nepal Green Finance Taxonomy. Beyond environmental performance, the bank also monitors its contribution to sustainable development through CSR initiatives in education, health, environmental protection, financial literacy, and other SDG-aligned areas, reinforcing its commitment to delivering positive social impact across the country.

OUR APPROACH TO SUSTAINABILITY

The bank's approach to sustainability is built on three key pillars: Environmental Responsibility, Social Impact, and Governance Excellence. These principles are not only embedded in the strategic foundation of the bank's core business but are also integrated across every aspect of its operations, ensuring that it leads the transition to a more sustainable future.

ENVIRONMENTAL RESPONSIBILITY

- Aims to reduce environmental impact through adoption of energy-efficient technologies, waste reduction, and responsible resource management across all banking operations.
- Dedicated to create positive environmental impact by supporting businesses that contribute in safeguarding the environment. The bank finances projects that promote renewable energy, energy efficiency, eco-friendly infrastructure, environmental conservation, pollution prevention, and circular economy initiatives, all of which align with the commitment to environmental sustainability.
- Committed to supporting businesses and communities in enhancing climate resilience through adaptation to climate change, while also mitigating its impacts by reducing greenhouse gas emissions and fostering low-carbon technologies.

SOCIAL IMPACT

- Integrate socio-economic considerations into its banking operations, ensuring that financial inclusion and social welfare guide its business practices. The bank offers products tailored to underserved communities, agricultural credits, and gender financing to empower women and individuals from diverse economic, cultural, and ethnic backgrounds.
- Dedicated to making a positive impact in the communities it serves by supporting local initiatives, promoting financial literacy, and partnering with organizations to enhance sustainable development and social well-being.

GOVERNANCE EXCELLENCE

- Uphold the highest standards of governance, ethical conduct, and transparency in all operations.
- Abides by the national polices, commitment, rules and regulations as well as dedicated to adopting international best practices.
- Prioritize risk management practices through comprehensive assessments, proactive mitigation strategies, and a culture of continuous improvement.
- Empower employees to make change in their own communities and work to build a brighter future, together.

As the bank moves forward, it remains dedicated to creating long-term value for its stakeholders and fostering a sustainable future. By embedding responsible practices across its operations and business activities, the bank strives to drive economic growth, protect the environment, and enhance the well-being of the communities it serves.

SUSTAINABLE FINANCE AND GREEN LENDING

The bank continues to scale sustainable finance to support Nepal's development priorities while managing risk and improving transparency. Our sustainable finance approach includes

(i) Financing for projects and assets that deliver environmental benefits, such as renewable energy, clean mobility, and energy efficiency;

(ii) Financing for sectors that deliver social benefits, such as agriculture, education, healthcare, and deprived sector lending; and

(iii) Targeted products that improve access and affordability for priority segments, including women-led enterprises and customers in rural and semi-urban areas.

GREEN AND SUSTAINABLE FINANCE CUSTOMER BASE

Green Finance

(as of Ashad end 2082)

Hydropower Projects	**52**
Solar Energy Projects	**15**
Rooftop Solar Photovoltaic Projects	**4**
Green Home	**711**
Electric Vehicle	**1,650**
Charging Station	**6**
Bio-Mass and Bio Energy	**1**
Total Customers	**2,433**

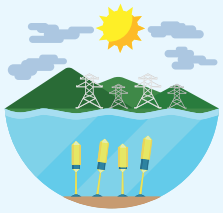
Sutainable Finance

(as of Ashad end 2082)

Agriculture	**7,785**
Deprived Sector	**10,281**
Individual Education	**2,695**
Educational Institution	**274**
Hospital And Nursing Homes	**61**
Pharmaceutical Companies	**35**
Women Entrepreneurship	**3,558**
Total Customers	**24,689**

A) GREEN LOAN PORTFOLIO

HYDROPOWER PROJECTS



NPR
24,182,479,264

Clean power generation; energy security; low-carbon development; infrastructure enablement.

ELECTRIC VEHICLE

NPR
4,843,180,861

Low-emission mobility; reduced air pollution; supports sustainable urban transport transition.

GREEN HOME

NPR
4,526,283,431

Energy/resource-efficient, resilient housing; lower environmental footprint and emissions.

SOLAR ENERGY PROJECTS

NPR
1,717,361,898

Scales renewable generation; strengthens clean energy infrastructure and emissions reduction.

ROOFTOP SOLAR PHOTOVOLTAIC PROJECTS

NPR
50,839,797

Commercial renewable generation; reduces fossil dependence and carbon emissions.

B) SUSTAINABLE LOAN PORTFOLIO

AGRICULTURE

NPR
52,610,793,824

Supports farmer livelihoods, food security, rural jobs; enables climate-resilient practices.

DEPRIVED SECTOR

NPR
22,030,379,142

Financial inclusion for marginalized groups; reduces inequality and improves living standards.

INDIVIDUAL EDUCATION

NPR
8,640,254,771

Expands access to education/ skills; improves employability and long-term growth.

EDUCATIONAL INSTITUTIONS

NPR
7,734,611,938

Strengthens education infrastructure; supports learning quality and skills pipeline.

HOSPITAL AND NURSING HOMES

NPR
4,480,809,313

Improves access to healthcare services; strengthens health systems.

PHARMACEUTICAL COMPANIES

NPR **4,356,198,724**

Supports essential medicines supply; promotes health innovation and industrial development.

WOMEN ENTREPRENEURSHIP

NPR **1,329,110,790**

Women's economic empowerment; supports enterprises, jobs, and reduced gender income gaps.

1. Chhyangdi Hydropower Project
A run-of-river project having the capacity of 4.0 MW and additional 2.0 MW in Chhandi River of Lamjung District.

2. Singatikhola Hydropower Project
A run-of-river project having the capacity of 25 MW in Singati River of Dolakha District.

3. Upper Khudi Hydropower Project
A run-of-river project having capacity of 26 MW in Khudi River of Lamjung District.

4. Som Radha Krishna Solar Project
A 4 MW Solar Farm in Machhapuchhre Rural Municipality of Kaski district.

SUSTAINABLE FINANCE PRODUCTS AND INNOVATIONS

The bank continues to strengthen a product suite that supports customers in adopting cleaner technologies, improving resource efficiency, and building resilient livelihoods.

GREEN HOME LOAN (SDG 7, SDG 11, SDG 12, SDG 13)

Global Green Home Loan enables customers to own, build, or upgrade environmentally friendly homes while supporting sustainable living and reduced carbon footprints. The scheme finances construction and purchase of eco-friendly houses or apartments, as well as renovations that enhance energy efficiency, including residences certified as green or energy-efficient by recognized national or international standards. Competitive pricing supports accessibility while encouraging energy-saving design features and climate-resilient construction approaches.

GREEN DRIVE LOAN SCHEME (SDG 7, SDG 9, SDG 11, SDG 13)

The Green Drive Loan Scheme promotes electric vehicles that reduce greenhouse gas emissions and dependence on fossil fuels while offering higher energy efficiency and lower operating costs. Competitive financing makes EV ownership more accessible and supports the transition to sustainable urban mobility.

ROOFTOP SOLAR PV FINANCING (SDG 7, SDG 9, SDG 12, SDG 13)

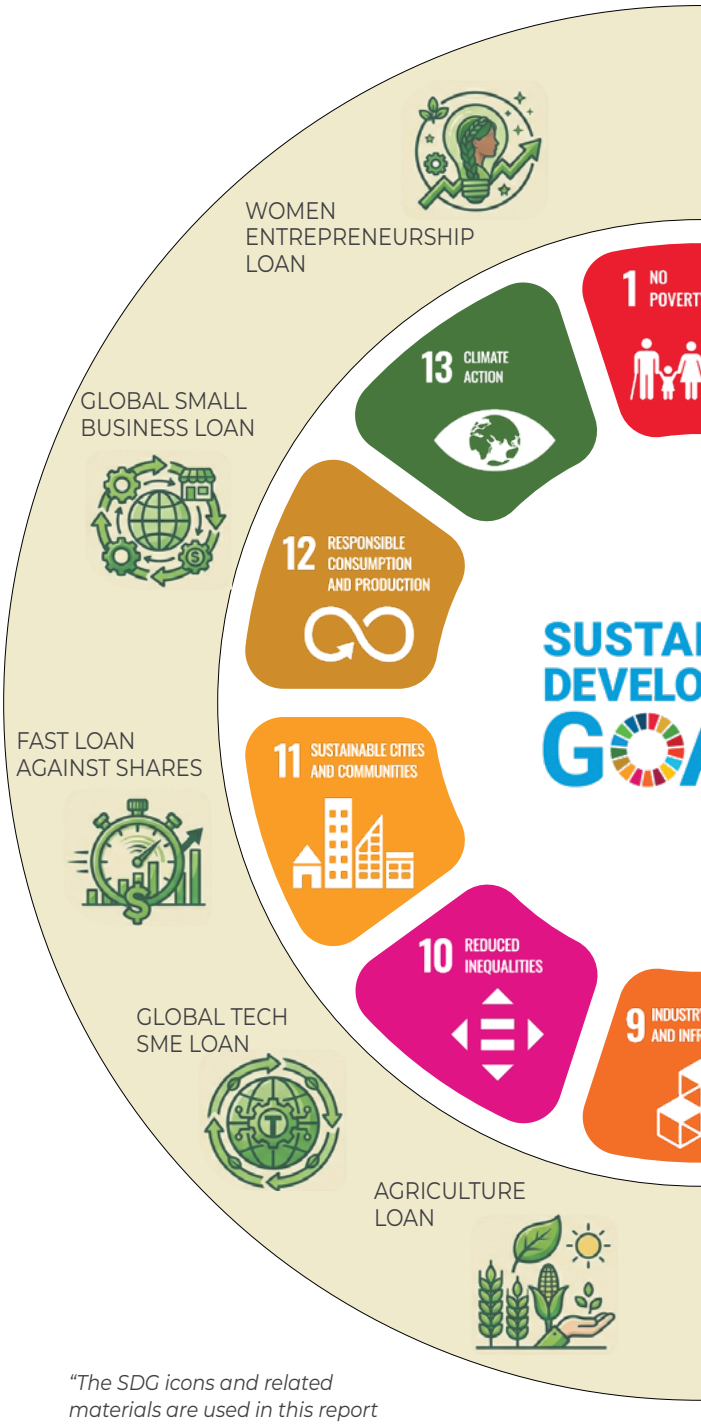
Rooftop Solar Photovoltaic financing supports businesses in transitioning to clean, reliable, and low-cost energy. By enabling investment through flexible financing, the bank helps clients reduce operational expenses, strengthen energy security, and minimize their carbon footprint.

HYDROPOWER AND UTILITY-SCALE SOLAR PROJECTS FINANCING (SDG 7, SDG 8, SDG 9, SDG 13)

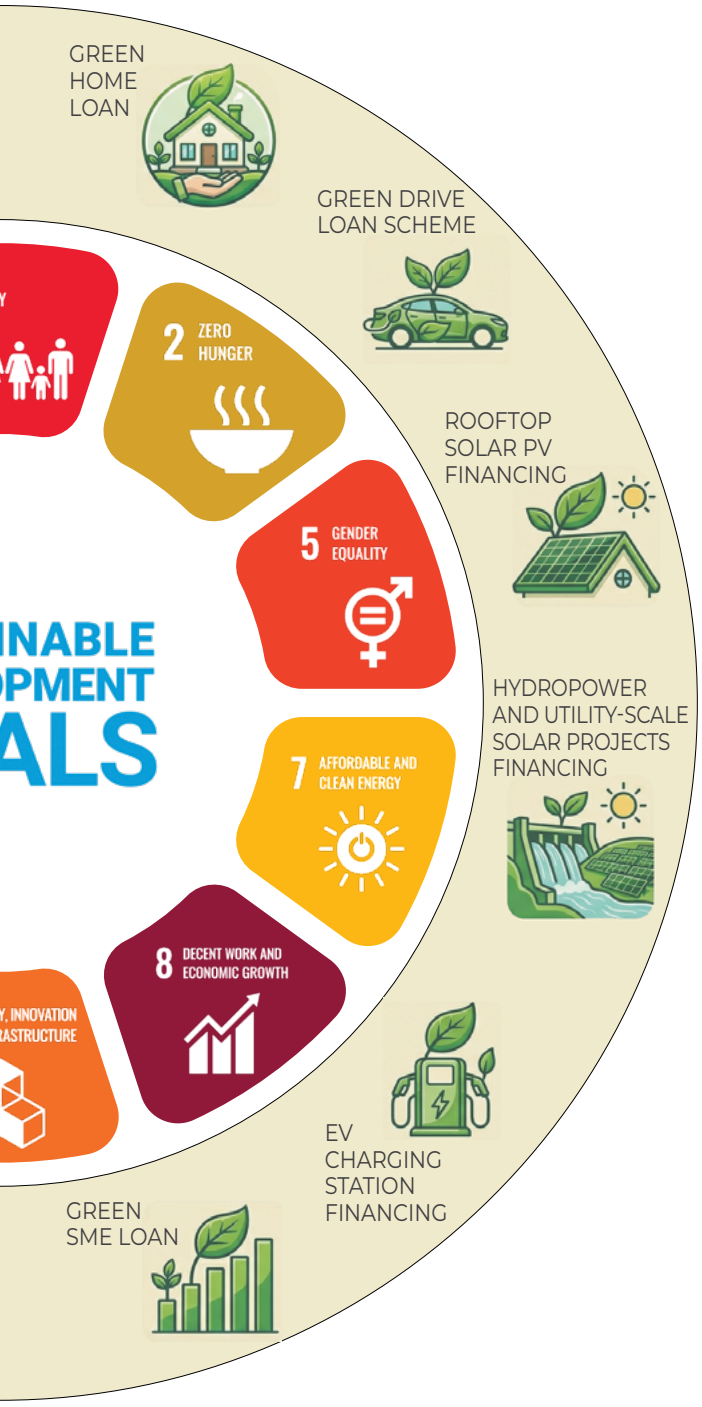
The Bank provides structured financing solutions for hydropower and utility-scale solar projects, supporting large-scale renewable energy development in Nepal. These facilities contribute to energy security and sustainable growth while reducing reliance on fossil fuels.

EV CHARGING STATION FINANCING (SDG 7, SDG 9, SDG 11, SDG 13)

EV Charging Station Financing under the Green SME scheme provides capital for businesses and entrepreneurs to develop EV charging infrastructure, supporting the adoption of EVs and contributing to a low-emission transport ecosystem.



"The SDG icons and related materials are used in this report to demonstrate alignment with the Sustainable Development Goals. Such use does not constitute endorsement by the United Nations or its agencies."



GREEN SME LOAN (SDG 8, SDG 9, SDG 12, SDG 13)

The Green SME scheme supports environmentally responsible enterprises by providing access to finance at competitive rates and encouraging investments that improve efficiency and reduce environmental impacts.

AGRICULTURE LOAN (SDG 1, SDG 2, SDG 8, SDG 12, SDG 13)

The bank's agriculture loans support farmers and agribusinesses by financing crop cultivation, livestock, greenhouse projects, and modern equipment. Through specialized agricultural lending products such as Global Krishi Karja (GKK) and Global Sana Kisan Karja (GSKK), the Bank promotes agricultural productivity and rural entrepreneurship. These products provide smallholder farmers with affordable financing options, flexible collateral arrangements, and loan structures aligned with agricultural production cycles. This initiative enhances the Bank's capacity to support agriculture-based enterprises effectively with commodity-focused solutions such as Global Dhan Karja, Global Aap Kheti Karja, Global Krishi Yantikaran Karja, and Global Ukhu Kheti Karja.

GLOBAL TECH SME LOAN (SDG 9, SDG 12, SDG 13)

Global Tech SME Loan supports technology-driven SMEs that promote innovation, digital transformation, and efficient resource use.

FAST LOAN AGAINST SHARES (FLASH) (SDG 9)

The Bank has advanced digital transformation in retail lending through the introduction of the Fast Loan Against Shares (FLASH) platform. This digital solution enables customers to apply for and receive approvals for loans against shares online with minimal branch visits, improving turnaround time, operational efficiency, and customer convenience. By streamlining the lending process through technology, the platform supports faster access to credit while enhancing the overall customer experience.

GLOBAL SMALL BUSINESS LOAN (SDG 8, SDG 9)

Global Small Business Loan supports entrepreneurship and job creation by strengthening business operations and productivity.

WOMEN ENTREPRENEURSHIP LOAN (SDG 1, SDG 5, SDG 8, SDG 10)

Recognizing the importance of supporting women entrepreneurs, the Bank has introduced Global Ma Udhyami Karja, a dedicated financing program for women-led businesses. This initiative not only provides credit facilities but also extends advisory services, capacity-building support, digital bookkeeping assistance, and market access opportunities to women entrepreneurs. Scorecard Based approach (including Psychometric Testing) is used to determine eligibility before providing loan.

LOWER ENERGY COST, REDUCED ENVIRONMENTAL IMPACT, AND HIGHER RETURN TO CUSTOMER THROUGH ROOFTOP SOLAR FIANNCING

A CASE STUDY OF DURGA STEELS INDUSTRIES PVT. LTD.

Birtamode, Jhapa

670 kWp
Capacity of Rooftop Solar

837.5 MWh
Annual Energy Production

NPR 7.156 Mio
Annual savings

45 %
Reduction in annual electricity cost

BANK FOR ALL: INCLUSION AND ACCESSIBILITY INITIATIVES

The bank remains committed to advancing inclusive and accessible banking, ensuring that financial services reach individuals and communities across diverse economic and geographic segments. Through inclusive product design, a nationwide branch and agent network, and targeted outreach programs, the Bank works to reduce barriers to financial participation. With operations spanning all seven provinces and 77 districts, the Bank's extensive footprint supports access to formal financial services even in areas where customers may not have proximity to major urban banking centres. These efforts reflect the Bank's broader commitment to supporting financial inclusion, economic empowerment, and equitable access to banking services across Nepal.

BRANCHLESS BANKING AND DIGITAL ACCESS

The bank continues to expand scalable and technology-driven channels that improve accessibility and reduce transaction costs. During the reporting period, the Bank operated 155 branchless banking points and 384 ATMs, helping extend banking services to underserved and remote communities. Digital adoption continues to grow, with 73% of total transactions conducted through digital channels. The Bank's mobile banking platform, Global SmartPlus, has surpassed 2 million users, while debit card usage has exceeded 1 million users. Digital onboarding initiatives, supported by tools such as the Global Junior App, promote minor engagement and early financial awareness. As digital services expand, the Bank maintains strong safeguards for customer protection, including robust identification processes, fraud prevention measures, transparent product disclosure, and awareness programs on safe digital practices.

INCLUSIVE LENDING

Inclusive lending is a core component of the bank's financial inclusion strategy. The Bank supports a wide range of customers through deprived sector lending, women entrepreneurship financing (Ma Udhyami Karja), migrant worker lending, agricultural lending - including Sana Kishan Karja and Global Small Business Loan(GSBL). These lending programs are designed to expand access to credit for underserved groups such as smallholder farmers, micro and small entrepreneurs, women-led businesses, and individuals in rural communities.
The Bank is piloting cash-flow-based digital lending to improve credit access for SMEs without traditional collateral. It is also expanding small-ticket lending through fintech partnerships using psychometric credit scoring for women entrepreneurs and agricultural SMEs.

By offering financing solutions with accessible terms, the Bank helps individuals and enterprises invest in productive activities, generate income, and build financial resilience. These initiatives not only support livelihood development and entrepreneurship but also contribute to broader economic inclusion and local economic growth.

SAVINGS AND SEGMENT-FOCUSED ACCOUNTS

To promote a strong culture of savings and strengthen financial stability, the bank offers different range of segment-focused savings accounts to specific customer groups. These include Global Nari Bachat Khata, Global Balbalika Bachat Khata, Global Remit Savings Account, Sabai Nepaliko Bachat Khata, and Global Jestha Nagarik Bachat Khata. These products are designed to meet the needs of women, children, migrant families, senior citizens, and the broader population. By encouraging consistent saving behaviour and improving access to formal banking services, these accounts help households manage cash flows more effectively and build long-term financial security.

YOUTH, INNOVATION & ENTREPRENEURSHIP SUPPORT

GLOBAL IME AI/ML HACKATHON (SDG 8, SDG 9, AND SDG 17)

The Bank successfully concluded the Global IME AI/ML Hackathon, a first-of-its-kind initiative in Nepal's banking industry designed to promote innovation in digital banking through artificial intelligence and machine learning. The hackathon attracted strong nationwide participation from students, startups, developers, data scientists, and researchers, receiving more than 150 online paper submissions, from which 21 teams were selected for the final rounds. The competition generated practical solutions in key banking areas such as personalized financial management, document and image classification using computer vision, predictive analysis for branch revenue, and suspicious transaction detection. The hackathon reflected the Bank's commitment to fostering innovation, supporting youth talent, and exploring technology-driven solutions that can enhance banking efficiency and service delivery.

Fig: Driving the Future of Banking: Global IME Bank's AI/ML Hackathon

Fig: SME Synergy Summit, 2025

SME SYNERGY SUMMIT (SDG 8, SDG 9, AND SDG 17)

The bank recognizes that youth-driven innovation and entrepreneurship are key drivers of economic transformation. In line with this vision, the Bank has undertaken several initiatives to promote entrepreneurship, innovation, and SME ecosystem development in Nepal. The bank organized SME Synergy Summit, which focuses on conducting brainstorming sessions for identifying potential SME sectors across different provinces to collaborate and explore innovative financing solutions for SMEs.

To strengthen the entrepreneurial ecosystem, the Bank has partnered with non-profit organizations to promote Incubation and Acceleration Programs. These programs offer structured learning opportunities, mentoring support, and market linkages for emerging entrepreneurs and start-ups. Through this collaboration, the Bank also promotes the Triple Helix Model, integrating government, academia, and industry to foster a holistic and sustainable SME ecosystem.

GLOBAL HAAT BAZAAR (SDG 1, SDG 8, SDG 9, AND SDG 12)

With the slogan *"Udhyamiko Utpadan, Global IME ko Protsahan"* Global Haat Bazaar is a weekly marketplace hosted at the Bank's premises that provides a platform for local entrepreneurs and farmers to showcase and sell authentic indigenous products. The initiative promotes local production, entrepreneurship, and community-based economic activity, while strengthening market access for small producers and supporting inclusive economic development.

COMMUNITY INVESTMENT PROGRAMS

The bank continued to strengthen its community investment efforts through partnerships with government agencies, development partners, academic institutions, and local organizations to promote youth entrepreneurship, women's economic empowerment, livelihood upliftment, and agricultural development. Key initiatives included entrepreneurship boot camps, business development support, financial management training, and gender-focused assessments to better understand financing barriers faced by women entrepreneurs. These collaborations helped build entrepreneurial skills, improve market access, and support more inclusive local economic participation.

The Bank also expanded community investment through sustainable financing initiatives targeted at smallholder farmers and rural entrepreneurs. These included collateral-free and digitized agricultural lending, the pilot implementation of the Kisan Credit Card program, and collaboration with central, provincial, and local governments to support agriculture subsidy mechanisms and entrepreneurship promotion. Through these efforts, the Bank continues to improve access to finance, strengthens local livelihoods, and contributes to more resilient and inclusive community development.

The Bank supports employee well-being through staff health insurance and leave policies (maternity, paternity, and sick leave), complemented by workplace safety arrangements. The Bank supports community wellbeing through disaster relief, education support, and livelihood-oriented environmental initiatives. Its efforts include assistance during natural calamities, support to vulnerable groups, investment in school infrastructure and educational materials, scholarships for disadvantaged students, and plantation initiatives that promote both environmental conservation and income generation for poor and marginalized communities.

Fig. Focus Group Discussion (FGD) with WSMEs in Dhulikhel Kavrepalanchwok

Fig. Orientation on MSMEs to improve their financial management skills

Fig. MoU between Bank and Diktel Majhuwagadhi Municipality to provide subsidized agri loans

Fig: capacity development of smallholder farmers at Nilkantha Municipality, Dhading

Fig: Blood donation campaign organized at Bagmati Province

ENVIRONMENTAL INITIATIVES WITHIN THE BANK

Environmental initiatives within the Bank are aligned with the Sustainable Development Goals (SDGs) and are implemented through clear ownership, defined responsibilities, and measurable tracking mechanisms. The Bank continues to advance environmental initiatives within its operations by promoting resource efficiency, reducing its operational footprint, and encouraging more sustainable workplace practices. Through these initiatives, the Bank aims to strengthen environmental responsibility in its day-to-day operations while aligning internal practices with its broader sustainability commitments.

PHASING OUT PLASTIC WATER BOTTLES (SDG 12, SDG 13, SDG 14)

The Bank has initiated a phased transition from plastic water bottles to eco-friendly alternatives as part of its efforts to reduce plastic waste and promote sustainable consumption practices. The transition is being implemented over a three-year period.

ENERGY AUDITS AND ENERGY-EFFICIENT SYSTEMS (SDG 7, SDG 9, SDG 13)

The Bank conducted energy audits at its Panipokhari Branch and Pokhara New Road Branch in collaboration with Rastriya Urja Dakshyata Kendra Pvt. Ltd. The audits identified opportunities to optimize energy use, improve system efficiency, and reduce operating costs while maintaining service quality. Findings from the assessments are being used to prioritize retrofit measures and strengthen operational discipline in energy management, supporting the Bank's broader commitment to environmental sustainability and resource efficiency.

PAPER WASTE RECYCLING (SDG 12, SDG 13, SDG 15)

The Bank partnered with Ahdhri Enterprises for the collection and recycling of paper waste generated from its operations. During the reporting period, approximately 29.1 tons of paper waste were properly collected and recycled, equivalent to an estimated 494 trees saved. This initiative supports responsible waste management, reduces environmental impact, and reinforces the Bank's commitment to resource efficiency and environmental stewardship.

HIKING WITH A PURPOSE: PLASTIC CLEANUP CAMPAIGN (SDG 10, SDG 12, SDG 13, SDG 14, SDG 17)

On the occasion of World Environment Day 2025,

the Bank organized a hiking and plastic waste collection campaign in collaboration with Kirtipur Municipality, Kathmandu. The event brought together 45 representatives from the bank, 20 members from the local municipality, and other community participants. As part of the initiative, over 125 kg of plastic waste was collected and sent for recycling, while 25 traditional bamboo dustbins (Dokos) were installed along the trail to promote long-term cleanliness. Prepared locally, the eco-friendly Dokos also supported community participation and encouraged sustainable waste management practices.

EV CHARGING STATION INSTALLATION (SDG 7, SDG 9, SDG 11, SDG 13)

The Bank installed a 40 kW DC fast EV charging station at its Corporate Office in Kamaladi on the occasion of World Environment Day. Implemented in partnership with Gadi Charge Pvt. Ltd., the initiative reflects the Bank's commitment to green banking and sustainable mobility. The charging facility is available to both customers visiting the Bank and its employees, supporting the growing adoption of electric vehicles in Nepal.

ROOFTOP SOLAR FOR BRANCH OPERATION (SDG 7, SDG 9, SDG 13)

The Bank has implemented hybrid energy systems across 41 branches in six provinces to support operational continuity and improve resilience against grid disruptions. A total rooftop solar capacity of 5.31 kWp has been installed to supplement branch operations, reduce reliance on conventional energy sources, and advance the Bank's commitment to clean energy and low-carbon operations.

PODCAST ON SUSTAINABILITY (SDG 7, SDG 11, SDG 13, SDG 17)

The Bank hosts podcast sessions featuring experts from diverse sectors to promote dialogue and awareness on sustainability-related issues. Topics covered include agriculture, climate change and finance, digitization, women's entrepreneurship, and other areas relevant to sustainable development. Through these discussions, the bank aims to foster knowledge sharing, encourage innovation, and strengthen collaboration on key environmental, social, and economic challenges.

CARBON DISCLOSURE REPORT

The bank is strengthening climate transparency and alignment with recognized standards. The Bank became a signatory to the Partnership for Carbon Accounting Financials (PCAF) on 12 June 2024. The report adapted the PCAF Global GHG Accounting and Reporting Standard for the Financial Industry and use PCAF's emission factor database to measure and disclose GHG emissions associated with lending activities. This approach supports consistent, comparable reporting and improves the Bank's ability to manage climate-related portfolio risks over time.

SCOPE AND PORTFOLIO COVERAGE

THE DISCLOSURE COVERS THE REPORTING PERIOD (16 JULY 2023 TO 15 JULY 2024)

DISCLOSED PORTFOLIO

50 %

of total loan portfolio, amounting to EUR 1,342.38 million

ASSET CLASSES COVERED

Business loans and project finance

KEY EMISSION METRICS

321,062.49 tCO2e
Total financed emissions (Scope 3)

456,729.91 tCO2e
Operational emissions (Scope 1 and 2)

378.50 tCO2e
per EUR million invested
Overall emission intensity

169.19 tCO2e
per EUR million invested
Business loan intensity

1,246.67 tCO2e
per EUR million invested
Project finance intensity

AVOIDED EMISSIONS

THE BANK SUPPORTS CARBON REDUCTION THROUGH STRATEGIC FINANCING IN HYDROPOWER AND SOLAR ENERGY

723.32 MW
Total capacity financed

14,001.12 tCO2e
Total avoided emissions

135.68 million (EUR)
Investment exposure

103.19 tCO2e
per EUR million
Avoidance intensity

ENVIRONMENT AND SOCIAL RISK MANAGEMENT DISCLOSURES

Responsible banking requires robust management of environmental and social risks across lending. Global IME Bank's Environment and Social Risk Management (ESRM) framework identifies, assesses, and manages E&S risks and impacts associated with financed activities while supporting clients to strengthen compliance and performance.

Policy formulation and governance

The Bank's ESRM adoption journey is depicted as below:

GIBL ESRM Policy approved by Board on October 2023. On the annual review of policy, the policy was reviewed on October 2024.

GIBL ESRM Guideline was approved by CEO on January 2025, aligned to the GIBL ESRM Guideline December 2024 (4th Amendment)

The bank has nominated two E&S Officers in the ESRM Unit under the Integrated Risk Management Department. The ESRM Unit is responsible for the policy/guidelines implementation, reviews due diligence, conducts E&S risk assessment, tool updates, and internal capacity buildings.

Employee trainings and capacity building

2	Employee Trainings and Capacity Building	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Total
2.1	Allocation of Fund in the budget for ESRM Training Programs/ Seminars/Workshops (in NPR):	63,760	528,016	36,495	573,299	1,201,570
2.2	No. of ESRM Training Programs/Seminars/Workshops conducted in the given quarter	7	8	5	17	37
2.3	No. of attendees of the ESRM Training Programs/Seminars/ Workshops conducted in the given quarter:	21	208	48	94	371

Incorporation of Environmental & Social Risk in Core Risks Management

3	Incorporation of Environmental & Social Risk in Core Risks Management	Quarter 1	Quarter 2	Quarter 3	Quarter 4
3.1	No. of loan requests rejected due to the Exclusion List	-	-	-	-
3.2	No. of transactions subject to Environmental & Social Due Diligence (ESDD)	7,913	8,557	7,440	6,436
3.3	Share (% total loan value) of the transactions subject to ESDD in the total disbursed commercial (business purpose) loan portfolio	51.94%	54.60%	52.40%	51.71%
3.4	Total No. of disbursed transactions by E&S Risk Rating:	7,913	8,557	7,440	6,436
	Low	4,920	5,432	4,238	3,547
	Medium	2,993	3,125	3,202	2,889
	High	-	-	-	-
3.5	Total amount(in million) in disbursed transactions by E&S Risk Rating:	161,468	173,365	168,827	165,806
	Low	66,644	74,185	62,677	608,50
	Medium	94,825	99,180	106,151	104,956
	High	-	-	-	-
3.6	No. transactions with specific E&S Action Plan:	2,993	3,125	3,202	2,889
3.7	No. of transactions rejected on the E&S risk management grounds:	-	-	-	-
3.8	No. of transactions beneficial to E&S improvements	732	625	662	674
	Renewable energy projects (e.g., hydro power plants, solar panels, biogas plants, wind power)	144	161	146	137
	Energy efficiency projects (e.g., efficient lighting, heating/cooling, ventilation, boiler retrofitting, facility upgrades)	154	142	151	263
	Effluents (wastewater) treatment plants	304	205	270	105
	Waste recycling and reuse	79	74	48	129
	Water consumption reduction	51	43	47	40

PARTNERSHIPS AND COLLABORATION

The bank collaborates with national and international institutions, development partners, government bodies, and private sector stakeholders to strengthen sustainable finance, climate action, agriculture development, and financial inclusion. These partnerships provide technical expertise, financial support, policy collaboration, and ecosystem development to scale sustainable banking initiatives across Nepal.

Partnership with Development and Multilateral Organization

	Organization	Purpose of Partnership
ADB	Asian Development Bank (ADB)	To strengthen gender-responsive financing through technical assistance, capacity building, and the development of more inclusive financial products and practices.
IFC	International Finance Corporation (IFC)	To strengthen the risk management framework and enhancing the understanding of climate finance and gender finance.
GLOBAL CLIMATE PARTNERSHIP FUND	Global Climate Partnership Fund (GCPF) / International Project Consult (IPC-GmbH)	To support in advancing green and sustainable investment roadmap through technical support in product development, MRV (Monitoring, Reporting and Verification), and institutional capacity building.

Partnership related to Sustainability, Green and Climate Finance

	Organization	Purpose of Partnership
Alternative Energy Promotion Centre Mid Baneshwor, Kathmandu	Alternative Energy Promotion Center (AEPC)	Grant/subsidy support for renewable energy and energy efficiency / innovative projects such as Rooftop Solar PV and EV charging station; blended finance arrangements.
giz Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH	GIZ Nepal	Collaboration under the Sustainable Electric Transport for Nepal (SET4NPL) project to support electric public transport operators.
universität innsbruck	University of Innsbruck, Austria (Consortium) – Building Energy Efficiency in Nepal Project	Strengthening Green Home Loan parameters and conducting capacity building for bank staff and valuators.
PCAF	Partnership for Carbon Accounting Financials (PCAF)	To measure and disclose financed emissions using a globally recognized standard, strengthening climate transparency, risk management, and alignment with sustainable finance goals.
	One to Watch Nepal	Capacity building by offering Business Development Services to Digital Economy Catalyst SMEs under the Nepal Investment Community 2 Fund to increase access to finance.
	Renewable Energy and Energy Efficiency Project (REEP) / GREEN Project	Technical and financial support in expanding green finance, building technical capacity, strengthening market knowledge, and accelerating financing for renewable energy and energy-efficient investments.

Partnership related to Agriculture Financing

	Organization	Purpose of Partnership
	Heifer International	To promote inclusive and sustainable livelihoods by strengthening access to finance, entrepreneurship development, and capacity building for farmers and small rural enterprises.
	Aloi Private Limited	To offer collateral-free loans to dairy farmers using digital tracking systems for monitoring loan utilization and repayment performance.
	Different agri-focused cooperatives	To expand outreach to farmers, strengthen access to agricultural finance, and support productive, community-based rural enterprises through localized engagement and financing.

Partnership with Government Organizations

Organization	Purpose of Partnership
Ministry of Land Management, Agriculture & Cooperatives (Karnali Provincial Government)	To make financing more affordable and accessible for farmers and agro-based enterprises through blended finance program
Ministry of Industry, Agriculture & Cooperatives (Koshi Province)	To make financing more affordable and accessible for farmers and agro-based enterprises through blended finance program
Local Governments (e.g., Nilkantha Municipality; Diktel Rupakot Majuwagadi Municipality)	To increase access to finance in the agriculture sector at the local level, helping farmers and agro-entrepreneurs obtain financing as per local economic needs and opportunities.

Partnership with Private Sectors for Ecosystem Development

Organization	Purpose of Partnership
Sustainable eco-system partners	Partnerships with various sustainable ecosystem partners—including housing developers, EV dealers, greenhouse technology suppliers, green home infrastructure service providers, and sustainable infrastructure providers such as solar system, rainwater harvesting, and other sustainable building material suppliers to strengthen green finance ecosystem and support wider adoption of sustainable solutions.

SUSTAINABLE FINANCE RELATED TRAINING

The Bank conducted a range of capacity-building sessions on sustainable finance, green banking, climate-related opportunities, and emerging environmental market mechanisms. These trainings were designed to strengthen internal awareness, enhance technical understanding across teams, and support the consistent integration of sustainability considerations into banking practices, decision-making, and client advisory services.

A. INTERNAL TRAININGS

PARTICIPANTS FOR THEMATIC AREAS OF TRAININGS	
Green Products	584 Participants
Environment and Social Risk	371 Participants
Carbon Credit	29 Participants
Sustainable Banking and Green Finance Taxonomy	218 Participants
Technical Training for Valuators	50 Participants

B. EXTERNAL TRAININGS

PARTICIPANTS FOR THEMATIC AREAS OF TRAININGS	
Sustainable and Climate Finance	49 Participants
Environment and Social Risk	25 Participants
Carbon Financing	3 Participants
Thematic Bond	3 Participants
Sustainability and Climate Reporting	14 Participants
Green Finance Taxonomy	27 Participants
Climate Risk	4 Participants
Certified Course on ESG and Sustainable Finance	2 Participants
Training for Trainers	34 Participants
Leadership and Governance	81 Participants

GCPF ACADEMY 2024: PEER-LED CLIMATE INNOVATION

The Bank participated in the GCPF Academy 2024: Peer-led Climate Innovation, held in Zurich, Switzerland, from 14–18 October 2024. The program brought together 100 participants from 28 countries, providing a valuable platform for peer learning, practical dialogue, and global collaboration on climate and sustainable finance. During the event, Global IME Bank shared its experience and progress in green and sustainable lending, underscoring the bank's growing commitment to climate innovation, environmental stewardship, and the transition to a low-carbon economy.

The Academy helped enabled the bank to explore a broad range of solutions spanning climate mitigation, climate adaptation, and sustainable brand building. Through hands-on sessions and interactive peer exchanges, participants gained practical insights into actionable strategies for advancing climate-friendly practices within financial institutions. Key themes included net-zero financing, sustainable branding, and climate adaptation, further strengthening the bank's institutional capacity to embed sustainability into its strategic direction and operational practices.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

POLICY AND ACTIVITIES

The activities carried out by Global IME Bank under social responsibility have always been aimed at the welfare of society. The bank believes that businesses should not only focus on individual or private interests but should also contribute to the well-being of society as a whole. This belief has been embraced by the bank and reflected in its operations.

While conducting their business activities, banks and financial institutions are expected to remain accountable to society. In line with this understanding, banks and financial institutions allocate at least one percent of their profits to establish a Corporate Social Responsibility (CSR) fund, which is used to carry out socially beneficial activities. Following this provision, the bank has been implementing various programs under its social responsibility initiatives.

In accordance with the policies of Nepal Rastra Bank, the bank has been supporting various sectors under CSR. These include education, health, disaster management, financial literacy, and environmental protection. Through these efforts, the bank aims to contribute to the overall development of society and continues to implement programs related to social responsibility.

To identify appropriate projects under Institutional Social Responsibility (CSR), the bank has formed a CSR Committee within the organization. This committee identifies priority areas and determines the programs to be implemented. Through these initiatives, the bank believes that people from various sectors of society will benefit directly.

OVERVIEW OF CSR

Through not only its financial services but also through social initiatives, the bank has been supporting various sectors with the objective of improving the living standards of citizens. Under Institutional Social Responsibility, the bank has been contributing to the following areas:

- Education
- Health
- Disaster management and relief
- Financial literacy
- Environmental protection
- 17 goals under the Sustainable Development Goals (SDGs) 2016–2030

For the past 19 years, the bank has been providing services as a public institution. Alongside its operational activities, it has also been mindful of social and environmental aspects. By implementing programs that create positive impacts in society, the bank continues to contribute to the development of the community.

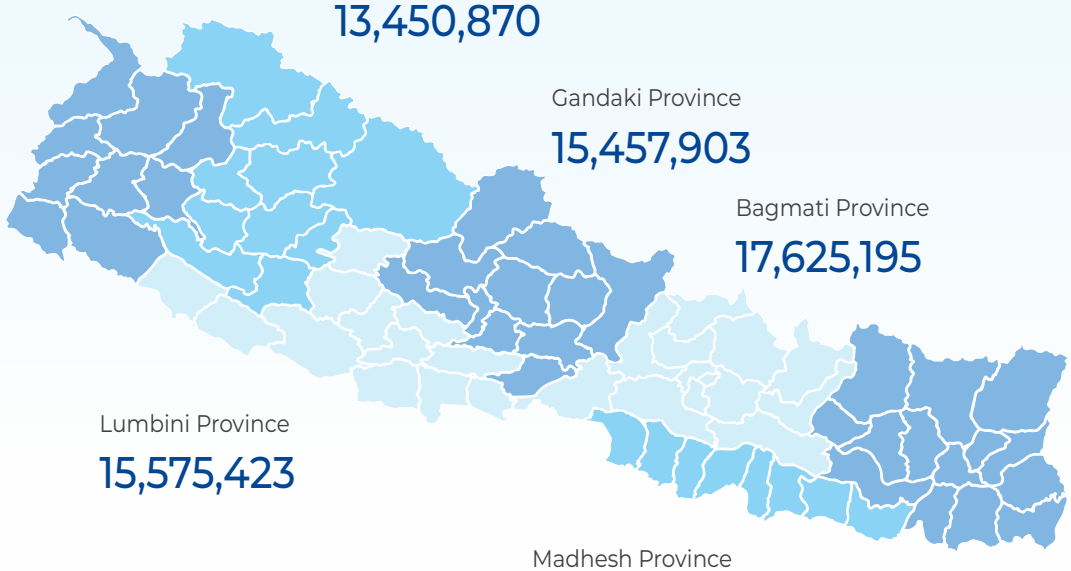
The Bank's Corporate Social Responsibility (CSR) initiatives are aligned with the global priorities of the United Nations Sustainable Development Goals (SDGs). Through programs focused on financial inclusion, women's empowerment, community development, and financial literacy, the Bank contributes to advancing key goals such as No Poverty, Quality Education, Gender Equality, Decent Work and Economic Growth, Reduced Inequalities, and Partnerships for the Goals.

By expanding access to financial services, promoting digital and financial literacy, and supporting underserved communities, the Bank seeks to create sustainable social and economic value while contributing to Nepal's broader development priorities and the global SDG agenda.

SDG ALIGNED CSR EXPENSES

Sustainable Development Goals		Amount	Key Contributors
	SDG 2: Zero Hunger	122,000.00	Manav Sewa Ashram Support
	SDG 3: Good Health and Well-being	10,277,195.19	Child Health Support, Blood Donation, Health Camps
	SDG 4: Quality Education	5,754,575.12	Scholarships, School Supplies, E-Learning development.
	SDG 5: Gender Equality	689,000.00	Women Empowerment in Financial literacy and personal finance.
	SDG 6: Clean Water and Sanitation	479,730.10	RO Filter Plants, Drinking Water Distribution.
	SDG 7: Affordable & Clean Energy	1,166,348.70	Smart Solar Traffic Islands.
	SDG 8: Decent Work and Economic Growth	9,364,199.33	Global Money Week, Digital & Financial Literacy
	SDG 9: Industry, Innovation, and Infrastructure	1,982,899.00	Digital Awareness, Hoarding Boards
	SDG 11: Sustainable Cities and Communities	7,355,755.73	Traffic Safety, CCTV, Walkathons, Heritage Support.
	SDG 13: Climate Action	4,604,563.66	Tree Plantation, Mountain Cleaning Campaigns.
	SDG 17: Partnerships for the Goals	65,551,546.84	PM Disaster Relief Fund, Media Partnerships, Event Hosting
	Grand Total	**107,347,813.67**	

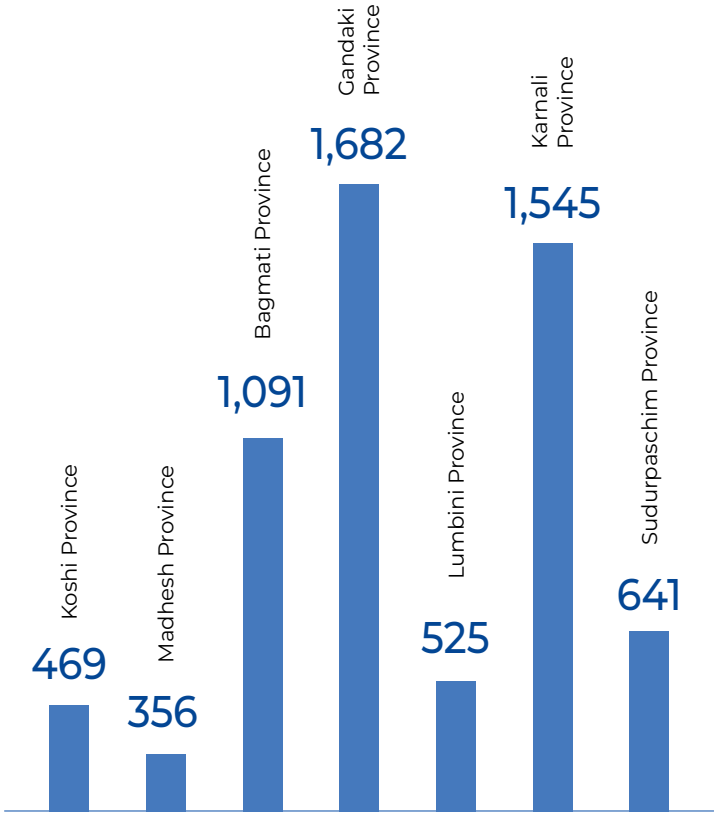
Province Wise Expenses
(FY 2024/25)



Municipality Wise Particpants in Financial Litercy

Metro/Sub Metro	3,181
Municipality	2,049
Rural Municipality	1,079
Total	6,309

No. of Participants in Financial Literacy Programs



CREATING IMPACTS THROUGH OUR CSR PROJECTS

Financial Literacy

Financial literacy is a key pillar of the bank's inclusion agenda. Branches across the country regularly conduct financial literacy programs targeting students, women, migrant families, entrepreneurs, and individuals with limited exposure to formal financial services. These programs focus on practical topics such as savings discipline, responsible borrowing, digital financial safety, consumer rights, and the benefits of formal banking services. To ensure greater outreach and relevance, the Bank collaborates with schools, local governments, and community organizations to deliver locally contextualized training programs. These initiatives help strengthen financial awareness, encourage responsible financial behaviour, and build trust in formal banking systems.

Investing in the Future of Young Women: Chhatra Lai Chhatra Britti

Chhatra Lai Chhatra Britti is a scholarship initiative of the bank aimed at supporting female students from economically disadvantaged backgrounds to continue their education with dignity and confidence. During the reporting period, the program provided scholarships to 175 female students from classes 6 to 12, with 25 students supported in each provinces. The scholarship helps reduce financial barriers to education by supporting essential academic needs, enabling students to remain focused on their studies and pursue their aspirations. By investing in girls' education, the Global IME Chhatra Lai Chhatrabritti Program contributes to empowering young women, promoting academic continuity, and nurturing a generation of confident, capable future leaders who can contribute meaningfully to Nepal's social and economic development.

From Jeans to Dreams: Upcycling for Education

The bank partnered with Chakraviu Nepal to turn waste into opportunity through the "From Jeans to Dreams: Upcycling for Education" initiative. Through a denim collection drive conducted in May 2025, the Bank collected 891 pairs of used jeans from different branches across Kathmandu valley, which were upcycled into school bags and stationery pouches for children from underserved communities. From this effort, more than 222 complete school kits were produced, while the Bank directly sponsored the cost of 100 upcycled school kits for students, helping reduce the financial burden on families and support children's access to education. In East Rukum, 100 students at Shree Baraha Basic School received the sponsored kits. In addition, 100 more school bags were distributed to schools in remote areas of Nepal.

The initiative also delivered measurable environmental and social impact. By upcycling discarded denim, the project diverted 445.5 kg of textile waste from landfill, repurposed 8.91 million litres of water, and avoided 29.8 metric tons of carbon emissions. The initiative also engaged local artisans in the production process, creating green livelihood opportunities and reinforcing circular economy practices at the community level.

This collaboration has created shared value across education, environmental sustainability, and community livelihoods. By transforming discarded materials into practical learning tools, it helped to demonstrate that CSR can generate tangible, measurable, and inclusive impact.

Healthcare access and community well-being

The Bank supports employee well-being through staff health insurance and leave policies (maternity, paternity, and sick leave), complemented by workplace safety arrangements. Community well-being is supported through health-focused CSR, including donations and programs aligned to local needs. Over time, the Bank intends to strengthen outcome reporting for community programs so that activity-based reporting is complemented by indicators that reflect improvements for beneficiaries.

Swastha Nari Pahal: Reaching Women Where Healthcare Is Needed Most

In FY 2081/82, the bank continued its commitment to community well-being through Swastha Nari Pahal, a nationwide health outreach initiative dedicated to improving women's health in underserved communities. Implemented in partnership with the Nepal Family Planning Association (FPAN), the program organized 35 health camps across all seven provinces, ensuring that women in remote and rural areas could access essential health services that are often difficult to obtain.

Through these camps, 9,959 women received vital healthcare support, including comprehensive health examinations, cervical cancer screening through Visual Inspection with Acetic Acid (VIA), uterine prolapse screening and treatment, medicine distribution, and other critical gynaecological services. The initiative also emphasized health education and awareness, empowering women with knowledge about preventive care and encouraging early detection of health conditions.

By bringing healthcare services directly to communities, Swastha Nari Pahal not only addressed immediate medical needs but also strengthened awareness around women's health and preventive care. The initiative stands as a powerful example of the bank's dedication to social responsibility, inclusive development, and improving the quality of life for women across Nepal.

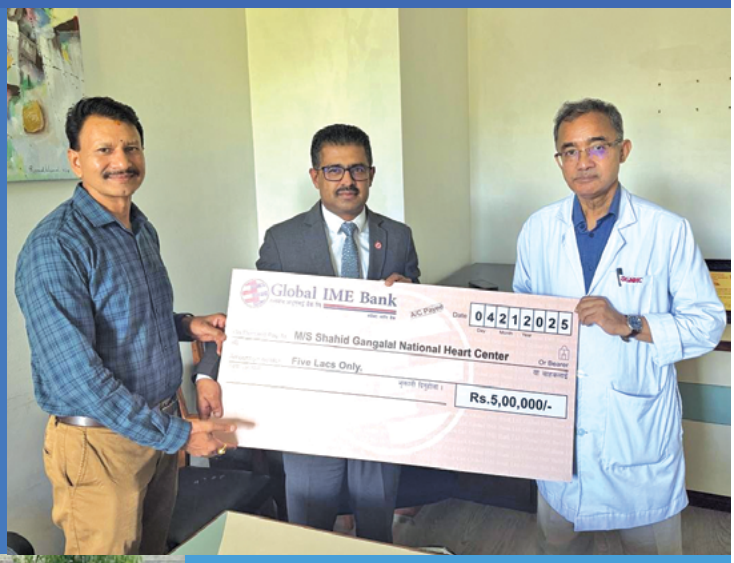
CORPORATE SOCIAL RESPONSIBILITY (CSR)

On the occasion of Global IME Bank's 18th anniversary, scholarships were awarded to 35 female students.

On World Environment Day, Global IME Bank launched a nationwide tree-planting program, aiming for 18,000 trees.

To support the victims of floods, landslides, and inundation, a total of NPR 5 crore from IME Group, including Global IME Bank, was handed over to the Prime Minister's Disaster Relief Fund, with the bank's Chairman, Mr. Chandra Prasad Dhakal, presenting the cheque.

A financial support of NPR 500,000 was provided to the Shahid Gangalal National Heart Center for the construction of a Cath-Lab, Day Care, and Patient Waiting Area.



A glimpse of the school bag distribution at Parbati Secondary School, Bajura.

Financial support was provided to Amaragadhi Municipality, Dadeldhura, for 10 garbage collection dustbins.

06

Value Creation Model

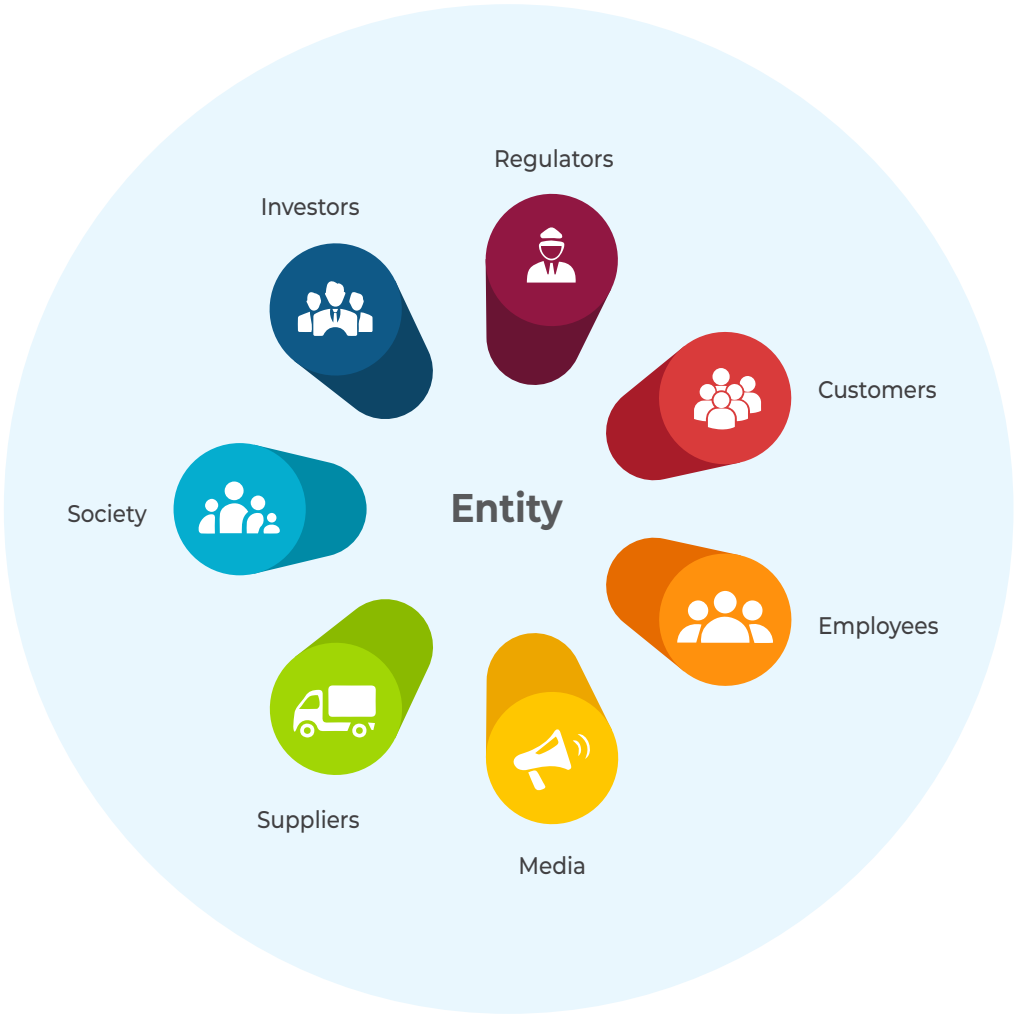
CREATING VALUE

The Bank's value creation model explains how it turns different forms of capital into sustainable financial and non-financial outcomes through its core banking activities. The model is designed to support the Bank achieve its strategic objectives and to generate long-term value for shareholders, customers, employees, regulators, and the wider community.

While implementing this model, the Bank considers the external operating environment, emerging risks and opportunities as well as its internal strengths. The approach is rooted in the Bank's core values and supported by strong governance, risk management, and internal controls. This ensures sustainability, resilience, and alignment with regulatory requirements and industry best practices.

The value creation model is supported by strong governance, prudent risk management, and continuous adaptation to economic, regulatory, and technological changes. Integration of ESG considerations and alignment with national sustainable development goals ensure the Bank's ability to create sustainable value over the short, medium, and long term.

A NETWORK OF STAKEHOLDERS



OUR VALUE FLOW MODEL

Value Created

Net Profit
NPR 5.07 Billion

Total Taxes
NPR 4.75 Billion

Employee Promotions
640 Promotions

Direct Employment
3,802 Personnel

Spending on CSR
NPR 107 Million

Rain Water Harvesting
Approx 230k ltrs annnually

Value Shared WIth

Shareholders
Through the process of managing all inputs to our business well, we create profits which benefit shareholders through dividend and share value.

Suppliers
As we create values , we support business throughout our value chain, and support job creation beyond our business.

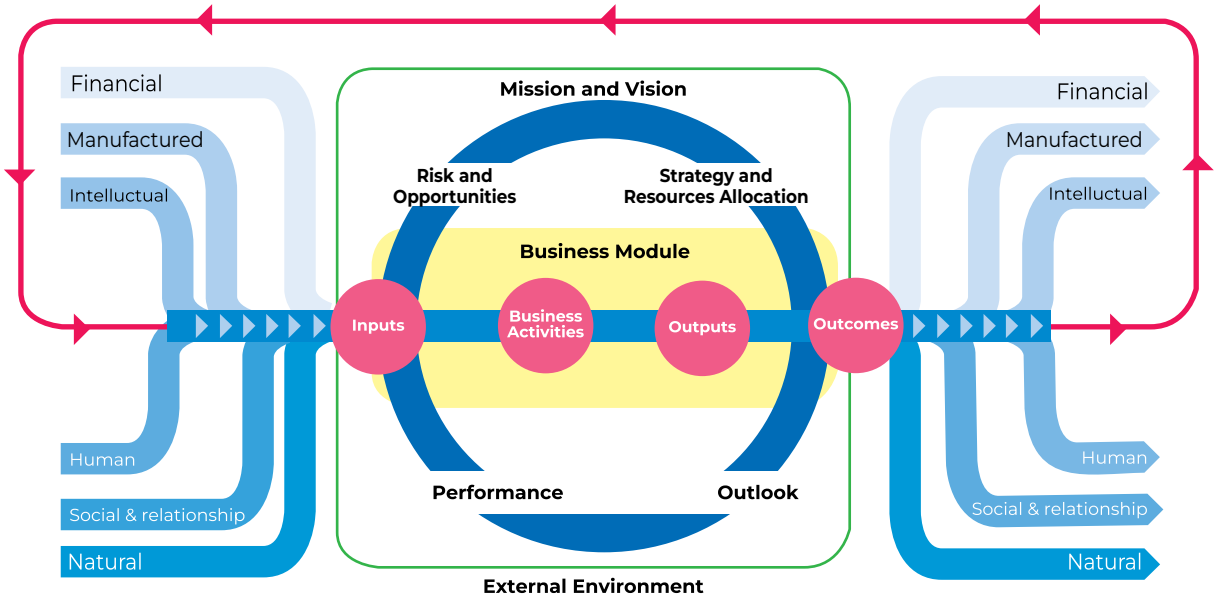
Employees
Developing, recognizing and rewarding our people secures a skilled and motivated workforce.

Customers
Our efforts to bring the innovative and optimum banking products builds value for our customers.

Regulators
Our transparent reporting, full compliance of regulators directions create value to our regulators.

Communities
Our sustainable business benefits the communities through job creation, tax payments, innovative banking solutions and minimization of environment impact. 1% of PAT is allocated for the community benefits every year.

THE VALUE CREATION PROCESS



CAPITAL INPUTS

Financial Capital

In FY 2025, the Bank further strengthened its financial capital base to support business growth, maintain financial stability, and enable investment across other key capitals. The deposit base expanded to NPR 575.05 billion compared to NPR 504.89 billion in FY 2024. This reflects strong customer confidence and effective deposit mobilization. Shareholders' funds increased to NPR 66.63 billion from NPR 61.41 billion, mainly due to retained earnings and capital-strengthening measures. Borrowings remained stable at NPR 12.42 billion, broadly in line with the previous year, supporting liquidity needs while maintaining a prudent funding structure.

NPR in Billion

	FY 2025	FY 2024
Deposit base	575.05	504.89
Shareholder's Fund	66.63	61.41
Borrowings	12.42	12.10

Intellectual Capital

The Bank's institutional knowledge, systems, and intangible assets provide a strong competitive edge in the marketplace. This is rooted in its successful merger and integration of 21 financial institutions, which has strengthened the Bank's organizational capability, operational scale, and governance maturity. The Bank's digital infrastructure supports better customer experience, operational efficiency, and scalable growth. Similarly, dynamic digital front-end platforms, including online and mobile banking channels, offer secure and convenient access to services. At the same time, robust and scalable core and supporting IT systems ensure reliability, data security, and alignment with the Bank's long-term strategic ambitions.

The Bank's position as Nepal's highest remittance-handling institution further reflects strong market trust, efficient processes, and the ability to serve customers across diverse segments across the country.

- Successful merger and integration of 21 financial institutions
- Position as the highest remittance-handling bank in Nepal

Manufactured Capital

The Bank's manufactured capital comprises a strong physical infrastructure that enables reliable, nationwide service delivery. Its network of 352 branches across all 77 districts ensures broad financial access, proximity to customers, and effective delivery of banking services across urban, semi-urban, and remote areas of the country.

- Extensive network of 352 branches covering all districts of Nepal
- More than 385 ATMs and extension counters along with 155 BLB points

Human Capital

The Bank's human capital is defined by the skills, expertise, and experience of a diversified workforce of over 3,800 deployed across the country. This talent base supports effective execution, service quality, and operational resilience, while encouraging innovation and accountability.

- Diversified workforce of over 3,800 employees across the country

Social and Relationship Capital

The Bank maintains strong relationships with customers, communities, regulators, and other important stakeholders. It serves Retail, Corporate, SME, and Deprived Sector clients through tailored financial products. Capacity-building and financial literacy programs further support inclusive growth and long-term stakeholder value.

- Products and services across Retail, Corporate, SME, and Deprived Sector segments
- Support through capacity-building initiatives and financial literacy programs

Natural Capital

The Bank recognizes its responsibility to manage environmental impacts from its operations and financing activities. That is why ESG risks have been integrated into its lending and operational decisions. Through responsible practices, the Bank aims to minimize environmental impacts while supporting sustainable economic development.

- Integration of ESG risk management practices into lending and operational decisions
- Promotion of responsible operations to manage direct and indirect environmental impacts

VALUE CREATION BUSINESS MODEL

Impact of long term value Creation (Internal and External)

Input

Funding model
Infrastructure
People
Intellectual Property
Products and Services
Relationships
Ecosystems

Business Activities

Deposit Mobilization
Credit intermediation
Liquidity Management
Remittance,
Transaction Handling
Digital Banking products
Compliance and Risk Management
CSR programs

Outputs

Growth in Loans, Deposit
Rise in shareholders fund
Increased transactions
Stable Asset Quality
Operational efficiency
Stronger Compliance

Outcomes

Asset Consumption
Customer Satisfaction
Sustainable Return
Contribution to economy
Job Creation
Employee development and engagement
Environment impact
Growing Concern

CAPITAL OUTPUTS

Financial Capital

In FY 2025, the Bank delivered resilient financial results that support sustainable growth and productivity. Deposit growth stood at a robust 13.90%. The CASA ratio improved to 44.61%, reflecting stronger low-cost funding. Similarly, operating profit per employee increased to NPR 3.47 million, reflecting gains in efficiency and productivity. Profit after tax stood at NPR 5.07 billion, maintaining solid profitability despite a challenging operating environment.

	FY 2025	FY 2024
Deposit Growth	13.90%	14.92%
CASA Ratio	44.61%	38.85%
Operating Profit per Employee	NPR 3.47 Million	NPR 3.29 Million
Profit After Tax	NPR 5.07 Billion	NPR 6.13 Billion

Intellectual Capital

The Bank's intellectual capital was strengthened by its strong market standing and credit profile. Its position among the top 10 companies by market capitalization highlights investor confidence and brand strength, while a credit rating of A– reflects sound fundamentals, prudent risk management, and strong creditworthiness.

- Position among the top 10 companies by market capitalization
- Credit rating of A–, reflecting strong creditworthiness
- Launch of the Bank's integrated "Digital Universe" platform with digital user base reaching to 2.92 million

Manufactured Capital

The Bank maintained a solid competitive presence in the financial system through effective utilization of its physical and operational infrastructure. It achieved a market share of 8.88% in loans and 8.79% in deposits in FY 2025. This demonstrates balanced growth and effective nationwide service delivery.

- Market share of 8.88% in loans
- Market share of 8.79% in deposits

Human Capital

People outcomes remained strong in the review period. Employee retention rate of 96.20% reflects a stable and engaged workforce, while 640 internal promotions during the year supported career progression, leadership development, and succession planning across the organization.

- Employee retention rate of 96.20% (FY 2024: 95.46%)
- 640 internal promotions supporting career progression and leadership development

Social and Relationship Capital

The Bank strengthened its social and relationship capital during the period through targeted community and enterprise support initiatives. It allocated 27.85% of CSR funds to financial literacy programs. In addition, ongoing SME support initiatives, including weekly Haatbazar program at the Corporate Office, contributed to entrepreneurship development and closer stakeholder engagement.

- 27.85% of CSR funds allocated to financial literacy programs
- Ongoing SME support initiatives, including weekly *Haatbazar* programs at the Corporate Office

Natural Capital

The Bank advanced its environmental stewardship through responsible operational and financing practices. Annual rainwater harvesting of approximately 230,000 liters at the Corporate Office supports resource conservation. Similarly, the Bank's cumulative investments in renewable energy projects stood at NPR 25.71 billion as of FY 2025. This reflects the Bank's commitment to supporting the transition toward a more sustainable and low-carbon economy.

- Annual rainwater harvesting of approximately 230,000 liters in Corporate Office
- Cumulative investments in renewable energy projects amounting to NPR 25.71 billion as of 2025.
- Supporting low-carbon economy in more than 2,200 MW installed hydropower projects.

07

Financial Statements

INDEPENDENT AUDITORS REPORT

S.A.R. ASSOCIATES
CHARTERED ACCOUNTANTS

Independent Auditor's Report

To the Shareholders of Global IME Bank Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of the Global IME Bank Limited (the "Bank") and its subsidiary (the "Group"), which comprise the consolidated statement of financial position as at Ashadh 32, 2082 (July 16, 2025), and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements presents fairly, in all material respects, the consolidated financial position of the Group as at Ashadh 32, 2082 (July 16, 2025), and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Nepal Financial Reporting Standards.

Basis for opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those standards are further described in the *Auditors Responsibilities for the Audit of the Consolidated Financial Statements* section of our Report. We are independent of the Group in accordance with the *ICAN's Handbook of Code of Ethics for Professional Accountants* together with the ethical requirements that are relevant to our audit of the financial statements in Nepal, and we have fulfilled our other ethical responsibilities in accordance with these requirements and ICAN's Handbook of Code of Ethics for Professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in the audit of the consolidated financial statements of the current period. These matters were addressed in the context of the audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

S. N	Key Audit Matters	Auditor's Response
1.	**Interest Recognition** The interest income of the bank has to be recognized on an accrual basis and following the Guidance Note on Interest Income Recognition, 2025 issued by NRB read with the Carve-Out Alternatives provided for Bank and Financial Institutions (BFIs) under NFRS – 9 issued by the Institute of Chartered Accountants of Nepal (ICAN) dated 2082.05.09. Though accrual basis of income recognition is prescribed in general, the guidelines require interest income on Stage 3 (with overdue of more than 3 months) or Purchased or Originated Credit to be recognized on cash basis whereas for Impaired Financial Assets, interest should be recognized on Coupon interest rate applied on principal outstanding. Given the lack of system capability to suspend recognition of income on the basis of overdue status of loan on regular basis, manual intervention will be required in interest recognition process and hence create risk of improper application of the guidance note. This may, in turn, have an effect on recognition of interest income by the bank. Thus, we have considered it as a Key Audit Matter.	Our audit approach regarding verification of process of interest recognition included: a. Obtaining clear understanding of the process of accrual of interest income on loans and advances in the Core Banking Software of the bank. b. Test check of the interest income booking with manual computation.

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2.	**Investment Valuation, Identification, and Impairment** Investment of the bank comprises of investment in government bonds, T-bills, development bonds and investment in quoted and unquoted equity instruments. The valuation of the aforesaid securities has been done in compliance with NFRS 9 and NRB Directive no. 8. The investment in the government and NRB bonds and T-bills should be recognized on reporting date on Amortized cost basis whereas other investments in equity instruments, other than those held for trading, should be valued at Fair Value through Other Comprehensive Income. Given the varieties of treatments recommended for valuation of investment based on nature of cash flow, the business model adopted, complexity of calculations and the significance of amount involved in such investments, same has been considered as Key Audit Matter.	Our audit approach regarding verification of process of investment valuation, identification and impairment included: a. Review of the investment of the bank and its valuation having reference to NFRS issued by the Accounting Standard Board of Nepal and NRB Directive 4 read with 8. b. We assessed the nature of expected cash flow of the investments as well as the business model adopted by the management based on available evidence/circumstances and ensured that classification of investment is commensurate with nature of cash flow and management intention of holding the investment. c. For the investment valuation that are done at amortized cost, we checked the EIR and amortization schedule on test basis. d. For the investment valued through OCI for quoted investment, we ensured that fair valuation has been done at the closing transaction rate in NEPSE as on 16.07.2025 and for the unquoted investment the fair value has been taken on the basis of latest management certified financial statements.
3.	**Impairment of Loans and Advances** As per NRB Directive 4 read with NFRS 9- Expected Credit Loss Related Guidelines, 2024 issued by NRB and the Carve-Out Alternatives provided for Bank and Financial Institutions (BFIs) under NFRS – 9 issued by the Institute of Chartered Accountants of Nepal (ICAN) dated 2082.05.09, bank shall measure impairment loss on loans and advances as the higher of: ▪ Amount derived as per norms prescribed by Nepal Rastra Bank for loan loss provisioning; and ▪ Amount determined as per para 5.5. of NFRS 9 As per the norms prescribed by NRB, provision at prescribed rate should be created on loans and advances based on overdue status of loans and advances as well as utilization status of the facility, status of security, borrower's whereabouts etc. As per NFRS 9, impairment of loans and advances should be determined following an expected credit loss impairment model. Under the model, impairment is calculated as probability weighted estimate of credit losses (i.e present value of all cash shortfalls) over the expected life of the financial instrument. The guidelines issued by NRB provide a standardized methodology for ECL calculation, covering asset classification (Stage 1, 2, 3), estimation of probability of default (PD), loss given default (LGD), exposure at default (EAD) and incorporation of forward-looking information. NRB also prescribed a uniform reporting format for submission of ECL data to ensure consistency and regulatory compliance. Given the fact that impairment of loans and advances	Our audit approach regarding verification of impairment of loans and advances included: a. Review of the overdue status of loans and advances by obtaining data from the system and matched the same with the NRB 2.2 report. b. Sample credit files were reviewed, among other things, from the perspective of utilization of loans and advances for intended purpose by way of scrutiny of financial statements, account movement, account turnover etc. c. Assessment of appropriateness of parameters used for grouping the portfolios. d. Review of appropriateness of historical data and assumptions including economic factors used for staging the portfolio, determination of probability of default as well as loss given default. Assessment of appropriateness of historical recovery data as well as assessment of realizable value of collateral securities, along with defined haircuts, also formed part of or audit with reference to determination of loss given default.

	under expected credit loss model require assessment of future cash flows as well as historical loss experiences of portfolios. Further, impairment of loans and advances under NRB norms for loan loss provisioning will require assessment of overdue status of loans and advances and proper utilization of loan for intended purpose. Hence, assessment of availability and accuracy of required data for calculating impairment of loans and advances under expected credit loss model as well as reasonableness of the assumptions and economic factors used is regarded as Key Audit Matter. Also, assessment of availability and accuracy of required data for calculating impairment of loans and advances under NRB provisioning norms is regarded as Key Audit Matter.	
4.	**Information Technology General Controls** IT controls with respect to recording of transactions, generating various reports in compliance with NRB guidelines and other compliances to regulators is an important part of the process. Such reporting is highly dependent on the effective working of Core Banking Software and other allied systems. We have considered this as Key Audit Matter as any control lapses, validation failures, incorrect input data and wrong extraction of data may result in wrong reporting of data to the management, shareholders and regulators	Our audit approach regarding Information technology of the bank is based upon the Information Technology Guidelines 2012 issued by NRB and it included: a. Understanding the coding system adopted by the bank for various categories of customers. b. Understanding the feeding of the data in the system and going through the extraction of the financial information and statements from the IT system existing in the bank c. Checking of the user requirements for any changes in the regulations/ policy of the bank d. Reviewed the reports generated by the system on sample basis. We verified the interest income and expense booking regarding loan and deposit on test basis with the CBS of the bank. e. We relied on the IT audit conducted by the bank. f. We verified the provisioning of the loan and advances based on ageing on the test check basis as on 16.07.2025

Information Other than Consolidated Financial Statements and Auditor's Report Thereon

Management is responsible for the other information. The other information comprises the information included in the Management Report, Report of the Director's Report and Chairman's Statement but does not include the consolidated financial statements and our auditor's report thereon. Such information is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon. In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read such other information, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibility of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Nepal Financial Reporting Standards and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with Governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

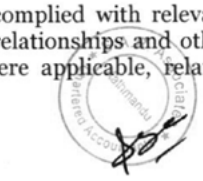
Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatement can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risk of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtained audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purposes of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting polices used and the reasonableness of accounting estimates and related disclosures made by the management,
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor' report to the related disclosures in the consolidated financial statements or if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on the requirements of Banks and Financial Institutions Act, 2073 and Company Act, 2063

We have obtained satisfactory information and explanations asked for, which to the best of our knowledge and belief were necessary for the purpose of our audit; the returns received from the branch offices of the bank, though the statements are independently not audited, were adequate for the purpose of the audit; the consolidated financial statements including the consolidated statement of financial position, consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity, consolidated statement of cash flows including a summary of significant accounting policies and other explanatory notes have been prepared in all material respect in accordance with the provisions of the Company Act, 2063, and they are in agreement with the books of accounts of the Bank; and the accounts and records of the bank are properly maintained in accordance with the prevailing laws.

To the best of our information and according to the explanations given to us, in the course of our audit, we observed that the loans have been written off as specified; the business of the Bank was conducted satisfactorily, and the Bank's transactions were found to be within the scope of its authority. We did not come across cases of accounting related fraud and the cases where the board of directors or any director or any office bearer of the Bank has acted contrary to the provisions of law or caused loss or damage to the Bank or committed any misappropriation of the funds of bank.

Sunir Kumar Dhungel
Managing Partner

Place: Kathmandu, Nepal
Date: October 11, 2025

UDIN: 251011CA00109CRCMY

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As on 32nd Ashad 2082

Amount in NPR

		Group		Bank	
	Note	Current Year	Previous Year	Current Year	Previous Year
Assets					
Cash and Cash Equivalent	4.1	53,053,088,913	50,221,010,878	52,688,974,287	49,795,637,083
Due from Nepal Rastra Bank	4.2	22,189,468,521	21,314,921,137	22,144,468,521	21,314,921,137
Placement with Bank and Financial Institutions	4.3	-	-	-	-
Derivative financial instruments	4.4	11,071,926,976	4,525,346,887	11,071,926,976	4,525,346,887
Other trading assets	4.5	1,544,461,768	1,301,686,457	-	-
Loan and advances to B/FIs	4.6	12,314,273,736	10,623,366,147	15,787,163,343	13,763,656,546
Loans and advances to customers	4.7	419,852,566,927	377,945,627,242	410,113,933,500	369,424,519,435
Investment securities	4.8	148,846,164,171	121,318,688,581	148,805,835,221	121,300,899,081
Current Tax Assets	4.9	2,647,578,735	2,596,512,369	2,441,471,189	2,449,279,483
Investment in subsidiaries	4.10	-	-	728,395,250	728,395,250
Investment in associates	4.11	2,016,153,875	1,824,981,479	1,395,771,273	1,372,623,033
Investment property	4.12	6,067,606,415	4,858,973,533	6,056,160,771	4,847,527,889
Property and equipment	4.13	8,392,718,704	8,166,336,578	8,264,147,405	8,028,728,790
Goodwill and intangible assets	4.14	868,203,425	891,089,506	865,927,941	888,966,880
Deferred Tax Assets	4.15	-	-	-	-
Other Assets	4.16	8,038,756,779	6,190,821,403	7,716,222,322	6,077,615,580
Total Assets		**696,902,968,945**	**611,779,362,196**	**688,080,397,999**	**604,518,117,074**
Liabilities					
Due to Bank and Financial Institutions	4.17	24,383,936,432	17,387,967,426	24,423,550,333	17,433,530,258
Due to Nepal Rastra Bank	4.18	331,843,649	373,324,105	331,843,649	373,324,105
Derivative financial instruments	4.19	11,072,389,917	4,516,341,578	11,072,389,917	4,516,341,578
Deposit from customers	4.20	553,746,057,659	490,087,824,729	550,628,587,849	487,455,854,812
Borrowing	4.21	13,905,641,037	13,318,653,169	12,416,419,704	12,100,951,389
Current tax liabilities	4.9	2,786,419,163	2,456,052,717	2,628,672,188	2,363,652,248
Provisions	4.22	-	-	-	-
Deferred Tax Liabilities	4.15	101,312,825	403,750,784	125,131,567	521,776,187
Other Liabilities	4.23	11,007,180,657	9,397,273,250	9,139,078,797	7,660,881,745
Debt securities issued	4.24	10,687,316,510	10,684,657,109	10,687,316,510	10,684,657,109
Subordinated Liabilities	4.25	-	-	-	-
Total Liabilities		**628,022,097,850**	**548,625,844,867**	**621,452,990,514**	**543,110,969,431**
Equity					
Share capital	4.26	38,115,852,616	36,128,770,252	38,115,852,616	36,128,770,252
Share premium					-
Retained earnings	4.27	5,181,270,867	1,202,873,139	4,054,879,099	506,718,018
Reserves	4.27	24,897,436,013	25,222,217,025	24,456,675,770	24,771,659,373
Total equity attributable to equity holders		**68,194,559,497**	**62,553,860,416**	**66,627,407,485**	**61,407,147,643**
Non-controlling interest		**686,311,598**	**599,656,913**		
Total Equity		**68,880,871,095**	**63,153,517,329**		
Total Liabilities and Equity		**696,902,968,945**	**611,779,362,196**	**688,080,397,999**	**604,518,117,074**
Contingent Liabilities and Commitment	**4.28**	**121,012,840,256**	**99,279,022,862**	**121,012,840,256**	**99,279,022,862**
Net Assets Value per Share				**174.80**	**169.97**

The accounting policies and notes on pages 8 through 67 form an integral part of the Financial Statements.

As per report attached.

Surendra Raj Regmi
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Radhesh Pant
Director

Sunir Kumar Dhungel, FCA
Managing Partner
S.A.R. Associates
Chartered Accountants

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Chandra Raj Sharma
Chief Financial Officer

Madan Lal Joshi
Director

Narayan Prasad Paudel
Director

04/09/2025
Kathmandu

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 32nd Ashad 2082

Amount in NPR

		Group		Bank	
	Note	Current Year	Previous Year	Current Year	Previous Year
Interest Income	4.29	45,065,967,772	52,646,771,672	43,930,150,342	51,680,018,941
Interest Expense	4.30	27,599,809,673	35,135,280,511	27,250,211,285	34,823,692,035
Net interest income		**17,466,158,099**	**17,511,491,161**	**16,679,939,057**	**16,856,326,906**
Fee and Commission Income	4.31	4,480,538,916	3,696,577,334	4,187,048,744	3,447,294,523
Fee and Commission Expense	4.32	1,022,902,196	801,229,445	965,306,298	764,999,768
Net fee and commission income		**3,457,636,720**	**2,895,347,889**	**3,221,742,446**	**2,682,294,755**
Net interest, fee and commission income		**20,923,794,819**	**20,406,839,050**	**19,901,681,503**	**19,538,621,661**
Net Trading Income	4.33	1,191,311,625	442,673,649	916,893,149	580,852,726
Other Operating Income	4.34	444,092,449	545,533,809	430,592,473	534,455,988
Total operating income		**22,559,198,893**	**21,395,046,507**	**21,249,167,125**	**20,653,930,375**
Impairment charge/(reversal) for loans and other losses	4.35	6,170,849,278	3,754,117,298	5,976,595,811	3,616,608,492
Net Operating Income		**16,388,349,615**	**17,640,929,209**	**15,272,571,314**	**17,037,321,883**
Operating Expenses					
Personnel Expenses	4.36	5,079,922,444	5,123,459,965	4,691,555,650	4,782,108,008
Other Operating Expenses	4.37	2,571,234,594	2,317,665,653	2,493,812,259	2,245,000,976
Depreciation and Amortization	4.38	890,303,671	1,029,789,195	854,030,682	991,254,520
Operating profit		**7,846,888,906**	**9,170,014,396**	**7,233,172,723**	**9,018,958,379**
Non operating income	4.39	197,806,385	25,597,835	29,782,229	7,344,142
Non operating expense	4.40	17,600,611	172,414,553	16,318,895	158,912,814
Profit before income tax		**8,027,094,680**	**9,023,197,679**	**7,246,636,057**	**8,867,389,707**
Income Tax Expense	4.41				
Current tax		2,786,419,163	2,447,131,190	2,628,672,188	2,355,224,588
Deferred tax		(365,135,202)	356,794,738	(458,340,026)	374,710,858
Profit for the Year		**5,605,810,719**	**6,219,271,751**	**5,076,303,895**	**6,137,454,261**
Profit attributable to:					
Equity holders of the Bank		5,509,428,548	6,176,413,829		
Non-controlling interest		96,382,171	42,857,922		
Profit for the Year		**5,605,810,719**	**6,219,271,751**	**5,076,303,895**	**6,137,454,261**
Earnings per Share	**4.42**				
Basic earnings per share				**13.32**	**16.99**
Diluted earnings per share				**13.32**	**16.99**

The accounting policies and notes on pages 8 through 67 form an integral part of the Financial Statements.

As per report attached.

Surendra Raj Regmi
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Radhesh Pant
Director

Sunir Kumar Dhungel, FCA
Managing Partner
S.A.R. Associates
Chartered Accountants

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Chandra Raj Sharma
Chief Financial Officer

Madan Lal Joshi
Director

Narayan Prasad Paudel
Director

04/09/2025
Kathmandu

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 32nd Ashad 2082

Amount in NPR

		Group		Bank	
	Note	Current Year	Previous Year	Current Year	Previous Year
Profit for the year		**5,605,810,719**	**6,219,271,751**	**5,076,303,895**	**6,137,454,261**
Other comprehensive income, net of income tax					
a) Items that will not be reclassified to profit or loss					
Gains/(losses) from investments in equity instruments measured at fair value	4.8	208,990,803	531,906,129	205,651,353	531,628,617
Gains/(losses) on revaluation		-	-		-
Actuarial gain/(losses) on defined benefit plans	4.23	-	41,948,542	-	42,127,206
Income Tax relating to above items	4.15	(62,697,241)	(172,097,447)	(61,695,406)	(172,126,747)
Net other comprehensive income that will not be reclassified to profit or loss		**146,293,562**	**401,757,223**	**143,955,947**	**401,629,076**
b) Items that are or may be reclassified to profit or loss					
Gains/(losses) on cash flow hedge					
Exchange gains/(losses) (arising from translating financial assets of foreign operation)					
Income Tax relating to above items					
Reclassify to profit or loss					
Net other comprehensive income that are or may be reclassified to profit or loss				-	-
c) Share of other comprehensive income of associate accounted as per equity method					
Other comprehensive income for the year, net of income tax		**146,293,562**	**401,757,223**	**143,955,947**	**401,629,076**
Total comprehensive income for the year		**5,752,104,281**	**6,621,028,975**	**5,220,259,842**	**6,539,083,337**
Total comprehensive income attributable to:					
Equity holders of the Bank		5,655,289,651	6,578,176,462		
Non-controlling interest		96,814,630	42,852,513		
Total comprehensive income for the period		**5,752,104,281**	**6,621,028,975**	**5,220,259,842**	**6,539,083,337**

The accounting policies and notes on pages 8 through 67 form an integral part of the Financial Statements.

As per report attached.

Surendra Raj Regmi
Chief Executive Officer

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Chandra Raj Sharma
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Madan Lal Joshi
Director

Narayan Prasad Paudel
Director

04/09/2025
Kathmandu

STATEMENT OF CHANGES IN EQUITY

For the year ended 32nd Ashad 2082

	Group									
	Attributable to Equityholders of the Bank									
	Share Capital	Share Premium	General Reserve	Exchange Equalization Reserve	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Non Controlling Interest	Total Equity
Balance as at Shrawan 1, 2080	35,771,059,655	-	11,473,836,112	331,160,726	4,195,805,080	496,039,786	4,132,001,815	3,842,721,984	669,443,650	60,912,068,808
Adjustment/Restatement	-	-	-	-	-	-	-	-	-	-
Adjusted/Restated balance at Shrawan 1,2080	**35,771,059,655**	**-**	**11,473,836,112**	**331,160,726**	**4,195,805,080**	**496,039,786**	**4,132,001,815**	**3,842,721,984**	**669,443,650**	**60,912,068,808**
Comprehensive Income for the year										**-**
Profit for the year	**-**	**-**	**-**	**-**	**-**	**-**	**6,176,413,830**	**-**	**42,857,922**	**6,219,271,751**
Other Comprehensive income, net of tax	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	
Gains/(losses)from investments in equity instruments measured at fair value	-	-	-	-	-	372,343,262	-	-	46,132	372,389,394
Gains/(losses) on revaluation	-	-	-	-	-	-	-	-	-	-
Actuarial gains/(losses) on defined benefit plans	-	-	-	-	99,535	-	(99,535)	29,419,370	(51,541)	29,367,829
Gains/(losses) on cash flow hedge	-	-	-	-	-	-	-	-	-	-
Exchange gains/(losses) arising from translating financial assets of foreign operation)	-	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**99,535**	**372,343,262**	**6,176,314,295**	**29,419,370**	**42,852,513**	**6,621,028,975**
Transfer to reserve during the period										**-**
General Reserve Fund	-	-	1,242,259,152	-	-	-	(1,242,259,152)	-	-	-
Exchange Fluctuation Fund	-	-	-	1,051,254	-	-	(1,051,254)	-	-	-
Corporate Social Responsibility Fund	-	-	-	-	-	-	10,435,463	(10,956,130)	(118,188)	(638,855)
Training Reserve	-	-	-	-	-	-	(8,075,628)	8,075,628	-	-
Regulatory reserve	-	-	-	-	2,808,360,855	18,460	(2,808,309,640)	-	51,541	121,215
Debenture Redemption Reserve	-	-	-	-	-	-	(183,333,333)	183,333,333	-	-
Client Protection Fund	-	-	-	-	-	-	-	(1,633,900)	(1,208,654)	(2,842,554)
Interest Capitalized reserve	-	-	-	-	144,473,934	-	(144,473,934)	-	-	-
Capital Adjustment Reserve								1,500,000,000	-	1,500,000,000

	Group									
	Attributable to Equityholders of the Bank									
	Share Capital	Share Premium	General Reserve	Exchange Equalization Reserve	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Non Controlling Interest	Total Equity
Transfer from reserve during the period										-
Investment Adjustment Reserve	-	-	-	-	-	-	(3,872,619)	3,872,619	-	
Other Reserve	-	-	3,932,908	-	-	(20,206,117)	(2,462,684)	18,735,893	-	-
Capital Reserve Fund	-	-	-	-	-	-	-	-	-	-
Debenture Redemption Reserve								(1,500,000,000)	-	(1,500,000,000)
Transactions with owners, directly recognised in equity	-									-
Transfer from merged entity	-	-	5,816,028	-	-	-	(134,690,086)	93,657,252	(78,820,502)	(114,037,308)
Less: Tax Paid on Share Swap and Premium of previous year							(1,332,380,358)		(6,227,817)	(1,338,608,175)
Dividends to equity holders									-	
Bonus shares Issued	357,710,597	-	-	-	-	-	(357,710,597)	-	-	-
Cash Dividend Paid	-	-	-	-	-	-	(2,897,259,147)	-	(26,315,630)	(2,923,574,777)
Balance at Ashad end, 2081	**36,128,770,252**	**-**	**12,725,844,200**	**332,211,980**	**7,148,739,404**	**848,195,391**	**1,202,873,140**	**4,167,226,050**	**599,656,913**	**63,153,517,329**
Balance as at Shrawan 1, 2081	36,128,770,252	-	12,725,844,200	332,211,980	7,148,739,404	848,195,391	1,202,873,140	4,167,226,050	599,656,913	63,153,517,329
Adjustment/Restatement	-	-	-	-	-	-	(12,278,108)	(1,279,305)	(10,210,652)	(23,768,065)
Adjusted/Restated balance at Shrawan 1,2081	**36,128,770,252**	**-**	**12,725,844,200**	**332,211,980**	**7,148,739,404**	**848,195,391**	**1,190,595,032**	**4,165,946,745**	**589,446,261**	**63,129,749,264**
Comprehensive Income for the year										-
Profit for the year	**-**	**-**	**-**	**-**	**-**	**-**	**5,509,428,548**	**-**	**96,382,171**	**5,605,810,719**
Other Comprehensive income, net of tax										
Gains/(losses)from investments in equity instruments measured at fair value	-	-	-	-	-	145,861,103	-	-	432,459	146,293,562
Gains/(losses) on revaluation	-	-	-	-	-	-	-	-	-	-
Actuarial gains/(losses) on defined benefit plans	-	-	-	-	-	-	-	-	-	-
Gains/(losses) on cash flow hedge	-	-	-	-	-	-	-	-	-	-
Exchange gains/(losses) arising from translating financial assets of foreign operation)	-	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**145,861,103**	**5,509,428,548**	**-**	**96,814,630**	**5,752,104,281**

	Group									
	Attributable to Equityholders of the Bank									
	Share Capital	Share Premium	General Reserve	Exchange Equalization Reserve	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Non Controlling Interest	Total Equity
Transfer to reserve during the period										-
General Reserve Fund	-	-	1,049,723,106	-	-	-	(1,049,723,106)	-	-	-
Exchange Fluctuation Fund	-	-	-	2,806,258	-	-	(2,806,258)	-	-	-
Training Reserve	-	-	-	-	-	-	(31,200,407)	31,200,407	-	-
Debenture Redemption Reserve	-	-	-	-	-	-	(627,777,778)	627,777,778	-	-
Client Protection Fund	-	-	-	-	-	-	(1,089,605)	73,904	54,670	(961,030)
Interest Capitalized reserve	-	-	-	-	117,069,502	-	(117,069,502)	-	-	-
Transfer from reserve during the period									-	-
Corporate Social Responsibility Fund	-	-	-	-	-	-	54,556,477	(54,573,934)	(3,963)	(21,420)
Regulatory Reserve	-	-	-	-	(743,439,830)	-	743,439,830	-	-	-
Transactions with owners, directly recognised in equity										
Dividends to equity holders										
Bonus shares Issued	1,987,082,364	-	-	-	-	-	(487,082,364)	(1,500,000,000)	-	-
Cash Dividend Paid	-	-	-	-	-	-	-	-	-	-
Balance at Ashad end, 2082	**38,115,852,616**	**-**	**13,775,567,306**	**335,018,238**	**6,522,369,075**	**994,056,494**	**5,181,270,867**	**3,270,424,900**	**686,311,598**	**68,880,871,095**

The accounting policies and notes on pages 8 through 67 form an integral part of the Financial Statements.

Surendra Raj Regmi
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Radhesh Pant
Director

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Chandra Raj Sharma
Chief Financial Officer

Madan Lal Joshi
Director

Narayan Prasad Paudel
Director

04/09/2025
Kathmandu

As per report attached.

Sunir Kumar Dhungel, FCA
Managing Partner
S.A.R. Associates
Chartered Accountants

STATEMENT OF CHANGES IN EQUITY

For the year ended 32nd Ashad 2082

Bank

Attributable to Equityholders of Bank

	Share Capital	Share Premium	General Reserve	Exchange Equalization Reserve	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Total Shareholders' Funds
Balance as at Shrawan 1, 2080	**35,771,059,655**	**-**	**11,328,222,384**	**331,160,725**	**4,132,076,297**	**496,906,298**	**3,243,361,568**	**3,750,923,532**	**59,053,710,459**
Comprehensive Income for the year									
Profit for the year							**6,137,454,261**		**6,137,454,261**
Other Comprehensive income, net of tax									**-**
Gains/(losses)from investments in equity instruments measured at fair value						372,140,032			372,140,032
Gains/(losses) on revaluation									-
Actuarial gains/(losses) on defined benefit plans								29,489,044	29,489,044
Gains/(losses) on cash flow hedge									-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**372,140,032**	**6,137,454,261**	**29,489,044**	**6,539,083,337**
Transfer to reserve during the period									
General Reserve Fund			1,227,490,852				(1,227,490,852)		-
Exchange Fluctuation Fund				1,051,254			(1,051,254)		-
Corporate Social Responsibility Fund							10,508,571	(10,508,571)	-
Training Reserve							(8,075,628)	8,075,628	-
Regulatory reserve					2,933,157,577		(2,933,157,577)		-
Debenture Redemption Reserve							(183,333,333)	183,333,333	-
Interest Capitalise Reserve							-	-	-
Transfer from reserve during the period									**-**
Investment Adjustment Reserve			-				(3,872,619)	3,872,619	-
Other Reserve			3,932,908			(19,664,539)	15,731,631	-	-
Capital Reserve Fund								-	-
Capital Adjustment Reserve								1,500,000,000	1,500,000,000
Debenture Redemption Reserve								(1,500,000,000)	(1,500,000,000)
Transactions with owners, directly recognised in equity									**-**
Transfer from merged entity									-
Less: Tax Paid on Share Swap and Premium of previous year							(1,323,961,381)		(1,323,961,381)
Dividends to equity holders									
Bonus shares Issued	357,710,597						(357,710,597)		-
Cash Dividend Paid							(2,861,684,772)		(2,861,684,772)
Balance at Ashad end, 2081	**36,128,770,252**	**-**	**12,559,646,144**	**332,211,979**	**7,065,233,874**	**849,381,791**	**506,718,018**	**3,965,185,586**	**61,407,147,643**
Balance as at Shrawan 1, 2081	**36,128,770,252**	**-**	**12,559,646,144**	**332,211,979**	**7,065,233,874**	**849,381,791**	**506,718,018**	**3,965,185,585**	**61,407,147,643**
Comprehensive Income for the year									

Bank

Attributable to Equityholders of Bank

	Share Capital	Share Premium	General Reserve	Exchange Equalization Reserve	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Total Shareholders' Funds
Profit for the year							**5,076,303,895**		**5,076,303,895**
Other Comprehensive income, net of tax									**-**
Gains/(losses)from investments in equity instruments measured at fair value						143,955,947			143,955,947
Gains/(losses) on revaluation									-
Actuarial gains/(losses) on defined benefit plans								-	-
Gains/(losses) on cash flow hedge									-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**143,955,947**	**5,076,303,895**	**-**	**5,220,259,842**
Transfer to reserve during the period									
General Reserve Fund			1,015,260,779				(1,015,260,779)		-
Exchange Fluctuation Fund				2,806,258			(2,806,258)		-
Training Reserve							(31,200,407)	31,200,407	-
Debenture Redemption Reserve							(627,777,778)	627,777,778	-
Transfer from reserve during the period									
Corporate Social Responsibility Fund							56,584,775	(56,584,775)	-
Regulatory reserve					(579,399,997)		579,399,997		-
Transactions with owners, directly recognised in equity									-
Dividends to equity holders									**-**
Bonus shares Issued	1,987,082,364						(487,082,364)	(1,500,000,000)	-
Cash Dividend Paid							0.00		-
Balance at Ashad end, 2082	**38,115,852,616**	**-**	**13,574,906,923**	**335,018,237**	**6,485,833,877**	**993,337,738**	**4,054,879,099**	**3,067,578,995**	**66,627,407,485**

The accounting policies and notes on pages 8 through 67 form an integral part of the Financial Statements.

As per report attached.

Surendra Raj Regmi
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

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Director

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Director

Chandra Raj Sharma
Chief Financial Officer

Madan Lal Joshi
Director

Narayan Prasad Paudel
Director

04/09/2025
Kathmandu

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 32nd Ashad 2082

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
CASH FLOW FROM OPERATING ACTIVITIES				
Interest Received	39,899,283,568	43,474,901,153	38,843,129,481	42,532,826,236
Fees and Other Income Received	4,481,489,876	3,701,614,748	4,187,982,869	3,447,294,523
Dividend received	-	-	-	-
Receipts from other operating activities	1,208,149,418	698,631,864	1,187,795,782	698,631,864
Interest Paid	(25,162,620,235)	(33,011,302,571)	(25,148,053,950)	(33,069,454,353)
Commission and Fees Paid	(980,975,151)	(768,534,942)	(965,306,298)	(764,999,768)
Cash Payment to Employees	(5,060,111,208)	(6,214,680,628)	(4,750,819,910)	(5,906,121,353)
Other Expenses Paid	(2,649,932,946)	(2,528,352,118)	(2,510,131,154)	(2,403,913,790)
Operating cash flows before changes in operating assets and liabilities	**11,735,283,322**	**5,352,277,505**	**10,844,596,820**	**4,534,263,359**
(Increase) / Decrease in operating assets				
Due from Nepal Rastra Bank	(874,547,384)	(2,665,868,249)	(829,547,384)	(2,665,868,249)
Placements with B/FIs	-	668,727,450	-	668,727,450
Other trading assets	3,433,221	(190,277,386)	-	-
Loans and advances to B/FIs	(1,686,583,478)	428,814,010	(2,016,121,199)	(90,814,797)
Loans and advances to customers	(49,816,392,358)	(17,767,725,003)	(48,462,917,308)	(16,552,628,796)
Other assets	(8,584,896,937)	(3,372,872,113)	(8,185,186,834)	(3,592,229,109)
	(60,958,986,936)	(22,899,201,291)	(59,493,772,725)	(22,232,813,501)
(Increase) / Decrease in operating liabilities				
Due to Nepal Rastra Bank	(41,480,456)	(97,391,456)	(41,480,456)	(97,391,456)
Due to bank and financial institutions	7,597,026,281	4,747,036,415	6,990,020,075	4,409,906,395
Deposit from customers	63,658,232,931	61,007,705,138	63,172,733,037	61,130,408,651
Borrowings	(14,069,406)	8,298,776,992	315,468,315	8,818,405,799
Other liabilities	8,119,327,467	3,119,624,567	8,056,576,807	3,090,654,645
	79,319,036,816	77,075,751,656	78,493,317,778	77,351,984,034
Net cash flow from operating activities before tax paid	**30,095,333,202**	**59,528,827,870**	**29,844,141,873**	**59,653,433,892**
Income taxes paid	(2,488,294,081)	(3,225,968,611)	(2,355,843,953)	(3,173,015,750)
Net cash flow from operating activities	**27,607,039,121**	**56,302,859,259**	**27,488,297,920**	**56,480,418,142**
CASH FLOW FROM INVESTING ACTIVITIES				
Purchase of investment securities	(27,237,121,233)	(33,236,640,466)	(27,237,121,233)	(33,047,357,884)
Receipt from sale of investment securities	179,155,931	316,199,057	14,987,789	316,199,057
Purchase of property and equipment	(1,061,448,577)	(1,267,210,263)	(1,048,918,463)	(1,233,567,828)
Receipt from sale of property and equipment	12,629,913	-	-	-
Purchase of intangible assets	(17,700,036)	(24,800,922)	(16,966,565)	(23,256,857)
Receipt from sale of intangible assets	-	-	-	-
Purchase of investment properties	(1,160,060,418)	(3,113,715,747)	(1,160,060,418)	(3,113,715,747)
Receipt from sale of investment properties	-	-	-	-
Interest received	6,777,776,871	7,330,602,333	6,777,776,871	7,330,602,333
Dividend received	127,615,486	139,444,327	127,615,486	139,444,327
Net cash used in investing activities	**(22,379,152,064)**	**(29,856,121,681)**	**(22,542,686,533)**	**(29,631,652,599)**
CASH FLOW FROM FINANCING ACTIVITIES				
Receipt from issue of debt securities	-	-	-	-

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Repayment of debt securities	-	(1,500,000,000)	-	(1,500,000,000)
Receipt from issue of subordinated liabilities	-	-	-	-
Repayment of subordinated liabilities	-	-	-	-
Receipt from isssue of shares	-	-	-	-
Dividend paid	-	(2,575,511,332)	-	(2,513,621,327)
Interest paid	(2,407,034,053)	(1,940,184,375)	(2,063,499,213)	(1,575,565,942)
Other receipt/payment	-	89,833,468	-	-
Net cash from financing activities	**(2,407,034,053)**	**(5,925,862,238)**	**(2,063,499,213)**	**(5,589,187,269)**
Net increase/(decrease) in cash and cash equivalents	**2,820,853,004**	**20,520,875,340**	**2,882,112,174**	**21,259,578,274**
Cash and Cash Equivalents as at 1st Shrawan	**50,221,010,878**	**29,695,930,524**	**49,795,637,083**	**28,531,853,794**
Effect of exchange rate fluctuation on Cash & Cash Equivalents	11,225,030	4,205,015	11,225,030	4,205,015
Cash and Cash Equivalents as at Ashad End	**53,053,088,913**	**50,221,010,878**	**52,688,974,287**	**49,795,637,083**

The accounting policies and notes on pages 8 through 67 form an integral part of the Financial Statements.

As per report attached.

Surendra Raj Regmi
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Radhesh Pant
Director

Sunir Kumar Dhungel, FCA
Managing Partner
S.A.R. Associates
Chartered Accountants

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Chandra Raj Sharma
Chief Financial Officer

Madan Lal Joshi
Director

Narayan Prasad Paudel
Director

04/09/2025
Kathmandu

Statement Of Distributable Profit Or Loss

For Year ended 32nd Ashad 2082
(As per NRB Regulation)

Amount in NPR

	Bank	
	Current Year	Previous Year
Net profit or (loss) as per statement of profit or loss	**5,076,303,895**	**6,137,454,261**
Appropriations:		
a. General reserve	(1,015,260,779)	(1,227,490,852)
b. Foreign exchange fluctuation fund	(2,806,258)	(1,051,254)
c. Capital redemption reserve	(627,777,778)	(183,333,333)
d. Corporate social responsibility fund	56,584,775	10,508,571
e. Employees' training fund	(31,200,407)	(8,075,628)
f. Other		-
i. Investment adjustment Reserve	-	(3,872,619)
ii. Interest capitalise Reserve	(117,069,502)	(144,473,934)
iii. Fair Value Reserve (Sale of Shares)		-
iv. Other Reserve	-	15,731,631
Profit or (loss) before regulatory adjustment	**3,338,773,946**	**4,595,396,842**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	1,385,652,782	(1,073,179,394)
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	-	-
d. Short loan loss provision on Non Banking Assets (-)/resersal (+)	36,090,130	(1,961,948,732)
e. Deferred tax assets recognised (-)/ reversal (+)	(725,273,413)	216,955,438
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/resersal (+)	-	-
h. Actuarial loss recognised (-)/reversal (+)	-	29,489,044
i. Other		-
Net Profit for the year end 32nd Ashad 2082 available for distribution	**4,035,243,445**	**1,806,713,199**
Opening Retained Earning as on Shrawan 1,2081	**506,718,018**	**3,243,361,568**
Adjustment(+/-)	-	-
Transfer from Merger	-	-
Tax Paid on Share Swap and Premium of Previous Year	-	(1,323,961,381)
Distribution		
Bonus Share Issued	(487,082,364)	(357,710,597)
Cash Dividend Paid	-	(2,861,684,772)
Total Distributable profit or (loss) as on year end date	**4,054,879,099**	**506,718,017**
Annualised Distributable Profit/Loss per share	**10.64**	**1.40**

The accounting policies and notes on pages 8 through 67 form an integral part of the Financial Statements.

As per report attached.

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Madan Lal Joshi
Director

Narayan Prasad Paudel
Director

04/09/2025
Kathmandu

1. BANK

1.1 Corporate Information

Global IME Bank Limited (hereinafter referred to as "The Bank") is a public limited company, incorporated on 29th May 2006 as per the then Companies Act 1964 of Nepal. The Bank obtained its operating license from Nepal Rastra Bank on 31st December 2006. The registered office of the Bank is located at Kamaladi, Kathmandu, Nepal. Its ordinary shares are listed on the Nepal Stock Exchange Limited (the sole stock exchange in Nepal) for public trading.

1.2 Consolidated Financial Statements

The Consolidated Financial Statements of the Bank as at and for the year ended 32nd Ashad 2082 (16th July 2025) comprise the Bank (Parent Company) and its Subsidiaries (together referred to as the "Group"). The subsidiaries of the Bank comprise Global IME Capital Ltd., Global IME Laghubitta Bittiya Sanstha Ltd., and Global IME Securities Ltd. (formerly JBNL Securities Ltd.). The financial year of all entities within the Group is aligned, ending on 32nd Ashad 2082.

1.3 Principal Activities and nature of operations

Bank

Bank provides comprehensive range of financial services encompassing accepting deposits, corporate and retail banking, project financing, trade finance, treasury and investment services, remittance and card services, foreign currency exchange services and other financial services through its strategic business units, branches, extension counters, ATMs and network of agents.

Subsidiaries

a. Global IME Capital Ltd.
   The principal activities of Global IME Capital Ltd. are to provide merchant banking services that include management of public offerings, portfolio management, registrar to shares, underwriting of securities, fund management of mutual fund schemes, depository participant's service under Central Depository Service (CDS), corporate advisory services and administration and record keeping of securities of its clients. The bank owns 81.50% of equity interest in this subsidiary.

b. Global IME Laghubitta Bittiya Sanstha Ltd.
   The principal activities of Global IME Laghubitta Bittiya Sanstha Ltd. are to provide the sustainable microfinance services to the deprived group of people and small entrepreneurs to help them in developing self-employment opportunities and various income generating activities. This microfinance is offering a broad range of microfinance products to the public who do not have access to mainstream of financial services. The Bank owns 57.48% equity interest in this subsidiary.

c. Global IME Securities Ltd.
   The principal activities of Global IME Securities Ltd. are to provide the stock brokerage services. The entity has been providing the broker service for the trading of securities of all the listed companies in Nepal Stock Exchange Ltd. after obtaining the approval from Securities Board of Nepal. The Bank owns 100% equity interest in this subsidiary.

2. BASIS OF PREPARATION

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Statement of Compliance

The Consolidated Financial Statement of the Group which comprises of Statement of Financial Position, Statement of Profit or Loss and Statement of Other Comprehensive Income shown as two separate statements, Statement of Changes in Equity, Statement of Cash Flows, Notes to the Financial Statements have been prepared in accordance with Nepal Financial Reporting Standards 2018 as issued by the Nepal Accounting Standard Board and in compliance with the requirements of the Companies Act, 2006, directives issued by Nepal Rastra Bank and required disclosures as per Securities Board of Nepal.

The format used in the preparation and presentation of the Financial Statements and disclosures made therein also complies with the specified formats prescribed in the directives of Nepal Rastra Bank. Bank and its subsidiaries have adopted the uniform accounting policies for all like transactions.

2.2 Responsibility of Financial Statements

The management is responsible for the preparation and presentation of Financial Statements of the Group as per Nepal Financial Reporting Standards.

2.3 Approval of financial statements

The Group reporting period is from 1st Shrawan 2081 to 32nd Ashad 2082 (16th July 2024 to 16th July 2025) with the corresponding previous year from 1st Shrawan 2080 to 31st Ashad 2081 (17th July 2023 to 15th July 2024). These financial statements have been approved by the Board of Directors on .....th Ashwin 2082 (.....rd October 2025).

2.4 Basis of measurement

The financial statements have been prepared under the historical cost convention, except for following material items stated in the Statement of Financial Position:

- Financial assets held at fair value through other comprehensive income are measured at fair value as per NFRS 13.
- Land and Buildings which are measured at cost at the time of acquisition subsequently measured at revalued amounts, which are the fair values at the time of revaluation.
- Liabilities for Defined Benefit Obligations are recognized at the present value of the defined obligation as per NAS 19.
- Leases recognized as per NFRS 16.

2.5 Functional and presentation currency

Items included in these Financial Statements are measured using the currency of the primary economic environment in which the Group operates. These Financial Statements are presented in Nepalese Rupees, the Group's functional and presentation currency. Financial information presented in Nepalese Rupees has been rounded to the nearest Rupees unless indicated otherwise. There is no change in Group's presentation and functional currency during the year under review.

2.6 Presentation of Financial Statements

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements.

2.7 Materiality and Aggregation

In compliance with Nepal Accounting Standards - NAS 1 (Presentation of Financial Statements), each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial. Financial assets and liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by an Accounting Standard.

2.8 Comparative Information

The comparative information is re-classified wherever necessary to conform to the current year's classification in order to provide a better presentation. Comparative Information presented under this Financial Statements represents the information of Group that existed at the previous period.

2.9 Statement of Cash Flows

The Statement of Cash Flows has been prepared by using the direct method in accordance with the Nepal Accounting Standard - NAS 7 (Statement of Cash Flows), whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognized. Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible into cash and are subject to risk of insignificant changes in value. Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months' maturity), money at call and short notice.

2.10 Use of judgments and estimates

In preparing the Financial Statements of the Group in conformity with NFRSs and NASs, the management has made judgments, estimates and assumptions which affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized prospectively. Significant areas of critical judgments and assumptions in applying accounting policies that have most significant effects on the amounts recognized in the Financial Statements of the Group are explained below separately. The significant areas where the estimates and judgments have been used in applying accounting policies that have the most significant effects on the amounts recognized in these Financial Statements are as below:

- Fair value of financial instruments
- Impairment losses on financial and non-financial assets
- Useful economic life of property & equipment and intangible assets
- Defined benefit obligations
- Provisions for liabilities, commitments and contingencies

Information about significant areas of estimation and critical judgments in applying accounting policies, other than those stated above and which have significant effects on the amounts recognized in the financial statements are described in respective notes as below:

2.10.1 Going concern basis

The management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue its business for the foreseeable future. Management is not aware of any material uncertainties that may cast doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements of the Group continue to be prepared on going concern basis.

2.10.2 Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position, for which there is no observable market price are determined using a variety of valuation techniques. The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements.

2.10.3 Impairment losses on loans and advances

The measurement of impairment losses both under NFRS 9 (Financial Instruments) across all categories of financial assets requires judgement. These estimates are driven by a number of factors, changes in which can result in different levels of allowances

The Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorizing them into group of assets with similar risk characteristics, to determine the expected credit loss on such loans and advances.

The Expected Credit Loss (ECL) calculation under NFRS 9 requires management to make judgements and estimates on the following:

- The Group's criteria for assessing if there has been a significant increase in credit risk and impairment for financial assets should be measured on a lifetime ECL basis.
- Development of ECL models, including the choice of data inputs for the model
- Selection of forward-looking macroeconomic scenarios and their probability weights, to derive the economic inputs into the ECL model.

The Group's approach to the ECL measurement is discussed in detail under Note 3.4.11 to the Financial Statements.

The impairment losses on loans and advances have been calculated as per the NFRS -9 Expected Credit Loss Related Guidelines, 2024 issued by Nepal Rastra Bank. With the transitional regulatory requirements, if ECL provisions are higher than the existing regulatory loan loss provisions, a maximum of a 5-year period transitional arrangement will be introduced for Banks and Financial Institution for adjustment in Common Equity Tier 1 Capital. If ECL provisions are less than existing regulatory loan loss provisions, no transitional arrangement will be applicable.

2.10.4 Impairment of financial investments measured at fair value

The Group also records impairment charges on financial investments measured at fair value when there has been a significant or prolonged decline in the fair value below their cost along with the historical share price movements, duration and extent up to which the fair value of an investment is less than its cost.

2.10.5 Fair Value of Property, Plant and Equipment

Property, Plant and Equipment of the Group are reflected at fair value less any impairment losses. The Group has revalued Property, Plant and equipment at the time of merger with erstwhile Bank of Kathmandu where all the properties were revalued and necessary adjustments were included in the financial statements.

2.10.6 Useful lives of property & equipment

The Group reviews the residual values, useful lives and methods of depreciation of property & equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. Detail of useful lives of property and equipment are disclosed in Note 4.38 "Depreciation and Amortization".

2.10.7 Deferred tax liabilities and assets

Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences. Whereas, Deferred tax assets are the amounts of income taxes recoverable in future periods in respect of:

a. deductible temporary differences;
b. the carryforward of unused tax losses; and
c. the carryforward of unused tax credits.

Differences between book profits and tax profits that can be reversed in subsequent periods are known as

temporary differences for which a deferred tax asset (DTA) or a deferred tax liability (DTL) is created. A deferred tax asset represents a financial benefit, while a deferred tax liability indicates a future tax obligation or payment due. Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available and can be utilized against such tax losses. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.10.8 Defined benefit obligation

The cost of the defined benefit plans is determined using an actuarial valuation. Post-employment benefits of the bank like gratuity and leave services for carryforward sick and annual leave are the defined benefit obligation of the bank. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, salary escalation rate, withdrawal rate, mortality rates, etc. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty.

2.10.9 Provisions for liabilities, commitments and contingencies

The Group may receive legal claims in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due processes in respective legal jurisdictions.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies other than those stated above that have significant effects on the amounts recognized in the financial statements are described in Note 4.28.

2.10.10 Leases

The Group uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets as per NFRS 16. It also uses judgement in the determination of the discount rate in the calculation of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease. As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate to measure the lease liability. The incremental borrowing rate is the rate of interest that the Group would have to pay, to borrow an amount similar to the value of the lease asset, over a similar term and with similar security in similar economic environment. Further, the Group applies judgement in evaluating whether it is reasonably certain to renew or terminate the lease at the end of the lease term. That is, it considers all relevant factors that create an economic benefit for it to exercise, either renewal or termination option.

2.10.11 New Accounting Standards effective from 16th July 2024

The Group applied NFRS 9 which was made effective for annual periods beginning on or after 16th July 2024, for the first time. The Group has not adopted early any other standard, interpretation or amendment that has been issued but is not yet effective.

NFRS 9: Financial Instruments

NFRS 9 replaces NAS 39 for annual periods on or after 16th July 2024. NFRS 9 requires an entity to restate prior periods if and only if the restatement is possible without the use of hindsight. The Group has not restated comparative information for 2024 for financial instruments within the scope of NFRS 9. Therefore, the comparative information for 2024 is reported under NAS 39 and is not comparable to the information presented for 2025.

Changes to Classification and Measurement

To determine their classification and measurement category, NFRS 9 requires all financial assets, except equity instruments and derivatives, to be assessed based on a combination of the entity's business model for managing the assets and the instruments' contractual cash flow characteristics.

The NAS 39 measurement categories of financial assets have been replaced by:

i. Debt and other instruments at amortised cost.
ii. Debt instruments at fair value through other comprehensive income (FVOCI), with gains or losses recycled to profit or loss on derecognition.
iii. Equity instruments at FVOCI, with no recycling of gains or losses to profit or loss on derecognition
iv. Financial assets at FVPL

The accounting for financial liabilities remains largely the same as it was under NAS 39, except for the treatment of gains or losses arising from an entity's own credit risk relating to liabilities designated at FVPL. Such movements are presented in OCI with no subsequent reclassification to the statement of profit or loss.

Changes to the Impairment Calculation

The adoption of NFRS 9 has fundamentally changed the Group's accounting for loan loss impairment by replacing

NAS 39's incurred loss approach with a forward-looking expected credit loss (ECL) approach. NFRS 9 requires the Group to record an impairment for ECLs for all loans and debt & other financial instruments not held at Fair Value through Profit or Loss, together with loan commitments and financial guarantee contracts. The impairment is based on the ECLs associated with the probability of default in the next twelve months unless there has been a significant increase in credit risk since origination in which case the impairment will be based on the ECLs associated with the probability of default over the entire lifetime of the loan.

Details of the Group's impairment method are disclosed in Note 3.4.11.

3. GENERAL ACCOUNTING POLICIES

3.1 Basis of consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its Subsidiaries in accordance with the Nepal Accounting Standard - NFRS 10 (Consolidated Financial Statements).

a. Non-Controlling Interest
Non-controlling interest is "the equity in a subsidiary not attributable, directly or indirectly, to a parent". The similar term "minority interest" was previously used. Non-Controlling Interest (NCI) refers to ownership of a company which does not give the shareholder the control of the company.

b. Subsidiaries
The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the bank's subsidiaries are prepared for the same reporting year as the bank, using consistent accounting policies.

c. Loss of Control
The loss of control of a subsidiary is a transaction or another event in which a parent company sells its controlling interest in a subsidiary to another party.

If a parent loses control of a subsidiary, the parent:

- derecognizes the assets and liabilities of the former subsidiary from the Consolidated Statement of Financial Position
- recognizes any investment retained in the former subsidiary when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant NFRSs. That retained interest is remeasured and the remeasured value is regarded as the fair value on initial recognition of a financial asset in accordance with NFRS 9 Financial Instruments or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.
- recognizes the gain or loss associated with the loss of control attributable to the former controlling interest.

d. Transaction elimination on consolidation
All the intergroup transactions between subsidiary and parent are eliminated on preparing consolidated financial statements.

e. Investment in Associates
An associate is an entity over which the Group has significant influence but not control. Significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have control or joint control over these policies. The Group's investments in associates, are accounted at cost as per NAS 28 "Investment in Associates and Joint Ventures" and with the principles of NAS 27 "Separate Financial Statements". Equity accounting is based on the profit reported by associate entities on their financial statements.

3.2 Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Nepal Financial Reporting Standard - NFRS 3 (Business Combinations), interpretation and explanatory notes issued by the Accounting Standards Board (ASB) and Explanatory note on Accounting for Business Combination issued by the Institute of Chartered Accountants of Nepal (ICAN) dated 31st July 2022.

The Bank has applied the requirements and principles of Nepal Financial Reporting Standard - NFRS 3 (Business Combinations) for the recognition of all transferred assets and liabilities, where goodwill and fair value has been measured accordingly. Goodwill has been measured on the business combinations completed for erstwhile Hathway Finance Company Ltd., Janata Bank Nepal Ltd. and Bank of Kathmandu Ltd.

The Group measures goodwill as the fair value of the consideration transferred including the recognized amount of any non-controlling interest in the acquire, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities

assumed, all measured as of the acquisition date. When excess is negative, a bargain purchase gain is recognized immediately in profit or loss, if controlling power is acquired. The changes in parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions. Detail of goodwill measurement and fair value measurement is disclosed in Notes 4.13 and 4.14.

3.3 Foreign Currency Transactions and Balances

All foreign currency transactions are translated into the functional currency, which is Nepalese Rupees, using the exchange rates prevailing at the dates of transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to Nepalese Rupees using the spot foreign exchange rate prevailing at that date and all exchange differences arising on non trading activities are taken to 'Other operating income' in the Statement of Profit or Loss. The foreign currency gains or loss on monetary items is the difference between amortized cost in the functional currency at the beginning of the period, adjusted for payments during the period and amortized cost in foreign currency translated at the rate of exchange prevailing at the end of the reporting period.

Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rates as at the dates of the initial transactions. Non- monetary items in foreign currency measured at fair value are translated using the exchange rates at the date when the fair value was determined.

As at 32nd Ashad 2082, the principal rates of exchange used for translating foreign currency balance is NPR 137.60 to USD 1 (31st Ashad 2081: NPR 133.70 to USD 1)

3.4 Financial Instruments- Initial recognition, Classification and subsequent measurement

3.4.1 Date of recognition

Financial Instruments, including loans and advances to customers and balances due from customers, are initially recognized on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular-way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

3.4.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention when acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

3.4.3 Classification of Financial assets or liabilities

The Group classifies its financial assets into the following measurement categories as per NFRS 9:

- those to be measured at fair value (either through other comprehensive income or through profit or loss); and
- those to be measured at amortized cost.

The classification depends on the Group's business model for managing financial assets and the contractual terms of the financial assets' cash flows. The Group classifies its financial liabilities at amortized cost unless it has designated liabilities to be classified at fair value.

3.4.4 Financial instruments measured at amortized cost

Financial instruments are measured at amortized cost if both of the following conditions are met:

- The Financial assets are held within a business model whose objective is achieved by holding to collect contractual cash flows; and
- contractual terms of the financial asset give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding.

These financial instruments are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment.

a. Business model assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Group's business model is not assessed on an instrument-by instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed.

b. The SPPI test

As a second step of its classification process the Group assesses the contractual terms of financial instruments to identify whether they meet the SPPI test.

The SPPI (Solely Payments of Principal and Interest) test is a component used to classify non-equity financial assets. It assesses whether the contractual cash flows of a financial asset are solely payments of principal and interest on the principal amount outstanding, consistent with a basic lending arrangement.

- Principal is the fair value of the asset at initial recognition, which may change over time due to repayments.
- Interest includes compensation for the time value of money, credit risk, and may also cover liquidity risk, administrative costs, or a profit margin.

3.4.5 Financial instruments measured at fair value through profit or loss

Instruments measured at fair value through profit or loss comprise:

- Instruments held for trading and
- Instruments specifically designated as fair value through profit or loss on initial recognition;

Financial instruments measured at fair value through profit or loss are initially recognized at fair value, with transaction costs recognized in the income statement as incurred. Subsequently, they are measured at fair value and any gains or losses are recognized in the income statement as they arise.

3.4.6 Financial instruments measured at fair value through other comprehensive income (FVTOCI)

Investment in equity instruments that are not held for trading is measured at fair value through other comprehensive income, where an irrevocable election has been made by management.

Amounts presented in other comprehensive income are not subsequently transferred to profit or loss. However as per the clarification from Accounting Standard Board Nepal dated 4th Kartik 2077, for sale of investments measured at FVTOCI, fair value gain on investments recognized up to previous year of sale will be recognized in Other Comprehensive income and additional realization after recognizing in OCI will be recognized in profit or loss. The bank has recognized such sale proceeds accordingly which are disclosed in Notes 4.8. Dividends on such investments are recognized in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

3.4.7 De recognition of financial assets and liabilities

a. Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognized when the rights to receive cash flows from the asset have expired. The Group also derecognizes the assets if it has both transferred the asset, and the transfer qualifies for de-recognition.

The group has transferred the asset if and only if, either:

- The group has transferred its contractual rights to receive cash flows from the asset; Or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass–through' arrangement.

A transfer only qualifies for de recognition if either:

- The group has transferred substantially all the risks and rewards of the asset; or
- The group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

b. Financial Liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as de-recognition of the original liability and the recognition of a new liability.

3.4.8 Reclassification of Financial Instruments

The Group will choose to reclassify its financial assets when and only when an entity changes its business model for managing financial assets. When the entity changes its business model, all the affected financial assets are reclassified in accordance with Note 3.4.3.

Reclassifications are made at fair value as of the reclassification date. Fair value becomes the new cost or amortized cost as applicable, and no reversals of fair value gains or losses recorded before re-classification date are subsequently made. Effective interest rates for financial assets reclassified to financial assets measured at amortized cost are determined at the reclassification date. Further increases in estimates of cash flows adjust effective interest rates prospectively. The Group has not made

any reclassification among its financial assets from the initial recognition.

3.4.9 Determination of fair value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of principal market, in the most advantageous market for asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - financial instruments –
  Those where the inputs used in the valuation are unadjusted quoted prices from active markets for identical assets or liabilities that the Group has access to at the measurement date. The Group considers markets as active only if there are sufficient trading activities with regards to the volume and liquidity of the identical assets or liabilities and when there are binding and exercisable price quotes available on the reporting date.

- Level 2 - financial instruments –
  Those where the inputs that are used for valuation are significant, are derived from directly or indirectly observable market data available over the entire period of the instrument's life. Such inputs include quoted prices for similar assets or liabilities in active markets, quoted prices for identical instruments in inactive markets and observable inputs other than quoted prices such as interest rates and yield curves, implied volatilities, and credit spreads. In addition, adjustments may be required for the condition or location of the asset or the extent to which it relates to items that are comparable to the valued instrument. However, if such adjustments are based on unobservable inputs which are significant to the entire measurement, the Group will classify the instruments as Level 3.

- Level 3 – financial instruments –
  Those that include one or more unobservable input that is significant to the measurement as a whole. The group evaluates the leveling at each reporting period on an instrument-by-instrument basis and reclassifies instruments when necessary based on the facts at the end of the reporting period.

3.4.10 Effective interest rate

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate at a shorter period, to the net carrying amount of the financial asset or financial liability. The amortized cost of the financial asset or financial liability is adjusted if the Group revises its estimates of payments or receipts. The adjusted amortized cost is calculated based on the original or latest re-estimated EIR and the change is recorded as 'Interest income' for financial assets and 'Interest expense' for financial liabilities if any arises. The accounting policies for the EIR method vary by instruments and are further explained in the Notes:

- for 'Financial Assets Measured at Amortized Cost'
- for 'Due from banks and loans and advances to customers'
- for 'Debt securities issued and other borrowed funds'

3.4.11 Impairment allowance for financial assets

3.4.11.1 Overview of the ECL principles

As described in Note 3.1.2, the adoption of NFRS 9 has fundamentally changed the Group's loan loss impairment method by replacing NAS 39's incurred loss approach with a forward looking Expected Credit Loss (ECL) approach. From 16th July 2024, the Group has been recording the impairment for expected credit losses for all loans and debt & other financial instruments not held at Fair Value through Profit or Loss, together with loan commitments and financial guarantee contracts. Equity instruments are not subject to impairment under NFRS 9. The ECL impairment is based on the credit losses expected to arise over the life of the asset, unless there has been no significant increase in credit risk since origination, in which case, the impairment is based on the 12 months' expected credit loss (12mECL). The Group's policies for determining if there has been a significant increase in credit risk are set out in Note below.

The 12mECL is the portion of Life Time Expected Credit Losses (LTECLs) that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Both LTECLs and 12mECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments. The policy for grouping financial assets measured on a collective basis is explained in Note 3.4.11.4.

The Group has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. Based on the above process, the Group categorizes its loans into 'Stage 1', 'Stage 2', and 'Stage 3' as described below:

- Stage 1: Stage 1 loans include the loans which are first recognised, unless it is purchased or originated credit-impaired financial assets. It also includes facilities where the credit risk has improved since the degradation of the credit risk. Financial assets in which contractual payments are not overdue or is overdue for upto 1 month. If the instrument does not meet the requirement of low credit risk, the BFIs shall determine whether the risk of default on financial instrument has been increased significantly or not after the initial recognition.

- Stage 2: Financial assets in which contractual payments are not overdue or is overdue for more than 1 month but not exceeding 3 months. When a loan has shown a significant increase in credit risk since origination and also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 3. Where there is evidence of significant reduction in credit risk, the Bank upgrades such exposure from Stage 2 to Stage 1.

- Stage 3: Loans considered credit-impaired i.e. Bank consider the borrower is unlikely to pay its credit obligations to the Bank in full, without realizing security and the financial instruments having contractual payments overdue for more than 3 months. Originated credit impaired assets are financial assets that are credit impaired on initial recognition. Though the conditions for an exposure to be classified in Stage 3 no longer exist, the Bank continues to monitor for a minimum probationary period of three months to upgrade from Stage 3.

Definition of Default and cure

The Group considers a financial instrument as defaulted and classified as Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 3 months past due on its contractual payments. As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and be assessed as Stage 3 for ECL calculations or Stage 2 as appropriate. It is the Group's policy to consider a financial instrument as 'cured' and re-classified out of Stage 3 when none of the default criteria have been present and the borrower is no longer considered as non performing in accordance with the Guidelines and Directives of the Nepal Rastra Bank. Once cured, the decision whether to classify an asset as Stage 2 or Stage 1 largely depends on the days past due, at the time of the cure. The Group's criterion for 'cure' for rescheduled / restructured loans is more stringent than ordinary loans and is transferred only after 24 months of cure unless the borrower is no longer considered as non performing.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in credit risk since initial recognition. The Group considers an exposure to have a significantly increased credit risk when it is past due for more than 30 days. The Group also applies a secondary qualitative method for triggering a significant increase in credit risk, such as restructuring or rescheduling of an asset while the asset is less than 30 days past due. In certain cases, the Group may also consider other qualitative events as a significant increase in credit risk as opposed to a default, for customers who are considered as individually significant. Following are some additional indicators considered as significant increase in credit risk which are also outlined by the NRB's guidelines regarding Expected Credit Loss:

a. Deterioration of relevant determinants of credit risk like future cash flows of a borrower.
b. Negative Net worth and continuous loss for past 3 years
c. Expectation of forbearance or restructuring due to financial difficulties.
d. Modification of terms resulting in restructuring/ rescheduling.
e. Management decision to strengthen collateral and/or covenant requirements for credit exposures. because of changes in the credit risk of those exposures since initial recognition.
e. Borrowers which are continuously kept under regular monitoring.

3.4.11.2 The calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash

shortfall (the base case, best case and the worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received for selling the asset.

Key elements of the ECL calculations are outlined below:

PD - The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD – The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

LGD – The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD.

3.4.11.3 Calculations of ECLs for individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment. If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. The impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate. Interest on impaired assets continues to be recognised as per the Interest income recognition guidelines issued by Nepal Rastra Bank.

3.4.11.4 Grouping financial assets measured on collective basis

The Group calculates ECLs either on a collective or an individual basis. Asset classes where the Group calculates ECL on an individual basis include:

- All customers whose exposure is more than or equal to the internal threshold for classifying them as individually significant. However, if the customer is determined to be in stage I or stage II such customers are moved back to collective ECL calculation.

- The treasury, trading and interbank relationships (such as Due from banks, debt instruments at amortised cost/ FVOCI)

- For all other asset classes, the Group calculates ECL on a collective basis. The Group categorizes these exposures into smaller homogeneous portfolios, based on a segment of loans that the management intends to review its portfolio as below:
  - Corporate Loans Segment
  - Project Loans Segment
  - Mid Corporate Loans Segment
    - SME Loans Segment
    - Retail Loan Segment
    - Deprived Sector Loan Segment
    - Card Loan Segment
    - Staff Loan Segment

A. PD Estimation Process

PD estimation for loans and advances to other customers under NFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most Banks in the country at present. Accordingly, exposures are categorized among 5 groups based on the DPD as follows:

- Zero days past due
- 1 – 30 days past due
- 31 - 60 days past due
- 61 – 90 days past due
- Above 90 days past due

However, for loans to and receivables from banks and debt & other financial instruments classified as amortized cost / FVOCI, the Group relies on external credit ratings in determining their respective PDs. The process flows in computation of PD is as below:

Transition Matrix Method:

- Applicable for term loans.
- PD is computed as the probability of movement from any current bucket to bucket 5 (default bucket) within the observation period.
- Averages transition flows across time to generate stable long-term PDs.

Each bucket's PD is weighted by its exposure (outstanding balance) to derive the Weighted Average PD for that segment. And to mitigate the volatility in raw PDs, regression techniques are used to smoothen the bucket-wise PD curves. Macroeconomic variables are used to link historical PDs with economic conditions.

B. Exposure at Default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too. The EAD also includes the Off Balance Sheet Exposure which is measured using the credit conversion factor that is expected to be converted to on Balance Sheet Exposure before the default.

To calculate the EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months i.e. considered in mid-point of each 12-month period. for a Stage 2 loan, the Group assesses the possible default events at mid-point of each 12-month interval until the end of the loan term. For Stage 3 financial assets and credit impaired financial assets at origination, events over the lifetime of the instruments are considered. The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The PDs are then assigned to each economic scenario based on the outcome of Group's models.

C. Loss given default

LGD calculation involves the establishment of actual loss rates from the Bank's historical data. The process involves the actual work out of the recovery that the Bank has made after the establishment of the borrower as Non-Performing loans till its settlement. The recovery can be in form of the cash receipts at multiple period of time, possession of collaterals and also the write offs. Estimated LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD.

- Secured against cash / deposits held within the bank
- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against listed shares

These LGD rates take into account the expected EAD in comparison to the amount expected to be recovered or realized from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics (e.g., product type, collateral type) as well as borrower characteristics. Further recent data and forward-looking economic scenarios are used in order to determine the LGD for each collateral type. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

3.4.11.5 Forward Looking Information

In the ECL models, the Bank relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rates
- Inflation rate

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material. To ensure completeness and accuracy, the Group obtains the above data from third party sources (Nepal Rastra Bank, World Bank and International Monetary Fund etc). The Bank's internal Research Unit reviews the inputs used and the weights attributed to multiple scenarios.

3.4.11.6 Rescheduled and restructured loans

The Bank sometimes makes concessions or modifications to the original terms of loans in response to the borrower's financial difficulties, rather than taking possession of the collateral. The Bank considers a loan as rescheduled / restructured, when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Bank would not have agreed to them if the borrower had been financially healthy and also the relief packages introduced by the Nepal Rastra Bank during any unforeseen economic activities. Reschedulement / restructure may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms. It is the Bank's policy to monitor rescheduled / restructured loans to ensure that future payments are likely to occur.

From 16th July 2024, rescheduled /restructured loans are at a minimum classified as stage 2 at the date of the modification of the loan. The Bank also consider whether such assets should be classified as Stage 3. Once an asset has been classified as stage 3, it will remain in stage 3 until it becomes performing (less than 30 days past due) but still be subjective for LTECL. Minimum curing period for these loans are 24 months from the time of its Stage classification.

3.5 Trading Assets

A financial instrument is classified as trading assets if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term or forms part of a portfolio of financial instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative.

3.6 Derivative assets and derivative liabilities

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, and foreign exchange rates. Derivatives are categorized as trading unless they are designated as hedging instruments. All derivatives are initially recognized and subsequently measured at fair value, with all revaluation gains recognized in income statement. Fair value is based on the quoted market price, quotes from brokers or dealers, or estimates based upon discounted expected cash flows as appropriate.

3.7 Property and Equipment

Property and equipment is stated at cost excluding the costs of day–to–day servicing less accumulated depreciation and accumulated impairment in value. An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace part of an item of property, plant and equipment. The Group applies cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation (except for freehold land) and any accumulated impairment losses. Bank Assets including acquired/ transferred on account of business combination have been recorded at fair value on the date of acquisition/merger.

Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates. Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

The carrying amount of an item of property and equipment is derecognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of property and equipment is included in the Statement of Profit or Loss when the item is derecognized. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization"

Capital Work in Progress

These are expenses of capital nature directly incurred in the construction of buildings and system development, awaiting capitalization. Capital work-in-progress would be transferred to the relevant asset when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

3.8 Leases

The Group has applied NFRS 16 Leases for all the right to use identifiable assets. The recognition exemption for the short term leases have been applied accordingly.

The determination of whether an arrangement is a lease, or contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or whether the arrangement conveys a right to control the use of an identified asset for a period of time in exchange for consideration.

- To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:
- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Group has right to obtain substantially all of the economic benefits from the use of the asset throughout the period of use; and

- The Group has right to direct the use of the asset. The Group has this right when it has the decision making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either;
  -The Group has the right to operate the asset; or
  - The Group designed the asset in a way that predetermines how and for what purpose it will be used.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right to use of assets is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the payment of the rent. The present value has been derived using the discount rate equal to the Group's incremental borrowing rate. The Group has applied cost model after initial recognition on the commencement date and subsequent measurement. The Group has measured the right-of-use asset at cost:

a. Less accumulated depreciation and accumulated impairment and
b. Adjusted for any reameasuremnt of lease liabilities if any.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Groups' incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate. The lease liability is subsequently measured at amortized cost using the effective interest method.

The Group presents right of use assets under Note 4.13 to the financial statements while the corresponding lease liability is presented in Note 4.23, 'Liabilities under Finance Lease'. The detail explanation for the charge of right-of-use assets and lease liabilities has been explained in Notes. 4.23.8.

Short term leases and leases of low value assets

The Group has elected not to recognize right-of-use assets and lease liabilities for short term leases (that have a lease term of 12 months or less) and leases of low value assets. The Group recognizes lease payments associated with these leases as an expense on a straight line basis over the lease term.

3.9 Goodwill and Intangible assets

An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Group.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful lives of intangible assets are assessed to be either finite or indefinite.

Goodwill on business combination is recognized on the acquisition date at the excess of (a) over (b) below:

a. The aggregate of:
   - The consideration transferred measured in accordance with the NFRS 3, which generally requires acquisition-date fair value
   - The amount of any non-controlling interest in the acquiree measured in accordance with the NFRS 3; and
   - In a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held equity interest in the acquiree.

b. The net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed measured in accordance with the NFRS 3.

The carrying amount of an item of intangible asset is derecognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss when the item is derecognized.

3.10 Investment Property

Non-Banking Assets which are acquired as part of recovery of loans are classified as investment property and are carried at cost i.e. acquired value. Assets determined to be useful for internal operations are transferred to their relevant asset category at the repossessed value. Repossessed collateral is classified as investment property as per NAS 40.

3.11 Income tax

i. Current tax
   Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid to, the taxation authorities. The tax rates and tax laws used to compute the amount are rates applicable as per Income Tax Act 2058.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

ii. Deferred tax
Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred taxes are recognized as income tax benefits or expenses in the income statement except for tax related to the fair value re measurement of financial instruments measured at fair value through other comprehensive income, actuarial gains/losses, which are charged or credited to Other Comprehensive Income.

3.12 Provisions
Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of past events, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. When the effect of the time value of money is material, the Group determines the level of provision by discounting the expected cash flows at a pre-tax rate reflecting the current rates specific to the liability. The expense relating to any provision is presented in the income statement net of any reimbursement in other operating expenses.

3.13 Financial Guarantee and loan commitment
In the ordinary course of business, the group issues financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognized in the financial statements at fair value, being the premium received. The premium received is recognized in the income statement in net fees and commission income on a straight line basis over the life of the guarantee.

3.14 Share Capital and Reserves
Share capital is increased when dividends in form of scrip (bonus shares) are paid to the shareholders. Proposed bonus shares are not shown as increment to share capital until approved by annual general meeting. Reserves are the accumulation of profit over the years which comprises statutory reserves and regulatory reserves created with the direction of Nepal Rastra Bank and the retained earnings after the allocation of statutory reserve and distribution of dividend to shareholders.

3.15 Earnings per share
The Group presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to the ordinary equity of the Group by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any.

3.16 Segment Reporting
An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available. For management purposes, the Group has identified 7 provinces as operating segments. The detailed disclosure regarding segment reporting is reported in Notes 5.4.

3.17 Impairment of non-financial assets
The Group assesses the impairment requirement at each reporting date when there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

3.18 Collateral valuation
The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Group's annual reporting schedule.

3.19 Revenue Recognition

a. Interest Income
Interest income is booked on accrual basis using the effective interest rate (EIR) method as allowed by carve-outs issued by Institute of Chartered Accountants of Nepal.

b. Fees and Commission Income
Fees and commission income earned from services that are provided over a certain period of time which includes fees collected from issuance of letter of credit, guarantees, and card related fees are recognized on time proportion basis. The Bank has availed Carve-out on NFRS for accounting of Fees and commission to include as part of EIR.

c. Dividend Income
Dividend income from assets is recognized when the Group's right to receive the payment is established.

d. Net trading Income
All the realized gains/loss and unrealized mark to market gains/loss generated by trading activities are recognized as net trading income.

e. Changes in fair value of financial instrument
Changes in fair value of equity instruments and mutual funds which are measured at fair value through other comprehensive income are charged to Other Comprehensive Income.

3.20 Interest Expense

Interest expense is recorded using the effective interest rate (EIR) method to the extent material and practicable. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability.

3.21 Carve out on NFRS taken by Group

In order to address the issues faced by Banks and Financial Institution in the course of effective implementation of Nepal Financial Reporting Standard-9 (NFRS-9): Financial Instruments, the 354th Meeting of Council dated 2082/05/02; has issued the carve-outs on the recommendation of the Accounting Standards Board as per section 11 (da) of Nepal Chartered Accountants Act, 2053 (First Amendment 2059). Some of the carve out opted by Bank are as below:

i. Calculation of Effective Interest rate
- Carve Out read as: For bank and financial institutions established /licensed by appropriate government bodies, interest revenue can be recognized as per the Guidance Note issued by respective regulators.

- Regulators Guidance Note: Interest Income recognition using Effective Interest Rate is made mandatory from FY 2083/84 for the contracts originating from 1st Shrawan 2083.

- Group's Carve Out Treatment: Transaction cost and fees incurred and received in obtaining deposits and lending to customers are not included in calculating the effective interest rate.

ii. Impairment Loss on Loans and advances.
- Carve Out read as: For bank and financial institutions established /licensed by appropriate government bodies such entity shall measure loss allowance in line with the Guidance Note issued by respective regulators.

- Regulators Guidance Note: BFIs are required to recognize impairment on credit exposures as the higher of total ECL calculated as per NFRS 9 and existing regulatory provisions in Unified Directives as per NFRS 9 – Expected Credit Loss Related Guidelines, 2024.

- Group's Carve Out Treatment: Group has applied carve out provided on NFRS 9: Financial Instruments – impairment, which allows to measure impairment loss on loan and advances as the higher of amount derived as per the norms prescribed by Nepal Rastra Bank and as per Para 5.5 of NFRS 9.

4.1 CASH AND CASH EQUIVALENT

Cash and cash equivalents include cash in hand, balance with local and foreign financial institution and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position. Bank has classified financial investments with original maturities of three months or less as cash and cash equivalents which includes investments in treasury bills and placements with financial institutions which are considered highly liquid and held for the purpose of managing short term commitments of the Bank

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Cash in hand	6,587,365,870	7,134,191,336	6,586,502,007	7,133,336,692
-Balance with financial institution	6,220,882,446	5,788,772,935	5,907,517,713	5,404,234,119
-Money at call and short notice	-	39,980,334	-	-
-Other cash and cash equivalent	40,244,840,597	37,258,066,272	40,194,954,567	37,258,066,272
	53,053,088,913	**50,221,010,878**	**52,688,974,287**	**49,795,637,083**

4.2 DUE FROM NEPAL RASTRA BANK

Due from Nepal Rastra Bank includes the balance maintained with Nepal Rastra Bank in local currency and convertible foreign currency. These balance are also used in maintaining the cash reserve and liquidity ratio required by Nepal Rastra Bank. As required by the Directives no. 13 (Mandatory Cash Reserve and Statutory Liquidity Ratio) issued by Nepal Rastra Bank, minimum cash balance is maintained with the Nepal Rastra Bank. As at 31st Ashad 2081, the minimum cash reserve requirement was 4 % (Previous Year: 4 %) of the total local currency deposit liabilities. As at 32nd Ashad 2082, the statutory liquidity ratio to be maintained was 12 % (Previous Year: 12 %) of the local currency deposit liabilities. For the purpose of calculating statutory liquidity ratio mandatory cash reserve is also included. Balances with Nepal Rastra Bank are carried at amortised cost in the Statement of Financial Position.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Statutory balance with Nepal Rastra Bank	22,189,468,521	21,314,921,137	22,144,468,521	21,314,921,137
-Securities purchased under resale agreement	-	-	-	-
-Other deposit and receivable from NRB	-	-	-	-
	22,189,468,521	**21,314,921,137**	**22,144,468,521**	**21,314,921,137**

4.3 PLACEMENTS WITH BANK AND FINANCIAL INSTITUITIONS

Placement with bank and financial institutions are the inter bank deposits within Nepal and outside Nepal, placed for short term. This includes placements in Nepalese rupees and foreign currency within the commercial bank of Nepal and foreign currency placements with international banks outside Nepal held for period of more than three months . Placements with maturities of three months or less are classified as cash and cash equivalents as these are highly liquid in nature. Placements are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and are measured at amortised cost using the Effective Interest Rate (EIR), less provision for impairment.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Placements				
-With domestic B/FIs Nepal	-	-	-	-
-With foreign B/FIs	-	-	-	-
Less: Allowances for impairment	-	-	-	-
	-	**-**	**-**	**-**

4.4 DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Held for trading				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-Forward exchange contract	-	-	-	-
-Others	-	-	-	-
Held for risk management		-		
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-Forward exchange contract	11,071,926,976	4,525,346,887	11,071,926,976	4,525,346,887
-Others	-	-		-
	11,071,926,976	**4,525,346,887**	**11,071,926,976**	**4,525,346,887**

4.5 OTHER TRADING ASSETS

Trading assets are securities held by group for the purpose of selling them for profit. These assets include treasury bills, government and NRB bonds, equities, mutual fund units and other securities held for trading. These assets are initially recorded at fair value and are subsequently measured at fair value through profit or loss with any realized and unrealized gains and losses included in net trading income. The bank has not acquired any assets with the intention of trading them in short term.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Treasury bills	-	-	-	-
Government bonds	-	-	-	-
NRB Bonds	-	-	-	-
Domestic Corporate bonds	79,186,713	81,389,834	-	-
Equities	1,465,275,055	1,220,296,623	-	-
Other	-	-	-	-
	1,544,461,768	1,301,686,457	-	-
Pledged			-	-
Non-pledged	1,544,461,768	1,301,686,457	-	-
	1,544,461,768	**1,301,686,457**	**-**	**-**

4.5.1: INVESTMENT SECURITIES MEASURED AT FVTPL

	Group					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Api Power Company Ltd.	6,994	1,922,858	2,069,664	-	-	-
Arun Valley Hydropower Development Co. Ltd.	-	-	-	2,401	494,253	427,138
Asian Life Insurance Company Ltd.	32,590	15,728,044	16,241,552	6,718	4,058,449	4,185,314
Bottlers Nepal(Terai)Limited	170	2,334,100	2,176,000	170	2,334,100	2,210,000
Butwal Power Company Limited	-	-	-	959	294,988	297,290
Chandragiri Hills Limited	44,191	66,416,312	42,247,480	44,191	66,416,312	40,125,428
Chhimek Laghubitta Bittiya Sanstha Ltd.	4,307	3,915,460	4,461,966	1,488	1,355,783	1,339,200
Citizen Investment Trust.	8,593	15,235,981	16,977,362	7,456	13,836,012	14,501,920
Deprosc Laghubitta Bittiya Sanstha Ltd.	1,908	1,161,547	1,683,333	1,742	1,161,547	1,465,022
Everest Bank Ltd.	8,700	4,436,492	6,103,572	8,409	4,716,962	4,709,040
First Micro Finance Laghubitta Bittiya Sanstha Ltd.	194,885	131,238,130	155,728,706	223,973	159,525,927	152,525,613
Forward Microfinance Laghubitta Bittiya Sanstha Ltd.	-	-	-	464	615,131	655,632
Garima Bikas Bank Ltd.	-	-	-	3,566	1,268,407	1,373,267
Global IME Bank Ltd.	-	-	-	-	-	-
Global IME Laghubitta Bittiya Sanstha Ltd.	-	-	-	-	-	-
Goodwill Finance Ltd.	-	-	-	-	-	-
Grameen Bikas Laghubitta Bittiya Sanstha Ltd.	1,000	514,000	849,920	2,150	1,105,100	1,743,650
Greenlife Hydropower Ltd.	178,357	77,226,875	48,623,685	239,718	111,130,866	51,803,060
Himalaya Urja Bikas Company Ltd.	274,778	74,474,459	68,947,296	449,424	128,576,485	87,637,680
Himalayan Bank Ltd.	-	-	-	5,000	1,025,995	1,021,000
Himalayan Everest Insurance Ltd. (P)	186,711	76,734,751	70,018,492	252,271	104,025,805	88,042,579
Himalayan Life Insurance Ltd.	10,777	4,871,232	4,387,424	9,454	4,871,232	3,696,514
Himalayan Power Partner Limited	-	-	-	9,000	4,035,435	2,754,000
IGI Prudential Insurance Ltd.	27,114	14,836,583	15,102,227	29,114	15,930,963	16,245,612
Jyoti Bikas Bank Ltd.	14,890	4,719,240	5,234,431	15,890	5,036,180	4,989,460
Kamana Sewa Bikas Bank Ltd.	-	-	-	1,000	365,292	416,000
Laxmi Bank Limited	-	-	-	-	-	-
Laxmi Equity Fund	-	-	-	41,400	378,514	392,058
Laxmi Laghubitta Bittiya Sanstha Limited	-	-	-	-	-	-
Life Insurance Corporation (Nepal) Ltd.	1,885	1,523,500	1,676,199	1,431	2,053,485	2,057,778
Machhapuchhre Bank Ltd.	47,288	10,856,205	12,266,980	8,158	2,001,876	1,631,600
Madhya Bhotekoshi Jalavidyut Co Ltd.	-	-	-	2,005	551,374	616,538
Manjushree Finance Ltd.	2,905	1,759,774	1,810,599	15,632	9,469,516	9,424,533
Mero Microfinance Bittiya Sanstha Ltd.	1,004	737,167	849,916	1	544	700
Mirmire laghubitta Bittiya Sanstha Ltd.	-	-	-	-	-	-
Mithila Laghubitta Bittiya Sanstha Ltd.	2,337	2,766,700	3,736,489	1,991	2,766,700	2,745,788
Mountain Energy Nepal Ltd.	172,555	128,296,184	110,295,430	195,492	169,187,665	116,708,724
Mountain Hydro Nepal Ltd.	-	-	-	-	-	-
Nabil Bank Ltd.	-	-	-	-	-	-
Narayani Development Bank Ltd.	-	-	-	-	-	-
National Hydro Power Company Ltd.	-	-	-	11,302	1,583,514	1,841,096
National Insurance Company Ltd.	-	-	-	-	-	-
NECO Insurance Company Ltd.	40,355	27,255,600	28,666,578	7,782	6,440,327	6,505,752
Nabil Bank Ltd.	-	-	-	1,553	801,773	813,772
Nepal Bank Ltd.	7,323	1,806,768	2,134,215	7,323	1,806,768	1,680,629

	Group					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Nepal Doorsanchar Company Ltd.	3,247	2,899,684	2,848,496	14,947	13,348,135	12,630,215
Nepal Infrastructure Bank Limited	-	-	-	-	-	-
Nepal Insurance Company Ltd.	7,317	3,237,127	4,720,782	4,546	3,028,127	4,000,480
Nepal Investment Bank Ltd.	-	-	-	7,550	1,364,281	1,322,005
Nepal Investment Bank Ltd. (P)	-	-	-	8,070	1,187,913	1,120,923
Nepal Life Insurance Co. Ltd.	23,708	17,450,900	18,325,573	34,461	27,575,039	21,331,359
Nepal Reinsurance Co. Ltd.	10,113	12,393,537	12,743,492	5,504	4,829,957	3,842,532
Nepal Reinsurance Co. Ltd. (P)	209,500	39,332,831	58,842,600	209,500	39,332,831	58,869,500
Nepal SBI Bank Ltd.	-	-	-	31	9,754	10,168
Nerude Laghubitta Bittiya Sanstha Ltd.	-	-	-	-	-	-
Ngadi Group Power Ltd.	-	-	-	-	-	-
NIC Asia Bank Ltd.	19,320	10,447,036	8,115,366	8,320	5,031,000	3,687,424
NIC Asia Laghubitta Bittiya Sanstha Ltd.	1,000	842,945	684,200	361	239,379	254,505
Nirdhan Utthan Laghubitta Bittiya Sanstha Ltd.	13,038	9,380,803	10,022,441	3,420	2,163,907	2,434,698
NLG Insurance Company Ltd.	-	-	-	-	-	-
NMB Bank Ltd.	75,090	18,954,312	20,253,275	2,775	621,600	604,950
Nrn Infrastructure And Development Ltd.	-	-	-	977	775,615	730,796
Panchakanya Mai Hydropower Ltd.	-	-	-	-	-	-
Prabhu Bank Limited	-	-	-	7,220	1,184,080	1,181,914
Prabhu Insurance Company Ltd.	-	-	-	-	-	-
Prabhu Life Insurance Limited	36,994	21,805,255	19,337,874	31,140	21,805,255	17,566,074
Prime Commercial Bank Limited	25,817	6,846,383	7,133,495	4,825	892,625	1,070,185
Rastriya Beema Company Ltd.	-	-	-	270	4,185,963	3,642,300
Rastriya Beema Company Ltd. Po	15,912	259,302,122	195,717,600	18,532	303,069,998	187,080,540
Rasuwagadhi Hydropower Co Ltd.	-	-	-	3,050	865,590	899,750
Ridhi Hydropower Co. Ltd.	-	-	-	1	100	191
Sagarmatha Lumbini Insurance Co Ltd.	13,100	10,019,765	9,511,779	2,585	1,805,058	1,879,295
Sahas Urja Ltd.	58,395	29,871,070	37,375,136	1,910	811,559	991,290
Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd.	4,732	4,192,226	4,185,028	1,676	1,590,885	1,430,801
Sanima Bank Ltd.	97,694	30,399,740	36,612,780	13,208	3,635,100	3,685,032
Shangrila Development Bank Ltd.	11,260	3,617,151	5,211,353	10,605	3,271,503	3,701,145
Shine Resunga Development Bank Ltd.	-	-	-	-	-	-
Shivam Cements Ltd.	65,355	33,939,146	34,967,539	61,208	34,502,846	30,744,778
Siddhartha Investment Growth Scheme 3	50,000	500,000	522,000	50,000	500,000	472,500
Siddhartha Bank Ltd.	53,441	14,886,669	20,509,053	11,679	2,956,052	3,305,157
Siddhartha Equity Fund	122,600	1,049,252	1,261,554	122,600	1,049,252	1,028,614
Siddhartha Premier Insurance Ltd.	12,423	9,375,127	10,439,668	9,378	6,832,019	8,064,142
Sikles Hydropower Ltd.	-	-	-	-	-	-
Standard Chartered Bank Ltd.	-	-	-	1,511	848,534	909,622
Sunrise Bank Ltd.	-	-	-	24,431	3,784,461	4,275,425
Surya Jyoti Life Insurance Company Ltd.	2,714	1,627,830	1,212,317	2,714	1,627,830	1,166,749
Swabalamban Laghubitta Bittiya Sanstha Ltd.	-	-	-	-	-	-
Swabalamban Laghubitta Bittiya Sanstha Ltd. (P)	11,387	4,294,729	8,904,634	9,967	4,294,729	7,794,194
Swabhimaan laghubitta Bittiya Sanstha Ltd.	-	-	-	-	-	-
Upper Tamakoshi Hydropower Ltd.	-	-	-	-	-	-
Citizen Super 30 Mutual Fund-30	30,000	272,100	302,400	30,000	272,100	300,000
Global IME Balance Fund 1	-	-	-	-	-	-

	Group					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Global IME Sammunnat Yojana-1	-	-	-	-	-	-
Kumari Dhanbriddhi Yojana	101,545	869,679	1,020,527	101,545	869,679	981,940
Nabil Equity Fund	-	-	-	-	-	-
NIBL Growth Fund	30,000	232,500	295,800	30,000	232,500	319,200
NIBL Sahabhagita Fund	43,000	430,000	491,060	43,000	430,000	453,220
NIC Asia Dynamic Debt Fund	-	-	-	30,000	300,000	325,800
NMB 50 Mutual Fund	422,423	5,175,080	4,515,702	422,423	5,175,080	4,241,127
Nmb Hybrid Fund 1	-	-	-	-	-	-
Prabhu Select Fund	612,350	5,883,264	6,913,432	612,350	5,883,264	5,994,907
Prabhu Smart Fund	30,000	234,600	344,100	30,000	234,600	288,300
RBB Mutual Fund 2	30,000	312,900	302,400	30,000	312,900	285,000
Sanima Equity Fund	-	-	-	411,558	5,499,430	4,490,098
Sanima Large Cap Fund	541,340	5,611,359	5,537,908	541,340	5,611,359	5,029,049
Siddhartha Investment Growth Scheme-2	298,659	3,096,166	3,135,920	298,659	3,096,166	2,834,274
Sunrise Bluechip Fund	524,670	5,166,470	5,246,700	524,670	5,166,470	4,339,021
Sunrise First Mutual Fund	438,125	5,484,391	4,679,175	438,125	5,484,391	4,534,594
Sunrise Focused Equity Fund	1,000,000	10,000,000	10,040,000	1,000,000	10,000,000	8,240,000
Kumari Bank Limited (P)	187,184	20,799,121	20,777,424	187,184	20,799,121	19,467,136
Prabhu Bank Limited Promoter Share	-	-	-	128,381	14,805,917	12,838,100
Mahalaxmi Bikas Bank Ltd.	21,587	7,382,778	8,886,720	19,017	6,650,736	6,693,984
Sanima Middle Tamor Hydropower Limited	7,360	2,889,283	3,809,021	13,290	5,200,356	5,980,500
Chilime Hydropower Company Limited	3,830	1,599,716	2,043,114	12,957	5,952,806	6,025,005
Arun Kabeli Power Ltd.	15,000	3,870,560	3,944,550	4,201	815,359	777,185
Upper Solu Hydro Electric Company Limited	-	-	-	1,200	444,490	584,400
Soaltee Hotel Limited	25,710	11,807,530	14,849,582	21,094	9,769,910	9,323,548
IME Life Insurance Company Limited	9,840	4,560,698	4,546,277	21,338	9,889,876	9,666,114
Citizen Life Insurance Company Limited	-	-	-	16,595	7,755,439	9,037,637
Reliable Nepal Life Insurance Limited	9,504	3,568,765	4,530,367	8,486	3,568,765	3,886,588
National Life Insurance Co. Ltd.	8,037	4,339,390	5,011,712	7,361	4,339,390	4,379,795
Mahila Lagubitta Bittiya Sanstha Limited	201	401,258	473,385	540	1,004,400	1,098,900
Suryodaya Womi Laghubitta Bittiya Sanstha Limited	-	-	-	1	-	945
Sonapur Minerals And Oil Limited	34,385	16,628,014	15,958,422	18,885	8,714,815	8,613,449
Ghorahi Cement Industry Limited	17,538	8,150,174	9,023,126	18,538	8,614,884	9,194,848
Sarbottam Cement Limited	28,537	18,195,396	24,707,620	14,127	5,664,927	11,393,426
Laxmi Value Fund 2	530,000	5,300,000	5,363,600	530,000	5,300,000	4,897,200
Kumari Sabal Yojana	500,000	5,000,000	5,000,000	500,000	5,000,000	5,000,000
NIBL Stable Fund	300,000	3,000,000	2,967,000	300,000	3,000,000	3,000,000
NIC ASIA Growth Fund-2	365,900	3,544,505	3,483,368	250,000	2,500,000	2,050,000
Himalayan 80-20	250,000	2,500,000	2,900,000	250,000	2,500,000	2,497,500
Siddhartha Premier Insurance Limited (P)	30,000	5,264,988	12,780,000	30,000	5,264,988	12,780,000
Sanima GIC Insurance Limited	6,084	3,175,176	3,711,179	6,160	3,455,671	3,554,320
Himalayan Reinsurance Limited	27,322	21,449,823	25,212,195	11,767	6,994,138	6,824,860
Laxmi Sunrise Bank Ltd.	34,297	6,536,089	8,188,066			
Nepal Investment Mega Bank Ltd.(P)	7,070	1,040,713	1,187,760			
Nepal Investment Mega Bank Ltd.	1,949	352,180	450,258			
Citizens Bank International Ltd.	20,001	4,236,097	4,565,828			
Muktinath Bikas Bank Ltd.	57,029	22,284,197	23,149,212			

	Group					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Reliance Finance Limited	1,000	520,014	504,270			
Best Finance Company Limited	2,500	1,259,785	1,280,075			
Excel Development Bank Ltd.	2,000	1,176,754	1,298,840			
Chhyangdi Hydropower Company Limited	1	100	319			
Balephi Hydropower Limited	30,000	6,891,018	6,322,200			
Orinetal Hotal Ltd.-Ordinaryshare	3,720	3,459,265	3,275,274			
Hydorelectricity Investment and Development Company Ltd. (P)	23,708	4,409,667	4,991,956			
Sanima Reliance Life Insurance Limited	8,500	3,621,488	3,486,615			
Swarojgar Laghubitta Bittiya Sanstha Limited	2,281	1,932,846	2,328,969			
Nesdo Sambridha Laghubitta Bittiya Sanstha Limited	548	1,110,404	940,795			
Rima Samriddhi Yojana-Gsy	300,000	3,000,000	2,985,000			
Reliable Samriddhi Yojana	250,000	2,500,000	2,482,500			
Prabhu Bank Limited	128,381	14,805,917	14,121,910			
Nic Asia Dynamic Debt Fund (Naddf)	30,000	300,000	319,800			
Mega Mutual Fund-1	70,310	623,325	673,570			
Nmb Hybrid Fund L-II	300,000	3,000,000	2,718,000			
Mbl Equity Fund	250,000	2,500,000	2,482,500			
Muktinath Mutual Fund 1	300,000	3,000,000	2,970,000			
10% Himalayan Bank Debenture	2,755	3,105,276	2,984,216	2,755	3,105,276	2,975,400
10% Sanima Bank Debenture	347	361,581	410,727	347	361,581	436,040
10% Sunrise Bank Debenture	-	-	-	-	-	-
10.25% Kumari Bank Ltd. Debenture	796	778,375	982,264	796	778,375	916,196
10.25% Nepal Banladesh Bank Debenture	26,066	31,088,923	28,920,227	26,066	31,088,923	32,061,180
10.25% Nepal SBI Bank Debenture 2083	300	292,852	330,411	300	292,852	328,800
10.25% NIC Asia Debenture 2083/84	-	-	-	-	-	-
10.25% Sunrise Bank Debenture 2083	-	-	-	-	-	-
10.35% Agriculture Dev. Bank Debenture	5,826	6,721,673	6,758,160	6,826	7,875,413	7,767,305
10.50% Siddhartha Bank Ltd. Debenture	-	-	-	-	-	-
10.50%Century Commercial Bank Ltd. Debenture	8,030	8,030,000	9,787,767	8,030	8,030,000	8,992,797
11% NIC ASIA Bank Ltd. Debenture	-	-	-	1,511	1,690,237	1,795,975
12% Goodwill Finance Debenture 2083	-	-	-	-	-	-
12% ICFC Finance Debenture 2083	-	-	-	272	282,085	353,736
8% Nabil Bank Debenture	10,400	10,353,677	10,937,264	10,400	10,353,677	10,400,000
9% NIC Asia Debenture 2081/82	-	-	-	-	-	-
9.5% Manjushree Debenture 2085	2,020	1,955,100	2,256,744	2,020	1,955,100	2,098,376
9.5% NCC Rinpatra 2086	540	521,728	604,800	540	521,728	563,220
10% KBL DEBENTURE 2090	5,000	5,000,000	7,064,500	5,000	5,000,000	5,000,000
10% Citizens Bank Debenture 2090	2,500	2,500,000	2,962,500	2,500	2,500,000	2,645,000
9% Kamana Sewa Debenture 2087	2,000	2,000,000	2,200,000	2,000	2,000,000	2,050,000
8.5% Nepal Investment Bank Debenture 2084	1,066	876,829	1,110,772	1,066	876,829	1,044,787
10% Nabil Bank Debenture 2082	1,000	989,800	1,130,000	1,000	989,800	1,051,000
11% Mahalaxmi Debenture 2089	463	463,000	578,750	463	463,000	520,875
Garima Debenture	153	146,743	167,612	153	146,743	151,164
		1,577,374,703	1,544,461,768		1,603,129,802	1,301,686,457

4.6 LOAN AND ADVANCES TO B/FIS

Loans and advances to banks and financial institutions includes loans provided to class “D” financial institutions. These loans are in the form of short term lending or term loan. These loans are initially measured at fair value and subsequently measured at amortized cost using effective interest rate. Loans to class "D" financial institutions includes interest accrued on such loans. Loan loss provisions on loans and advances to banks and financial institutions are provided on the basis of directives issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category for providing the loan loss provisions.

Bank has also measured the Expected Credit Loss as per NFRS 9 on financial instruments measured at amortized cost with effect from 16th July 2024. The measurement involves the measurement of credit losses expected to arise over the life of the asset, unless there has been no significant increase in credit risk since origination, in which case, the impairment is based on the 12 months' expected credit loss (12mECL). The detailed accounting policy followed by the Bank is included in note 3.4.11 of Significant Accounting Policies. In line with the NFRS-9 Expected Credit Loss Related Guidelines,2024 loan loss provision is provided at HIGHER of provisions as per Unified directive number 2 issued by Nepal Rastra Bank and loan loss provision measured as per NFRS 9.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Loans to microfinance institutions	12,438,002,774	10,751,419,296	15,945,972,073	13,929,850,874
Others	-	-	-	-
Less: Allowances for Impairment	(123,729,037)	(128,053,149)	(158,808,730)	(166,194,328)
	12,314,273,736	**10,623,366,147**	**15,787,163,343**	**13,763,656,546**

4.6.1: ALLOWANCES FOR IMPAIRMENT

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Balance at Shrawan 1	128,053,149	144,246,787	166,194,328	178,811,223
Impairment loss for the year:	-	-		-
Transfer from Merger/Acquisition	-	-	-	-
Charge for the year	60,472,331	34,668,980	57,410,845	38,245,723
Recoveries/reversal	(64,796,442)	(50,862,618)	(64,796,442)	(50,862,618)
Amount written off	-	-	-	-
Balance at Ashad end	**123,729,037**	**128,053,149**	**158,808,730**	**166,194,328**

4.7 LOANS AND ADVANCES TO CUSTOMERS

Loans and advances to customers comprises of non-derivative financial assets with fixed or determinable payments that are not quoted in an active market which includes short term lending, term based lending, hire purchase lending, mortgage lending, personal lending, loans to employees and others. Loans and advances are initially measured at fair value and subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. Bank has not taken in account of upfront service fees collected on the loans to customers for calculating EIR as per the deferral granted upto FY 2025-26 by the Guidance Note on Interest Income Recognition, 2025 issued by Nepal Rastra Bank.

Bank has also measured the Expected Credit Loss as per NFRS 9 on financial instruments measured at amortized cost with effect from 16th July 2024. The measurement involves the measurement of credit losses expected to arise over the life of the asset, unless there has been no significant increase in credit risk since origination, in which case, the impairment is based on the 12 months' expected credit loss (12mECL). The detailed accounting policy followed by the Bank is included in note 3.4.11 of Significant Accounting Policies. In line with the NFRS-9 Expected Credit Loss Related Guidelines,2024 loan loss provision is provided at HIGHER of provisions as per Unified directive number 2 issued by Nepal Rastra Bank and loan loss provision measured as per NFRS 9.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Loan and advances measured at amortized cost	444,100,587,214	396,003,122,020	433,656,053,205	386,982,657,731
Less: Allowances for Impairment		-		-
Collective impairment	(8,205,269,727)	(6,975,141,589)	(7,499,369,145)	(6,475,785,108)
Individual impairment	(16,042,750,560)	(11,082,353,189)	(16,042,750,560)	(11,082,353,189)
Net amount	**419,852,566,927**	**377,945,627,242**	**410,113,933,500**	**369,424,519,435**
Loan and advances measured at FVTPL				-
Total	**419,852,566,927**	**377,945,627,242**	**410,113,933,500**	**369,424,519,435**

4.7.1: ANALYSIS OF LOAN AND ADVANCES - BY PRODUCT

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Product				
Long Term loans	194,409,813,549	162,367,270,155	184,289,431,181	153,568,671,641
Personal	26,490,215,178	24,307,947,752	26,490,215,178	21,824,160,491
Business	119,163,267,714	93,724,042,679	109,042,885,346	87,409,231,426
Working Capital	48,756,330,657	44,335,279,724	48,756,330,657	44,335,279,724
Overdraft (Personal)	9,094,883,805	9,368,332,021	9,094,883,805	9,368,332,021
Cash Credit Loan	57,610,755,101	58,584,549,392	57,610,755,101	58,584,549,392
Trust receipt/Import loans	11,951,935,092	7,515,049,902	11,951,935,092	7,515,049,902
Short Term WC/Demand Loan	55,397,196,797	47,583,475,942	55,397,196,797	47,583,475,942
Personal residential loans	42,747,721,895	33,006,984,408	42,744,762,311	33,003,660,322
Real estate loans	16,564,041,759	15,849,058,908	16,564,041,759	15,849,058,908
Margin lending loans	12,309,386,605	7,517,371,612	12,309,386,605	7,517,371,612
Hire purchase loans	15,584,295,151	13,978,669,876	15,584,295,151	13,978,669,876
Deprived sector loans	6,309,300,843	20,216,418,697	6,309,300,843	20,216,418,697
Bills purchased	771,438,225	329,594,165	771,438,225	329,594,165
Staff loans	3,339,716,180	2,709,639,357	3,320,447,516	2,681,302,020
Other	12,145,873,292	9,402,620,173	12,113,814,821	9,402,617,400
Sub total	**438,236,358,293**	**388,429,034,608**	**428,061,689,206**	**379,598,771,898**
Interest Receivable	5,864,228,921	7,574,087,412	5,594,363,999	7,383,885,833
Grand total	**444,100,587,214**	**396,003,122,020**	**433,656,053,205**	**386,982,657,731**

4.7.2: ANALYSIS OF LOAN AND ADVANCES - BY CURRENCY

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Nepalese rupee	429,340,277,602	383,783,927,812	419,165,608,515	374,953,665,102
Indian rupee	-	-	-	-
United State dollar	8,887,913,154	4,630,338,749	8,887,913,154	4,630,338,749
Great Britain pound	-	-	-	-
Euro	8,167,537	14,768,047	8,167,537	14,768,047
Japanese yen	-	-	-	-
Chinese yuan	-	-	-	-
Other	-	-	-	-
Sub total	**438,236,358,293**	**388,429,034,608**	**428,061,689,206**	**379,598,771,898**

4.7.3: ANALYSIS OF LOAN AND ADVANCES - BY COLLATERAL

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Secured				
Movable/immovable assets	243,364,019,096	359,927,318,323	240,662,168,859	351,106,341,848
Gold and silver	-	-	-	-
Guarantee of domestic B/FIs	-	-	-	-
Government guarantee	-	-	-	-
Guarantee of international rated bank	-	-	-	-
Collateral of export document	-	-	-	-
Collateral of fixed deposit receipt	2,293,218,431	2,585,039,585	2,293,218,431	2,585,039,585
Collateral of Governement securities	-	-	-	-
Counter guarantee	-	-	-	-
Personal guarantee	-	-	-	-
Other collateral	192,579,120,766	25,916,676,700	185,106,301,916	25,907,390,465
Sub total	**438,236,358,293**	**388,429,034,608**	**428,061,689,206**	**379,598,771,898**
Unsecured				-
Grand Total	**438,236,358,293**	**388,429,034,608**	**428,061,689,206**	**379,598,771,898**

4.7.4: ALLOWANCES FOR IMPAIRMENT

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Specific allowances for impairment				
Balance at Shrawan 1	11,082,353,189	7,396,152,113	11,082,353,189	7,396,152,113
Impairment loss for the year:	-	-		-
Transfer from Merger/Acquisition	-	-	-	-
Charge for the year	7,687,304,592	6,768,499,680	7,687,304,592	6,768,499,680
Recoveries/reversal during the year	(2,726,907,221)	(3,082,298,604)	(2,726,907,221)	(3,082,298,604)
Write-offs	-	-	-	-
Exchange rate variance on foreign currency impairment	-	-	-	-
Other movement	-	-	-	-
Balance at Ashad end	16,042,750,560	11,082,353,189	16,042,750,560	11,082,353,189
Collective allowances for impairment				
Balance at Shrawan 1	6,975,141,589	6,907,025,260	6,475,785,108	6,532,760,797
Impairment loss for the year:	-	-		-
Transfer from Merger/Acquisition	-	-	-	-
Charge for the year	4,344,128,938	3,236,822,221	3,935,065,911	2,944,143,484
Recoveries/reversal during the year	(3,114,000,799)	(3,168,705,893)	(2,911,481,873)	(3,001,119,173)
Exchange rate variance on foreign currency impairment	-	-	-	-
Other movement	-	-	-	-
Balance at Ashad end	**8,205,269,727**	**6,975,141,589**	**7,499,369,145**	**6,475,785,108**
Total Allowances for impairment	**24,248,020,287**	**18,057,494,777**	**23,542,119,705**	**17,558,138,296**

IMPAIRMENT OF LOANS AND ADVANCES TO CUSTOMERS UNDER NFRS

An entity at the end of each reporting period shall assess if there is any objective evidence that financial asset or group of financial assets measured at amortized cost is impaired. The bank for the current financial year has assessed the impairment under para 5.5 of the NFRS 9 under expected credit loss methodology and the guidelines issued by Nepal Rastra Bank. The Bank, following regulatory backstop as mentioned in Clause 16 of "NFRS 9- Expected Credit Loss Related Guidelines, 2024" has recognize impairment on credit exposures as the HIGHER of total ECL calculated as per NFRS 9 and existing regulatory provisions as outlined in Unified Directives issued by Nepal Rastra Bank.

The Impairment for FY 2081-82 is calculated as per Expected Credit Loss model, impairment for the previous FY 2080-81 was calculated based on the Incurred Loss Model. Impairment amount calculated with the principles of NFRS 9 are as below:

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Impairment under NFRS				
Collective impairment	18,518,706,708	4,809,222,205	18,518,706,708	4,809,222,205
Individual impairment	2,233,607,601	1,643,387,568	2,233,607,601	1,643,387,568
Total Impairment under NFRS	20,752,314,309	6,452,609,773	20,752,314,309	6,452,609,773
Loan Loss Provision under NRB	**24,371,749,324**	**18,185,547,926**	**23,700,928,436**	**17,724,332,624**

DETAILS OF COLLECTIVE AND INDIVIDUAL IMPAIRMENT:

Particulars	Expected Credit Loss (ECL)
Collective Impairment	**16,627,835,097**
Stage 1	1,917,043,164
Stage 2	4,960,169,907
Stage 3 -	9,750,622,026
Individual Impairment	**2,233,607,601**
Stage 1	101,741,797
Stage 2	356,727,018
Stage 3	1,775,138,786
Total Funded	**18,861,442,698**
Non-Funded Exposures**	1,890,871,611
Total Expected Credit Loss	**20,752,314,309**

** Non-Funded Exposures includes Letter of Credit, Bank Guarantee and undrawn limit for short term and long-term loan with exposures of NPR 133.03 billion.

EXPECTED CREDIT LOSS SUMMARY:

Financial Statement Items	Gross Carrying Amount (Stage)				ECL Provision (Stage)			
	1	2	3	Total	1	2	3	Total
Loans and advances to customers	363,328,521,070	43,659,813,496	41,446,119,209	448,434,453,774	2,018,784,962	5,316,896,925	11,525,760,812	18,861,442,698
Loan Commitments	52,670,060,403	1,509,149,811	-	54,179,210,214	1,648,862,117	142,981,200	-	1,791,843,318
Bank Guarantee	52,481,306,524	-	-	52,481,306,524	2,320,420	-	-	2,320,420
Letter of Credit and Others	26,377,400,075	-	-	26,377,400,075	96,707,873	-	-	96,707,873
Total	**494,857,288,072**	**45,168,963,306**	**41,446,119,209**	**581,472,370,587**	**3,766,675,372**	**5,459,878,125**	**11,525,760,812**	**20,752,314,309**

Financial Statement Items	NRB Regulatory Provision (Stage)				ECL Coverage Ratio % (Stage)				Regulatory Provision Coverage Ratio % (Stage)			
	1	2	3	Total	1	2	3	Total	1	2	3	Total
Loans and advances to customers	5,367,258,176.86	1,974,460,958.51	16,359,209,300.72	23,700,928,436.08	0.56%	12.18%	27.81%	4.21%	1.48%	4.52%	39.47%	5.29%
Loan Commitments					3.13%	9.47%		3.31%				
Bank Guarantee					0.00%			0.00%				
Letter of Credit and Others					0.37%			0.37%				
Total	**5,367,258,177**	**1,974,460,959**	**16,359,209,301**	**23,700,928,436**	**0.76%**	**12.09%**	**27.81%**	**3.57%**	**1.48%**	**4.52%**	**39.47%**	**5.29%**

4.7.5: SUBSIDIZED LOAN

	Current Year		Previous Year	
	No. of Customers	Amount (NRs.)	No. of Customers	Amount (NRs.)
Subsidized Loan	**5,345**	**4,482,740,772**	**6,453**	**7,609,387,443**

4.7.5.1 DETAILS OF SUBSIDIZED LOAN

	Current Year		Previous Year	
	No. of Customers	Amount (NRs.)	No. of Customers	Amount (NRs.)
Commercial Agriculture and Livestock Loan	2,054	3,161,109,535	2,544	5,079,865,331
Loan for Returnee Youths from Abroad	18	3,004,491	23	7,978,704
Women Entrepreneur Loan	3,247	1,161,249,088	3,854	2,363,118,257
Dalit Community Enterprise Development Loan	14	3,299,267	20	7,505,381
Loan to Textile Industries	12	154,078,391	12	150,919,770
Total	**5,345**	**4,482,740,772**	**6,453**	**7,609,387,443**

4.8 INVESTMENT SECURITIES

Investment in securities comprises of Investments in government securities like development bonds, treasury bills, Nepal Rastra Bank bonds, deposit instruments with Nepal Rastra Bank, equity instruments and units of mutual funds and others. Investment securities are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment.

All the listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 input as described in NFRS 13 "Fair Value Measurement". Level 1 inputs are quoted prices (unadjusted) in active market that the entity can access at the measurement date. All of equity securities whose fair value cannot be obtained from the Level 1 and Level 2 inputs are valued using the most recent available Net worth per shares to represent the fair value of these investments at the reporting date. Management carried out an impairment assessment of the unquoted share investments held by the Bank and concluded that no impairment is required as there is no evidence for a permanent decline in value of the investment because of the higher fair value than the purchase cost.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment securities measured at amortized cost	144,458,709,149	117,608,383,187	144,458,709,149	117,608,383,187
Investment securities measured as at FVTOCI	4,387,455,022	3,710,305,394	4,347,126,072	3,692,515,894
	148,846,164,171	**121,318,688,581**	**148,805,835,221**	**121,300,899,081**

4.8.1: INVESTMENT SECURITIES MEASURED AT AMORTIZED COST

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Debt securities	1,935,384,738	1,741,386,307	1,935,384,738	1,741,386,307
-Government bonds	62,999,084,672	54,910,865,913	62,999,084,672	54,910,865,913
-Government treasury bills	23,137,806,997	29,951,035,077	23,137,806,997	29,951,035,077
-Nepal Rastra Bank Bonds	-	-	-	-
-Nepal Rastra Bank deposit instruments	56,386,432,742	31,005,095,890	56,386,432,742	31,005,095,890
	144,458,709,149	**117,608,383,187**	**144,458,709,149**	**117,608,383,187**
Less: Specific allowances for impairment	-	-	-	-
Total	**144,458,709,149**	**117,608,383,187**	**144,458,709,149**	**117,608,383,187**

4.8.2: INVESTMENT IN EQUITY MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Equity Instruments				
-Unquoted equity instruments	603,427,335	598,326,522	601,227,335	597,326,522
-Quoted equity instruments	2,137,039,802	1,834,547,531	2,137,039,802	1,834,547,531
Mutual Funds	1,646,987,885	1,277,431,341	1,608,858,935	1,260,641,841
	4,387,455,022	**3,710,305,394**	**4,347,126,072**	**3,692,515,894**

4.8.3 INFORMATION RELATING TO INVESTMENT SECURITIES MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	Group					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Quoted Equity Investments						
Aarambha Chautari Laghubitta Bittiya Sanstha Ltd. (P)	83,592	6,000,000	12,311,430	83,592	6,000,000	11,864,213
Citizen Investment Trust	7,690	9,754,158	15,193,287	6,305	9,754,158	12,263,225
Sanima GIC Insurance Ltd.	58,357	5,596,887	35,597,186	54,286	5,596,887	31,323,022
IGI Prudential Insurance Ltd.	182,374	99,460,878	101,580,494	182,374	99,460,878	101,764,692
Kalika Laghubitta Bittiya Sanstha Ltd.	1	-	1,060	-	-	-
Laxmi Laghubitta Bittiya Sanstha Ltd.	15,249	26,663,250	17,096,416	15,249	26,663,250	18,664,776
Neco Insurance Co. Ltd.	11,456	9,774,793	8,137,884	9,164	9,545,593	7,661,104
Nepal Reinsurance Co. Ltd.	4,608	3,002,740	5,806,587	4,399	3,002,740	3,070,502
Nepal Reinsurance Co. Ltd. (P)	811,674	60,472,562	120,906,959	774,868	60,472,562	114,254,287
NLG Insurance Company Ltd. (P)	5,557	365,562	1,002,038	3,416	151,262	725,490
Rastriya Beema Company Ltd. (P)	50	535,137	615,000	50	535,137	504,750
Upper Tamakoshi Hydropower Ltd.	11,980	3,118,811	2,378,749	5,990	1,844,744	1,058,433
Grameen Bikash Laghubitta Bittiya Sanstha Ltd. (P)	1,047	104,700	295,757	1,047	104,700	244,422
Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd. (P)	291,213	8,598,944	67,476,964	178,547	8,598,944	44,424,279
Sanima GIC Insurance Ltd. (P)	156,642	15,023,113	24,799,561	145,714	15,023,113	21,756,558
Reliable Nepal Life Insurance Ltd. (P)	4,640,000	400,000,000	779,380,800	4,640,000	400,000,000	737,017,600
IME Life Insurance Company Limited (P)	5,000,000	400,000,000	663,350,000	5,000,000	400,000,000	727,950,000
Arun Valley Hydropower Development Co. Ltd.	87,623	25,259,810	25,558,753	1	-	178
Chilime Hydropower Company Limited	29,663	13,577,737	15,823,727	-	-	-
Himalayan Life Insurance Limited	39,860	16,531,589	16,227,405	-	-	-
Hydorelectricity Investment and Development Company Ltd. (P)	83,209	11,233,215	17,520,487	-	-	-
Nepal Insurance Co. Ltd.	6,325	5,686,170	4,080,764	-	-	-
Ngadi Group Power Ltd.	1	100	399	-	-	-
NLG Insurance Company Limited	2	-	1,559	-	-	-
Butwal Power Company Limited	100,291	48,912,698	96,007,571	-	-	-
Nepal Life Insurance Company	20,646	16,054,357	15,958,739	-	-	-
Sahas Urja Limited	23,659	14,241,495	15,142,706	-	-	-
Siddhartha Premier Insurance Co Ltd.	42,500	34,250,334	35,714,875	-	-	-
Prabhu Insurance Ltd.	15,000	14,073,071	13,818,900	-	-	-
National Life Insurance Co. Ltd.	14,950	9,199,255	9,322,521	-	-	-
Nepal Doorsanchar Company Ltd.	18,160	15,834,452	15,931,223	-	-	-
		1,273,325,817	**2,137,039,801**		**1,046,753,967**	**1,834,547,531**
Mutual Fund Investments						
Kumari Equity Fund	1,000,000	10,000,000	9,950,000	1,000,000	10,000,000	9,660,000
Kumari Dhanabriddhi Yojana	5,000,000	50,000,000	50,250,000	5,000,000	50,000,000	48,350,000

	Group					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Laxmi Equity Fund	-	-	-	1,345,403	13,454,030	13,454,030
Laxmi Unnati Kosh	1,037,275	10,362,754	10,777,287	1,000,000	10,000,000	9,000,000
Nabil Balance Fund-2	1,453,018	14,397,852	14,690,012	1,000,000	10,000,000	9,000,000
NIBL Samriddhi Fund -2	3,793,059	37,761,070	33,492,711	3,672,123	36,721,230	30,295,015
NIC ASIA Balance Fund	750,000	7,500,000	7,327,500	750,000	7,500,000	7,200,000
NIC ASIA Select 30	4,500,000	45,000,000	41,805,000	4,500,000	45,000,000	43,200,000
NMB 50 Mutual Fund	1,500,000	15,000,000	16,035,000	1,500,000	15,000,000	15,060,000
Prabhu Select Fund	1,468,090	14,680,900	16,574,736	1,468,090	14,680,900	14,372,601
Sanima Large Cap Fund	1,482,870	14,802,070	15,169,760	1,000,000	10,000,000	9,290,000
Siddhartha Investment Growth Scheme II	2,143,113	21,449,188	22,502,687	2,000,000	20,000,000	18,980,000
Sunrise Blue Chip Fund	4,618,926	46,178,066	46,189,260	4,605,026	46,050,260	38,083,565
Sunrise First Mutual Fund	500,000	5,000,000	5,340,000	500,000	5,000,000	5,175,000
Global IME Balance Fund -I	23,045,000	230,364,500	251,420,950	23,045,000	230,364,500	209,709,500
NIBL GROWTH FUND	4,065,824	40,581,385	40,089,025	4,000,000	40,000,000	42,560,000
NMB Sulav Investment Fund II	5,000,000	50,000,000	56,450,000	5,000,000	50,000,000	50,300,000
RBB MUTUAL FUND 2	5,000,000	50,000,000	50,400,000	5,000,000	50,000,000	50,000,000
Sanima Growth Fund	3,108,643	31,099,064	32,081,196	3,000,000	30,000,000	30,420,000
Subha Laxmi Kosh	302,410	2,999,932	3,743,836	302,410	2,999,932	3,341,631
Himalayan 80-20	2,000,000	20,000,000	23,200,000	2,000,000	20,000,000	19,980,000
Nepal Opportunity Fund I	60,000,000	600,000,000	660,115,591	60,000,000	600,000,000	600,000,000
Nabil Balanced Fund-3	240,122	2,274,452	2,398,819	-	-	-
Siddhartha Equity Fund	325,890	3,309,159	3,353,408	-	-	-
Mbl Equity Fund	3,000,000	30,000,000	29,790,000	-	-	-
Siddhartha Investment Growth Scheme 3	50,000	513,191	522,000	-	-	-
Reliable Sambriddhi Yojana	2,000,000	20,000,000	19,860,000	-	-	-
Global Ime Samunat Yojana-II	18,000,000	180,000,000	180,000,000	-	-	-
Rbb Mutual Fund 1	347,300	3,444,458	3,459,108	-	-	-
		1,556,718,041	**1,646,987,885**		**1,316,770,852**	**1,277,431,341**
Unquoted Equity Investments						
ICRA Nepal Ltd.	27,360	760,000	6,203,059	27,360	760,000	6,249,845
Care Ratings Nepal Ltd.	25,000	2,500,000	8,986,750	25,000	2,500,000	8,561,000
Karja Suchana Kendra Ltd.	319,520	2,542,000	246,637,488	319,520	2,542,000	219,094,864
SWIFT	15	15,516,603	19,238,112	15	15,076,816	17,155,614
Nepal Finsoft Company Ltd.	22,000	2,200,000	2,200,000	10,000	1,000,000	1,000,000
Nepal Clearing House Limited	1,236,654	63,074,200	267,611,926	1,236,654	63,074,200	296,265,199
Aadhyanta Fund Management	500,000	50,000,000	52,550,000	500,000	50,000,000	50,000,000
		136,592,803	**603,427,335**		**134,953,016**	**598,326,522**
Total Investment in Securities measured at FVTOCI		**2,966,636,661**	**4,387,455,022**		**2,498,477,835**	**3,710,305,394**

	Bank					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Quoted Equity Investments						
Aarambha Chautari Laghubitta Bittiya Sanstha Ltd. (P)	83,592	6,000,000	12,311,430	83,592	6,000,000	11,864,213
Citizen Investment Trust	7,690	9,754,158	15,193,287	6,305	9,754,158	12,263,225
Sanima GIC Insurance Ltd.	58,357	5,596,887	35,597,186	54,286	5,596,887	31,323,022
IGI Prudential Insurance Ltd.	182,374	99,460,878	101,580,494	182,374	99,460,878	101,764,692
Kalika Laghubitta Bittiya Sanstha Ltd.	1	-	1,060	-	-	-
Laxmi Laghubitta Bittiya Sanstha Ltd.	15,249	26,663,250	17,096,416	15,249	26,663,250	18,664,776
Neco Insurance Co. Ltd.	11,456	9,774,793	8,137,884	9,164	9,545,593	7,661,104
Nepal Reinsurance Co. Ltd.	4,608	3,002,740	5,806,587	4,399	3,002,740	3,070,502
Nepal Reinsurance Co. Ltd. (P)	811,674	60,472,562	120,906,959	774,868	60,472,562	114,254,287
NLG Insurance Company Ltd. (P)	5,557	365,562	1,002,038	3,416	151,262	725,490
Rastriya Beema Company Ltd. (P)	50	535,137	615,000	50	535,137	504,750
Upper Tamakoshi Hydropower Ltd.	11,980	3,118,811	2,378,749	5,990	1,844,744	1,058,433
Grameen Bikash Laghubitta Bittiya Sanstha Ltd. (P)	1,047	104,700	295,757	1,047	104,700	244,422
Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd. (P)	291,213	8,598,944	67,476,964	178,547	8,598,944	44,424,279
Sanima GIC Insurance Ltd. (P)	156,642	15,023,113	24,799,561	145,714	15,023,113	21,756,558
Reliable Nepal Life Insurance Ltd. (P)	4,640,000	400,000,000	779,380,800	4,640,000	400,000,000	737,017,600
IME Life Insurance Company Limited (P)	5,000,000	400,000,000	663,350,000	5,000,000	400,000,000	727,950,000
Arun Valley Hydropower Development Co. Ltd.	87,623	25,259,810	25,558,753	1	-	178
Chilime Hydropower Company Limited	29,663	13,577,737	15,823,727	-	-	-
Himalayan Life Insurance Limited	39,860	16,531,589	16,227,405	-	-	-
Hydorelectricity Investment and Development Company Ltd. (P)	83,209	11,233,215	17,520,487	-	-	-
Nepal Insurance Co. Ltd.	6,325	5,686,170	4,080,764	-	-	-
Ngadi Group Power Ltd.	1	100	399	-	-	-
NLG Insurance Company Limited	2	-	1,559	-	-	-
Butwal Power Company Limited	100,291	48,912,698	96,007,571	-	-	-
Nepal Life Insurance Company	20,646	16,054,357	15,958,739	-	-	-
Sahas Urja Limited	23,659	14,241,495	15,142,706	-	-	-
Siddhartha Premier Insurance Co Ltd.	42,500	34,250,334	35,714,875	-	-	-
Prabhu Insurance Ltd.	15,000	14,073,071	13,818,900	-	-	-
National Life Insurance Co. Ltd.	14,950	9,199,255	9,322,521	-	-	-
Nepal Doorsanchar Company Ltd.	18,160	15,834,452	15,931,223	-	-	-
		1,273,325,817	**2,137,039,801**		**1,046,753,967**	**1,834,547,531**
Mutual Fund Investments						
Kumari Equity Fund	1,000,000	10,000,000	9,950,000	1,000,000	10,000,000	9,660,000
Kumari Dhanabriddhi Yojana	5,000,000	50,000,000	50,250,000	5,000,000	50,000,000	48,350,000
Laxmi Equity Fund	-	-	-	1,345,403	13,454,030	13,454,030

	Bank					
	Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Laxmi Unnati Kosh	1,037,275	10,362,754	10,777,287	1,000,000	10,000,000	9,000,000
Nabil Balance Fund-2	1,453,018	14,397,852	14,690,012	1,000,000	10,000,000	9,000,000
NIBL Samriddhi Fund -2	3,793,059	37,761,070	33,492,711	3,672,123	36,721,230	30,295,015
NIC ASIA Balance Fund	750,000	7,500,000	7,327,500	750,000	7,500,000	7,200,000
NIC ASIA Select 30	4,500,000	45,000,000	41,805,000	4,500,000	45,000,000	43,200,000
NMB 50 Mutual Fund	1,500,000	15,000,000	16,035,000	1,500,000	15,000,000	15,060,000
Prabhu Select Fund	1,468,090	14,680,900	16,574,736	1,468,090	14,680,900	14,372,601
Sanima Large Cap Fund	1,482,870	14,802,070	15,169,760	1,000,000	10,000,000	9,290,000
Siddhartha Investment Growth Scheme II	2,143,113	21,449,188	22,502,687	2,000,000	20,000,000	18,980,000
Sunrise Blue Chip Fund	4,618,926	46,178,066	46,189,260	4,605,026	46,050,260	38,083,565
Sunrise First Mutual Fund	500,000	5,000,000	5,340,000	500,000	5,000,000	5,175,000
Global IME Balance Fund -I	21,200,000	212,000,000	231,292,000	21,200,000	212,000,000	192,920,000
NIBL GROWTH FUND	4,065,824	40,581,385	40,089,025	4,000,000	40,000,000	42,560,000
NMB Sulav Investment Fund II	5,000,000	50,000,000	56,450,000	5,000,000	50,000,000	50,300,000
RBB MUTUAL FUND 2	5,000,000	50,000,000	50,400,000	5,000,000	50,000,000	50,000,000
Sanima Growth Fund	3,108,643	31,099,064	32,081,196	3,000,000	30,000,000	30,420,000
Subha Laxmi Kosh	302,410	2,999,932	3,743,836	302,410	2,999,932	3,341,631
Himalayan 80-20	2,000,000	20,000,000	23,200,000	2,000,000	20,000,000	19,980,000
Nepal Opportunity Fund I	60,000,000	600,000,000	660,115,591	60,000,000	600,000,000	600,000,000
Nabil Balanced Fund-3	240,122	2,274,452	2,398,819	-	-	-
Siddhartha Equity Fund	325,890	3,309,159	3,353,408	-	-	-
Mbl Equity Fund	3,000,000	30,000,000	29,790,000	-	-	-
Siddhartha Investment Growth Scheme 3	50,000	513,191	522,000	-	-	-
Reliable Sambriddhi Yojana	2,000,000	20,000,000	19,860,000	-	-	-
Global Ime Samunat Yojana-Ii(Gimes2)	16,200,000	162,000,000	162,000,000	-	-	-
Rbb Mutual Fund 1	347,300	3,444,458	3,459,108	-	-	-
		1,520,353,541	**1,608,858,935**		**1,298,406,352**	**1,260,641,841**
Unquoted Equity Investments						
ICRA Nepal Ltd.	27,360	760,000	6,203,059	27,360	760,000	6,249,845
Care Ratings Nepal Ltd.	25,000	2,500,000	8,986,750	25,000	2,500,000	8,561,000
Karja Suchana Kendra Ltd.	319,520	2,542,000	246,637,488	319,520	2,542,000	219,094,864
SWIFT	15	15,516,603	19,238,112	15	15,076,816	17,155,614
Nepal Finsoft Company Ltd.	-	-	-	-	-	-
Nepal Clearing House Limited	1,236,654	63,074,200	267,611,926	1,236,654	63,074,200	296,265,199
Aadhyanta Fund Management	500,000	50,000,000	52,550,000	500,000	50,000,000	50,000,000
		134,392,803	**601,227,335**		**133,953,016**	**597,326,522**
Total Investment in Securities measured at FVTOCI		**2,928,072,161**	**4,347,126,070**		**2,479,113,335**	**3,692,515,894**

4.9 CURRENT TAX ASSETS

Current tax assets consist of amounts paid to the Inland Revenue Department in respect of the current year and the carried forward balance of advance taxes paid in previous years net off of income tax payable on those years using the tax rates enacted on the reporting date and any adjustment to tax payable in respect of prior years. Current tax liabilities consist of the amount of assessed tax liabilities by the bank for the current year.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Current Tax Assets				
Current year income tax assets	2,561,951,500	2,004,714,915	2,355,843,954	1,857,482,029
Tax assets of prior periods	85,627,235	591,797,454	85,627,235	591,797,454
Current Tax Liabilities		-		-
Current year income tax liabilities	2,786,419,163	2,456,052,717	2,628,672,188	2,363,652,248
Tax liabilities of prior periods	-	-		-
Net tax assets / (liabilities)	**(138,840,428)**	**140,459,652**	**(187,200,999)**	**85,627,235**

4.10 INVESTMENT IN SUBSIDIARIES

Subsidiaries are entities in which the Group directly or indirectly holds the majority of the voting rights and where it determines their financial and business policies and is able to exercise control over them in order to benefit from their activities. At each reporting date the Bank reassess whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date on which control ceases.

Inter-company transactions, balances and intergroup gains on transactions between group companies are eliminated. Intergroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred.

Investment in subsidiaries are measured at amortized cost less any impairment by the parent company. No impairment has occurred during the reporting period for any of the investment in its subsidiaries.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment in quoted subsidiaries	-	-	145,695,250	145,695,250
Investment in unquoted subsidiaries	-	-	582,700,000	582,700,000
Total investment	**-**	**-**	**728,395,250**	**728,395,250**
Less: Impairment allowances	-	-		
Net carrying amount	**-**	**-**	**728,395,250**	**728,395,250**

4.10.1: INVESTMENT IN QUOTED SUBSIDIARIES

Amount in NPR

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Global IME Laghubitta Bittiya Sanstha Limited	3,557,436	145,695,250	703,731,990	3,557,436	145,695,250	632,085,228
		145,695,250	**703,731,990**		**145,695,250**	**632,085,228**

4.10.2: INVESTMENT IN UNQUOTED SUBSIDIARIES

Amount in NPR

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Global IME Capital Limited	4,025,449	382,700,000	730,135,940	4,025,449	382,700,000	563,442,097
Global IME Securities Ltd.	2,000,000	200,000,000	206,231,411	2,000,000	200,000,000	199,433,373
		582,700,000	**936,367,351**		**582,700,000**	**762,875,470**

4.10.3: INVESTMENT IN SUBSIDIARIES

	Percentage of ownership held by the Bank	
	Current Year	Previous Year
Global IME Capital Limited	81.50%	81.50%
Global IME Laghubitta Bittiya Sanstha Limited	57.48%	57.48%
Global IME Securities Ltd.	100.00%	100.00%

4.10.4: NON CONTROLLING INTEREST OF THE SUBSIDIARIES

	Current Year		Previous Year	
	GILBSL	GICL	GILBSL	GICL
Equity interest held by NCI (%)	42.52%	18.50%	42.52%	18.50%
Profit/(loss) allocated during the year	53,734,626	42,647,545	54,623,184	(11,765,262)
Accumulated balances of NCI as on Ashad end	520,579,768	165,731,830	477,001,124	122,655,789
Dividend paid to NCI	-	-	26,315,630	-

4.11 INVESTMENT IN ASSOCIATES

An associate is an entity over which the investor has significant influence where significant influence is defined as power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies. If an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee or if entity has its representative as a director in the investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence. Investment in associates have been recognised at cost in standalone statement of financial position. Irrespective of the holding percentage, the bank accounts the investment as associates if there is atleast one representative from the Bank in the Board of the investee company.

The Group has accounted its investment in associates using equity method. Equity accounting is based on the profit reported by associate entities on their audited/unaudited financial statements using the policy disclosed in the financial statements. During the previous year one associate company, Nepal Electronic Payment System Ltd. was acquired by Nepal Clearing House Ltd. at the swap ratio of 28 shares of Nepal Clearing House Ltd. for every 100 shares held by Nepal Electronic Payment System Ltd. The Joint operation after the acquisition commenced from 3rd June 2024.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment in quoted associates	1,959,556,879	1,761,896,063	1,287,592,533	1,287,592,533
Investment in unquoted associates	56,596,996	63,085,416	108,178,740	85,030,500
Total investment	**2,016,153,875**	**1,824,981,479**	**1,395,771,273**	**1,372,623,033**
Less: Impairment allowances	-	-	-	-
Net carrying amount	**2,016,153,875**	**1,824,981,479**	**1,395,771,273**	**1,372,623,033**

4.11.1: INVESTMENT IN QUOTED ASSOCIATES

Amount in NPR

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
First Microfinance Dev Bank Limited	1,367,643	56,987,235	144,301,377	1,254,719	56,987,235	130,905,653
Mero Micro Finance Bittya Sanstha Ltd.	1,700,363	63,377,087	243,824,331	1,581,731	63,377,087	217,930,617
Chhimek Laghubitta Bittiya Sanstha Limited	2,665,681	16,538,528	251,175,598	2,468,222	16,538,528	166,048,688
Nepal Infrastructure Bank Ltd.	11,826,000	1,095,000,000	1,215,855,632	11,826,000	1,095,000,000	1,153,137,153
RSDC Laghubitta Bittiya Sanstha Ltd.	1,054,745	55,689,683	104,399,941	963,238	55,689,683	93,873,952
		1,287,592,533	**1,959,556,879**		**1,287,592,533**	**1,761,896,063**

4.11.2: INVESTMENT IN UQUOTED ASSOCIATES

Amount in NPR

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Smart Choice Technologies Ltd.	1,003,090	100,309,040	43,856,203	771,608	77,160,800	51,127,652
Nepal Electronics Payment System Ltd.	-	-	-	-	-	-
Banking Finance And Insurance Institution Ltd.	33,000	3,000,000	5,218,658	33,000	3,000,000	4,889,796
National Banking Training Institute Ltd.	192,353	4,869,700	7,522,135	192,353	4,869,700	7,067,968
		108,178,740	**56,596,996**		**85,030,500**	**63,085,416**

4.11.3: INFORMATION RELATING TO ASSOCIATES OF THE BANK

	Percentage of ownership held by Bank			
	Current Year		Previous Year	
	Representative	Ownership	Representative	Ownership
First Microfinance Dev Bank Limited	Yes	10.17%	Yes	10.17%
Mero Micro Finance Bittya Sanstha Ltd.	Yes	11.98%	Yes	11.98%
Smart Choice Technologies Ltd.	Yes	15.43%	Yes	15.43%
Banking Finance And Insurance Institution Ltd.	Yes	6.67%	Yes	6.67%
Chhimek Laghubitta Bittiya Sanstha Limited	Yes	8.29%	Yes	8.29%
RSDC Laghubitta Bittiya Sanstha Ltd.	Yes	10.20%	Yes	10.20%
National Banking Institute Ltd.	Yes	9.74%	Yes	9.74%
Nepal Infrastructure Bank Ltd.	Yes	5.48%	Yes	5.48%

4.12 INVESTMENT PROPERTY

Bank classifies the non-banking assets as possessed collateral which are non-financial assets acquired by the Bank in settlement of overdue loans. The assets are initially recognized at lower of fair value of the property or total dues to bank when acquired from the borrowers and subsequently measured at cost less accumulated depreciation and impairment loss. These are included in investment property or other assets depending on their nature and the bank's intention of holding the asset or reselling it.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment properties measured at fair value				
Balance as on Shrawan 1				
Additions during the year				
Disposal during the year				
Net changes in fair value during the year				
Adjustment /transfer				
Net Amount	-	-	-	-
Investment properties measured at cost				
Balance as on Shrawan 1	4,858,973,533	1,744,769,197	4,847,527,889	1,733,323,553
Transfer from Merger/Acquisition	-	-	-	-
Additions during the year	1,582,506,015	3,353,338,355	1,582,506,015	3,353,338,355
Disposal during the year	(373,785,970)	(37,057,164)	(373,785,970)	(37,057,164)
Adjustment/transfer	(87,163)	(202,076,854)	(87,163)	(202,076,854)
Accumulated depreciation	-	-		-
Accumulated impairment loss	-	-		-
Net Amount	**6,067,606,415**	**4,858,973,533**	**6,056,160,771**	**4,847,527,889**
Total	**6,067,606,415**	**4,858,973,533**	**6,056,160,771**	**4,847,527,889**

4.13 PROPERTY AND EQUIPMENT

Property and equipment is stated at cost excluding the costs of day–to–day servicing, less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the depreciable period or methodology, as appropriate, and treated as changes in accounting estimates. During the year revaluation on freehold land has not been done based on the management's judgement and estimate that the carried over amount of land and building has represented the current fair market value.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the bank and the cost of the item can be measured reliably. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred. Freehold land is not depreciable. Depreciation on other property and equipment is calculated using the straight–line method to allocate their cost less residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization".

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date of the statement of financial position. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use. No property and equipment were impaired as at 31st Ashad 2081 (Previous Year: nil). Gains and losses on disposals are recorded by comparing proceeds with carrying amount.

The Group has recognized a right of use of asset as per NFRS 16 Leases. The right to use of assets is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the lease payment. The right to use of assets is depreciated over the lease term on straight line basis.

Group

Amount in NPR

Particulars	Land	Buildings	Leasehold Properties	Computer & accessories	Vehicles	Furnitures & Fixture	Machinery	Equipment & Others	Right to use of Assets	Total Ashadh end 2082	Total Ashad end 2081
Cost											
As on Shrawan 1, 2080	**3,412,644,694**	**726,255,568**	**1,467,215,162**	**716,877,463**	**1,053,740,487**	**442,930,449**	**454,637,289**	**1,040,831,070**	**3,359,435,110**	**12,674,567,293**	**8,683,226,094**
Addition during the Year											
Acquisitions	184,035,440	21,157,155	106,373,392	48,230,933	205,072,300	21,444,729	59,116,348	79,314,971	576,651,605	1,301,396,872	620,330,237
Capitalization	-	-	-	-	-	-	-	-	-	-	-
Transfer from Merger/Acquisition	-	-	4,164,883	2,428,312	3,489,000	1,874,752		2,956,121	13,122,401	28,035,469	3,522,151,481
Disposal during the year	-	-	(42,056,129)	(9,734,944)	(173,425,951)	(15,759,278)	(31,695,048)	(40,779,767)	(13,122,401)	(326,573,517)	(151,140,519)
Adjustment/Revaluations	-	-	-	-	-	-	-	-	-	-	-
Balance as on Ashadh end, 2081	**3,596,680,134**	**747,412,723**	**1,535,697,308**	**757,801,764**	**1,088,875,836**	**450,490,653**	**482,058,589**	**1,082,322,395**	**3,936,086,715**	**13,677,426,117**	**12,674,567,293**
Addition during the Year											
Acquisitions	-	165,824,742	60,445,587	60,514,511	117,765,850	18,379,611	15,797,948	123,299,067	349,515,537	911,542,851	1,301,396,872
Capitalization	-	-	-	-	-	-	-	-	-	-	-
Transfer from Merger/ Acquisition	-	-	-	-	-	-	-	-	-	-	28,035,469
Disposals	-	-	(19,139,495)	(16,298,536)	(71,759,068)	(6,063,420)	(14,290,687)	(68,823,247)	(435,760,144)	(632,134,598)	(326,573,517)
Adjustment/Revaluations	-	-	-	-	-	-	-	-	-	-	-
Balance on Ashad end 2082	**3,596,680,134**	**913,237,465**	**1,577,003,399**	**802,017,740**	**1,134,882,618**	**462,806,844**	**483,565,849**	**1,136,798,214**	**3,849,842,108**	**13,956,834,371**	**13,677,426,117**
Depreciation and Impairment											
As on Shrawan 1, 2080	**-**	**137,609,352**	**869,297,549**	**506,331,547**	**609,191,066**	**294,691,071**	**356,042,644**	**989,104,759**	**1,091,195,710**	**4,853,463,698**	**2,707,729,958**
Depreciation charge for the year	-	17,449,129	97,018,278	42,738,995	120,278,564	30,311,092	38,094,276	76,906,257	565,969,629	988,766,220	788,993,973
Impairment for the year	-	-	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	(10,022,752)	(112,972,709)	(15,425,241)	(31,420,078)	(37,669,511)	(2,609,240)	(210,119,531)	(109,325,633)
Adjustments	-	-	-	-	-	-	-	-	-	-	-
Transfer from Merger/ Acquisition	-	-	963,982	1,945,852	1,321,751	1,622,283	-	2,146,175	-	8,000,043	1,466,065,400
As on Ashadh end, 2081	**-**	**155,058,481**	**967,279,809**	**540,993,641**	**617,818,672**	**311,199,204**	**362,716,842**	**1,030,487,681**	**1,654,556,099**	**5,640,110,430**	**4,853,463,698**
Depreciation charge for the year	-	18,258,024	98,189,489	41,544,095	124,613,528	24,276,900	35,949,505	76,968,446	429,717,567	849,517,554	988,766,220
Impairment for the year		-	-	-	-	-	-	-	-	-	-
Disposals	-	-	(2,816,336)	(16,207,102)	(52,953,617)	(5,540,627)	(14,287,511)	(67,545,354)	(741,789,439)	(901,139,986)	(210,119,531)
Adjustments	-	-	-	-	-	-	-	-	-	-	-
Transfer from Merger/ Acquisition	-	-	-	-	-	-	-	-	-	-	8,000,043
Balance on Ashad end 2082	**-**	**173,316,505**	**1,062,652,961**	**566,330,635**	**689,478,582**	**329,935,478**	**384,378,836**	**1,039,910,773**	**1,342,484,228**	**5,588,487,998**	**5,640,110,430**
Capital Work in Progress	**-**	**24,372,331**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**24,372,331**	**129,020,890**
Net book value:											
As on Ashad end, 2080	**3,412,644,694**	**588,646,216**	**597,917,614**	**210,545,916**	**444,549,421**	**148,239,379**	**98,594,644**	**51,726,312**	**2,268,239,400**	**7,870,716,193**	**5,975,496,136**
As on Ashad end, 2081	**3,596,680,134**	**592,354,242**	**568,417,499**	**216,808,123**	**471,057,164**	**139,291,449**	**119,341,747**	**51,834,714**	**2,281,530,616**	**8,166,336,578**	**7,870,716,193**
As on Ashad end, 2082	**3,596,680,134**	**739,920,959**	**514,350,438**	**235,687,105**	**445,404,036**	**132,871,366**	**99,187,013**	**96,887,441**	**2,507,357,881**	**8,392,718,704**	**8,166,336,578**

Bank

Amount in NPR

Particulars	Land	Buildings	Leasehold Properties	Computer & accessories	Vehicles	Furnitures & Fixture	Machinery	Equipment & Others	Right to use of Assets	Total Ashadh end 2082	Total Ashad end 2081
Cost											
As on Shrawan 1, 2080	**3,412,631,752**	**726,268,510**	**1,457,448,514**	**690,154,246**	**1,029,079,571**	**422,894,266**	**454,637,289**	**1,017,185,517**	**3,229,284,560**	**12,439,584,226**	**8,529,719,371**
Addition during the Year											
Acquisitions	184,035,440	21,157,155	103,747,826	45,214,076	198,872,300	20,631,052	59,116,348	75,936,578	552,200,796	1,260,911,570	536,041,384
Capitalization	-	-	-	-	-	-	-	-	-	-	-
Transfer from Merger/Acquisition	-	-	-	-	-	-	-	-	-	-	3,522,151,481
Disposal during the year	-	-	(42,056,129)	(8,880,646)	(161,927,951)	(14,647,729)	(31,695,048)	(39,839,342)	-	(299,046,844)	(148,328,009)
Adjustment/Revaluations	-	-	-	-	-	-	-	-	-	-	-
Balance as on Ashadh end, 2081	**3,596,667,192**	**747,425,665**	**1,519,140,211**	**726,487,676**	**1,066,023,920**	**428,877,590**	**482,058,589**	**1,053,282,753**	**3,781,485,356**	**13,401,448,951**	**12,439,584,226**
Addition during the Year										-	-
Acquisitions	-	165,824,742	60,372,267	56,701,910	113,274,200	16,990,537	15,797,948	119,182,809	322,959,851	871,104,263	1,260,911,570
Capitalization	-	-	-	-	-	-	-	-	-	-	
Disposal during the year	-	-	(14,974,612)	(16,298,536)	(69,635,014)	(4,629,031)	(14,290,687)	(66,456,256)	(423,807,957)	(610,092,094)	(299,046,844)
Adjustment/Revaluations	-	-	-	-	-	-	-	-	-	-	
Balance on Ashad end 2082	**3,596,667,192**	**913,250,407**	**1,564,537,866**	**766,891,050**	**1,109,663,106**	**441,239,096**	**483,565,849**	**1,106,009,305**	**3,680,637,250**	**13,662,461,120**	**13,401,448,952**
Depreciation and Impairment											
As on Shrawan 1, 2080	**-**	**137,609,352**	**863,875,075**	**488,476,496**	**591,901,398**	**280,637,305**	**356,042,644**	**974,698,561**	**1,055,024,056**	**4,748,264,886**	**2,644,952,392**
Depreciation charge for the year	-	17,449,129	94,010,426	38,980,622	117,850,995	27,692,945	38,094,276	72,959,375	544,242,651	951,280,419	751,652,004
Impairment for the year	-	-	-	-	-	-	-	-	-	-	
Disposals	-	-	-	(9,262,060)	(105,843,298)	(14,417,184)	(31,420,078)	(36,861,634)	-	(197,804,254)	(106,830,853)
Adjustments	-	-	-	-	-	-	-	-	-	-	
Transfer from Merger/ Acquisition	-	-	-	-	-	-	-	-	-	-	1,458,491,344.00
As on Ashadh end, 2081	**-**	**155,058,481**	**957,885,501**	**518,195,057**	**603,909,095**	**293,913,066**	**362,716,842**	**1,010,796,302**	**1,599,266,707**	**5,501,741,052**	**4,748,264,886**
Depreciation charge for the year	-	18,258,024	95,557,336	39,099,795	121,720,847	22,949,286	35,949,505	73,767,173	406,723,212	814,025,178	951,280,419
Impairment for the year	-	-	-	-	-	-	-	-	-	-	
Disposals	-	-	-	(16,207,102)	(51,266,951)	(4,175,586)	(14,287,511)	(65,353,595)	(741,789,439)	(893,080,184)	(197,804,254)
Adjustments	-	-	-	-	-	-	-	-	-	-	
Balance on Ashad end 2082	**-**	**173,316,505**	**1,053,442,838**	**541,087,751**	**674,362,990**	**312,686,766**	**384,378,836**	**1,019,209,880**	**1,264,200,480**	**5,422,686,046**	**5,501,741,052**
Capital Work in Progress	**-**	**24,372,331**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**24,372,331**	**129,020,890**
Net book value:											
As on Ashad end, 2080	**3,412,631,752**	**588,659,158**	**593,573,439**	**201,677,750**	**437,178,173**	**142,256,962**	**98,594,644**	**42,486,956**	**2,174,260,505**	**7,691,319,340**	**5,884,766,979**
As on Ashad end, 2081	**3,596,667,192**	**592,367,184**	**561,254,710**	**208,292,619**	**462,114,825**	**134,964,524**	**119,341,747**	**42,486,451**	**2,182,218,649**	**8,028,728,790**	**7,691,319,340**
As on Ashad end, 2082	**3,596,667,192**	**739,933,901**	**511,095,028**	**225,803,300**	**435,300,115**	**128,552,330**	**99,187,013**	**86,799,426**	**2,416,436,770**	**8,264,147,405**	**8,028,728,790**

4.14 GOODWILL AND INTANGIBLE ASSETS

The Group's intangible assets include the value of computer software, Core Banking Software and other software used in Banking. An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the group. The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of future economic benefits embodied in the asset, are accounted for by changing the amortization period or methodology, as appropriate, which are then treated as changes in accounting estimates.

The amortization expense on intangible assets with finite lives is presented as a separate line item in the income statement. Amortization is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives, as mentioned in Note 4.38 "Depreciation and Amortization". The Bank has accounted Goodwill of NPR. 672,769,892 on the mergers and acquisition carried out on or after Financial Year 2076-77 (FY 2019-20).

Group

Amount in NPR

Particulars	Goodwill	Software				Other	Total Ashadh end 2082	Total Ashad 32 2081
		Purchased	Developed					
Cost								
As on Shrawan 1, 2080	**672,769,892**	**674,129,046**					**1,346,898,938**	**745,031,147**
Addition during the year							-	-
Acquisitions	-	24,076,107					24,076,107	422,685,072
Capitalisations	-	-					-	-
Transfer from Merger/Acquisition	-	1,996,001					1,996,001	179,182,719
Disposal during the year	-	-	-	-	-		-	-
Adjustment/Revaluation	-	-					-	-
As on Shrawan 1, 2081	**672,769,892**	**700,201,154**					**1,372,971,046**	**1,346,898,938**
Addition during the year								
Acquisitions	-	18,704,187					18,704,187	24,076,107
Capitalisations	-	-					-	-
Transfer from Merger/Acquisition	-	-	-	-	-		-	1,996,001
Disposal during the year	-	(804,151)	-	-	-		(804,151)	-
Adjustment/Revaluation	-	-	-	-	-		-	-
Balance on Ashad end 2082	**672,769,892**	**718,101,190**	**-**		**-**		**1,390,871,082**	**1,372,971,046**
Amortization and Impairment								
As on Shrawan 1, 2080	**-**	**439,587,379**					**439587379.2**	**247,537,640**
Amortization charge for the year	-	41,022,975					41022975.31	40,407,046
Impairment for the year	-	-					-	
Disposals	-	-					-	
Adjustment	-	-	-	-	-		-	
Transfer from Merger/Acquisition	-	1,271,186	-	-	-		1,271,186	151,642,694
As on Shrawan 1, 2081	**-**	**481,881,540**	**-**	**-**	**-**		**481,881,540**	**439,587,379**
Amortization for the year	-	40,786,117					40,786,117	41,022,975
Impairment for the year	-							
Disposals	-	-					-	-
Adjustment	-	-					-	-
Transfer from Merger/Acquisition	-	-	-	-	-		-	1,271,186
Balance on Ashad end 2082	**-**	**522,667,657**	**-**		**-**		**522,667,657**	**481,881,540**
Net book value:								
As on Ashad end, 2080	**672,769,892**	**234,541,667**					**907,311,559**	**497,493,507**
As on Ashad end, 2081	**672,769,892**	**218,319,614**	**-**		**-**		**891,089,506**	**907,311,559**
As on Ashad end, 2082	**672,769,892**	**195,433,533**	**-**		**-**		**868,203,425**	**891,089,506**

Bank

Amount in NPR

Particulars	Goodwill	Software		Other	Total Ashadh end 2082	Total Ashad 32 2081
		Purchased	Developed			
Cost						
As on Shrawan 1, 2080	**672,726,592**	**664,125,510**			**1,336,852,102**	**736,185,093.00**
Addition during the year						
Acquisitions		23,256,857			23,256,857	422,543,822
Capitalisations						
Transfer from Merger/ Acquisition					-	178,123,186
Disposal during the year					-	
Adjustment/ Revaluation						
Balance as on Ashadh end, 2081	**672,726,592**	**687,382,367**	**-**	**-**	**1,360,108,959**	**1,336,852,101**
Addition during the year						
Acquisitions	-	17,770,716			17,770,716	23,256,858
Capitalisations		-			-	-
Disposal during the year		(804,151)			(804,151)	-
Adjustment/ Revaluation						
Balance as on Ashad end 2082	**672,726,592**	**704,348,932**	**-**	**-**	**1,377,075,524**	**1,360,108,958**
Amortization and Impairment						
As on Shrawan 1, 2080		**431167978**			**431,167,978**	**240,402,415**
Amortization charge for the year		39,974,101			39,974,101	39,122,869
Impairment for the year						
Disposals					-	
Adjustment						
Transfer from Merger/ Acquisition					-	151,642,694
As on Ashadh end, 2081	**-**	**471,142,079**	**-**	**-**	**471,142,079**	**431,167,978**
Amortization for the year		40,005,504			40,005,504	39,974,101
Impairment for the year						
Disposals		-			-	-
Adjustment						
As on Ashad end 2082	**-**	**511,147,583**	**-**	**-**	**511,147,583**	**471,142,079**
Capital Work in Progress						
Net book value:						
As on Ashad end, 2080	**672,726,592**	**232,957,532**	**-**	**-**	**905,684,124**	**495,782,678**
As on Ashad end, 2081	**672,726,592**	**216,240,288**	**-**	**-**	**888,966,880**	**905,684,123**
As on Ashad end, 2082	**672,726,592**	**193,201,349**	**-**	**-**	**865,927,941**	**888,966,879**

4.15 DEFERRED TAX

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognized for all deductible temporary differences, carried forward unused tax losses (if any), to the extent it is probable that taxable profit will be available against which the deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates that have been enacted at the reporting date. Fair valuation of land were conducted during the the merger of of erstwhile Janata Bank Nepal Ltd. and Bank of Kathmandu Ltd. and Asset Revaluation reserve was created during the measurement of Goodwill arising on merger. Accordingly Deferred Tax Liability was recognised on the revaluation reserve which has been recognised directly on equity .

	Group			Bank		
	Current Year			Current Year		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs						-
Loans and advances to customers						-
Interest receivable on loans to customers	-	-	-			-
Investment properties	-	-	-			-
Investment securities	2,126,710	426,245,508	(424,118,798)		425,716,173	(425,716,173)
Property & equipment	1,832,828	494,585,166	(492,752,339)		478,402,427	(478,402,427)
Employees' defined benefit plan	259,641,313	-	259,641,313	251,241,133		251,241,133
Lease liabilities	119,972,968	-	119,972,968	101,588,664		101,588,664
Provisions	426,723,387	-	426,723,387	426,029,990		426,029,990
Other temporary differences	9,220,643	-	9,220,643	127,246		127,246
Deferred tax on temporary differences	**819,517,850**	**920,830,674**	**(101,312,825)**	**778,987,033**	**904,118,600**	**(125,131,567)**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Ashad 32, 2082			**(101,312,825)**			**(125,131,567)**
Recognised in profit or loss			749,621,490			725,273,413
Recognised in other comprehensive income			(426,245,508)			(425,716,173)
Recognised directly in equity			(424,688,807)			(424,688,807)
Deferred tax asset/(liabilities) as on Shrawan 1, 2081			(403,750,786)			(521,776,187)
Transferred From Merged Entities/ Adjustments Assets/(Liabilities)			-			-
Origination/(Reversal) during the year			**302,437,961**			**396,644,620**
Deferred tax expense/(income) recognised in profit or loss			(365,135,202)			(458,340,026)
Deferred tax expense/(income) recognised in other comprehensive income			62,697,241			61,695,406
Deferred tax expense/(income) recognised in directly in equity			**-**			**-**

	Group			Bank		
	Previous Year			Previous Year		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable on loans to customers	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	90,905,726	364,020,767	(273,115,041)		364,020,767	(364,020,767)
Property & equipment	1,244,068	484,043,217	(482,799,149)		466,829,475	(466,829,475)
Employees' defined benefit plan	226,851,666	-	226,851,666	214,995,290		214,995,290
Lease liabilities	99,308,804	-	99,308,804	78,150,237		78,150,237
Provisions	16,823,107	-	16,823,107	15,674,036		15,674,036
Other temporary differences	9,179,830	-	9,179,830	254,492		254,492
Deferred tax on temporary differences	**444,313,200**	**848,063,984**	**(403,750,784)**	**309,074,055**	**830,850,242**	**(521,776,187)**
Deferred tax on carry forward of unused tax losses						
Deferred tax due to changes in tax rate						
Net Deferred tax asset/(liabilities) as on Ashad 31, 2081			**(403,750,784)**			**(521,776,187)**
Recognised in profit or loss			384,486,290			266,933,387
Recognised in other comprehensive income			(363,548,267)			(364,020,767)
Recognised directly in equity			(424,688,807)			(424,688,807)
Deferred tax asset/(liabilities) as on Shrawan 1, 2081			114,708,076			16,633,758
Transferred From Merged Entities			2,057,615			-
Origination/(Reversal) during the year			**(520,516,475)**			**(538,409,945)**
Deferred tax expense/(income) recognised in profit or loss			356,794,738			374,710,858
Deferred tax expense/(income) recognised in other comprehensive income			163,721,737			163,699,087
Deferred tax expense/(income) recognised in directly in equity			**-**			**-**

4.16 OTHER ASSETS

Other assets include those assets which are not classified separately in the financial statements. Accrued income, prepayments, security deposits, account receivables and deferred employee benefit (expenditure) balance are classified as other assets. Account Receivables include the subsidy interest & export incentive paid to customer receivable from Nepal Rastra Bank and others receivable arising on banking transactions which are settled after the reporting date. Deferred employee benefit (expenditure) are the benefits which arises as a result of fair valuation of staff loans.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Assets held for sale	-	-	-	-
Other non banking assets	-	-	-	-
Bills receivable	-	-	-	-
Account receivables	1,761,428,430	1,560,184,166	1,572,340,317	1,495,253,141
Accrued Income	190,203,093	172,891,818	190,203,093	172,891,818
Prepayments and deposit	921,969,989	867,652,147	914,123,504	825,952,477
Income tax deposit	342,676,069	196,598,454	342,676,069	196,598,454
Deferred employee expenditure	3,240,404,757	2,999,182,886	3,240,404,757	2,999,182,886
Other assets	1,582,074,442	394,311,933	1,456,474,582	387,736,804
	8,038,756,779	**6,190,821,403**	**7,716,222,322**	**6,077,615,580**

4.17 DUE TO BANK AND FINANCIAL INSTITUTIONS

Due to Bank and financial institutions include deposit maintained by other financial institutions with the Bank. These are initially measured at initially acquired cost and subsequently measured at amortized cost using effective interest rate. The bank has not incurred any additional cost in collecting the deposits or borrowings from the banks. Deposits from BFIs are in nature of term, call ,current and margin deposits from A, B, C and D class and Co-operative financial institutions.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Money market deposits	-	-	-	-
Inter bank borrowings	-	-	-	-
Deposits from BFIs	24,383,936,432	17,387,967,426	24,423,550,333	17,433,530,258
Settlement and clearing accounts	-	-	-	-
	24,383,936,432	**17,387,967,426**	**24,423,550,333**	**17,433,530,258**

4.18 DUE TO NEPAL RASTRA BANK

Group has classified any amount due to Nepal Rastra Bank as subsequently measured at amortized cost using effective interest rate. All the transaction cost, incurred if any, are considered in calculating effective interest rate. These includes borrowings directly and indirectly from Nepal Rastra Bank like Refinancing loan, Standing Liquidity Facility and any other borrowing from Nepal Rastra Bank. The group has not incurred any additional transaction cost in taking the borrowing facilities from the Nepal Rastra Bank.

The Bank had borrowed fund of NPR 518,505,701 from the Nepal Rastra Bank under the program "Sustainable Economic Development in Rural Areas", a program of German Financial Cooperation implemented by KFW (Kreditanstalt für Wiederaufbau) German government owned development bank and Government of Nepal (represented by Ministry of Finance) in December 2017. This borrowing is used to provide access to financial services to Micro Small and Medium Enterprises (MSMEs) and shown under other payable to NRB. This borrowing carries the interest rate as defined in the agreement between Nepal Rastra Bank which has acted as On - lending Agent and Global IME Bank acting as Project - Executing Agency. This borrowing will mature in 15 years with a grace period of up to 3 years from the first date of disbursement and payable in consecutive semi-annual installments.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Refinance from NRB	-	-	-	-
Standing Liquidity Facility	-	-	-	-
Lender of last resort facility from NRB	-	-	-	-
Securities sold under repurchase agreements	-	-	-	-
Other payable to NRB	331,843,649	373,324,105	331,843,649	373,324,105
Total	**331,843,649**	**373,324,105**	**331,843,649**	**373,324,105**

4.19 DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Held for trading				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-Forward exchange contract	-	-	-	-
-Others	-	-	-	-
Held for risk management				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-Forward exchange contract	11,072,389,917	4,516,341,578	11,072,389,917	4,516,341,578
-Others	-	-		-
	11,072,389,917	**4,516,341,578**	**11,072,389,917**	**4,516,341,578**

4.20 DEPOSIT FROM CUSTOMERS

Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, term, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate. Transaction cost incurred, if any, are considered in determining the effective interest rate payable on deposit from customers.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Institutional Customers				
-Term deposits	115,541,407,694	107,892,446,792	115,541,407,694	107,892,446,792
-Call deposits	22,344,492,600	17,393,564,557	22,344,492,600	17,393,564,557
-Current deposits	30,594,690,007	22,988,582,532	31,087,808,808	23,427,103,440
-Other deposits	4,105,254,689	3,578,848,810	4,105,254,689	3,578,848,810
Individual Customers				-
-Term deposits	155,180,583,788	163,542,320,635	153,991,752,416	163,542,320,635
-Saving deposits	219,601,489,661	170,315,508,472	217,179,732,422	167,245,017,647
-Current deposits	6,261,413,577	4,274,211,324	6,261,413,577	4,274,211,324
-Other deposits	116,725,643	102,341,607	116,725,643	102,341,607
	553,746,057,659	**490,087,824,729**	**550,628,587,849**	**487,455,854,812**

4.20.1 CURRENCY WISE ANALYSIS OF DEPOSIT FROM CUSTOMERS

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Nepalese rupee	545,684,111,119	485,029,903,439	542,566,641,309	482,397,933,522
Indian rupee	-	-	-	-
United State dollar	7,592,573,579	4,862,912,401	7,592,573,579	4,862,912,401
Great Britain pound	205,208,972	92,241,231	205,208,972	92,241,231
Euro	113,002,500	100,392,588	113,002,500	100,392,588
Japanese yen	128,247,615	618,792	128,247,615	618,792
Chinese yuan	38,465	36,839	38,465	36,839
Other	22,875,409	1,719,439	22,875,409	1,719,439
Total	**553,746,057,659**	**490,087,824,729**	**550,628,587,849**	**487,455,854,812**

4.21 BORROWING

Borrowings are financial liabilities accepted by Group with fixed or determinable payments. Subsequent to initial recognition, these financial instruments are measured at amortised cost using effective interest rate.These borrowings are secured for the purpose of managing liquidity, trade finance, infrastructure, climate finance, MSME and gender financing, respectively. Borrowings by subsidiary (Global IME Laghubitta Bittiya Sanstha Ltd.) from Banks and Financial Institutions are classified as Domestic borrowing. These are initially recorded at fair value of acquisition cost and subsequently measured at amortized cost using effective interest rate.The borrowing has been shown in equivalent Nepalese Rupees with revaluation at each year end at the closing rate.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Domestic Borrowing				
Nepal Government	-	-	-	-
Other Institutions	506,500,000	6,500,000	506,500,000	6,500,000
Other	1,489,221,333	1,217,701,780	-	-
Sub total	1,995,721,333	1,224,201,780	506,500,000	6,500,000.00
Foreign Borrowing				
Foreign Bank and Financial Institutions	11,909,919,704	12,094,451,389	11,909,919,704	12,094,451,389
Multilateral Development Banks	-	-	-	-
Other Institutions	-	-	-	-
Sub total	**11,909,919,704**	**12,094,451,389**	**11,909,919,704**	**12,094,451,389**
Total	**13,905,641,037**	**13,318,653,169**	**12,416,419,704**	**12,100,951,389**

The detail of borrowing from Foreign Bank and Financial Institutions is given as below:

Lender	Loan Amount (in USD)	Outstanding Amount (in USD)	Period of Borrowing
International Financial Corporation(IFC)	56,000,000	44,800,000	Feb 2024-Feb 2027
British International Investment(BII)	25,000,000	-	Dec 2021-Dec 2024
Mashreq Bank	10,000,000	-	Oct 2021-Oct 2024
Global Climate Partnership Fund (GCPF)	10,000,000	10,000,000	Sep 2023-Sep 2028
Swiss Investment Fund for Emerging Markets (SIFEM)	10,000,000	7,142,860	Apr 2024-Apr 2028
The Opec Fund For International Development (OPEC)	25,000,000	25,000,000	Jan 2025-Jan 2028

4.22 PROVISIONS

A provision is recognised when the bank has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. There hasn't been any instances or rise of any obligation for which the bank is required to make the provisions for them. Any provisions that arises are reviewed at each reporting date and adjusted to reflect the current best estimate.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Provisions for redundancy	-	-	-	-
Provision for restructuring	-	-	-	-
Pending legal issues and tax litigation	-	-	-	-
Onerous contracts	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**

4.22.1 MOVEMENT IN PROVISION

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Opening Balance	-	-	-	-
Provisions made during the year	-	-	-	-
Provisions used during the year	-	-	-	-
Provisions reversed during the year	-	-	-	-
Unwind of discount	-	-	-	-
Closing Balance	**-**	**-**	**-**	**-**

4.23 OTHER LIABILITIES

Creditors and accruals

Creditors and accruals are financial liabilities which are initially measured at fair value, and subsequently measured at amortised cost. These includes any payables to the vendors by bank for service gained from them in the business operation.

Liability against employees

Bank makes the provisions for long term benefits in the form of gratuity and accrued leave which are payable at the time of retirement or termination. Liability for long service leave has been meausured using acturial valuation , as the liability is dependent on the future increase of salaries and service period of the employee. Gratuity liability is not measured as per actuarial valuation as these liability are discharged in the form of defined contributory plan. The actual gratuity liability payable as on 29th Poush 2079 where fixed based on the previous scheme rules and from 1st Magh 2079 onwards it is provided at 8.33% of the basic salary per month as per labor act of Nepal. The Bank has fully discharged the the liability for Gratuity by transferring the liabilty amount in approved retirement fund. The bank also makes a yearly provision for staff bonus at 10% of profit before tax and bonus as a short term benefits for the service rendered to the bank.

All the disclosures in Note 4.23.1 to 4.23.6 are the disclosure pertaining to the bank's financial statements.

Statutory liabilities

Bank is under obligation to deposit the tax deducted at source collected from the payment of interest on deposits, borrowings, and other vendors by the 25th of next month. These liabilities to inland revenue are presented separately from other liabilities.

Other liabilities

All other liabilities in the form of bills payable, interest payable on deposits and borrowings, excess interest payable, unpaid dividend are measured at amortized cost.

Lease liabilities measured as per NFRS 16, are included under Liability under Finance Lease.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Liability for employees defined benefit obligations	39,731,423	35,844,328	-	-
Liability for long-service leave	861,891,572	752,441,101	837,470,444	716,650,965
Short-term employee benefits	-	-	-	-
Bills payable	42,467,372	25,868,578	42,467,372	25,868,578
Creditors and accruals	4,370,335,076	3,012,054,120	3,001,377,959	1,712,043,428
Interest payable on deposits	270,505,107	217,319,449	36,955,373	31,997,763
Interest payable on borrowing	797,267,929	774,729,554	794,347,327	763,306,216
Liabilities on deferred grant income	-	-	-	-
Unpaid dividend	412,266,781	412,374,779	412,266,781	412,374,779
Liabilities under Finance Lease	2,849,208,499	2,554,273,925	2,755,065,649	2,442,719,441
Employee bonus payable	868,133,772	1,007,021,939	805,181,784	985,265,523
Other statutory liabilities	386,590,346	446,870,605	386,196,224	446,405,226
Excess Interest Payable	-	-	-	-
Other liabilities	108,782,781	158,474,872	67,749,884	124,249,826
Total	**11,007,180,657**	**9,397,273,250**	**9,139,078,797**	**7,660,881,745**

4.23.1 DEFINED BENEFIT OBLIGATIONS

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Present value of unfunded obligations	901,622,995	788,285,429	837,470,444	716,650,965
Present value of funded obligations	-		-	-
Total present value of obligations	**901,622,995**	**788,285,429**	**837,470,444**	**716,650,965**
Fair value of plan assets	-		-	-
Present value of net obligations	901,622,995	788,285,429	837,470,444	716,650,965
Recognised liability for defined benefit obligations	**901,622,995**	**788,285,429**	**837,470,444**	**716,650,965**

4.23.2 PLAN ASSETS

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Equity securities		-	-	-
Government bonds		-	-	-
Bank deposit		-	-	-
Other		-	-	-
Total			-	-
Actual Return on Plan Assets		-	-	-

4.23.3 MOVEMENT IN THE PRESENT VALUE OF DEFINED BENEFIT OBLIGATIONS

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Defined benefit obligations at Shrawan 1	788,285,429	1,953,362,681	716,650,965	1,891,403,472
Actuarial losses/(gains)	110,820,840	148,098,020	110,820,840	147,930,356
Benefits paid by the plan	(154,296,645)	(136,469,066)	(140,501,422)	(135,502,247)
Acquisition/Business Combination	-	(1,327,986,919)	-	(1,327,986,919)
Current service costs and interest	156,813,371	151,280,712	150,500,061	140,806,303
Defined benefit obligations at Ashad end	**901,622,995**	**788,285,429**	**837,470,444**	**716,650,965**

4.23.4 MOVEMENT IN THE FAIR VALUE OF PLAN ASSETS

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Fair value of plan assets at Shrawan 1		-	-	-
Contributions paid into the plan		-	-	-
Actuarial losses		-	-	-
Benefits paid by the plan		-	-	-
Expected return on plan assets		-	-	-
Fair value of plan assets at Ashad end			-	-

4.23.5 AMOUNT RECOGNISED IN PROFIT OR LOSS

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Current service costs	215,213,397	244,829,888	209,608,881	239,170,116
Interest on obligation	52,420,815	51,360,435	51,712,021	49,566,543
Expected return on plan assets	-	-	-	-
Total	**267,634,212**	**296,190,323**	**261,320,902**	**288,736,659**

4.23.6 AMOUNT RECOGNISED IN OTHER COMPREHENSIVE INCOME

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Acturial (gain)/loss for the period	-	(41,959,542)	-	(42,127,206)
Total	**-**	**(41,959,542)**	**-**	**(42,127,206)**

4.23.7 ACTUARIAL ASSUMPTIONS

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Discount rate	7%	8%	7%	8%
Expected return on plan asset	0%	0%	0%	0%
Future salary increase	As per Level	As per Level	As per Level	As per Level
Withdrawal rate	11%	11%	11%	11%

4.23.8 MATURITY ANALYSIS OF LEASE LIABILITIES

The Bank has recognized a right of use of asset and lease liability as per NFRS 16 Leases. The right to use of assets and lease liability is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the lease payment. The right to use of assets is depreciated over the lease term on straight line basis. The lease liability is amortised over the lease term. The recognition impact and the maturity analysis of lease liability is shown as below.

Amount in NPR

	Current Year		Previous Year	
	Right to Use of Assets	Leased Liabilities	Right to Use of Assets	Leased Liabilities
Balance as on 1st Shrawan 2081	2,182,218,650	2,442,719,442	2,174,260,506	2,350,401,385
Add: Transfer from Merger	-	-	-	-
Add: New Branches Opened	322,959,851	322,959,851	552,200,796	552,200,796
Less: Depreciation	(406,723,212)	-	(544,242,651)	-
Add: Adjustment	317,981,480	313,217,546		
Add: Interest Cost	-	166,703,365	-	18,703,410
Less: Rent Paid for the Year	-	(490,534,554)	-	(478,586,149)
Balance as on Ashad end, 2082	**2,416,436,770**	**2,755,065,650**	**2,182,218,650**	**2,442,719,442**

	Current Year	Previous Year
Less Than 1 Year	19,677,623	-
1- 5 Year	516,294,171	404,718,139
More than 5 Year	2,219,093,856	2,038,001,303
	2,755,065,650	2,442,719,442

4.24 DEBT SECURITIES ISSUED

Debentures are measured at amortized cost using the effective interest rate. All the transaction cost incurred upto the time of allotment formed part of effective interest rate. Details of debentures issued by the bank are disclosed under Note 5.2 of Capital Management.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Debt securities issued designated as at fair value through profit or loss	-	-	-	-
Debt securities issued at amortised cost	10,687,316,510	10,684,657,109	10,687,316,510	10,684,657,109
	10,687,316,510	**10,684,657,109**	**10,687,316,510**	**10,684,657,109**

4.25 SUBORDINATED LIABILITIES

These are the liabilities which are in lower ranks to the borrowers and other debts in terms of obligations. These are the unsecured liabilities which are repaid only after the depositors in case of liquidation. The bank has not issued any subordinated liabilities till the date of reporting from its inception.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Redeemable preference shares	-	-	-	-
Irredemable cumulative preference shares (liabilities component)	-	-	-	-
Other	-	-	-	-
	-	-	-	-

4.26 SHARE CAPITAL

Ordinary share capital represents the par value of ordinary shares issued. Share issuance cost which were incurred for raising the capital has not been shown as deduction from share capital but are charged to profit or loss.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Ordinary shares	38,115,852,616	36,128,770,252	38,115,852,616	36,128,770,252
Convertible preference shares (equity component only)	-	-	-	-
Irredeemable preference shares (equity component only)	-	-	-	-
Perpetual debt (equity component only)	-	-	-	-
Total	**38,115,852,616**	**36,128,770,252**	**38,115,852,616**	**36,128,770,252**

4.26.1 ORDINARY SHARES

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Authorized Capital				
500,000,000 (PY 500,000,000) Ordinary share of NPR 100 each	50,000,000,000	50,000,000,000	50,000,000,000	50,000,000,000
Issued capital				
381,158,526 (PY 361,287,702) Ordinary share of NPR 100 each	38,115,852,616	36,128,770,252	38,115,852,616	36,128,770,252
Subscribed and paid up capital				
381,158,526 (PY 361,287,702) Ordinary share of NPR 100 each	38,115,852,616	36,128,770,252	38,115,852,616	36,128,770,252
Total	**38,115,852,616**	**36,128,770,252**	**38,115,852,616**	**36,128,770,252**

4.26.2 ORDINARY SHARE OWNERSHIP

	Current Year		Previous Year	
	Percent	Amount	Percent	Amount
Domestic ownership	**100%**	**38,115,852,616**	**100%**	**36,128,770,252**
Nepal Government	0.08%	30,024,514	0.08%	28,459,255
"A" class licensed institutions	-	-	-	-
Other licensed institutions	-	-	-	-
Other Institutions	14.00%	5,336,114,260	14.05%	5,077,685,016
Public	48.76%	18,585,712,166	48.76%	17,616,788,783
Other	37.16%	14,164,001,676	37.11%	13,405,837,198
Foreign ownership				
Total	**100%**	**38,115,852,616**	**100%**	**36,128,770,252**

4.26.3 SHARE OWNERSHIP 0.5% AND ABOVE

	Current Year		Previous Year	
Name of shareholder	No.of Shares	Percent	No.of Shares	Percent
Employees Provident Fund	18,084,019	4.74%	17,141,251	4.74%
IME Holdings Pvt Ltd.	10,590,330	2.78%	10,038,227	2.78%
IME Investment Pvt Ltd.	9,554,160	2.51%	9,056,075	2.51%
Sumit Kumar Agarwal	6,943,470	1.82%	6,581,488	1.82%
Bishnu Prasad Neupane	5,363,521	1.41%	5,083,906	1.41%
Continental Investment	4,392,528	1.15%	4,163,534	1.15%
Citizen Investment Trust	3,496,954	0.92%	3,318,648	0.92%
Uttam Kumar Nepal	3,442,348	0.90%	3,362,974	0.93%
Rana Bahadur Shah	2,987,957	0.78%	2,832,187	0.78%
Nimisha Investment Pvt Ltd.	2,829,849	0.74%	2,682,321	0.74%
Hem Raj Dhakal	2,559,796	0.67%	2,426,347	0.67%
Kamadhenu Investment	2,544,703	0.67%	2,241,958	0.62%
Homeland Developers	2,500,624	0.66%	2,627,839	0.73%
Cabinet Shrestha	2,421,825	0.64%	2,295,569	0.64%
Gauri Shrestha	2,191,308	0.57%	2,058,932	0.57%
Rita Malla	2,128,797	0.56%	2,017,817	0.56%
Sharada Devi	2,002,053	0.53%	1,897,681	0.53%
Sandeep Agarwal	1,974,715	0.52%	1,871,768	0.52%

4.27 RESERVES

Statutory Reserves

Statutory reserves represents the mandatory reserves maintained by the bank as per Nepal Rastra Bank directives. This includes general reserve,exchange equilization reserve, capital redemption reserve, investment adjustment reserve, interest capitilized reserves, corporate social responsibility reserve, training and development reserve and other reserve notified by Nepal Rastra Bank. These reserves are not available for distribution of dividends.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Statutory general reserve	13,769,706,701	12,722,532,268	13,574,906,923	12,559,646,144
Exchange equilisation reserve	335,018,237	332,211,979	335,018,237	332,211,979
Corporate social responsibility reserve	97,075,893	151,777,261	90,776,144	147,360,919
Training Reserve	158,558,646	127,358,239	158,558,646	127,358,239
Interest capitalized reserve	-	-	-	-
Investment adjustment reserve	10,132,619	10,132,619	10,132,619	10,132,619
Capital reserve	66,491,775	-	-	-
Other reserve	764,422,890	813,974,394	672,726,592	672,726,592
Assets revaluation reserve	990,940,550	990,940,550	990,940,550	990,940,550
Dividend equalisation reserve	-	-	-	-
Debenture redemption reserve	1,144,444,444	516,666,666	1,144,444,444	516,666,666
Capital adjustment reserve	-	1,500,000,000	-	1,500,000,000
Deferred Tax Reserve	-	-	-	-
Fair value reserve	993,577,849	847,716,746	993,337,738	849,381,791
Regulatory reserve	6,566,780,059	7,208,619,951	6,485,833,877	7,065,233,874
Actuarial gain/(loss)	286,351	286,351	-	-
Total	**24,897,436,013**	**25,222,217,025**	**24,456,675,770**	**24,771,659,373**

a. Statutory General Reserve

According to Banks and Financial Institutions Act, 2017, amount equal to 20% of net profit of each year is transferred to the general reserve fund.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	12,559,646,144	11,328,222,384
Transfer from the Merger	-	-
Transfer during the period	1,015,260,779	1,231,423,760
Withdrawal during the period		-
Balance as on Ashad end	**13,574,906,923**	**12,559,646,144**

b. Exchange Equalization Reserve

According to Banks and Financial Institutions Act, 2017, Banks which earn foreign exchange revaluation gain on foreign currency other than Indian Currency are required to transfer 25% of such revaluation gain to exchange equalisation reserve.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	332,211,979	331,160,725
Transfer from the Merger		-
Transfer during the period	2,806,258	1,051,254
Withdrawal during the period		-
Balance as on Ashad end	**335,018,237**	**332,211,979**

c. Corporate Social Responsibility Reserve

As per NRB directive, Banks are required to allocate 1% of its Net profit to Corporate Social Responsibility Fund which will be expensed in the next financial year. Bank has used the fund in economic transformation mainly in the field of education, financial awareness, community conservation and community health, directly or by support to various event organizers.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	147,360,919	157,869,490
Trasnfer from Merger	-	-
Less: CSR Expenses during the period	(107,347,814)	(71,883,114)
Add: Transfer from Retained earning	50,763,039	61,374,543
Balance as on Ashad end	**90,776,144**	**147,360,919**

Sectorwise Corporate Social Responsibility Expense

Province

Budget Head	Koshi	Madhesh	Bagmati	Gandaki	Lumbini	Karnali	Sudur paschim	Total Expense
Education	3,637,538	566,156	686,155	1,482,556	557,256	654,156	703,556	8,287,374
Health	991,356	952,581	1,650,286	1,171,035	997,999	939,804	992,394	7,695,454
Humantarain Service & Donation	6,446,571	6,590,571	6,974,571	6,448,571	6,448,571	6,470,571	6,443,571	45,823,000
Envirnoment	866,229	664,564	903,332	750,939	2,947,204	429,714	711,085	7,273,067
Financial Literacy	4,406,891	4,418,833	4,839,233	4,116,774	3,960,247	3,769,498	4,384,674	29,896,150
SDG	639,499	1,173,027	1,046,858	1,488,027	658,544	1,108,027	581,027	6,695,008
Others:								
Kholau Khata Abhiyan	2,100	-	-	-	600	79,100	200	82,000
Traffic Island & Solar Bus Stop, Traffic Light	-	-	1,524,760	-	5,000	-	66,000	1,595,760
Sports	-	-	-	-	-	-	-	-
Total	**16,990,184**	**14,365,732**	**17,625,195**	**15,457,903**	**15,575,422**	**13,450,870**	**13,882,507**	**107,347,814**
Provincewise Percentage	**15.83%**	**13.38%**	**16.42%**	**14.40%**	**14.51%**	**12.53%**	**12.93%**	**100.00%**

d. Debenture Redemption Reserve

As per the NRB directive Banks which have issued the debentures shall create the debenture redemption reserve proportionately for the maturity term excluding on the year of issue and redemption. Also, Bank is not required to maintain the debenture redemption reserve if the bank distributes dividend in form of bonus shares equivalent to the amount of debenture redemption reserve to be created during the year for debentures with remaining maturity of more than 5 years. However amount not created as debenture redemption reserve and distributed as dividend in form of bonus shares must be proportionately allocated to debenture redemption reserve in the remaining maturity period from next year ownwards.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	516,666,666	1,833,333,333
Transfer during the period	627,777,778	183,333,333
Withdrawal during the period	-	(1,500,000,000)
Balance as on Ashad end	**1,144,444,444**	**516,666,666**

Debenture wise Debenture Redemption Reserve maintained is shown as below:

Particulars	8.5% BOK Debenture	10.5% GBIL Debenture 2086
Issue Size	3,000,000,000	1,100,000,000
Issue Date	5-Apr-21	30-Aug-22
Maturity Date	4-Apr-31	29-Aug-29
Debenture Redemption reserve		
FY 2077-78	Year of Issue	
FY 2078-79	333,333,333	
FY 2079-80	-	Year of Issue
FY 2080-81	-	183,333,333
FY 2081-82	444,444,445	183,333,333
Total	**777,777,778**	**366,666,666**

e. Capital Adjustment Reserve

As per the NRB directive, debenture redemption reserve created on the matured debenture should be transferred to capital adjustment reserve after the maturity. Only bonus shares can be issued from this reserve. During the previous year "10.25% Global IME Debenture 2080/81" of NPR 1.5 Billion has matured with effect from 27th Chaitra 2080 for which debenture redemption reserve of NPR 1.5 Billion had been maintained. This amount was distributed as dividend in form of bonus shares in FY 2081-82.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	1,500,000,000	-
Transfer during the period	-	1,500,000,000
Withdrawal during the period	(1,500,000,000)	
Balance as on Ashad end	**-**	**1,500,000,000**

f. Training Reserve

As per NRB directive, Banks are required to incur minimum 3% of its total employee's salary and allowances expenses of previous year on training and development of their employees. Any amount not expensed upto 3% during the year shall be transferred to this reserve from retained earnings. This reserve is created for the training and development of the Bank's employees as per said directives.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	127,358,239	119,282,611
Transfer from Merger	-	-
Less: Training Expenses during the period	(63,484,039)	(66,580,033)
Add: 3% of Employees' Salary & allowances	94,684,446	74,655,661
Balance as on Ashad end	**158,558,646**	**127,358,239**

g. Investment Adjustment Reserve

Investment adjustment reserve are created as a cushion for adverse price movements in the bank's investments as per the directive issued by Nepal Rastra Bank. This reserve is created against those investments whose shares doesn't not get listed in Nepal Stock Exchange within three years from the date of investment except for those exempted by Nepal Rastra Bank.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	10,132,619	6,260,000
Transfer during the period	-	-
Withdrawal during the period	-	3,872,619
Balance as on Ashad end	**10,132,619**	**10,132,619**

h. Fair Value Reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets that are measured at fair value and the changes in fair value is recognized in other comprehensive income, until the assets are derecognized.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	849,381,791	496,906,298
Transfer from the Merger	-	-
Transfer during the period	143,955,947	372,140,032
Withdrawal during the period	-	(19,664,539)
Balance as on Ashad end	**993,337,738**	**849,381,791**

i. Regulatory Reserve

This reserve is allocated from retained earnings of the Bank as per the Directive of Nepal Rastra Bank. This includes interest income accrued but not received in cash, value of investment property net of staff bonus and tax, amount equal to deferred tax asset in financial statement and amount equal to actuarial loss recognized till date of reporting and additionally includes Interest Capitalised Reserve (ICR) created for the Interest accrued and capitalised during Moratorium period of Loan approved after 2079.10.26 or having Financial Closure in accordance to NRB directive No 4 net of staff bonus and tax. Cash received up to 15th Shrawan 2082 against accrued interest on loans and advances but not received in cash as on 32nd Ashad 2082, has been considered for calculating the regulatory reserve to be maintained as on 32nd Ashad 2082. The same shown as below:

Particulars	Amount in NPR
Accrued Interest Receivable as on Ashad 32 2082	5,444,107,612
Less: Cash realized up to 15th Shrawan 2082	-456,305,115
Amount considered for Regulatory Reserve	**4,987,802,497**

	Deferred Tax Reserve	Investment Property	Accrued Interest	Interest capitalized reserve	Actuarial (Gain) / (Loss)	Total Regulatory Reserve
Balance as on 1st Shrawan 2080	**216,955,438**	**1,074,368,958**	**2,794,902,692**	**16,360,164**	**29,489,044**	**4,132,076,296**
Transfer during the period		1,961,948,732	1,073,179,394	144,473,934	-	3,179,602,060
(Withdrawal) during the period	(216,955,438)			-	(29,489,044)	(246,444,482)
Balance as on 1st Shrawan 2081	**-**	**3,036,317,690**	**3,868,082,086**	**160,834,098**	**-**	**7,065,233,874**
Transfer from the Merger	-	-	-		-	-
Transfer during the period	725,273,413			117,069,502	-	842,342,915
(Withdrawal) during the period		(36,090,130)	(1,385,652,782)		-	(1,421,742,912)
Balance as on 32nd Ashad 2082	**725,273,413**	**3,000,227,560**	**2,482,429,304**	**277,903,600**	**-**	**6,485,833,877**

Details of Yearwise transfer to Regulatory reserve are as below:

Financial Year	Interest Receivable	Short Loan Loss Provision on investments	Short Loan Loss Provision on Non Banking Assets	Interest capitalized reserve	Deferred Tax Assets	Actuarial Loss	Total
FY 2074/75	196,512,704		91,917,079		177,846,130	9,888,299	476,164,212
FY 2075/76	20,882,512	2,155,546	26,768,385		34,232,289	(9,888,299)	74,150,434
FY 2076/77 Transfer from Merger	345,185,150		142,476,409		51,054,097	84,178,567	622,894,223
FY 2076/77 Transfer for the Year	191,007,499	(2,155,546)	(49,920,319)		(175,071,442)	(75,746,603)	(111,886,411)
FY 2077/78	16,957,752		12,187,281		(2,187,086)	133,257,962	160,215,908
FY 2078/79	142,658,215		129,023,578		94,258,479	(84,836,438)	281,103,834
FY 2079/80 Transfer from Merger	545,964,661		25,852,344			132,084,513	703,901,518
FY 2079/80 Transfer for the Year	1,335,734,199		696,064,201	16,360,164	36,822,971	(159,448,956)	1,925,532,579
FY 2080/81	1,073,179,394		1,961,948,732	144,473,934	(216,955,438)	(29,489,044)	2,933,157,577
FY 2081/82	(1,385,652,782)		(36,090,130)	117,069,502	725,273,413	-	(579,399,997)
	2,482,429,304	-	3,000,227,560	277,903,600	725,273,413	-	6,485,833,877

j. Actuarial Gain/Loss

Actuarial gains and losses comprise the difference between the payments actually made by an employer and the expected amount for the defined benefit obligation. A gain occurs if the amount paid is less than expected. A loss occurs if the amount paid is higher than expected. Actuarial gain or loss can also arise from either change in assumption or experience adjustments / variance. The change in assumption can be financial as well as demographic. From FY 2080-81 actuarial valuation on gratuity have not been conducted as all the liability arising on te gratuity are discharged on monthly basis to the retirement fund which manges the gratuity fund afterwards thereby bearing all the risk and benefits without additional future liability to the Bank. Leave encashment balance whose liability are not discharged from the Bank are measured using actuarial valuation. Nepal Rastra Bank has mandated to keep the regulatory reserve for the actuarial loss on actuarial valuation which is recognised through Other Comprehensive Income. Actuarial Loss on valuation of Leave Encashment has not been recognised through Other Comprehensive Income but directly in Profit or Loss Statement. Hence no regulatory reserve has been created on the actuarial loss recognised through profit or loss statement.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	-	(29,489,044)
Transfer from the Merger	-	-
Transfer during the period	-	-
Withdrawal during the period	-	29,489,044
Balance as on Ashad end	**-**	**-**

k. Other Reserve

Other Reserves include reserves created as other components of equity against Goodwill of NPR 266,911,056 during merger with erstwhile Janata Bank Nepal Ltd. and acquisition of Hathway Finance Company Ltd. and NPR. 405,815,536 during the merger with erstwhile Bank of Kathmandu Ltd.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	672,726,592	672,726,592
Transfer from the Merger	-	-
Transfer during the period	-	-
Withdrawal during the period	-	-
Balance as on Ashad end	**672,726,592**	**672,726,592**

l. Asset Revaluation Reserve

NFRS 3 Business Combination requires the acquirer to measure the identifiable assets acquired and the liabilities assumed at their acquisition date fair values. Those assets and liabilities acquired are brought in the books of the acquirer at fair values as at the acquisition date. The changes in fair value over the book value is transferred to asset revaluation reserve, which were valued by independent valuators as on acquisition date. Asset Revalution Reserve has been created on the property transferred from merger with erstwhile Bank of Kathmandu Ltd. and erstwhile Janata Bank Nepal Ltd.

Amount in NPR

	Current Year	Previous Year
Balance as on Shrawan 1	990,940,550	990,940,550
Transfer from the Merger	-	-
Transfer during the period	-	-
Withdrawal during the period	-	-
Balance as on Ashad end	**990,940,550**	**990,940,550**

Retained earnings

Retained earnings represents the cumulative net earnings or profit after accounting for dividends paid to shareholders and allocation of mandatory reserves required as per directives issued by Nepal Rastra Bank before distributing dividend. Finance Act 2080 introduced provisions to collect income tax on bonus shares distributed from FPO proceeds, premium collected through auctioned shares and on the gains obtained during merger and acquisition transactions. During the previous year bank had calculated the tax amount on capital reserve created due to difference of share issued based on SWAP ratio and share capital of merged/acquired entity. The capital reserve created (and distributed as dividend) in the books of merged entities as per the audited financial statements was NPR 3,085,955,572 and share premium on auction of shares/FPO amounting to NPR 1,327,249,029 totaling NPR 4,413,204,601 on which a tax @ 30% assessed by the bank of NPR 1,323,961,381was deposited on 29 Mangsir 2080. Though the Bank has recorded Goodwill on the mergers/acquisition in accordance with the NFRS 3 "Business Combinations", the taxes were paid on the distributed capital reserve, which were created on the difference of total share capital immediately before the merger/acquisition and total share capital transferred after the merger. The taxes paid were charged to the retained earnings.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Opening balance	1,190,595,032	4,132,001,814	506,718,018	3,243,361,568
-Add: Profit for the year	5,509,428,548	6,176,413,830	5,076,303,895	6,137,454,261
-Add: Transfer from merger	-	(134,690,086)	-	-
-Less: Transfer to regulatory reserves	(842,342,915)	(3,054,923,333)	(842,342,915)	(3,035,128,126)
-Less: Transfer from regulatory reserves	1,493,950,242	246,444,483	1,421,742,912	246,444,483
-Add: Transfer from statutory reserves	57,161,677	31,608,344	56,584,775	26,240,202
-Less: Transfer to statutory reserves	(1,740,439,353)	(1,606,631,812)	(1,677,045,222)	(1,568,297,620)
-Less: Tax Paid on Share Swap and Premium of Previous Year	-	(1,332,380,358)	-	(1,323,961,381)
-Less: Cash dividend for FY 2080-2081	-	-	-	-
-Less: Scrip dividend for FY 2080-2081	(487,082,364)	-	(487,082,364)	-
-Less: Cash dividend for FY 2079-2080	-	(2,897,259,147)	-	(2,861,684,772)
-Less: Scrip dividend for FY 2079-2080	-	(357,710,597)	-	(357,710,597)
-Closing balance	**5,181,270,867**	**1,202,873,139**	**4,054,879,099**	**506,718,018**

4.28 CONTINGENT LIABILITIES AND COMMITMENTS

Contingent liabilities and commitments are those obligations which may not be recognized on the statement of financial position, but they do contain certain credit risk and are therefore part of the overall risk of the Bank.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Contingent Liabilities	79,792,498,887	67,410,677,961	79,792,498,887	67,410,677,961
Undrawn and undisbursed facilities	40,128,612,650	30,994,951,676	40,128,612,650	30,994,951,676
Capital commitments	-	-	-	-
Lease commitments	-	-	-	-
Litigations	1,091,728,720	873,393,225	1,091,728,720	873,393,225
	121,012,840,256	**99,279,022,862**	**121,012,840,256**	**99,279,022,862**

4.28.1: CONTINGENT LIABILITIES

Contingent liabilities are possible obligations that arise out of past events and whose existence will be confirmed only by the occurrence of or non-occurrence of one or more uncertain future events not wholly within the control of the Bank. These can also be present obligations that arise from past events but they are not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are measured with the provisions of as defined in Nepal Accounting Standard- NAS 37 - Provisions, Contingent Liabilities and Contingent Assets. Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
1. Acceptances & Endorsements	11,027,510,907	11,498,161,843	11,027,510,907	11,498,161,843
2. Documentary Credit	16,283,681,456	12,723,679,542	16,283,681,456	12,723,679,542
3. Bills for collection	-	-	-	-
4. Forward exchange contracts	-	-	-	-
5. Guarantees/Bonds	52,481,306,524	43,188,836,576	52,481,306,524	43,188,836,576
6. Underwriting commitment	-	-	-	-
7. Other Commitments	-	-	-	-
Total	**79,792,498,887**	**67,410,677,961**	**79,792,498,887**	**67,410,677,961**

4.28.2: UNDRAWN AND UNDISBURSED FACILITIES

To meet the financial needs of customers, the Bank enters into irrevocable commitments like financial guarantees, letters of credit and other credit commitments.Undrawn facilities refers to the approved credit facility that the Bank has agreed to be made available to the borrower, that the borrower has either not drawn, or has drawn and repaid.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
1. Undisbursed amount of loans	7,023,549,160	4,663,223,469	7,023,549,160	4,663,223,469
2. Undrawn limits of overdrafts	20,014,480,384	17,413,103,575	20,014,480,384	17,413,103,575
3. Undrawn limits of credit cards	2,451,744,011	1,436,273,949	2,451,744,011	1,436,273,949
4. Undrawn limits of letter of credit	10,638,839,094	7,481,600,683	10,638,839,094	7,481,600,683
5. Undrawn limits of guarantee		750,000		750,000
Total	**40,128,612,650**	**30,994,951,676**	**40,128,612,650**	**30,994,951,676**

4.28.3: CAPITAL COMMITMENTS

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Capital commitments in relation to Property and Equipment				
Approved and contracted for			-	-
Approved but not contracted for			-	-
Capital commitments in relation to Intangible assets				
Approved and contracted for			-	-
Approved but not contracted for			-	-
Total			**-**	**-**

4.28.4: LEASE COMMITMENTS

Lease commitments entered by bank for the leasing of spaces for expanding branch operations but provision not made in financial statements.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Operating lease commitments				
Future minimum lease payments under non cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Finance lease commitments				
Future minimum lease payments under non cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Total	**-**	**-**	**-**	**-**

4.28.5: LITIGATION

a. Income Tax

Litigation is a common occurrence in the banking industry due to the nature of the business. The Bank has separate unit for dealing with such legal claims. Tax assessment cases which are pending for decision under Supreme Court, Revenue Tribunal and Inland Revenue Department are provided below. Except for the below cases there are no other litigation cases, which will give rise to material outflow of bank's resources and affect the going concern of the bank. Tax assessments of the Bank up to financial year 2078-79 have been completed without demand of tax liability, if any on such transactions/ payments from capital reserves that arose from the mergers and acquisitions.

The amount presented as below includes the probable interest calculated till the date of assessment:

Amount in NPR

Cases at	Current Year	Previous Year
Supreme Court	266,343,959	172,417,035
Revenue Tribunal	657,051,200	229,886,659
Inland Revenue Department	168,333,561	471,089,532
Total	**1,091,728,720**	**873,393,225**

4.29 INTEREST INCOME

Interest Income includes interest accrued on financial assets such as loans and advances to financial institutions and customers, bank balances in nostro accounts, and other interest-bearing securities. With the adoption of NFRS 9, interest income on loans and advances to customers and financial institutions has been recognized in line with the Guidance Note on Interest Income Recognition, 2025 issued by Nepal Rastra Bank. for Stage 3 financial assets, interest income initially recognized on an accrual basis (either at the coupon rate or the effective interest rate) has been adjusted against the movement in accrued interest receivable during the quarter for which the interest is recognised and interest suspense at the beginning of that quarter. Consequently, only cash-based interest income received during those quarter are recognized as interest income on Stage 3 financial assets . Accordingly, the Bank has derecognized NPR 892 million for FY 2081-82 in respect of accrued interest that had not been realized in cash.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-From Cash and cash equivalents	1,562,635,784	1,331,346,602	1,541,315,045	1,312,260,203
-From Due from Nepal Rastra Bank	-	-	-	-
-From Placements with bank and financial institutions	-	-	-	-
-From Loans and advances to banks and financial institutions	801,269,007	1,139,850,877	1,034,663,722	1,403,629,867
-From Loans and advances to customers	37,155,339,723	43,761,203,161	35,807,448,317	42,549,757,839
-From Investment securities	5,335,227,650	5,800,564,720	5,335,227,650	5,800,564,720
-From Loans and advances to staff	155,093,768	515,117,131	155,093,768	515,117,131
-From Others agency balance	56,401,840	98,689,181	56,401,840	98,689,181
	45,065,967,772	**52,646,771,672**	**43,930,150,342**	**51,680,018,941**

4.30 INTEREST EXPENSE

Interest expense includes interest accrued on deposits from customers including BFIs, debt securities issued and other interest bearing financial liabilities. Interest expense is recognized using the effective interest rate (EIR).

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-On Dues to bank and financial institutions	25,541,162	83,102,200	34,551,924	92,330,822
-On Dues to Nepal Rastra Bank	11,806,366	21,923,546	11,806,366	21,923,546
-On Deposit from customers	25,363,625,032	33,083,484,811	25,106,653,270	32,872,852,332
-On Borrowings	1,127,177,711	761,811,834	1,025,540,323	651,627,215
-On Debt securites issued	1,071,659,402	1,184,958,120	1,071,659,402	1,184,958,120
-On Subordinated liabilities	-	-	-	-
	27,599,809,673	**35,135,280,511**	**27,250,211,285**	**34,823,692,035**

4.31 FEE AND COMMISSION INCOME

Fee and commission income earned from services including fees collected from issuance of Loans and advances, letter of credit, guarantees and sale of digital products are recognized on accrual basis. Loan administration fees, service fees and swap fees on new loans or on renewal of underlying credit facilities are the transaction costs collected by the bank. Bank has not taken in account of upfront service fees collected on the loans to customers for calculating EIR as per the deferral granted upto FY 2025-26 by the Guidance Note on Interest Income Recognition, 2025 issued by Nepal Rastra Bank. Other fees include commission income from remittance, custody and advisory fees as well as fees from insurance brokerage, foreign exchange transactions etc.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-From Loan administration fees	798,248,629	569,273,233	798,248,629	569,273,233
-From Service fees	242,361,850	286,042,962	153,204,339	172,839,740
-From Consortium fees	-	-	-	-
-From Commitment fees	1,459,394	3,405,458	1,459,394	3,405,458
-From D.D/ T.T/swift fees	81,474,032	66,294,676	81,474,032	66,294,676
-From Credit card/ATM issuance and renewal fees	1,394,200,580	1,204,996,563	1,394,200,580	1,204,996,563
-From Prepayment and swap fees	72,260,326	32,587,989	72,260,326	32,587,989
-From Investment banking fees	28,297,230	-	-	-
-Asset Management fees	140,106,248	-	-	-
-From Brokerage fees	30,495,206	6,470,350	-	-
-From Remittance fees	254,689,019	276,842,977	254,689,019	276,842,977
-From Commission on letter of credit	494,447,562	384,647,267	494,447,562	384,647,267
-From Commission on guarantee contract issued	570,402,713	431,027,896	570,402,713	431,027,896
-From Commission on share underwriting/issue	-	-	-	-
-From Locker rental	35,321,601	27,144,562	35,321,601	27,144,562
-From Other fees and commission income	336,774,527	407,843,401	331,340,549	278,234,162
Total fees and commission income	**4,480,538,917**	**3,696,577,334**	**4,187,048,744**	**3,447,294,523**

4.32 FEE AND COMMISSION EXPENSE

Fee and commission expense includes transactions and service fees expensed for the services received. Fee and commission expense are recognized on accrual basis.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-On ATM management fees	-	-	-	-
-On VISA/Master card fees	547,757,185	405,034,040	547,757,185	405,034,040
-On Guarantees	-	-	-	-
-On Brokerage	-	-	-	-
-On D.D/ T.T/swift fees	28,429,812	28,619,690	28,429,812	28,619,690
-On Remittance commission	129,137,044	141,345,271	129,137,044	141,345,271
-Other Commission expenses	317,578,155	226,230,444	259,982,257	190,000,767
Total fees and commission expense	**1,022,902,196**	**801,229,445**	**965,306,298**	**764,999,768**

4.33 NET TRADING INCOME

Net trading income includes all gains and (losses) from changes in fair value, related capital gains/ losses, foreign exchange trading gains/ (losses), interest income from trading assets and dividend from financial assets measured at fair value through profit or loss.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-From Changes in fair value of trading assets	267,547,982	(138,179,077)	-	-
-From Gain/loss on disposal of trading assets	6,870,494	-	-	-
-From Interest income on trading assets	-	-	-	-
-From Dividend income on trading assets	-	-	-	-
-From Gain/loss foreign exchange transation	916,893,149	580,852,726	916,893,149	580,852,726
-From Other trading income	-	-	-	-
Total net trading income	**1,191,311,625**	**442,673,649**	**916,893,149**	**580,852,726**

4.34 OTHER OPERATING INCOME

Gain/ (loss) from sale of investment securities, dividend on investment securities, gain/ (loss) on sale of investment securities and properties, gain/ (loss) from trading of gold and silver and subsidies received from the government or other financial institutions are recognized in other operating income. Subsidy received for the purchase of equipment are deducted from the cost of related equipment. Profit / (loss) on sale of property and equipment are recorded when the control over those are transferred to the buyer and fair consideration has been received.

Profit / (loss) on sale of repossessed collateral classified as investment property are recorded when control over those collateral is transferred and a fair consideration has been received from the buyer. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-From Foreign exchange revaluation gain	11,225,030	4,205,015	11,225,030	4,205,015
-From Gain/loss on sale of investment securities	1,533,759	274,373,617	1,533,759	274,373,617
-From Fair value gain/loss on investment properties	-	-	-	-
-From Dividend on equity instruments	136,723,056	148,491,036	127,615,486	139,444,327
-From Gain/loss on sale of property and equipment	525,330	5,509,443	525,330	5,509,443
-From Gain/loss on sale of investment property	48,572,464	488,590	48,572,464	488,590
-From Operating lease income	-	-	-	-
-From Gain/loss on sale of gold and silver	7,279,105	4,730,010	7,279,105	4,730,010
-From Others	238,233,704	107,736,097	233,841,299	105,704,986
Total other operating income	**444,092,449**	**545,533,809**	**430,592,473**	**534,455,988**

4.35 IMPAIRMENT CHARGE/(REVERSAL) FOR LOAN AND OTHER LOSSES

Net impairment charge or reversal on loans are the movement in collective and specific impairment allowance from the previous year and impairment allowance of current year. In line with the NFRS-9 Expected Credit Loss Related Guidelines,2024 loan loss provision is provided at HIGHER of provisions as per Unified directive number 2 issued by Nepal Rastra Bank and loan loss provision measured as per NFRS 9.

Impairment charge/ (reversal) for loans and other losses comprise of impairment losses and reversal of impairment on, investments, cash and bank balance measured at amortized cost and the account receivable balance identified for impairment.

Goodwill is the excess of the consideration transferred over the fair value of the acquired assets and assumed liabilities in a business combination. Goodwill is not amortized but rather tested for impairment at least annually. Goodwill is also tested for impairment between annual tests if an event occurs or circumstances change that would more likely than not reduce the fair value of the reporting unit below its carrying amount. When testing goodwill for impairment, we assess qualitative factors for all of our reporting units to determine whether the fair value of a reporting unit is less than its carrying amount, including goodwill. Events or circumstances that might indicate an interim evaluation includes, unexpected adverse business conditions, declining cash flows, a sustained decrease in share price, unanticipated competitive activities and acts by governments and courts.

Goodwill impairment test is carried out with following multi step process:

The current condition of the acquired business needs to be assessed to understand whether impairment testing is needed. Since the acquired business is managed by the single entity it is imperative to assess the effect of merger in the resulting entity after merger. On assessment by the management, there comes no adverse situation where the business of the bank is severely affected after merger amidst the current economic conditions. Though the current economic situation has slightly slowed down the business activities but the potential business area remains in abundant. We have also assessed whether the fair value of our business has come down below the carrying amount. For assessment of fair value of the bank we have considered the business value based on income earning approach. After the computation of business value, we have compared our carrying book value including recognised goodwill with the business value thus arrived as on reporting date. On comparison the fair value of the business is higher than the carrying value of the business. With this management is confident that the goodwill arrived on the business combinations does not show any indication for impairment calculation.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-On Loans and advances to B/FIs	(4,324,112)	(16,193,638)	(7,385,598)	(12,616,895)
-On Loans and advances to customer	6,175,173,390	3,770,310,936	5,983,981,409	3,629,225,387
-On Investment securities	-	-	-	-
-On Cash and cash equivalents	-	-	-	-
-On Placement with banks and financial institutions	-	-	-	-
-On Property and equipment	-	-	-	-
-On Goodwill and intangible assets	-	-	-	-
-On Investment properties	-	-	-	-
-On Account receivables	-	-	-	-
Total impairment charge/(reversal)	**6,170,849,278**	**3,754,117,298**	**5,976,595,811**	**3,616,608,492**

4.36 PERSONNEL EXPENSES

The cost of all short-term employee benefits is recognized as an expense during the period in which the employee renders the related service. Accruals for employee entitlements to salaries, bonus and annual leave represent the amount which the bank has a present obligation to pay as a result of employees' services received up to the reporting date.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Salaries	1,661,520,424	1,497,299,952	1,516,673,410	1,362,218,412
-Allowances	1,858,041,429	1,766,859,744	1,726,410,712	1,660,200,780
-Gratuity	124,131,131	175,529,795	117,287,079	166,276,519
-Provident fund	163,874,032	146,356,342	149,904,944	133,728,992
-Uniform	594,000	-	-	-
-Training and development expenses	69,869,900	73,357,005	63,484,039	66,580,033
-Leave encashment	264,000,701	320,563,398	261,320,902	288,736,659
-Medical insurance	7,874,405	16,399,438	7,874,405	16,004,545
-Life insurance	34,259,269	28,573,512	30,710,312	25,484,667
-Employee incentives	-	-	-	-
-Cash settled share-based payments	-	-	-	-
-Pension expenses	-	-	-	-
-Finance expense under NFRS	-	52,849,122	-	52,849,122
-Other staff expenses	30,690,202	41,716,538	12,708,063	24,762,756
	4,214,855,492	**4,119,504,846**	**3,886,373,866**	**3,796,842,485**
-Employees bonus	865,066,952	1,003,955,119	805,181,784	985,265,523
Total personnel expenses	**5,079,922,444**	**5,123,459,965**	**4,691,555,650**	**4,782,108,008**

4.37 OTHER OPERATING EXPENSES

Bank incurs various expenses in the form of lease rent, travelling, security, fuels and electricity, communication, advertisements and other directly related expenses. These expenses are incurred and accounted on accrual basis and are charged to income statement unless those expenses form the capital nature.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Directors' fees	6,449,856	5,569,535	3,760,000	3,264,535
-Directors' expenses	8,051,446	6,962,732	7,471,766	6,292,507
-Auditor's remuneration	5,687,000	5,204,500	4,633,000	4,520,000
-Other audit related expenses	260,060	703,200	-	-
-Professional and legal expense	34,933,561	47,055,552	34,176,418	43,374,082
-Office administration expenses	2,160,427,559	2,067,415,160	2,100,246,219	2,015,182,321
-Operating lease expenses	80,387,369	88,787,640	74,237,612	81,781,007
-Operating expense on investment properties	-	-	-	-
-Corporate social responsibility expenses	107,439,234	73,040,572	107,347,814	71,883,114
-Onerous lease provisions	-	-	-	-
-Other operating expenses	167,598,509	22,926,761	161,939,430	18,703,410
Total operating expense	**2,571,234,594**	**2,317,665,653**	**2,493,812,259**	**2,245,000,976**

4.37.1 office administration expenses

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Water & electricity	107,021,416	99,132,265	104,230,499	96,825,963
Repairs and maintenance		-		-
(a) Building	2,446,898	9,167,028	2,446,898	9,167,028
(b) Vehicle	24,554,594	21,286,683	22,802,785	20,359,215
(c) Computer and accessories	4,607,456	3,252,561	4,582,666	3,252,561
(d) Office equipment and furniture	27,139,797	33,390,233	26,622,228	32,887,346
(e) Other repairs	17,846,811	30,321,375	16,932,287	29,421,255
Insurance	37,472,653	26,410,004	36,605,544	24,949,749
Postage, telex, telephone,fax	113,896,816	109,352,870	105,526,568	105,160,422
Printing and stationery	110,017,244	104,175,593	104,420,021	98,899,917
Newspaper, books and journals	14,812,174	19,478,017	14,798,140	19,459,064
Advertisement	187,354,769	153,814,019	186,502,912	153,194,335
Donation	-	-	-	-
Security expenses	424,037,205	420,956,928	422,067,906	419,129,475
Deposit and loan guarantee premium	220,645,587	193,425,257	220,645,587	193,425,257
Travel allowance and expenses	79,026,507	103,709,407	72,891,696	98,370,675
Entertainment	3,385,496	4,054,796	3,342,791	3,793,370
Annual/special general meeting expenses	2,523,761	2,354,125	1,791,637	1,815,374
Other	-	-	-	-
(a) ATS/AMC expenses	206,675,716	165,108,682	205,024,705	163,711,716
(b) Bank charges	40,220,989	33,904,535	40,118,770	32,657,446
(c) Business promotion	78,815,225	107,745,023	78,628,955	107,329,879
(d) Cleaning & gardening	26,165,990	27,748,860	25,843,969	27,414,679
(e) Fees & taxes	34,820,620	30,597,358	34,375,095	30,561,758
(f) Fuel & other lubricants	90,990,903	87,664,593	80,764,503	77,470,314
(g) Membership fees	3,563,348	6,247,790	3,232,348	6,100,425
(h) Office goods and supply	16,496,045	17,824,722	16,496,045	17,824,722
(i) Pantry expenses	27,231,742	23,264,521	25,042,732	22,236,256
(j) Share registration expenses	6,182,960	2,062,329	6,082,960	1,730,829
(k) Outsourced Staff Expenses	175,659,074	168,829,271	175,659,074	166,676,468
(l) Others	76,815,763	62,136,315	62,766,898	51,356,823
Total operating expense	**2,160,427,559**	**2,067,415,160**	**2,100,246,219**	**2,015,182,321**

4.38 DEPRECIATION & AMORTISATION

Depreciation of Property, and Equipment

Bank provides depreciation from date of assets being put to use over the periods of estimated useful lives of assets. These useful lives of assets represent the period over which future economic benefits from those assets are expected to be consumed by the bank. Freehold land are not depreciated as they are non depreciable assets. Depreciation of an asset ceases at the time asset is classified as held for sale or the date asset is derecognised, whichever is earlier.

Amortization of Intangible Assets

Intangible assets,except goodwill, are amortized on a straight line basis in the Statement of Profit or Loss from the date of put to use, over the best estimate of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the Bank.

Amortization of Right-of-Use Assets

The right of use assets are depreciated using a straight-line method from the commencement date to the earlier of the end of the useful life of the right of use assets or the end of the lease term. The estimated useful lives of right of use assets are determined on the basis of period of the agreement agreed for the use of propoerty and are in the range of 1 to 20 years.

Assets	Useful Lives
Land	Non Depreciable
Buildings	Upto 40 Years
Machinery	Upto 7 Years
Office Equipments	Upto 5-10 Years
Motor Vehicles	Upto 7 Years
Leasehold Improvement	Upto Leasehold Period
Software and Intangibles	Life or Upto 10 Years

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-On Property and equipment	849,517,554	988,766,219	814,025,178	951,280,419
-On Investment property	-	-	-	-
-On Software and intangibles	40,786,117	41,022,975	40,005,504	39,974,101
Total Depreciation & Amortisation	**890,303,671**	**1,029,789,195**	**854,030,682**	**991,254,520**

4.39 NON OPERATING INCOME

Non-operating income includes recovery from earlier written off loans, share of profit/(loss) from investment in associate entities and others. Share of profit/(loss) from investment in associate entities is recognized using equity method and shown separately while preparing consolidated financial statements.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-From Recovery of written off loans	29,782,229	7,344,142	29,782,229	7,344,142
-From Other income	-	-	-	-
-From Share of profit from investment in associates	168,024,156	18,253,693	-	-
Total non operating income	**197,806,385**	**25,597,835**	**29,782,229**	**7,344,142**

4.40 NON OPERATING EXPENSE

Non-operating expenses include write off for uncollectible loans, write off of other assets and employee voluntary retirement related costs.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Loan written off	-	-	-	-
-Redundancy provision	-	-	-	-
-Expense of restructuring	-	116,247,752	-	116,247,752
-Other expense	17,600,611	56,166,801	16,318,895	42,665,062
Total non operating expense	**17,600,611**	**172,414,553**	**16,318,895**	**158,912,814**

4.41 INCOME TAX EXPENSE

Current Taxation

Current tax is the estimated tax payable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted as at the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purpose in accordance with the provisions of the Income Tax Act.

Deferred Taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;

- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and

- taxable temporary differences arising on the initial recognition of goodwill.

Amount in NPR

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-current tax expense				
-Income tax expense based on profit for current year	2,786,419,163	2,447,131,190	2,628,672,188	2,355,224,588
-Adjustment for prior years under/ (over) provision	-	-		-
	2,786,419,163	**2,447,131,190**	**2,628,672,188**	**2,355,224,588**
-deferred tax expense				
-Origination and reversal of temporary differences	(365,135,202)	356,794,738	(458,340,026)	374,710,858
-Change in tax rates	-	-		-
-Recognition of previously unrecognised tax losses	-	-		-
	(365,135,202)	356,794,738	(458,340,026)	374,710,858
Total income tax expenses	**2,421,283,961**	**2,803,925,927**	**2,170,332,162**	**2,729,935,446**

4.41.1: Reconciliation of tax expense and accounting profit

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Profit before tax			7,246,636,057	8,867,389,707
Tax Amount @ 30%			2,173,990,817	2,660,216,912
Add: Tax effect of expenses that are not deductible for tax purpose			624,227,881	(128,786,900)
Less: Tax effect on exempt income			(38,284,646)	(41,833,298)
Less: Tax effect of expenses that are deductible for tax purpose			(131,261,864)	(134,372,126)
Total Income tax	-	-	**2,628,672,188**	**2,355,224,588**
Effective tax rate			**36.27%**	**26.56%**

4.42 EARNING PER SHARE

Bank presents basic and diluted Earning per Share (EPS) for its ordinary shares. Earning per share (EPS) is calculated dividing the net profit for the year attributable to equity holders of Bank by the weighted average number of ordinary shares outstanding during the year.

Diluted Earning per Share is determined by adjusting both the profit attributable to the equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any. The Bank did not have any dilutive potential ordinary shares as at 32nd Ashad 2082.

a. Earnings per Share: Basic

	Bank	
	Current Year	Previous Year
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (NPR)	5,076,303,895	6,137,454,261
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	381,158,527	361,287,703
Basic earnings per ordinary shares (NPR)	**13.32**	**16.99**

b. Earnings per Share: Diluted

	Bank	
	Current Year	Previous Year
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (NPR)	5,076,303,895	6,137,454,261
No. of ordinary shares used as the denominator		-
Weighted average number of ordinary shares	381,158,527	361,287,703
Diluted earnings per ordinary shares (NPR)	**13.32**	**16.99**

c. Weighted average Number of Ordinary Shares for Basic/Diluted EPS

	Current Year	Previous Year
Number of Shares held at 1st of Shrawan	361,287,703	357,710,597
Add: Number of shares issued due to final bonus	19,870,824	3,577,106
Add: Number of shares issued to merged entity	-	-
Adjusted Number of Shares eligible EPS calculation	**381,158,527**	**361,287,703**

4.43 PROPOSED AND DISTRIBUTED DIVIDEND

Dividends are recognised at the time it is recommended by the Board of Directors and approved by the shareholders. Following are the details for dividend paid and proposed during the financial year.

Amount in NPR

	Current Year	Previous Year
Final dividend paid for the years 2080-81 & 2079-80 respectively		
Bonus shares distributed	1,987,082,364	357,710,597
Cash dividend paid	-	2,861,684,772
	1,987,082,364	**3,219,395,369**
Dividend paid per ordinary share of Rs 100 each	5.50	9.00
Final dividend proposed for the years 2081-82 & 2080-81 respectively		
Bonus shares Proposed	-	1,987,082,364
Cash dividend proposed	3,049,268,209	-
	3,049,268,209	**1,987,082,364**
Dividend proposed per ordinary share of NPR 100 each	**8.00**	**5.50**

ADDITIONAL DISCLOSURES AND INFORMATION

5.1 RISK MANAGEMENT SYSTEM

In the current evolving financial environment, banks are exposing to a broad spectrum of risks, including credit risk, liquidity risk, operational risk, information security risk, compliance risk, reputational risk, and regulatory risk. Likewise other many risk factors to be taken in to consideration to address the changing economic scenario and technological changes in the market. The effective management of these risks is crucial for maintaining the Bank's financial stability and fostering a strong risk culture throughout the organization. The Bank's commitment to balancing risk and return is reflected in its comprehensive policies, systems, and practices designed to identify, monitor, and manage these risks across multiple domains.

Risk Governance

The Bank's risk governance system plays a vital role in overall risk management strategy. The Board of Directors, as the apex authority, is responsible for ensuring that the Bank has the necessary framework, systems, and resources to manage risks effectively. Through the Risk Management Committee (RMC) and other independent departments and committees, the Board ensures that prudent risk management practices are implement across all functions of the bank. This robust governance structure enables the Bank to effectively oversee, monitor, and respond to risk events, safeguarding its financial health and long-term sustainability in an increasingly complex operating environment.

The Bank recognizes that common values, attitudes, and cultural norms to play a critical role in shaping risk awareness and decision-making. Consequently, the Bank has adopted a "zero tolerance" policy toward actions that could harm reputation of the bank, such as regulatory violations, fraudulent activities or unethical market behavior. To strengthen its risk management framework, the Bank has implemented several key strategies which includes development of competent human resources through extensive training and capacity-building programs, investment in digitization and development of robust Management Information Systems (MIS), continuous upgradation of its Information Technology Monitoring Systems, regular reviews and updates of risk appetite statements and tolerance levels of the Bank alongside the development of enhanced systems for continuous risk monitoring.

The Bank has set up following structure with defined roles, responsibilities and accountability to look mainly after Risk Management areas:

a) Integrated Risk Management Department (IRMD)
b) Integrated Risk Management Committee-Management Level (IRMC)
c) Risk Management Committee-Board Level (RMC)

The Bank has established a Management Level Integrated Risk Management Committee (IRMC), consisting of senior management, to bloster its risk management system and processes, and thereby supporting sustainable business growth. The Integrated Risk Management Department (IRMD) oversees the Bank's routine functions across various areas, including credit risk, operational risk, information security risk, and market and liquidity risk. Its role is to ensure that the Bank consistently adheres to its standard risk cultures and values and to ensure that all observed risks remain within the Bank's established risk appetite. The IRMD is an independent unit, headed by the Chief Risk Officer (CRO), who reports to the Board Level Risk Management Commitee.

A. Credit Risk

Credit risk at bank involves the potential for financial loss due to borrowers or counterparties failing to meet their obligations. The Bank manages this risk through a comprehensive framework that includes a rigorous credit appraisal and approval process, segmentation of the credit portfolio, continuous monitoring, and the use of risk mitigation measures. The Bank also conducts stress testing and scenario analysis to assess the impact of adverse conditions, ensures adequate provisioning and capital allocation, and adheres to regulatory standards set by the regulator. These measures help the Bank minimize credit risk while maintaining financial stability and supporting its diverse customer base and business growth.

The Bank has embedded a well managed defense system and has multiple layer for screening, assessment and identification of credit risk both at pre-approval and post-approval level. It has set of experienced team across credit functions which forms a key strength in managing credit risk of the Bank which is continuously strengthened through training, interaction, tests etc.

CCU provides an independent view, highlights the risks associated while assessing Risk Assets of the Bank and suggests necessary mitigating measures/ covenants. Risk Officers under CCU do not have any lending authority and the Risk Officers reports to CRO.

The portfolio of the Bank has been diversified in terms of loan segments, industries, top borrowers as well as geographies to manage overall risk arising from credit function. In addition, Stress testing results are also conducted periodically to assess the impact during adverse scenario. The Bank has laid down rigorous provision to ensure periodic onsite/offsite inspection of the borrowers through formation of separate Credit Monitoring Unit which serves as a proactive measure to identify credit risks and adopt proper mitigating measures.

Adequate policies, guidelines, etc. are in placed to guide the Bank's credit function which facilitates better credit risk functions. As a result of comprehensive credit risk management system, the Bank has been able to maintain sound health of its portfolio.

Credit Approval and Implementation Process
- The Bank's credit assessment is based on risk perspective. Each borrower is rated under different parameters to assess the risk associated with the relationship. Approved loans are forwarded to Credit Administration Department that administers the post approval processes including review of security documentation, contracts and other legal paper, Bank's Credit Policy and Credit Guidelines, Product Papers and as per the approved terms and conditions. Credit Administration Department verifies the certification and ensures completion of necessary formalities and disburses the loan in the system.

Credit Risk Appetite across various parameters are set to diversification of portfolio concentration. Credit Risk Management Policy (CRMP) of the Bank defines overall risk tolerance/risk appetite level in relation to credit risk under various parameters (sector wise, product wise, borrower concentration, NPA, industry wise etc.) which are reviewed at least on quarterly basis by RMC and the board.

Credit Monitoring- Credit exposures once approved / disbursed are effectively monitored and reviewed on annual basis to determine changes in risk levels. Even after the loan disbursal, credit monitoring is highly emphasized by the Bank to ensure changes and risk levels are periodically monitored. Business/ real estate inspections, drawing power calculation, customer visits are conducted by Corporate office, Credit Administration Department, Credit Control Unit, Province Office as well as Internal audit team, in addition to the lending units. The role of Province Offices is strengthened in particular, in relation to credit monitoring functions. Credit monitoring includes the activities like business / assets inspection, customer calls, drawing power calculation, fixed assets collateral inspection etc.

In addition to the Bank's current credit monitoring system, the establishment of a dedicated Credit Monitoring Unit (CMU) highlights the Banks commitment to continous monitoring of credit porffolio. The unit has been resourced with specialized staffs in each provice offices who conduct scheduled onsite/offisite visit to identify accounts with Early Warning Signals and esure corrective action is taken before they deteriorate.

B. Market & Liquidity Risk

Market and Liquidity Risk Management Unit (MLRMU), oversight overall market and liquidyt risks of the Bank. It is an independent unit, reporting to CRO. The market and liquidity risk management functions are guided by Liquidity Risk Management Policy, Market Risk Management Policy, Contingency Funding Plan, Interest RiskManagement Policy, which are developed to provide basic market & liquidity risk management tools/techniques, monitor liquidity ratios, analyze liquidity gap reports etc. The unit is primarily responsible for ensuring the Bank has adequate policy and procedural framework for managing Market & Liquidity Risk and ensure existing policies and procedures are adhered. It also performs the role of treasury middle office and oversees bank's treasury related activities in terms of compliances of guidelines. The Management defines the liquidity and funding risk strategy for the bank, as well as the risk appetite, based on recommendations made by the Asset Liability Committee ("ALCO"). The Board reviews and approves the limits which are applied to measure and control liquidity risk as well as Bank's long-term funding and issuance plan. Treasury is mandated to manage the overall liquidity and funding position of the Bank, and is responsible for reviewing the liquidity risk framework, proposing the risk appetite to ALCO. These decisions of ALCO is regulary escalated to RMC for review..

C. Operational Risk

Operational risk refers to the potential of loss resulting from inadequate or failed internal processes and systems, human error or sudden external events. It encompasses a wide range of risks, such as those arising from fraud, human error, technology failures, legal and compliance issues, and natural disasters.

Operation Risk Management Unit (ORMU), a unit reporting to CRO, has been formed to carry oversight function of operational issues/activities of the Bank and is also responsible to review policies/ manuals/ guidelines/standard operating proceduers etc for

identification, assessment, monitoring and control of operational risk in the Bank. ORMU reviews the overall operational activities of the Bank through exception reports, onsite inspection, off site inspection, data from branches, system and process oversite etc on continous basis and communicates with central relevant departments for resolution.

Various policies and manuals related with operation risk have been ciculated to minigate the risk associated with day to day operational activities of bank, Operation Risk Appetite Statement (Policy) has been developed by the Bank, which helps to drive more informed decisions and consistency in understanding of risk and their measurement. The trigger/tolerance points and standard control measures are clearly defined which facilitates consistent understanding of risk events, ultimately facilitating continuous tracking and monitoring of operation risk events. These triggers and control measures shall be gradually enriched. In order to ensure efficient control mechanism, the Bank has also developed Risk Control Assessment (RCA) for Branches which is a self-evaluation of the standards and key processes that need to be complied with to ensure that risks are managed effectively within the branches. In order to ensure uninterrupted banking services, the Bank has developed Business Continuity Plan (BCP) which helps to ensure that business processes can continue during a time of emergency or disaster which also describes about different business interruption elements, prevention strategy, containment strategy, recovery strategy etc. ultimately ensuring the smooth operations of the major critical banking activities.

D. Information Security Risk

The Bank may have to bear immense financials and reputational losses due to unauthorized access of the Bank's and its customers' information. Therefore, information security risk has become significantly important in recent times, due to increased digitization in process and products, use of various social and communication platforms, cyber security issues (increased cyber frauds) demanding requirement for adequate measures for security of the Bank's information. Along with safeguarding information from unauthorized access, it is also essential to prevent unauthorized access, use, disclosure, disruption, modification, inspection, recording or destruction of information.

The Bank has a separate Information Security Unit (ISU), which reports to CRO. ISU oversees overall information security aspect and works closely with IT department, operation risk management unit and other digital units/department of the bank to ensure utmost IT security. ISU is responsible for implementing and maintaining organization-wide information security policies, standards, guidelines, and procedures. ISU provides security awareness education and ensure that everyone knows his or her role in maintaining security. ISU coordinates with department/branches/ users to develop securities policies, standards and procedures to help protect the assets of Bank.

The Bank has upgraded to Finacle 10.2.25 which is more secured and informative compared to previous version which the Bank to capture wider range of data and thus facilitating with more MIS essential for risk management. Similary information security risk has been regularly monitored through various system & software like, Payment Control System(PCS) for secure SWIFT system, Privilege Access Management System(PAM) and Security Information and Event Management Software(SIEM) for regular monitorig of threats. Bank has opted two factor authentication in emai,SSL & VPN acces and practice of security risk assessment and taking advice of Information staffs is required before launching any products and services. IS Audit is also being carried out at least once in a year and suggestions/recommendations provided by Audit is duly addressed/taken care of.

E. Environment and Social Risk Management

The Bank is committed to contribute towards sustainable banking practices and shall continue to strengthen Environment and Social Risk Management System (ESMS) with adherence to national laws and regulations as well as global E&S standards/practices as applicable. It has established "E & S Risk Management (ESRM) Unit" and has also appointed E&S Risk Officer with the same academic background for assessment of E & S Risk. The Bank has implemented E&S Risk Management Policy and Guidelines based on which integration of ESMS with Credit Risk Management system of the Bank is done. The Unit is responsible for identification, quantification and assessment, monitoring and reporting of E&S risk associated with proposed borrower during credit appraisal process. The corrective action plan and covenants are recommended as per ESDD and site visit checklist by the ESRM unit. In addition, the unit facilitates in smooth implementation of ESMS as well as capacity building of staffs in relation to environment and social risk management. Furthermore, the Bank is planning to fully digitize ESMS for proper recording, review and reporting.

ESMS monitoring and reporting are fully digitized through its integration into CBS and Loan Operating System. The loan tagging status for ESMS remains progressive for proper recording, review, and reporting after the merger. The process of digitalization of the ESDD checklist in the Loan Operating System is in process.

F. Compliance Risk

Compliance Risk is the risk resulting from non-compliance with laws of land, inability to comply with financial reporting standards, failure to fulfill agreements/contract, non-compliance of regulatory requirements etc. The non-compliance can lead to fines, damages and/ or the voiding of contracts and can diminish an institution's reputation. The Bank has established General Compliance Unit that looks after the compliances status of the Banks. Several departmental checklists have been prepared in order to ensure that the compliance aspects by departments and by the Banks as a whole are fully met.

G. AML/CFT Risk

Money Laundering and Financial Terrorism Risk Assessment is an important task in Banking with regards to strengthening overall risk management framework. For sound AML/CFT Program and to minimize the ML/TF risk, the Bank has prepared Policy and Guideline on AML/CFT, in accordance with the AML Act, Rules, NRB Directive and FATF recommendation. and also ensured these are implemented across all branches. The Bank has established a dedicated AML/CFT unit to strengthen the AML regime of the Bank which is equipped with adequate resources and experience and reports to Board Level Asset (Money) Laundering Prevention Committee. The Bank has also established a separate AML/CFT committee at Management Level headed by Deputy Chief Executive Officer. Branch Compliance Officer has been assigned at each Branch to ensure KYC/AML/CFT activities are properly implemented across each branch. In addition, the Branch Compliance Officer reports suspicious activities/transactions and AML/CFT related issues directly to Money Laundering Reporting Officer (MLRO) at AML/CT Unit.

H. Legal Risk

Legal Risk is the potential loss that a company or individual could face as the result of a legal issue. It could be a claim made against them, a change in the law or failure to take the proper legal measures to protect themselves. The Legal Department, is committed to the management of the Bank's legal risk.

I. Human Risk

Human Resource Department is involved in managing people who are considered as one of the biggest assets of the organization. Hence, HRD is engaged in a broad range of human resource management practices to capitalize on those assets.

5.2 CAPITAL MANAGEMENT

Dividends are recognised at the time it is recommended by the Board of Directors and approved by the shareholders. Following are the details for dividend paid and proposed during the financial year.

The dynamic growth of financial markets and the increased use of complex banking products have brought about substantial changes in the business environment faced by the banks and financial institutions today. These challenges require functioning system for the limitation and targeted control of each institution's risk situation. In addition to describing methods for calculating regulatory capital requirements, the new regulatory capital framework (Basel III) places increased emphasis on risk management and integrated bank wide risk management. Therefore, to ensure the capital adequacy level of banks in commensurate with their risk profiles at all times, need to undertake in-depth analysis of their total risk exposure and capital and put in place the suitable procedures and systems. The ICAAP framework is rooted in the implementation of the Capital Adequacy Framework which implements BASEL framework as well as in the implementation of "ICAAP Guidelines (2012)" prescribed by NRB.

The ICAAP is therefore, based on the three pillars of Basel, in particular, the second pillar - Supervisory Review Process (SRP). The three-pillar model of Basel II ensures that banks not only have adequate capital to support all the risks in their business, but also to encourage banks to develop and use better risk management techniques in monitoring and managing their risks. Therefore, ICAAP enables banks to ensure this through stringent Board and Senior Management Oversight, Sound Capital Assessment, Comprehensive Assessment of risks, Monitoring & Reporting and internal Control Review. It further provides guidelines for the calculation of capital requirements and defining extended disclosure requirements.

Thus, in accordance with the model, the bank is constantly faced with the challenge of developing the most efficient internal procedures and systems in order to ensure that the bank possesses adequate capital resources in the long run with due attention to all material risks involved.

The bank's management has introduced Internal Capital Adequacy Assessment Process (hereinafter referred to as ICAAP). The ICAAP comprises the Bank's procedures and measures designed to ensure the following:

a. An appropriate identification and measurement of risks to which the Bank is or might be exposed to.
b. An appropriate level of internal capital in relation to Bank's risk profile; and
c. Application and further development of suitable risk management systems for the Bank.

1. CAPITAL STRUCTURE AND CAPITAL ADEQUACY

Tier 1 Capital and breakdown of its componenets

Amount in NPR

Particulars	Current Year	Previous Year
Tier 1 Capital [Core Capital (CET 1 + AT 1)]		
Common Equity Tier 1 (CET 1)		
Paid Up Capital	38,115,852,616	36,128,770,252
Share Premium	-	-
Proposed Bonus Equity Shares	-	-
Statutory General Reserve	13,574,906,923	12,555,713,236
Retained Earning	4,054,879,099	506,718,018
Capital Redemption Reserve	1,144,444,444	516,666,666
Capital Adjustment Reserve	-	1,500,000,000
Dividend Equalization Reserve	-	-
Other Free Reserve	-	-
Less: Intangible Assets	(193,201,349)	(216,240,288)
Less: Deferred Tax Asset	-	-
Less: Investment in equity of institutions with financial interests	(2,153,952,940)	(2,094,220,207)
Less: Investment in equity of institutions in excess of limits	(12,533,371)	(33,029,369)
Less: Purchase of land & building in excess of limit and unutilized	(145,803,181)	(31,356,000)
Adjustment under Pillar II	**54,384,592,241**	**48,833,022,307**
Less: Loans & Facilities extended to related parties and restricted lending	-	-
Common Equity Tier 1 (CET 1)	**54,384,592,241**	**48,833,022,307**
Additional Tier I Capital (AT1)		
Perpetual Non-Cumulative Preference Share Capital	-	-
Perpetual Debt Instruments	-	-
Total Additional Tier I Capital (AT1)	**-**	**-**
Tier 1 Capital [Core Capital (CET 1 + AT 1)]	**54,384,592,241**	**48,833,022,307**

Tier 2 Capital and breakdown of its componenets

Amount in NPR

Supplementary Capital (Tier 2)	Current Year	Previous Year
Cumulative and/or Redeemable Preference Share	-	-
Subordinated Term Debt	3,880,000,000	4,100,000,000
Hybrid Capital Instruments	-	-
Stock Premium	-	-
General Loan Loss Provision	5,943,337,449	5,329,643,217
Exchange Equalization Reserve	335,018,237	332,211,979
Investment Adjustment Reserve	10,132,619	10,132,619
Assets Revaluation Reserve	-	-
Other Reserves	1,976,104,409	-
Total Tier 2 Capital	**12,144,592,713**	**9,771,987,816**
Total Capital [Tier 1 Capital + Tier 2 Capital]	**66,529,184,955**	**58,605,010,123**

Information about the Subordinated Term Debts. Amount in NPR

Particulars	8.5% Debenture	10.5% Debenture
Issue Size	3,000,000,000	1,100,000,000
Issue Date	5th April 2021	30-Aug-22
Maturity Date	4th April 2031	29-Aug-29
Interest Rate per annum	8.50%	10.50%
Term from date of Issue	10 Years	7 Years
Debenture Redemption Reserve up to Ashad 2082	**777,777,778**	**366,666,666**
Amount Considered for Capital fund	**3,000,000,000**	**880,000,000**

Particulars	11.25% Debenture	8.5% Debenture
Issue Size	5,000,000,000	1,600,000,000
Issue Date	24-Feb-23	23-Dec-20
Maturity Date	23-Feb-28	22-Dec-30
Interest Rate per annum	11.25%	8.50%
Term from date of Issue	5 Years	10 Years
Debenture Redemption Reserve up to Ashad 2082	**-**	**-**
Amount Considered for Capital fund	-	-

Capital adequacy Ratios

Particulars	Current Year	Previous Year
Common Equity Tier 1 Capital to Total Risk Weighted Exposures	10.34%	10.32%
Tier 1 Capital to Total Risk Weighted Exposures	10.34%	10.32%
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures	12.65%	12.39%

2. RISK EXPOSURES

Risk Weighted Exposures for Credit Risk, Market Risk and Operational Risk

Amount in NPR

Particulars	Current Year	Previous Year
Risk Weighted Exposure for Credit Risk	475,466,995,910	426,371,457,394
Risk Weighted Exposure for Operational Risk	28,483,404,483	26,282,376,558
Risk Weighted Exposure for Market Risk	968,762,409	465,399,360
Total Risk Weighted Exposures	**504,919,162,802**	**453,119,233,311**
Add: 3% of the total RWE as per NRB directives (6.4 a 9) (2% in previous year)	15,147,574,884.06	13,593,576,999
Add: Desired level of disclosure requirement has not been achieved. Add 3% of RWE (6.4 a 10)	-	-
Add: additional capital charge of 3% of Gross Income as per NRB directives (6.4 a 7)	5,792,966,100	6,377,725,800
Total Risk Weighted Exposures (After Bank's Adjustments of Pillar II)	**525,859,703,786**	**473,090,536,111**

Risk Weighted Exposures under each of 11 categories of Credit Risk

Amount in NPR

Particulars	Current Year	Previous Year
a) Claims on government & central bank	-	-
b) Claims on other official entities	363,118,165	979,136,066
c) Claims on banks	12,305,604,388	9,151,393,393
d) Claims on corporate & securities firms	221,264,026,426	207,181,778,369
e) Claims on regulatory retail portfolio	62,523,711,001	52,727,219,233
f) Claims secured by residential properties	27,059,715,504	21,929,546,421
g) Claims secured by commercial real state	-	-
h) Past due claims	19,189,202,157	17,479,030,067
i) High risk claims	15,850,456,917	17,945,509,707
j) Other assets	62,344,365,478	56,099,793,288
k) Off balance sheet items	54,566,795,873	42,878,050,851
Total Risk Weightage Assets	**475,466,995,910**	**426,371,457,395**

Details of Non-Performing loan (NPL)

Amount in NPR

Particulars	Current Year	Previous Year
Restructured and rescheduled loan	242,184,362	1,614,955,630
Substandard loan	3,021,805,996	3,136,336,289
Doubtful loans	5,545,632,886	2,372,131,329
Bad loan	12,600,675,769	9,185,294,676
Gross NPL	**21,410,299,012**	**16,308,717,924**
Provision For Loss	16,042,750,560	11,082,353,189
Net NPL	**5,367,548,452**	**5,226,364,735**
Gross NPL/ Total Loan	**4.86%**	**4.17%**

RISK WEIGHTED EXPOSURE FOR CREDIT RISK

NPR In Mio

A. Balance Sheet Exposures	Book Value	Specific Provision	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures	Previous Year
	a	b	c	d=a-b-c	e	f=d*e	
Cash Balance	6,587	-	-	6,587	0%	-	-
Balance With Nepal Rastra Bank	22,144	-	-	22,144	0%	-	-
Gold	-	-	-	-	0%	-	-
Investment in Nepalese Government Securities	62,009	-	-	62,009	0%	-	-
All Claims on Government of Nepal	325	-	-	325	0%	-	-
Investment in Nepal Rastra Bank securities	92,994	-	-	92,994	0%	-	-
All claims on Nepal Rastra Bank	-	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA 0-1)	-	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA -2)	-	-	-	-	20%	-	-
Claims on Foreign Government and Central Bank (ECA -3)	-	-	-	-	50%	-	-
Claims on Foreign Government and Central Bank (ECA-4-6)	-	-	-	-	100%	-	-
Claims on Foreign Government and Central Bank (ECA -7)	-	-	-	-	150%	-	-
Claims On BIS, IMF, ECB, EC and MDB's recognized by the framework	-	-	-	-	0%	-	-
Claims on Other Multilateral Development Banks	-	-	-	-	100%	-	-
Claims on Domestic Public Sector Entities	363	-	-	363	100%	363	979
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	20%	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	-	50%	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	100%	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	-	150%	-	-
Claims on domestic banks that meet capital adequacy requirements	18,529	-	-	18,529	20%	3,706	3,932
Claims on domestic banks that do not meet capital adequacy requirements	33	33	-	(0)	100%	(0)	(0)
Claims on foreign bank (ECA Rating 0-1)	8,483	-	-	8,483	20%	1,697	1,434
Claims on foreign bank (ECA Rating 2)	3,789	-	-	3,789	50%	1,895	1,790
Claims on foreign bank (ECA Rating 3-6)	1,411	-	-	1,411	100%	1,411	33
Claims on foreign bank (ECA Rating 7)	-	-	-	-	150%	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	17,986	-	-	17,986	20%	3,597	1,962
Claims on Domestic Corporates (Credit rating score equivalent to AAA)	-	-	-	-	50%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)	-	-	-	-	70%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	-	-	-	-	80%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	-	-	-	-	100%	-	-
Claims on Domestic Corporates (Unrated)	221,316	-	52	221,264	100%	221,264	207,182
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	20%	-	-

NPR In Mio

A. Balance Sheet Exposures	Book Value	Specific Provision	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures	Previous Year
	a	b	c	d=a-b-c	e	f=d*e	
Claims on Foreign Corporates (ECA 2)	-	-	-	-	50%	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	100%	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	150%	-	-
Regulatory Retail Portfolio (Not Overdue)	85,027	-	1,662	83,365	75%	62,524	52,727
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	100%	-	-
Claims secured by residential properties	43,698	-	-	43,698	60%	26,219	21,115
Claims not fully secured by residential properties	-	-	-	-	150%	-	-
Claims secured by residential properties (Overdue)	1,471	630	-	841	100%	841	814
Claims secured by Commercial real estate	-	-	-	-	100%	-	-
Past due claims (except for claims secured by residential properties)	28,054	15,262	-	12,793	150%	19,189	18,379
High Risk claims	10,893	147	179	10,567	150%	15,850	16,911
Real Estate loans for land acquisition and development (Other than mentioned in Capital Adequacy framework 2015-point 3.3(j)(1)(k))	10,099	-	-	10,099	125%	12,623	10,832
Lending against securities (bonds)	-	-	-	-	100%	-	-
Lending against Shares(upto Rs.5 Million)	12,208	-	-	12,208	100%	12,208	8,907
Trust Receipt Loans for Trading Firms	2,731	-	-	2,731	120%	3,278	1,817
Real Estate loans for land acquisition and development (For institutions/ projects registred/licensed and approved by Government of Nepal for land acquisition and development purposes)	2,238	-	-	2,238	100%	2,238	2,456
Personal Hirepurchase/Personal Auto Loans	6,318	-	-	6,318	100%	6,318	5,190
Investments in equity and other capital instruments of institutions listed in stock exchange	2,635	-	-	2,635	100%	2,635	2,342
Investments in equity and other capital instruments of institutions not listed in the stock exchange	256	-	-	256	150%	384	135
Staff loan secured by residential property	4,920	-	-	4,920	50%	2,460	2,231
Interest Receivable/claim on government securities	1,247	-	-	1,247	0%	-	-
Cash in transit and other cash items in the process of collection	-	-	-	-	20%	-	-
Other Assets	29,355	9,155	-	20,199	100%	20,199	22,325
TOTAL (A)	**697,121**	**25,227**	**1,893**	**670,000**		**420,900**	**383,493**
B. Off Balance Sheet Exposures							
Revocable Commitments	-	-	-	-	0%	-	-
Bills Under Collection	-	-	-	-	0%	-	-
Forward Exchange Contract Liabilities	21,432	-	-	21,432	10%	2,143	1,107
LC Commitments With Original Maturity Upto 6 months domestic counterparty	12,031	-	733	11,298	20%	2,260	1,865
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-

NPR In Mio

A. Balance Sheet Exposures	Book Value	Specific Provision	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures	Previous Year
	a	b	c	d=a-b-c	e	f=d*e	
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	3,319	-	152	3,166	50%	1,583	702
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	38,300	-	1,175	37,125	40%	14,850	14,048
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Underwriting commitments	-	-	-	-	50%	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	100%	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	100%	-	-
Advance Payment Guarantee	8,237	-	100	8,138	100%	8,138	6,839
Financial Guarantee	5,944	-	239	5,705	100%	5,705	-
Acceptances and Endorsements	11,028	-	-	11,028	100%	11,028	11,498
Unpaid portion of Partly paid shares and Securities	-	-	-	-	100%	-	-
Irrevocable Credit commitments (short term)	21,696	-	213	21,483	20%	4,297	3,673
Irrevocable Credit commitments (long term)	7,024	-	-	7,024	50%	3,512	2,332
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	20%	-	-
Other Contingent Liabilities	1,092	-	343	749	100%	749	416
Unpaid Guarantee Claims	157	-	5	152	200%	303	397
TOTAL (B)	**130,258**	**-**	**2,960**	**127,298**		**54,567**	**42,878**
Total RWE for credit Risk Before Adjustment (A) +(B)	**827,379**	**25,227**	**4,854**	**797,298**		**475,467**	**426,371**
Adjustments under Pillar II							
Add 10% of the loans & facilities in excess of Single Obligor Limits to RWE						-	
Add 1% of the contract (sale) value in case of the sale of credit with recourse to RWE						-	
Total RWE for Credit Risk after Bank's adjustments under Pillar II	**827,379**	**25,227**	**4,854**	**797,298**		**475,467**	**426,371**

Eligible Credit Risk Mitigants

NPR In Mio

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/ G'tee of Foreign Banks	Current Year Total	Previous Year Total
	(a)	(b)	(c)	(d)	(e)	(f)	(g)	(h)	(i)		
Balance Sheet Exposures											
Claims on Foreign government and Central Bank (ECA -2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -3)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA-4-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -7)	-	-	-	-	-	-	-	-	-	-	-
Claims on Other Multilateral Development Banks	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Public Sector Entities	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on domestic banks that meet capital adequacy requirements	-	-	-	-	-	-	-	-	-	-	18
Claims on domestic banks that do not meet capital adequacy requirements	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AAA)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Unrated)	52	-	-	-	-	-	-	-	-	52	26
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Regulatory Retail Portfolio (Not Overdue)	1,662	-	-	-	-	-	-	-	-	1,662	2,275
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims not fully secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties (Overdue)	-	-	-	-	-	-	-	-	-	-	-
Claims secured by Commercial Real Estate	-	-	-	-	-	-	-	-	-	-	-
Past due claims (except for claims secured by residential properties)	-	-	-	-	-	-	-	-	-	-	-
High Risk claims	179	-	-	-	-	-	-	-	-	179	53
Lending against securities (bonds)	-	-	-	-	-	-	-	-	-	-	-

Eligible Credit Risk Mitigants

NPR In Mio

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/ G'tee of Foreign Banks	Current Year Total	Previous Year Total
	(a)	(b)	(c)	(d)	(e)	(f)	(g)	(h)	(i)		
Trust Receipt Loans for Trading Firms	-	-	-	-	-	-	-	-	-	-	-
Investments in equity and other capital instruments of institutions listed in stock exchange	-	-	-	-	-	-	-	-	-	-	-
Investments in equity and other capital instruments of institutions not listed in the stock exchange	-	-	-	-	-	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-	-	-	-	-	-
Total	**1,893**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,893**	**2,372**
Off Balance Sheet Exposures											
Forward Exchange Contract Liabilities	-	-	-	-	-	-	-	-	-	-	-
LC Commitments With Original Maturity Upto 6 months domestic counterparty	733	-	-	-	-	-	-	-	-	733	728
Foreign counterparty (ECA Rating 0 -1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	152	-	-	-	-	-	-	-	-	152	145
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3 -6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	1,175	-	-	-	-	-	-	-	-	1,175	1,158
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Underwriting commitments	-	-	-	-	-	-	-	-	-	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	-	-	-	-	-	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	-	-	-	-	-	-	-
Advance Payment Guarantee	100	-	-	-	-	-	-	-	-	100	70
Financial Guarantee	239	-	-	-	-	-	-	-	-	239	-
Acceptances and Endorsements	-	-	-	-	-	-	-	-	-	-	-
Unpaid portion of Partly paid shares and Securities	-	-	-	-	-	-	-	-	-	-	-
Irrevocable Credit commitments (short term)	213	-	-	-	-	-	-	-	-	213	484
Irrevocable Credit commitments (long term)	-	-	-	-	-	-	-	-	-	-	-
Other Contingent Liabilities	343	-	-	-	-	-	-	-	-	343	75
Unpaid Guarantee Claims	5	-	-	-	-	-	-	-	-	5	8
Total	**2,960**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,960**	**2,668**
Grand Total	**4,854**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**4,854**	**5,041**

Risk Weighted Exposure for Operational Risk

NPR In Mio

Particulars	Fiscal Year			Previous Year
	2021/022	2022/023	2023/024	
Net Interest Income	14,091	19,707	16,856	
Commission and Discount Income	2,857	3,038	3,447	
Other Operating Income	200	96	354	
Exchange Fluctuation Income	891	546	585	
Gross income (a)	**18,039**	**23,387**	**21,243**	
Fixed Percentage Alfa (b)	**15%**	**15%**	**15%**	
Fixed Percentage of Gross Income [c=(a×b)]	**2,706**	**3,508**	**3,186**	
Capital Requirement (d) (average of c)	**3,133**			**2,891**
Risk Weight (reciprocal of capital requirement of 11%) in times (e)	**9.09**			**9.09**
Equivalent Risk Weight Exposure [f=(d×e)]	**28,483**			**26,282**

Risk Weighted Exposure for Operational Risk

NPR In Mio

Currency	Open Position (FCY)	Exchange Rate	Open Position (NPR)	Relevant Open Position	Previous Year Relevant Open Position
INR	1,103.39	1.60	1,766	1,766	833
USD	1.85	137.60	255	255	102
GBP	(0.02)	184.14	(4)	4	10
EUR	0.06	159.52	10	10	11
THB	1.20	4.20	5	5	0
CHF	0.08	170.61	13	13	6
AUD	0.01	89.90	1	1	4
CAD	0.01	100.70	1	1	0
SGD	0.02	107.16	2	2	0
JPY	7.62	0.93	7	7	1
HKD	0.09	17.48	2	2	1
DKK	0.00	21.32	0	0	0
SEK	0.00	14.09	0	0	0
SAR	0.13	36.20	5	5	8
QAR	0.17	37.21	6	6	5
AED	0.05	37.46	2	2	17
MYR	0.04	32.19	1	1	1
KRW	107.89	0.10	11	11	1
CNY	2.00	19.23	38	38	23
KWD	0.01	448.20	2	2	2
BHD	0.00	363.20	0	0	0
Total Open Position (a)				**2,131**	**1,024**
Fixed Percentage (b)				**5%**	**5%**
Capital Charge for Market Risk (c=a×b)				**107**	**51**
Risk Weight (reciprocal of capital requirement of 11%) in times (d)				**9.09**	**9.09**
Equivalent Risk Weight Exposure (=c×d)				**969**	**465**

5.3 CLASSIFICATION OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments are measured on an ongoing basis either at fair value or at amortized cost. The following table analyses the carrying amounts of financial instruments by category as defined in Nepal Financial Reporting Standard NFRS 9 (Financial Instruments) under headings of Statement of Financial Position.

Amount in NPR

		As on 32nd Ashad 2082			
	Note	At Amortized Cost	At FVTPL	At FVTOCI	Total
Financial Assets					
Cash and Cash Equivalents	4.1	52,688,974,287			52,688,974,287
Due from Nepal Rastra Bank	4.2	22,144,468,521			22,144,468,521
Placement with Bank and Financial Institutions	4.3	-			-
Derivative financial instruments	4.4		11,071,926,976		11,071,926,976
Other trading assets	4.5		-		-
Loan and advances to B/FIs	4.6	15,787,163,343			15,787,163,343
Loans and Advances to Customers	4.7	410,113,933,500			410,113,933,500
Investment Securities	4.8	144,458,709,149		4,347,126,072	148,805,835,221
Investment in subsidiaries	4.9	728,395,250			728,395,250
Investment in associates	4.10	1,395,771,273			1,395,771,273
Investment property	4.12	6,056,160,771			6,056,160,771
Other Assets	4.16	3,942,938,403			3,942,938,403
Total Financial Assets		**657,316,514,497**	**11,071,926,976**	**4,347,126,072**	**672,735,567,545**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	24,423,550,333			24,423,550,333
Due to Nepal Rastra Bank	4.18	331,843,649			331,843,649
Derivative financial instruments	4.19	-	11,072,389,917		11,072,389,917
Due to Customers	4.20	550,628,587,849			550,628,587,849
Borrowings	4.21	12,416,419,704			12,416,419,704
Other Liabilities	4.23	5,050,129,224			5,050,129,224
Debt Securities Issued	4.24	10,687,316,510			10,687,316,510
Total Financial Liabilities		**603,537,847,269**	**11,072,389,917**	**-**	**614,610,237,186**

Amount in NPR

		As on 31st Ashad 2081			
	Note	At Amortized Cost	At FVTPL	At FVTOCI	Total
Financial Assets					
Cash and Cash Equivalents	4.1	49,795,637,083			49,795,637,083
Due from Nepal Rastra Bank	4.2	21,314,921,137			21,314,921,137
Placement with Bank and Financial Institutions	4.3	-			-
Derivative financial instruments	4.4	-	4,525,346,887		4,525,346,887
Other trading assets	4.5	-			-
Loan and advances to B/FIs	4.6	13,763,656,546			13,763,656,546
Loans and Advances to Customers	4.7	369,424,519,435			369,424,519,435
Investment Securities	4.8	117,608,383,187		3,692,515,894	121,300,899,081
Investment in subsidiaries	4.9	728,395,250			728,395,250
Investment in associates	4.10	1,372,623,033			1,372,623,033
Investment property	4.12	4,847,527,889			4,847,527,889
Other Assets	4.16	2,708,942,422			2,708,942,422
Total Financial Assets		**581,564,605,982**	**4,525,346,887**	**3,692,515,894**	**589,782,468,763**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	17,433,530,258			17,433,530,258
Due to Nepal Rastra Bank	4.18	373,324,105			373,324,105
Derivative financial instruments	4.19		4,516,341,578		4,516,341,578
Due to Customers	4.20	487,455,854,812			487,455,854,812
Borrowings	4.21	12,100,951,389			12,100,951,389
Other Liabilities	4.23	3,904,987,709			3,904,987,709
Debt Securities Issued	4.24	10,684,657,109			10,684,657,109
Total Financial Liabilities		**531,953,305,382**	**4,516,341,578**	**-**	**536,469,646,960**

5.4 OPERATING SEGMENT INFORMATION

1. General Information

Chief operating decision maker uses the branch wise information to make the decision. These information are generated on a daily basis. The bank has established the province offices in all provinces which monitor their respective branches.

2. Information about profit or loss, assets and liabilities

Particulars	Koshi Province	Madhesh Province	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudur Paschim Province	Head/ Corporate Office	Total
Revenue from external customers	3,771,017,046	3,244,941,839	13,506,606,487	2,341,952,311	4,749,102,856	490,841,094	1,543,835,873	19,846,169,431	49,494,466,937
Intersegment revenues	248,590,628	151,378,553	6,581,238,427	727,359,317	1,260,265,147	114,430,068	253,919,065	4,333,591,393	13,670,772,596
Gross Revenues	**4,019,607,674**	**3,396,320,391**	**20,087,844,914**	**3,069,311,628**	**6,009,368,003**	**605,271,163**	**1,797,754,937**	**24,179,760,824**	**63,165,239,533**
Interest Revenue	3,705,393,614	3,186,154,523	18,594,750,706	2,859,005,079	5,575,890,760	547,068,409	1,639,944,426	21,492,715,421	57,600,922,938
Interest Expenses	2,062,051,957	1,775,825,035	11,837,151,688	1,742,012,037	3,418,755,890	278,919,261	886,398,493	18,919,869,522	40,920,983,881
Net Interest Revenue	**1,643,341,657**	**1,410,329,488**	**6,757,599,019**	**1,116,993,042**	**2,157,134,871**	**268,149,148**	**753,545,933**	**2,572,845,899**	**16,679,939,057**
Depreciation and amortisation	28,332,128	24,631,796	97,568,806	29,711,046	47,065,647	10,130,627	19,025,493	597,565,140	854,030,682
Segment profit/(loss)	**909,844,893**	**516,728,107**	**4,573,393,684**	**411,451,291**	**1,098,647,941**	**68,248,724**	**507,470,223**	**(839,148,806)**	**7,246,636,057**
Bank's interest in the profit or loss of associates accounted for using equity method	-	-	-	-	-				-
Other material non-cash items									-
Impairment of assets	**2,271,241,048**	**2,118,235,678**	**6,229,843,731**	**1,066,599,089**	**4,812,364,920**	**445,278,783**	**1,105,712,684**	**5,651,652,502**	**23,700,928,436**
Segment assets	24,204,668,263	31,330,510,659	133,740,868,593	108,849,408,213	33,811,161,140	6,505,443,123	31,899,820,906	62,295,882,768	432,637,763,665
Segment liabilities	**27,481,582,981**	**35,186,916,240**	**342,076,667,334**	**47,314,627,413**	**68,770,898,818**	**14,846,870,342**	**33,864,252,707**	**5,510,322,348**	**575,052,138,182**

3. General Information

Any transactions that occurred between the reportable segments are recorded using interbranch transaction account. This account is used mainly for accounting the inter branch revenue. These reveneus are cancelled out at the reporting date. There is no difference between the measurement of reportable segment's assets and entity's assets.

4. Reconciliation or reportable segment revenues, profit or loss, assets and liabilities

a.

Revenue	Amount in NPR
Total Revenues for reportable segments	**63,165,239,533**
Elimination of intersegment revenues	(13,670,772,596)
Bank's revenues	**49,494,466,937**

b.

Profit or loss	Amount in NPR
Total profit/loss for reportable segments	**7,246,636,057**
Elimination of intersegment revenues	-
Profit before Income Tax	**7,246,636,057**

c.

Assets	Amount in NPR
Total assets for reportable segments	**432,637,763,665**
Other assets	7,716,222,322
Unallocated amounts- Staff Loans & Int Receivable	8,979,910,531
Unallocated amounts- Cash and Balance with NRB	68,246,940,801
Unallocated amounts- Investment Securities	150,930,001,744
Unallocated amounts- Current Tax Assets	2,441,471,189
Unallocated amounts- Investment Property	6,056,160,771
Unallocated amounts- Derivative financial Instruments	11,071,926,976
Unallocated amounts- Deferred Tax Assets	-
Bank's Assets	**688,080,397,999**

d.

Liabilities	Amount in NPR
Total liabilities for reportable segments	**575,052,138,182**
Other liabilities	9,139,078,797
Unallocated amounts-Due to Nepal Rastra bank	331,843,649
Unallocated amounts- Current tax liabilities & Deferred Tax Liabilities	2,753,803,755
Unallocated amounts- Derivative financial Instruments	11,072,389,917
Unallocated amounts-Debt Securities and Borrowing	23,103,736,214
Bank's Liabilities	**621,452,990,514**

5. Information about products and services

Information about products and services	Amount in NPR
Loans and advances	38,047,923,577
Investment securities	6,932,942,565
Remittance	254,627,351
Card services	1,413,818,493
Others	2,845,154,951
Total Bank's Revenue	**49,494,466,937**

6. Revenue from Geographical areas

Revenue from Geographical areas	Amount in NPR
Domestic	
Koshi Province	3,771,017,046
Madhesh Province	3,244,941,839
Bagmati Province	13,506,606,487
Gandaki Province	2,341,952,311
Lumbini Province	4,749,102,856
Karnali Province	490,841,094
Sudur Paschim Province	1,543,835,873
Head/Corporate Office	19,846,169,431
Foreign	-
Total	**49,494,466,937**

5.5 SHARE OPTIONS AND SHARE BASED PAYMENT

The bank does not issue shares and options to its employees that would be accounted as per NFRS 2 " Share based payments".

5.6 CONTINGENT LIABILITIES AND COMMITMENT

Details of contingent liabilities and commitments have been explained in Note 4.28.

5.7 RELATED PARTY DISCLOSURES

The bank carries out transactions in the ordinary course of business with the parties who are defined as related parties in the Nepal Accounting Standard – NAS 24 (Related Party Disclosures), the details of which are reported below:

Name	Type	Relationship with Bank	Date of Joining/ (Resignation)
Mr. Chandra Prasad Dhakal	Key Management Personnel	Chairman	
Mr. Radhesh Pant		Director	
Mr. Ram Bahadur Bhandari		Director	
Mr. Krishna Prasad Sharma		Director	
Mr. Madan Lal Joshi		Director	
Mr. Narayan Prasad Paudel		Director	
Mrs. Bhagirathi Bhattarai Gnyawali		Director	vacated w.e.f. 12th March 2025
Mr. Ratna Raj Bajracharya		CEO	vacated w.e.f. 16th Aug, 2024
Mr. Surendra Raj Regmi		CEO	w.e.f. 17th Aug, 2024
Global IME Laghubitta Bittiya Sanstha Ltd.	Entities where control exists	Subsidiary	
Global IME Capital Ltd.		Subsidiary	
Global IME Securities Ltd.		Subsidiary	
Mero Microfinance Bittiya Sanstha Ltd.	Entities where significant influence exists	Associate	
First Microfinance Laghubitta Bittiya Sanstha Ltd.		Associate	
Chhimek Laghubitta Bittiya Sanstha Ltd.		Associate	
RSDC Laghubitta Bittiya Sanstha Ltd.		Associate	
National Banking Training Institute Ltd.		Associate	
Smart Choice Technologies Ltd.		Associate	
Nepal Infrastructure Bank Ltd.		Associate	
Banking Insurance and Financial Institution Ltd.		Associate	
IME Ltd.	Entities Controlled by the KMPs and their Close Family Members		
IME Travels Pvt. Ltd.			
Global IME Retirement Fund		Approved Retirement Fund	

Parent and ultimate controlling party

The bank does not have an identifiable parent of its own.

Key Management Personnel

As per Nepal Accounting Standard – NAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of Bank.

A person is not considered as a KMP unless such person has both the authority and responsibility to carry out all three activities metioned in the above definition (i.e. planning, directing and controlling the activities of Bank). In considering each possible related party relationship, attention is directed to the substance of the relationship, not merely the legal form.

Accordingly the board of directors and chief executive officer are considered as Key Management Personnel of the bank.

Amount in NPR

	Current Year	Previous Year
Employment benefits		
-salaries and allowances	22,909,477	21,406,248
-provident fund	759,600	759,600
Director's fees and expenses	11,231,766	9,557,042
	34,900,843	**31,722,890**

In addition to above, the bank has paid non cash-benefits such as Vehicle facility, telephone, other post employment benefits to Chief Executive Officer of the bank in line with the contract/approved benefit plans of the bank.

Close Family Members (CFM) of Key Management Personnel

CFMs of the KMP are those family members who may be expected to influence or be influenced by that KMP in their dealings with the entity. They may include KMP's spouse, children and dependents of the KMP and their spouse. Any transactions carried out with the CFM are conducted in arm's lenghth price. For the reported period there have been no payments or transactions with CFM of KMP except in the normal course of banking business like loans,deposits and interest on the same.

Entities Controlled by the Key Management Personnel and their Close Family Members

The Bank has conducted transaction with entities associated with IME Group where, Mr. Chandra Prasad Dhakal Chairperson of the Bank is Co-Founder and Chairman of the IME Group. Transaction with the entities which are controlled by KMPs and CFM of KMPs are conducted in arm's length price and the details are provided below with nature of services.

Entity	Nature of Service	Transaction Amount (NPR)	Outstanding Balance
IME Travels Pvt Ltd.	Air Ticket Purchase	13,772,719	-

IME Ltd.	**Bought Amount**	**Sold Amount**	
USD Purchase against NPR	2,692,304,469	364,898,118,700	-
JPY Purchase against NPR	5,074,240,000	4,682,707,134	-
EUR Purchase against NPR	30,802,000	4,641,501,540	-
GBP Purchase against NPR	2,370,000	427,347,790	-
AED Purchase against NPR	1,650,000	449,212	-
AUD Purchase against NPR	50,528,700	4,458,391,904	-

SUBSIDIARIES AND ASSOCIATES

The bank has subsidiaries with an equity interest of 81.50%, 57.48% and 100% in Global IME Capital Ltd., Global IME Laghubitta Bittiya Sanstha Ltd., and Global IME Securities Ltd. respectively. The subsidiaries' nature of business are mentioned in Note 1.1. The equity interest of the Bank in its associate entities are mentioned in Note 4.11.3.

Transactions with Related Parties

Amount in NPR

	Current Year	Previous Year
Key Management Personnel		
-loans and receivables	-	
-deposits	139,721,367	155,932,204
For the year ended		
-interest paid on deposit	14,223,190	14,281,641
-interest received on loans	-	
Global IME Capital Limited		
-loans and receivables		
-deposits	384,464,591	306,676,600
For the year ended		
-interest paid on deposit	9,010,762	10,539,730
-dividend received	-	
-other commission paid by Subsidiary	3,779,642	2,568,082
-other commission received by Bank	7,447,190.25	7,120,424
Global IME Laghubitta Bittiya Sanstha Limited		
-loans and receivables	3,507,969,299	3,178,431,578
-deposits	39,613,901	45,562,832
For the year ended		
-interest received on loans	233,394,715	263,778,990
-interest paid on deposit	-	-
-dividend received	-	33,795,651
Global IME Securities Limited		
-deposits	108,654,210	131,844,308
-additional investment	-	
For the year ended		
-interest paid on deposit	315,147	-
Mero Microfinance Bittiya Sanstha Limited		
-loans and receivables	1,251,240,167	1,082,737,303
-deposits	15,734,032	9,605,349
For the year ended		
-interest received on loans	90,218,766	103,974,182
-interest paid on deposit	37,253	69,213
-dividend received	-	15,120,000
First Microfinance Laghubitta Bittiya Sanstha Limited		
-loans and receivables	983,731,059	1,167,435,546
-deposits	171,889,075	438,389,854
For the year ended		
-interest received on loans	81,184,447	125,332,510
-interest paid on deposit	474,949	1,014,698
-dividend received	-	-
Smart Choice Technologies Ltd.		
-deposits	6,386,655	11,591,791
For the year ended		
-interest paid on deposit	198,493	1,363,792
service fees paid	41,875,299	14,991,373
Banking Finance And Insurance Institution Ltd.		
For the year ended		
-Training Expenses Paid	2,100,855	4,754,145
-dividend received	462,000	460,845

Amount in NPR

	Current Year	Previous Year
National Banking Training Institute Ltd.		
For the year ended		
-Training Expenses Paid	3,895,099	5,402,319
-dividend received	961,766	-
RSDC Laghubitta Bittiya Sanstha Ltd.		
-loans and receivables	998,482,001	388,736,202
-deposits	7,458,848	2,655,830
For the year ended		
-interest received on loans	30,073,662	50,120,842
-interest paid on deposit	-	-
Chhimek Laghubitta Bittiya Sanstha Ltd.		
-loans and receivables	388,890,706	504,640,471
-deposits	775,833,457	-
For the year ended		
-interest received on loans	33,894,047	63,173,240
-interest paid on deposit	5,553,747	-
Nepal Infrastructure Bank Ltd.		
For the year ended		
-dividend received	-	47,303,704
Global IME Retirement Fund		
-loans and receivables	-	-
-deposits	8,056,233,400	6,331,227,736

5.8 MERGER AND ACQUISITION

During the previous financial year two subsidiaries of the Bank namely Global IME Capital Ltd. with equity interests of 75% and Bank of Kathmandu Ltd. with equity interest of 100% were merged with each other to form a single entity. The equity interest of the Bank after the merger is 81.50%.

5.9 ADDITIONAL DISLOSURE OF NON CONSOLIDATED ENTITIES

All the subsidiaries of the bank are consolidated and presented as a single entity and referred to as Group.

5.10 EVENTS AFTER REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorized for issue. No circumstances have arised except below disclosed disclosure and proposed dividend as disclosed in Note 4.43 since the reporting date which would require adjustments to, or disclosure in the financial statements.

There are only adjustments related to the subsequent recovery of principal and interest up to 15 Shrawan 2082 for 551 borrowers, resulting in a write back of the loan loss provision amounting to NPR 868 million. This has increased profit by NPR 547 million and Distributable profit by NPR 432 million after effect of Corporate Social Responsibility Reserve and General Reserve. Before the signing of Financial Statements on 8th and 9th September 2025, there was a large-scale anti-corruption protests and demonstrations across Nepal, predominantly organized by the younger generation. The protests escalated, with violence against public officials and vandalism of government, political and even some private properties throughout the country. During this event the bank's estimated property worth NPR 79 Million was destroyed. The Bank has lodged a formal loss claim to the insurance company and no any adjustment has been done on the financial statements. There are no other material events that have occurred after 32 Ashad 2082 till the signing of this financial statement.

5.11 COMPARISON OF UNAUDITED AND AUDITED FINANCIAL STATEMENT OF FY 2081-82

NPR In Thousand

	Unaudited Financial Statement	Audited Financial Statements		Variance	Reason for Variance
	NPR	NPR	NPR	%	
Assets					
Cash and Cash Equivalents	52,688,974	52,688,974	0	0.00%	
Due from Nepal Rastra Bank	22,144,469	22,144,469	(0)	0.00%	
Placement with Bank and Financial Institutions	-	-	-	0.00%	
Derivative financial instruments	11,071,927	11,071,927	0	0.00%	
Other trading assets	-	-	-	0.00%	
Loan and advances to B/FIs	15,795,204	15,787,163	(8,041)	-0.05%	
Loans and advances to customers	411,791,797	410,113,934	(1,677,864)	-0.41%	Note 1
Investment securities	148,734,000	148,805,835	71,836	0.05%	Note 2
Current Tax Assets	2,441,471	2,441,471	0	0.00%	
Investment in subsidiaries	728,395	728,395	-	0.00%	
Investment in associates	1,395,771	1,395,771	0	0.00%	
Investment property	6,057,965	6,056,161	(1,805)	-0.03%	
Property and equipment	8,324,891	8,264,147	(60,743)	-0.74%	Note 3
Goodwill and intangible assets	866,538	865,928	(610)	-0.07%	
Deferred Tax Assets	-	-	-	0.00%	
Other Assets	7,705,460	7,716,222	10,762	0.14%	
Total Assets	**689,746,863**	**688,080,398**	**(1,666,465)**	**-0.24%**	
Liabilities					
Due to Banks and Financial Institutions	24,423,550	24,423,550	(0)	0.00%	
Due to Nepal Rastra Bank	331,844	331,844	0	0.00%	
Derivative financial instruments	11,043,537	11,072,390	28,853	0.26%	
Deposit from customers	550,628,438	550,628,588	150	0.00%	
Borrowings	12,393,476	12,416,420	22,944	0.18%	
Current tax liabilities	2,620,565	2,628,672	8,107	0.31%	
Provisions	-	-	-	0.00%	
Deferred Tax Liabilities	520,608	125,132	(395,476)	-316.05%	Note 5
Other Liabilities	9,392,071	9,139,079	(252,993)	-2.77%	Note 3
Debt securities issued	10,687,317	10,687,317	(0)	0.00%	
Subordinated Liabilities	-	-	-	0.00%	
Total Liabilities	**622,041,405**	**621,452,991**	**(588,414)**	**-0.09%**	
Equity					
Share capital	38,115,853	38,115,853	0	0.00%	
Share premium	-	-	-	0.00%	
Retained earnings	5,379,300	4,054,879	(1,324,421)	-32.66%	Note 4
Reserves	24,210,305	24,456,676	246,370	1.01%	
Total equity attributable to equity holders	**67,705,458**	**66,627,407**	**(1,078,050)**	**-1.62%**	
Total Liabilities and Equity	**689,746,863**	**688,080,398**	**(1,666,465)**	**-0.24%**	

	Unaudited Financial Statement	Audited Financial Statements	Variance		Reason for Variance
	NPR	NPR	NPR	%	
Interest Income	43,961,495	43,930,150	(31,345)	-0.07%	
Interest Expenses	27,249,218	27,250,211	994	0.00%	
Net interest income	**16,712,277**	**16,679,939**	**(32,338)**	**-0.19%**	
Fees, charges and commission income	4,187,052	4,187,049	(4)	0.00%	
Fees, charges and commission expenses	965,010	965,306	296	0.03%	
Net fee and commission income	**3,222,042**	**3,221,742**	**(299)**	**-0.01%**	
Net interest, fee and commission income	**19,934,319**	**19,901,682**	**(32,638)**	**-0.16%**	
Net Trading Income	916,893	916,893	0	0.00%	
Other Operating Income	425,219	430,592	5,374	1.25%	
Total operating income	**21,276,431**	**21,249,167**	**(27,264)**	**-0.13%**	
Impairment charge/(reversal) for loans and other losses	4,305,411	5,976,596	1,671,184	27.96%	Note 1
Net Operating Income	**16,971,019**	**15,272,571**	**(1,698,448)**	**-11.12%**	
Operating Expenses					
Personnel Expenses	4,862,378	4,691,556	(170,823)	-3.64%	
Other Operating Expenses	2,475,367	2,493,812	18,445	0.74%	
Depreciation and Amortization	862,696	854,031	(8,665)	-1.01%	
Operating profit	**8,770,578**	**7,233,173**	**(1,537,405)**	**-21.25%**	
Non operating income	29,782	29,782	0	0.00%	
Non operating expense	16,319	16,319	0	0.00%	
Profit before income tax	**8,784,041**	**7,246,636**	**(1,537,405)**	**-21.22%**	
Income Tax Expense					
Current tax	2,620,565	2,628,672	8,107	0.31%	
Deferred tax	(41,268)	(458,340)	(417,072)	91.00%	Note 5
Profit for the period	**6,204,745**	**5,076,304**	**(1,128,441)**	**-22.23%**	

Note 1	Additional Loan Loss Provision provided
Note 2	Revision of Networth per share of promoter shares
Note 3	Revision on interest rate on Lease accounting
Note 4	Cumulative Impact of changes in income/expenses on finalization
Note 5	Cumulative effect of changes in Tax Base Assets and liabilities

5.12 CLASSIFICATION OF LOANS, ADVANCES & BILL PURCHASE AND PROVISIONING

FY Ashadh end, 2082

	Current Year		Previous Year	
Particulars	Total Loans and Advances	Provisions	Total Loans and Advances	Provisions
1. Performing Loan and Advances	**419,211,815,734**	**7,658,177,876**	**374,458,279,295**	**6,641,979,436**
1.1 Pass Loan	**380,594,765,877**	**5,668,366,458**	**346,735,998,602**	**5,231,823,990**
1.1.1 Pass Loan (other than Restructured/Rescheduled Covid Related)	369,587,923,635	5,117,996,181	319,445,347,621	3,864,131,095
1.1.2 Pass Loan (Restructured/ Rescheduled Covid Related)	11,006,842,242	550,370,276	27,290,650,982	1,367,692,896
1.2 Watch List	38,617,049,857	1,989,811,418	27,722,280,693	1,410,155,445
2. Non-Performing Loan and Advances	**21,410,299,012**	**16,042,750,560**	**16,308,717,924**	**11,082,353,189**
2.1 Restructured / Rescheduled	242,184,362	30,273,045	1,614,955,630	201,869,454
2.2 Sub-standard	3,021,805,996	750,792,597	3,136,336,289	768,628,469
2.3 Doubtful	5,545,632,886	2,760,072,594	2,372,131,329	1,174,321,896
2.4 Loss	12,600,675,769	12,501,612,324	9,185,294,676	8,937,533,370
3. Total Loan and Advances (1+2)	**440,622,114,747**	**23,700,928,436**	**390,766,997,219**	**17,724,332,625**
4. Staff Loans	3,320,447,516		2,681,302,020	
5. Accrued Interest	5,594,363,999		7,383,885,833	
6. Grand Total (3 + 4 + 5)	**449,536,926,262**		**400,832,185,072**	

5.13 PRINCIPAL INDICATORS

Indicators	Unit	F.Y. 2024/25	F.Y. 2023/24	F.Y. 2022/23	F.Y. 2021/22	F.Y. 2020/21
Core Capital (NPR in Mio)	NPR	54,385	48,833	50,219	33,259	29,418
Supplementary Capital (NPR in Mio)	NPR	12,145	9,772	11,148	8,164	7,384
Total Capital Fund (NPR in Mio)	NPR	66,529	58,605	61,368	41,423	36,803
Risk Weighted Exposure (NPR in Mio)	NPR	525,860	473,091	460,065	326,988	278,718
Core Capital Ratio	Percent	10.34%	10.32%	10.92%	10.17%	10.55%
Total Capital Ratio	Percent	12.65%	12.39%	13.34%	12.67%	13.20%
Earnings Per Share (Average Share Outstanding)	NPR	13.32	16.99	22.06	20.84	19.25
Market Value per Share	NPR	260	194	186	251	441
Book Net worth (NPR in Mio)	NPR	66,627	61,407	59,054	37,739	33,439
Number of Promotor Equity Shares	Nos.	195,301,404	185,119,815	183,286,945	122,190,246	111,082,042
Number of Public Equity Shares	Nos.	185,857,122	176,167,888	174,423,651	115,767,288	105,242,989
Number of Permanent Staffs	Nos.	3807	3789	3678	2966	2961
Price Earning Ratio	Times	19.49	11.43	8.43	12.06	22.90
Dividend (including bonus) on Share Capital	Percent	8.00	5.50	9.00	13.60	13.50
Cash Dividend on Share Capital	Percent	8.00	0.00	8.00	10.60	3.50
Stock Dividend on share capital (Bonus Share)	Percent	0.00	5.5	1.0	3.0	10.0
Net Profit / Gross Income	Percent	23.89	29.72	33.71	38.03	34.85
Net Profit/Loans & Advances	Percent	1.15	1.57	1.84	1.75	1.65
Return on Total Assets	Percent	0.79	1.02	1.30	1.38	1.20
Return on Equity	Percent	7.93	10.19	12.09	13.93	13.53
Interest Income/Loans & Advances	Percent	8.68	11.51	13.29	9.89	0.12
Exchange Gain/Total Income	Percent	4.37	2.83	2.48	4.98	6.46
Interest Expenses/Total Deposits and Borrowings	Percent	5.02	7.39	8.30	6.59	4.92
Total Operating Expenses/Total Assets	Percent	1.17	1.33	1.31	1.49	1.41
Staff Expenses/Total Operating Expenses	Percent	58.36	59.64	61.36	61.11	65.01
Staff Bonus/ Total Staff Expenses	Percent	17.16	20.60	24.31	23.73	20.95
CD Ratio as per NRB Directives	Percent	76.07	75.87	83.47	89.21	72.65
Non Performing Loans/Total Loans	Percent	4.86	4.17	3.15	1.28	1.41
Net NPL	Percent	1.22	1.34	1.17	0.30	0.37
Base Rate	Percent	5.76	8.09	10.20	9.40	6.60
Weighted Average Interest Rate Spread	Percent	3.87	4.19	4.66	4.26	4.51

PROFILES OF SUBSIDIARIES

Global IME Capital Limited

Global IME Capital Limited, a subsidiary of Global IME Bank Limited, is a pioneer in Nepal's capital market and holds the distinction of being the country's first specialized merchant bank. The company is incorporated under the Companies Act and licensed by the Securities Board of Nepal (SEBON).

Global IME Capital provides a comprehensive suite of merchant banking and investment banking services, including Share Issue Management, Registrar to Shares, Underwriting, Portfolio Management, Mutual Fund operations, and Financial Advisory Services. Backed by deep market expertise and robust governance practices, the company has played a pivotal role in shaping and strengthening Nepal's capital market ecosystem.

Built on the principles of transparency, innovation, and market leadership, Global IME Capital has consistently delivered value to issuers, investors, and stakeholders. Its strategic expansion through the acquisition of **Reliable Capital Limited** and **BOK Capital Market Limited** has further enhanced its nationwide presence, operational scale, and service delivery capabilities.

Leadership at the Company

Name	Position
Mr. Deep Chandra Regmi	Chairman (Representing Global IME Bank Ltd.)
Mr. Sudarsun Krishna Shrestha	Director
Mr. Narayan Prasad Mainali	Independent Director
Mr. Shaligram Sharma Paudel	Independent Director

Management of the Company

Name	Position
Mr. Mandip Luitel	Chief Executive Officer

N. B. S. M. & Associates
Chartered Accountants
6th Floor, Block C & D, Four Square Complex
Narayan Chaur, Naxal, Kathmandu, Nepal

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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF GLOBAL IME CAPITAL LIMITED

Report on the Audit of Financial Statements

Opinion

We have audited the accompanying financial statements of M/s. Global IME Capital Limited (hereinafter referred as the "Company"), which comprise the statement of financial position as at Ashad 32, 2082 [July 16, 2025], the statement of profit or loss, the statement of other comprehensive income, the statement of changes in equity & the statement of cash flows for the year then ended and notes to the financial statements including a summary of significant accounting policies and other explanatory notes.

In our opinion and to the best of our information and according to the explanations given to us, the accompanying financial statements give a true and fair view, in all material respects, of the financial position of the Company as at Ashad 32, 2082 [July 16, 2025], and its financial performance, changes in equity and its cash flows for the year then ended on that date in accordance with Nepal Financial Reporting Standards(NFRSs) and comply with Securities Act 2063, Security Board Regulation 2064, Company Regualtions 2067, Company Guidelines 2069 and other prevailing legislations.

Basis of Opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Institute of Chartered Accountant of Nepal's code of ethics for professional accountants together with the ethical requirements that are relevant to our audit of the financial statements in Nepal, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidences we have obtained are sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the key audit matters to be communicated in our report.

S.N	Key Audit Matters	Our Audit Apporach and Response
1.	**Valuation of Investment** - Investment of the company comprises of investments in listed Shares, Initial Public Offerings, Mutual Funds and Fixed Deposits. - The classifications, valuations and disclosures of the aforesaid investment shall be done in line with NFRS 9 financial instruments; NFRS 13 Fair Value Measurements; NFRS 7 Financial Instruments: Disclosure. Investment made in listed securities and mutual fund has been treated as Investment held for trading and recognised as Fair Value Through Profit and Loss. And investment in fixed deposits have been measured at amortised cost.	Our audit approach regarding valuation of investment, impairment, its accounting includes: a. We ensured classifications and accounting of investments made by company and its valuation were in accordance to NFRS 9 and NFRS 13 Issued by Accounting Standards Board of Nepal. b. We ensured the correctness of the valuation of investment valued at amortised cost through sample verification of effective interest rate and amortization schedule. c. For the investment made on quoted equity instruments & units of mutual fund, we ensured that fair value has been done at the closing transaction rate in NEPSE as on 32.03.2082. Investment in promoters shares has been recorded at cost and seperately disclosed.

In association with
MOORE

S.N	Key Audit Matters	Our Audit Apporach and Response
2.	**Revenue Recognition**	
	- Revenue comprises of Income from Merchant Banking Activities, Interest Income from fixed deposit, Other Income, and Net Gain/ (loss) due to fair value change on financial instruments held for trading. - In view of primary business of the company being the merchant banking we have considered merchant banking income and portfolio management service income as key audit matters in our audit.	Our audit approach regarding revenue recognition with respect to merchant banking income and portfolio management service income includes the following among other things: a. Understood and tested the design, implementation and operating effectiveness of key controls over revenue generation and its recognition. b. Ensured the portfolio management service revenue has been recognised on the basis of pms contract agreed with the client at the time of agreement. c. Ensured the related fees like performance fees, exit fees has been calculated and recorded as per the agreement in the timley manner. d. In case of contract based income, relevant NFRS accounting treatment has been adopted

Other Information

The directors are responsible for the other information presented in the Company's annual report. Our opinion on the financial statements does not cover the other information and accordingly we do not express any form of assurance conclusion thereon. We have nothing to report in this respect.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Nepal Financial Reporting Standards (NFRS), and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidences that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from

fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidences obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidences obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements, including the disclosures, represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the financial statements.We are responsible for the direction, supervision, and performance of the Company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes pubic disclosure about the matter or when, extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such comment.

Report on Other Legal and Regulatory Requirements

We have obtained satisfactory information and explanations asked for, which to the best of our knowledge and belief were necessary for the purpose of our audit as per NSA.

The financial statement including the statement of comprehensive income, statement of changes in Equity, statement of cash flows including a summary of significant accounting policies and other explanatory notes have been prepared in all material respect in accordance with the provisions of Securities Act 2063, Security Board Regulations 2064, Company Regultions 2067, Company Guidelines 2069 and other prevailing legislations.
In our opinion, proper books of account as required by law have been kept by the Companys, in so far as appears from our examination of those books of account and the financial statements dealt by this report, are in agreement with the books of accounts.

To the best of our knowledge and according to the explanation given to us and from the examination of the books of accounts of the Company, we have not come across any case where the board of directors or any employee of the Company have acted contrary to legal provisions relating to accounts, or committed any misappropriation or caused any loss or damage to the Company or its property and violated any directives or regulations issued by SEBON.

For N. B. S. M. & Associates
Chartered Accountants

Durga Prasad Gnawali, FCA
Senior Partner
Date : 2025-08-26
Place: Kathmandu, Nepal
UDIN : 250826CA00461ZsRAv

Global IME Capital Limited
Statement of Financial Position
As at 32 Ashad 2082 (16 July 2025)

In NPR

Particulars	Note	Current Year	Previous Year
		32 Ashad 2082	31st Ashad 2081
Assets			
Cash and Cash Equivalents	5.1	280,798,067	362,580,671
Investment in Securities	5.2	1,582,590,718	1,318,475,957
Financial Investment-Held for Maturity	5.3	151,500,000	74,850,000
Other Financial Assets	5.4	152,199,822	32,729,335
Other Assets	5.5	1,430,101	1,442,767
Property & Equipment	5.6	31,584,709	57,277,952
Intangible Assets	5.6	1,219,471	929,387
Current Tax Assets	5.7.1	70,889,714	71,609,905
Deferred Tax Assets (net)	5.7.2	9,310,177	97,908,127
Total Assets		**2,281,522,778**	**2,017,804,099**
Liabilities			
Due to Public	5.8	1,273,235,680	1,266,369,706
Other Financial Liabilities	5.9	71,690,847	55,045,987
Other Liabilities	5.10	28,539,442	21,648,673
Provisions	5.11	12,209,078	11,735,468
Total Liabilities		**1,385,675,046**	**1,354,799,834**
Equity			
Share Capital	5.12	493,915,000	493,915,000
Retained Earnings	5.13	222,983,248	(70,783,975)
Reserve & Surplus	5.14	178,949,484	239,873,240
Total Equity		**895,847,732**	**663,004,265**
Total Liabilities and Equity		**2,281,522,778**	**2,017,804,099**
Net Assets Value		**181.38**	**139.97**

As per our report on even date

Padam Poudel
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner
For N.B.S.M & Associates
Chartered Accountants

Signed for and on behalf of the Board by:

Deep Chandra Regmi
Chairman

Sudarsun Krishna Shrestha
Director

Narayan Prasad Mainali
Director

Shaligram Sharma Poudel
Director

Date.....
Kathmandu, Nepal

Global IME Capital Limited
Statement of Profit or Loss
As at 32 Ashad 2082 (16 July 2025)

In NPR

Particulars	Note	Current Year	Previous Year
		32 Ashad 2082	31st Ashad 2081
Income			
Fees and Management Income	6.1	168,403,478	143,906,185
Income from Merchant Banking Activities		140,106,248	125,249,223
Income from Investment Banking Activities		28,297,230	18,656,962
Interest Income	6.2	26,177,412	25,011,940
Other Income	6.3	13,483,142	13,002,821
Net (loss)/gain on financial investments FVTPL	6.4	274,418,476	(138,179,077)
Total Income		**482,482,508**	**43,741,868**
Expense			
Personnel Expense	6.5	(72,707,510)	(41,117,662)
Depreciation on Property and Equipment	5.6	(13,063,330)	(14,466,216)
Amortization of Intangible Assets	5.6	(443,387)	(493,553)
Other Operating Expenses	6.7	(59,743,558)	(56,869,899)
Interest Expense	6.6	(4,297,257)	(5,534,459)
Non-Operating expenses	6.8	(1,003,928)	-
Total Expenses		**(151,258,970)**	**(118,481,791)**
Profit/(Loss) Before Tax from Continuing Operations		**331,223,539**	**(74,739,922)**
Income Tax Expense		(100,696,268)	11,143,910
Current Tax Expenses	5.7	(13,100,151)	-
Deferred Tax Income/(Expenses)		(87,596,116)	11,143,910
(Loss)/Profit For the Year		**230,527,271**	**(63,596,012)**
Basic Earning Per Share		46.67	(12.88)
Diluted Earning Per Share		**46.67**	**(12.88)**

As per our report on even date

Padam Poudel
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner
For N.B.S.M & Associates
Chartered Accountants

Signed for and on behalf of the Board by:

Deep Chandra Regmi
Chairman

Sudarsun Krishna Shrestha
Director

Narayan Prasad Mainali
Director

Shaligram Sharma Poudel
Director

Date.....
Kathmandu, Nepal

Global IME Capital Limited
Statement Of Other Comprehensive Income
As at 32 Ashad 2082 (16 July 2025)

In NPR

Particulars	Current Year	Previous Year
	32 Ashad 2082	31st Ashad 2081
(Loss)/Profit For the Year	**230,527,271**	**(63,596,012)**
(Loss)/Gain on FVTOCI	3,339,450	(387,000)
Realized Gain on Disposal of Investment		664,512
Actuarial Gain/(Loss) on Defined Benefit Obligation		(5,500)
Total other comprehensive income /(loss)	3,339,450	272,012
Income tax income /(expense) relating to components of other comprehensive income	(1,001,835)	(22,650)
Other comprehensive (loss)/income for the year, net of tax	**2,337,615**	**249,362**
Total comprehensive (loss)/income for the year, net of tax	**232,864,886**	**(63,346,649)**

As per our report on even date

Padam Poudel
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner
For N.B.S.M & Associates
Chartered Accountants

Signed for and on behalf of the Board by:

Deep Chandra Regmi
Chairman

Sudarsun Krishna Shrestha
Director

Narayan Prasad Mainali
Director

Shaligram Sharma Poudel
Director

Date.....
Kathmandu, Nepal

Global IME Capital Limited
Statement of Changes in Equity
As at 32 Ashad 2082 (16 July 2025)

Particulars	Share Capital	Retained Earnings	Fair Value Reserve	Deferred Tax Reserve	Capital Reserves	General Reserve	CSR	Total Shareholders' Funds
Balance as at 16th July 2024	**493,915,000**	**(70,783,975)**	**(2,043,000)**	**97,908,128**	**81,585,000**	**58,045,208**	**4,377,904**	**663,004,265**
Net profit for the period		230,527,271	2,337,615					232,864,886
Transfer to General Reserve		(23,052,727)				23,052,727		-
Deferred tax reserve		88,597,951	-	(88,597,951)				0
Transfer to CRS Reserve		(2,305,273)					2,305,273	-
CSR expenses							(21,420)	(21,420)
Balance as at 16th July 2025	**493,915,000**	**222,983,248**	**294,615**	**9,310,177**	**81,585,000**	**81,097,935**	**6,661,757**	**895,847,732**

As per our report on even date

Padam Poudel
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner
For N.B.S.M & Associates
Chartered Accountants

Signed for and on behalf of the Board by:

Deep Chandra Regmi
Chairman

Sudarsun Krishna Shrestha
Director

Narayan Prasad Mainali
Director

Shaligram Sharma Poudel
Director

Date.....
Kathmandu, Nepal

Global IME Capital Limited
Statement of Cash Flows
As at 32 Ashad 2082 (16 July 2025)

Particulars	Current Year	Previous Year
	32 Ashad 2082	31st Ashad 2081
(a) Cash Flow from Operating Activities		
1. Cash Received from Income	**214,934,526**	**87,263,951**
1.1 Income from Merchant Banking Operation	140,106,248	126,558,289
1.2 Income from Assets Management and Depositary	28,297,230	17,347,896
1.3 Interest Income	26,177,412	25,011,940
1.4 Other Income	20,353,636	(81,654,174)
1.5 Non-Operating Income	-	-
2. Cash Payment	**121,884,390**	**121,702,794**
2.1 Personnel Expenses	44,438,268	41,117,662
2.2 Office Operating Expenses	59,743,558	56,869,899
2.3 Non Operating Expenses	1,003,928	-
2.4 Interest Expenses	4,297,257	5,534,459
2.5 Income Tax Paid	12,379,960	17,541,918
2.6 CSR Expenses	21,420	638,855
Cash Flow before changes in Working Capital	**93,050,136**	**(34,438,843)**
(Increase)/Decrease in Current Assets	**(202,003,292)**	**35,538,695**
1. (Increase)/Decrease in Held for Trading Investments	3,433,221	(190,277,386)
2. (Increase)/Decrease in Other Financial Assets	(205,449,179)	225,745,685
3. (Increase)/Decrease in Other Assets	12,666	70,397
Increase/(Decrease) in Current Liabilities	**2,605,970**	**99,357,840**
1. Increase/(Decrease) in Public Dues	6,865,974	402,628,574
2. Increase/(Decrease) in Other Financial Liabilities	16,644,859	(305,054,960)
3. Increase/(Decrease) in Other Liabilities	(20,904,863)	1,784,226
(b) Cash Flow from Investment Activities	**24,564,583**	**(133,329,824)**
1. (Increase)/Decrease in HTM Investment	12,668,142	(107,628,408)
2. (Increase)/Decrease in Fixed Assets	12,629,913	(24,948,351)
3. (Increase)/Decrease in Intangible Assets	(733,471)	(753,065)
(c) Cash Flow from Financing Activities	**-**	**215,383,695**
1. Increase/(Decrease) in Share Capital	-	128,415,000
2. Increase/(Decrease) in Other Reserve	-	86,968,695
3. Increase/(Decrease) in Reserve and Surplus	-	-
4. Payment of Dividend	-	-
(d) Net increase/(decrease) in cash and cash equivalents	**(81,782,603)**	**182,511,563**
(e) Cash and cash equivalents at the beginning of the year	**362,580,671**	**180,069,108**
(f) Cash and cash equivalents at the end of the year	**280,798,067**	**362,580,671**

As per our report on even date

Padam Poudel
Head-Account & Finance

Mandip Luitel
Chief Executive Officer

CA. Durga Prasad Gnawali
Senior Partner
For N.B.S.M & Associates
Chartered Accountants

Signed for and on behalf of the Board by:

Deep Chandra Regmi
Chairman

Sudarsun Krishna Shrestha
Director

Narayan Prasad Mainali
Director

Shaligram Sharma Poudel
Director

Date.....
Kathmandu, Nepal

Global IME Laghubitta Bittiya Sanstha Limited

Global IME Laghubitta Bittiya Sanstha Limited, a subsidiary of Global IME Bank Limited, is a public company incorporated under the Companies Act and licensed as a "D" Class financial institution by Nepal Rastra Bank. Since its inception in March 2013, the institution has been dedicated to empowering underserved and marginalized communities through inclusive microfinance services.

Commencing operations as a retail microfinance institution across 10 districts in May 2013, the institution steadily expanded its footprint to 45 districts by October 2017 and achieved national-level operational status in January 2019. Leveraging its extensive outreach, Global IME Laghubitta continues to deliver essential financial services that support entrepreneurship, promote financial inclusion, and contribute to sustainable economic growth across the country.

In line with its strategic growth objectives, Global IME Laghubitta Bittiya Sanstha Limited acquired **Sparsha Laghubitta Bittiya Sanstha Limited**, another "D" Class financial institution licensed by Nepal Rastra Bank, and commenced joint operations effective from April 2021.

Leadership at the Company

Name	Position
Mr. Buddhi Akela	Chairman (Representing Global IME Bank Ltd.)
Mr. Rupendra Wagle	Director (Representing Global IME Bank Ltd.)
Mrs. Anamika Singh	Director (Representing Global IME Bank Ltd.)
Mr. Sushovan Devkota	Director (Representing Global IME Bank Ltd.)
Mr. Min Prasad Gyawali	Director (Representing Public Shareholders)
Mrs. Sajani Nepal	Director (Representing Public Shareholders)
Mr. Pitamber Sapkota	Independent Director

Management at the Company

Name	Position
Mr. Hari Krishna Joshi	Chief Executive Officer

P.L.R.G. Associates
Chartered Accountants

INDEPENDENT AUDITOR'S REPORT
To the Shareholders of
Global IME Laghubitta Bittiya Santha Ltd.
Bijayapur, Pokhara

Report on the Audit of the Financial Statements

Opinion
We have audited the financial statements of Global IME Laghubitta Bittiya Sanstha Ltd, "D" class Financial Institution (referred to as "Microfinance"), which comprise the Statement of Financial Position as at Ashadh 32, 2082 (July 16, 2025), the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and Notes to the Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Microfinance as at Ashadh 32, 2082 (July 16, 2025) and its financial performance and its cash flows for the year then ended in accordance with Nepal Financial Reporting Standards (NFRS).

Basis for Opinion
We conducted our audit in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of our report. We are independent of the Microfinance in accordance with the ICAN's Handbook of Code of Ethics for Professional Accountants, and we have fulfilled our other ethical responsibilities in accordance with the ICAN's Handbook of the Code of Ethics for professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide basis for our opinion.

Key Audit Matters
Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of financial statements of the current period, which were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon. We do not provide a separate opinion on these matters. We have determined the matters described below as the key audit matters to be communicated in our report. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

S.N.	Key Audit Matters	Auditor's Response
1.	**Interest Income** Ref. Note no. 4.27 and accounting policies to the Financial Statements.	
	The Microfinance has total interest income of Rs. 1,343,080,718.00. This includes Rs. 1,339,241,776.00 interest from loans and advances to customers. Interest income has been recognized on accrual basis as per the interest recognition guidelines of Nepal Rastra Bank/ NFRS. Interest has not been recognized on accrual basis in case of non-performing loans. Due to limitation of lack of system capability to review the fair value of the	We applied following procedures in respect of verification of interest income: ➢ Understanding of the core banking software of the Microfinance how interest rate on loans and advances has been implemented in system. ➢ Whether interest income on advances is automatically generated in the CBS system. ➢ Review of accrual and recognition interest income whether relevant NFRS and the NRB norms have been followed by the Microfinance for the same.

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	collateral on regular basis, manual intervention might be required for recognition of accrual of interest income. As this may have effect on the recognition of the interest income by the Microfinance, we have considered it as a key audit matter.	➢ Review and verify the transactions relating to manual debit or credit of interest in the system. ➢ Understanding as to how the Microfinance's management monitors their business, analyze its credit portfolio and the interest income thereon. ➢ Review whether the legal remedies against defaulting borrowers are not adversely affected. Accounting policies and recognition of interest income has been considered acceptable.
2.	**Impairment of Loans and Advances to Customers** Ref. Note no. 4.7 and accounting policies to the Financial Statements.	
	As per NFRS 9, the Microfinance company shall measure impairment loss on loans and advances, which is the higher of: a) Amount derived as per norms prescribed by NRB for loan loss provisioning or b) Amount determined as per para 5.5 of NFRS adopting the expected credit loss model. As per the norms prescribed by NRB, provision at the prescribed rate shall be created on the loans and advances based on overdue status of loans and advances as well as utilization status of the facility, status of security etc. Hence, assessment of availability and accuracy of data for impairment under NRB provisioning norms is regarded as key audit matters. Loan loss provision on loans and advances measured at amortized cost is Rs. 739,381,705.00 which is higher of ECL Model and NRB regulatory provisions and the same has been disclosed in other disclosures. ECL model has been validated as per the NRB guidelines and ECL policy of the Microfinance. This is a key audit matter due to • The involvement of significant management judgments, assumptions and level of uncertainty associated	Our audit approach included: a. Reviewing the overdue status of loans and advances by obtaining data from the system and matching the same with NRB 2.2 report. b. Sample credit files were reviewed for the purpose of assuring the utilization of loan & advances for the intended purpose, account movement and account turnover. c. Assessed the alignment of the Microfinance company's Impairment for expected credit losses computations and underlying methodology including responses to current economic conditions with its accounting policies, based on the best available information up to the date of our report d. Evaluated the design, implementation and operating effectiveness of controls over estimation of expected credit losses, which included assessing the level of oversight review and approval of impairment for expected credit losses, policies and procedures by the board and management. e. Tested the completeness, accuracy and reasonableness of the underlying data used in the expected credit loss computations by agreeing details to relevant source documents and accounting records.

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	with estimating future cash flows to recover such loans and advances; and • The materiality of the reported amount of expected credit losses. Key areas of significant judgments, assumptions and estimates made by management in the assessment of expected credit losses for loans and advances include forward-looking macroeconomic scenarios, associated weightages and considerations that indicate significant increase in credit risk. These are subject to inherently heightened levels of estimation uncertainty.	f. Evaluated the reasonableness of credit quality assessments and related stage classifications. In addition to the above, the following procedures were performed: g. For loans and advances assessed on an individual basis for impairment: • Tested the arithmetical accuracy of the underlying individual impairment calculations. • Evaluated the reasonableness of key inputs used in the impairment for expected credit losses made with economic conditions. Such evaluations were carried out considering the value and timing of cash flow forecasts particularly relating to elevated risk industries and status of recovery actions of the collaterals. h. For loans and advances assessed on a collective basis for impairment: • Tested the key inputs and the calculations used in the impairment for expected credit losses. • Assessed the reasonableness of judgements, estimates used by the Management in the underlying methodology and the management overlays. Our testing included reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each scenario. We applied following procedures in respect of verification of loan loss provision: ➢ Review of borrower's files, which includes evaluation of borrowers' repayment behavior, assessment of financial strength based on the available financial statements, adequacy of security/collateral, and obtainment of required legal documents, CIC reports, and compliance with prudential regulations.

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		➢ Business sites visit of the borrowers on sampling basis. ➢ Review of IT system to provide loan loss provision based on overdue payments. ➢ On sampling basis, verification of accuracy of provision against non-performing loan calculated by the IT system and manual calculation sampling basis. ➢ Evaluation of appropriateness of subjective judgement made by the management for performing loans' borrowers. ➢ Review of Management and Board's evaluation and decisions on loans. ➢ Reviewed the ECL validation report and assessed key assumptions, model methodology, and recommendations provided. Loan loss provision made by the Microfinance is considered acceptable.
3.	**Information Technology System**	
	The information technology of the Microfinance involves a large number of independent and inter-dependent IT systems that are used to process and record a large volume of transactions in the Microfinance's activities. As a result, the financial accounting and reporting procedure places a significant level of reliance and rely on such IT systems. Appropriate IT general controls and application controls are required to ensure that such IT systems are able to process the data, as required, completely, accurately and consistently for reliable financial reporting, Due to the importance of the impact of the IT systems and related control environment on the institution's financial reporting process, we have identified testing of such IT systems and related control environment as a key audit matter.	Our audit approach regarding information technology of the Microfinance is based upon the Information Technology Guidelines issued by NRB and it also included: ➢ Verification of the interest income and expense booking regarding loan and deposits on test check basis with the core banking system of the institution. ➢ Verification of the provisioning of the loan and advances based on ageing on test check basis. We considered the IT systems and their relevant controls to be adequate.

Other Information

Management is responsible for the preparation of other information. The other information comprises the information included in the Annual Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statement does not cover the other information and we do not express any form of assurance conclusion thereon.

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Our responsibility is to read the Other Information and, in doing so, consider whether the Other Information is materially inconsistent with the Financial Statements or our knowledge obtained in the course of our audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report the fact. We have nothing to report in this regard.

Responsibilities of the Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Nepal Financial Reporting Standards (NFRS), and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Microfinance's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Microfinance or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Microfinance's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the organization's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on institution's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause institution to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statement, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

We have determined to communicate following matters in accordance with the requirements of NRB Directives, Companies Act, 2063, BAFIA, 2073 and other regulatory requirements:

- We have obtained all the information and the explanations, which, to the best of our knowledge and belief, were necessary for the purpose of our audit.
- Based on our audit, proper books of accounts as required by law have been kept by the Microfinance.
- The Statement of Financial Position, the Statement of Profit or Loss and Other Comprehensive Income, the Cash Flow Statement, and the Statement of Changes in Equity dealt with by this report are in agreement with the books of accounts maintained by the Microfinance.
- The capital fund, risk bearing fund and the provisions for possible impairment of assets of the Microfinance are adequate considering the Directives issued by Nepal Rastra Bank.
- In our opinion and to the best of our information and according to the explanations and from our examination of the books of accounts of the Microfinance, we have not come across any case where the Board of Directors or any office bearer of the Microfinance have acted contrary to the provisions of law, or committed any misappropriation or caused any loss or damage to the Microfinance and violated Directives issued by Nepal Rastra Bank or acted in a manner, as would jeopardize the interest and security of the Microfinance, its shareholders and its depositors.
- The business of the Microfinance has been conducted satisfactorily and operated within its jurisdiction and has been functioning as per NRB Directives.

Prakash Lamsal, FCA
Partner
P.L.R.G. Associates
Chartered Accountants

Place: Kathmandu, Nepal
Date:2082/09/05
UDIN: 251220CA00154F2XwW

Global IME Laghubitta Bittiya Sanstha Ltd.
Statement of Financial Position
As at 32nd Ashadh 2082 (16th July 2025)

in NPR

Particulars	Note	As at 32nd Ashad 2082	As at 31st Ashad 2081
Assets			
Cash and Cash equivalent	4.1	330,895,051	275,190,838
Statutory Balances and Due from Nepal Rastra Bank	4.2	45,000,000	39,980,334
Placement with Bank and Financial Institutions	4.3	-	-
Derivative Financial Instruments	4.4	-	-
Other Trading Assets	4.5	-	-
Loans & Advances to MFIs & Cooperatives	4.6	-	-
Loans and Advances to Customers	4.7	9,677,234,011	8,501,959,959
Investment securities	4.8	2,200,000	1,000,000
Current tax assets	4.9	-	-
Investment property	4.10	11,445,644	11,445,644
Property and Equipment	4.11	70,874,168	77,700,973
Goodwill and Intangible assets	4.12	581,414	560,439
Deferred Tax Assets	4.13	9,382,503	20,133,006
Other Assets	4.14	58,584,149	36,699,774
Total Assets		**10,206,196,939**	**8,964,670,966**
Liabilities			
Due to Bank and Financial Institutions	4.15	-	-
Due to Nepal Rastra Bank	4.16	-	-
Derivative Financial Instrument	4.17	-	-
Deposits from customers	4.18	3,610,588,612	3,070,490,825
Borrowing	4.19	4,997,190,633	4,396,133,358
Current Tax Liabilities	4.9	22,866,615	9,151,022
Provisions	4.20	-	-
Deferred Tax Liabilities	4.13		
Other Liabilities	4.21	399,778,164	389,186,233
Debt securities issued	4.22	-	-
Subordinated Liabilities	4.23	-	-
Total liabilities		**9,030,424,024**	**7,864,961,439**
Equity			
Share Capital	4.24	618,900,045	618,900,045
Share Premium		-	-
Retained Earnings		145,599,284	39,296,512
Reserves	4.25	411,273,587	441,512,970
Total equity attributable to equity holders			
Non-controlling interest			
Total Equity		**1,175,772,915**	**1,099,709,527**
Total Liabilities and Equity		**10,206,196,939**	**8,964,670,966**
Contingent Liabilities and commitment	4.26	-	-
Net Assets Value Per share		190	178

The accompanying notes are integral part of these financial statements.

As per our report on even date

Sushovan Devkota Director	**Anamika Kunwar** Director	**Rupendra Wagle** Director	**Buddhi Akela** Chairman	**Prakash Lamsal, FCA** PLRG Associates
Min Prasad Gyawali Chairman	**Pitambar Sapkota** Director	**Sajani Nepal** Director	**Hari Krishna Joshi** CEO	**Khem Raj Lamsal** Account Head

Global IME Laghubitta Bittiya Sanstha Ltd.
Statement of Profit or Loss
For the year ended 32nd Ashadh 2082 (16th July 2025)

in NPR

Particulars	Note	Year ended 32nd Ashad 2082	Year ended 31st Ashad 2081
Interest income	4.27	1,343,080,718	1,216,059,511
Interest expense	4.28	592,003,866	584,596,088
Net interest income		**751,076,853**	**631,463,423**
Fees and commission income	4.29	94,591,489	75,145,213
Fees and commission expense	4.30	9,386,837	2,202,283
Net fee and commission income		**85,204,652**	**72,942,930**
Net interest and commission income		**836,281,505**	**704,406,353**
Net trading income	4.31	-	-
Other operating income	4.32	-	-
Total operating income		**836,281,505**	**704,406,353**
Impairment charge/(reversal) for loans and other losses	4.33	230,163,609	150,947,163
Net operating income		**606,117,896**	**553,459,190**
Operating expense			
Personnel expense	4.34	310,962,170	295,059,315
Other Operating expense	4.35	46,904,837	43,560,015
Depreciation and Amortisation	4.36	23,490,146	23,814,531
Operating Profit		**224,760,744**	**191,025,328**
Non operating Income	4.37	-	-
Non operating Expense	4.38	270,914	1,186,255
Impairment loss for assets		-	6,016,268
Profit before income tax		**224,489,830**	**183,822,806**
Income tax expense	4.39		
Current Tax		140,487,135	84,259,242
Deferred Tax		9,075,932	(6,731,031)
Profit for the period		**74,926,763**	**106,294,595**
Profit attributable to:			
Equity holders		74,926,763	106,294,595
Non-controlling interests		-	
Profit for the period		**74,926,763**	**106,294,595**
Earnings Per Share (EPS)			
Basic EPS		12.11	17.17
Diluted EPS		12.11	17.17

The accompanying notes are integral part of these financial statements.

As per our report on even date

Sushovan Devkota Director	Anamika Kunwar Director	Rupendra Wagle Director	Buddhi Akela Chairman	Prakash Lamsal, FCA PLRG Associates
Min Prasad Gyawali Chairman	Pitambar Sapkota Director	Sajani Nepal Director	Hari Krishna Joshi CEO	Khem Raj Lamsal Account Head

Global IME Laghubitta Bittiya Sanstha Ltd.
Statement of Comprehensive Income
For the year ended 32nd Ashadh 2082 (16th July 2025)

in NPR

Particulars	Note	Year ended 32nd Ashad 2082	Year ended 31st Ashad 2081
Profit for the year		**74,926,763**	**106,294,595**
Other Comprehensive Income, net of income tax			
a. Items that will not be reclassified to Profit or Loss			
Gains / (Losses) from investment in equity instruments measured at fair value		-	-
Gains / (Losses) on revaluation			
Actuarial Gains / (Losses) on defined benefit plans		5,581,903	(173,164)
Income tax relating to above items		(1,674,571)	51,949
Net other Comprehensive Income that will not be reclassified to Profit or Loss		**3,907,332**	**(121,215)**
b. Items that are or may be reclassified to Profit or Loss			
Gains (Losses) on cash flow hedge		-	-
Exchange gains (Losses) arising from translationg financial assets of foreign operation		-	-
Income tax relating to above items		-	-
Reclassify to Profit or Loss		-	-
Net other Comprehensive Income that are or may be reclassified to Profit or Loss		**-**	**-**
c. Share of other comprehensive income of associate accounted as per equited method		**-**	**-**
Other Comprehensive income for the year, net of income tax		**3,907,332**	**(121,215)**
Total Comprehensive income for the year		**78,834,095**	**106,173,380**
Total Comprehensive income for the period		**78,834,095**	**106,173,380**

The accompanying notes are integral part of these financial statements.

As per our report on even date

Sushovan Devkota Director	Anamika Kunwar Director	Rupendra Wagle Director	Buddhi Akela Chairman	Prakash Lamsal, FCA PLRG Associates
Min Prasad Gyawali Chairman	Pitambar Sapkota Director	Sajani Nepal Director	Hari Krishna Joshi CEO	Khem Raj Lamsal Account Head

Global IME Laghubitta Bittiya Sanstha Ltd.
Attributable to equity holders of the Micro Finance Company

in NPR

Particulars	Share Capital	Share premium	General reserve	Regulatory Reserve	Fair Value Reserve	Retained earning	Other reserves	Client Protection Fund	CSR Reserve	Actuary Reserve	Restrucutred and Rescheduled Reserve	Employee Training Fund	Deferred Tax Reserve	Total	Non-controlling interest	Total equity
Balance at 1 Shrawan 2080	618,900,045	-	175,384,446	74,951,413	-	81,275,710	11,246,209	29,166,588	1,348,716	619,389	66,672,957	-	13,350,026	1,072,915,499		1,072,915,499
Adjustment/ Restatement	-			-	-	-							-			
Adjusted/Restated balance at 1 Shrawan 2080	618,900,045	-	175,384,446	74,951,413	-	81,275,710	11,246,209	29,166,588	1,348,716	619,389	66,672,957	-	13,350,026	1,072,915,499	-	1,072,915,499
Adjustment from Sparsha Laghubitta																
Comprehensive income for the year																
Profit for the year						106,294,595										
Other comprehensive income, net of tax																
Remeasurement of defined benefit liability (asset)						-										
Fair Value reserve (Investment in equity instrument)																
Net change in Fair value																
Net amount transferred to profit or loss																
Net gain (loss) on revaluation						-										
Cash flow hedges																
Effective portion of changes in fair value																
Net amount reclassified to profit or loss																
Total Comprehensive income for the year						106,294,595										
Transfer to reserve during the year			21,258,919	15,547,023	-	1,157,458		1,062,946	1,062,946	(121,215)	27,041,029		6,782,980			
Transfer from reserve during the year					-	(72,755,843)		(2,842,554)	(1,157,458)							

in NPR

Particulars	Share Capital	Share premium	General reserve	Regulatory Reserve	Fair Value Reserve	Retained earning	Other reserves	Client Protection Fund	CSR Reserve	Actuary Reserve	Restrucutred and Rescheduled Reserve	Employee Training Fund	Deferred Tax Reserve	Total	Non-controlling interest	Total equity
Deferred tax impact of respective reserve																
Tax liability of bargain purchase						(14,646,794)										
Acturial loss transferred				121,215		(121,215)										
Other Prior period adjustment				17,394		(17,394)										
Transactions with owners, directly recognised in equity																
Deferred tax impact of respective reserve																
Right share issued																
Share based payment																
Dividends to equity holders																
Bonus shares issued	-					-										
Cash dividend paid						(61,890,005)										
Other							-									
Total contributions by and distributions to owners																
Balance at 31 Asadh 2081	**618,900,045**	**-**	**196,643,365**	**90,637,045**	**-**	**39,296,512**	**11,246,209**	**27,386,980**	**1,254,204**	**498,174**	**93,713,986**	**-**	**20,133,006**	**1,099,709,527**		**1,099,709,527**
Balance at 1 Shrawan 2081	**618,900,045**	**-**	**196,643,365**	**90,637,045**	**-**	**39,296,512**	**11,246,209**	**27,386,980**	**1,254,204**	**498,174**	**93,713,986**	**-**	**20,133,006**	**1,099,709,527**	**-**	**1,099,709,527**
Comprehensive income for the year																
Profit for the year						**74,926,763**										
Other comprehensive income, net of tax																
Gains/(losses) from investment in equity instruments measured at fair value																
Gains/(losses) on revaluation																

in NPR

Particulars	Share Capital	Share premium	General reserve	Regulatory Reserve	Fair Value Reserve	Retained earning	Other reserves	Client Protection Fund	CSR Reserve	Actuary Reserve	Restrucutred and Rescheduled Reserve	Employee Training Fund	Deferred Tax Reserve	Total	Non-controlling interest	Total equity
Actuarial gains/ (losses) on defined benefit plans						-										
Gains/(losses) on cash flow hedges																
Exchange gains/ (losses) (arising from translating financial assets of foreign operation)																
Total Comprehensive income for the year						**74,926,763**										
Transfer to reserve during the year			14,985,353	34,672,445	-	-		1,123,901	749,268	3,907,332	(72,393,335)	332,171	(10,750,503)			
Transfer from reserve during the year					-	31,280,700		(2,862,736)	(1,003,657)		-					
Interest Income (CPF)								1,095,686								
Tax liability of bargain purchase						-										
Acturial loss transferred				(138,609)		138,609										
Other Prior period adjustment				43,300		(43,300)										
Transactions with owners, directly recognised in equity																
share issued																
Share based payment																
Dividends to equity holders																
Bonus shares issued	-															
Cash dividend paid						-										
Other																
Total contributions by and distributions																
Balance at 32 Ashadh 2082	**618,900,045**		**211,628,718**	**125,214,182**	**-**	**145,599,284**	**11,246,209**	**26,743,831**	**999,815**	**4,405,506**	**21,320,651**	**332,171**	**9,382,503**	**1,175,772,915**	**-**	**1,175,772,915**

Global IME Laghubitta Bittiya Sanstha Ltd.
Statement of Cash Flows
For the year ended 32nd Ashadh 2082 (16th July 2025)

in NPR

Particulars	Year ended	Year ended
	32nd Ashad 2082	31st Ashad 2081
CASH FLOWS FROM OPERATING ACTIVITIES		
Interest received	1,272,067,005	1,191,381,697
Fees and other income received	94,591,489	75,145,213
Dividend received		
Receipts from other operating activities		
Interest paid	(256,971,762)	(210,632,479)
Commission and fees paid	(9,386,837)	(2,202,283)
Cash payment to employees	(270,214,902)	(265,811,756)
Other expense paid	(63,933,182)	(57,393,544)
Operating cash flows before changes in operating assets and liabilities	**766,151,812**	**730,486,848**
(Increase)/Decrease in operating assets		
Due from Nepal Rastra Bank		
Placement with Bank and Financial Institutions		
Other trading assets		
Loans and advances to bank and financial institutions		
Loans and advances to customers	(1,339,241,776)	(1,215,096,207)
Other assets	(21,884,376)	(5,278,800)
Increase/(Decrease) in operating liabilities		
Due to bank and financial institutions		
Due to Nepal Rastra Bank		
Deposit from customers	540,097,787	(50,169,002)
Borrowings	601,057,274	272,482,222
Other liabilities	19,046,443	(213,243)
Net cash flow from operating activities before tax paid		
Income taxes paid	(108,469,497)	(50,057,738)
Net cash flow from operating activities	**456,757,667**	**(317,845,919)**
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of investment securities		
Receipts from sale of investment securities	-	-
Purchase of property and equipment	(12,518,614)	(5,977,147)
Receipt from the sale of property and equipment		
Short term investments		(25,000,000)
Acquisition of intangible assets		
Receipt from the sale of intangible assets		
Purchase of investment properties		
Receipt from the sale of investment properties		
Interest received	-	-
Dividend received		
Net cash used in investing activities	**(12,518,614)**	**(30,977,147)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Receipt from issue of debt securities		
Repayment of debt securities		
Reciepts from issue of subordinated liabilities		

in NPR

Particulars	Year ended	Year ended
Repayment of subordinated liability		
Receipts from issue of shares		
Dividends paid	-	(61,890,005)
Interest paid	(343,534,840)	(364,618,433)
Other recepit/payment		
Net cash from financing activities	**(343,534,840)**	**(426,508,437)**
Net increase (decrease) in cash and cash equivalents	**100,704,213**	**(775,331,504)**
Cash and cash equivalents at begenning of the period	275,190,838	1,090,502,676
Effect of exchange rate fluctuations on cash and cash equivalents held		
Cash and cash equivalents at the end of the period	**375,895,051**	**315,171,172**

The accompanying notes are integral part of these financial statements.

As per our report on even date

Sushovan Devkota Director	**Anamika Kunwar** Director	**Rupendra Wagle** Director	**Buddhi Akela** Chairman	**Prakash Lamsal, FCA** PLRG Associates
Min Prasad Gyawali Chairman	**Pitambar Sapkota** Director	**Sajani Nepal** Director	**Hari Krishna Joshi** CEO	**Khem Raj Lamsal** Account Head

Statement of Distributable profit or loss

For the year ended 32nd Ashadh 2082

As per NRB Regulation

Particulars	Year ended 32nd Ashad 2082	Year ended 31st Ashad 2081
Retained Earning as at 1st Shrawan, 2081	39,296,512	81,275,710
Cash dividend paid	-	(61,890,005)
Fair value reserve transfer/reversal	-	-
Corporate social responsibility tf from fund to Retained Earning	-	1,157,458
Tax on Bargain Purchase	-	(14,646,794)
Retained Earning before appropriation and regulatory adjustments	**39,296,512**	**5,896,370**
Net Profit or (loss) as per Statement of Profit or Loss	**74,926,763**	**106,294,595**
Appropriation		
a. General Reserve	(14,985,353)	(21,258,919)
b. Foreign Exchange Fluctuation fund		
c. Capital redemption reserve		
d. Corporate social responsibility fund	(749,268)	(1,062,946)
e. Employees training fund	(332,171)	-
f. Client Protection Fund	(1,123,901)	(1,062,946)
g. Transfer from Restructured and Rescheduled Reserve	-	
h. Other	-	-
Adjusted Profit or (loss) before regulatory adjustment	**97,032,582**	**88,806,153**
Regulatory Adjustments:		
a. Interest Receivable (-)/previous accrued interest received(+)	(34,672,445)	(15,547,023)
b. Short loan loss provision in accounts(-)/reversal(+)	-	
c. Short provision for possible losses on investment(-)/reversal(+)	-	
d. Short provision for possible losses on Non-Banking Assets (-)/reversal(+)	-	
e. Deferred Tax Assets recognized(-)/reveral(+)	10,750,503	(6,782,980)
f. Goodwill recognized (-)/Impairment of Goodwill(+)	-	
g. Bargain purchase gain recognized (-)/reversal(+)	-	-
h. Actuarial Loss recognized (-)/reversal(+)	138,609	(121,215)
i. Bonus share issued (-)/proposed bonus share (+)	-	-
j. Cash dividend proposed (+)/ paid (-_	-	-
k. Other (+/-)	(43,300)	(17,394)
l. Restrucutred and Rescheduled Reserve	72,393,335	(27,041,029)
Distributable Profit or (Loss)	**145,599,284**	**39,296,512**

The accompanying notes are integral part of these financial statements.

As per our report on even date

Sushovan Devkota Director	**Anamika Kunwar** Director	**Rupendra Wagle** Director	**Buddhi Akela** Chairman	**Prakash Lamsal, FCA** PLRG Associates
Min Prasad Gyawali Chairman	**Pitambar Sapkota** Director	**Sajani Nepal** Director	**Hari Krishna Joshi** CEO	**Khem Raj Lamsal** Account Head

GLOBAL IME SECURITIES LIMITED

Global IME Securities Limited, a wholly owned subsidiary of Global IME Bank Limited, is a trusted name in Nepal's brokerage industry. Established in 2019, we commenced commercial operations in 2023 as a fully licensed brokerage firm. Recognized as Broker Member No. 89 by the Nepal Stock Exchange Ltd., we facilitate seamless trading of securities for all listed companies. With a strong commitment to client satisfaction, we deliver efficient, transparent, and high-quality brokerage services, ensuring a smooth trading experience for our growing customer base.

Leadership at the Company

Name	Position
Mr. Teknath Pokharel	Chairman
Mr. Bijay Karki	Director (Representing Global IME Bank Ltd.)
Mr. Bikash Raj Pandey	Director

Management at the Company

Name	Position
Mrs. Prabina Pandey	Chief Executive Officer

J.D. Associates
Chartered Accountants, Kathmandu
Firm Reg. No: 797; Pan No:104641185

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDER OF

GLOBAL IME SECURITIES LIMITED

Report on the Audit of Financial Statements

Opinion

We have audited the financial statement of **Global IME Securities Limited** (herein after the company) which comprises the statement of financial position as at Ashad 32,2082 and the statement of profit or loss, the statement of change in equity, the statement of cash flow for the period then ended and a summary of significant accounting policies and other explanatory information prepared in accordance with Nepal Financial Reporting Standards.

In our opinion, the accompanying financial statements of the **Global IME Securities Limited** present fairly, in all material respects, the financial position of the company as at Ashad 32, 2082 and its financial performance, the statement of comprehensive income, the statement of changes in equity and the statement of cash flow for the period then ended in accordance with the Nepal Financial Reporting Standards.

Basis of Opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those standard are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of our report. We are independent of the company in accordance with the ICAN's Handbook of Code of Ethics for Professional Accountants together with the ethical requirements that are relevant to our audit of the financial statement in Nepal, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAN's Handbook of code of ethics for Professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon

In connection with our audit of the financial statement, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If based on the work we have performed, if we conclude that there is material misstatement of the other information, we will have reported the same.

J.D. Associates Kathmandu Nepal Chartered Accountant

New Baneshwor-31, Kathmandu, Nepal, Email:auditjdassociates@gmail.com, Mobile No. 9851136941

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and informing our opinion thereon, and we do not provide a separate opinion on these matters. Except the matters described in the basis of opinion, we have determined that there are no key audit matters for the current period to communicate in our report.

Responsibilities of Management and Those Charged with Governance For the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the prevailing accounting practices, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the management is responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statement as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As a part of an audit in accordance with NSAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of financial statement, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, international omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on appropriateness of management's use of the going concern of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue

as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

- Evaluate the overall presentation, structure, content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair representation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charge with governance with a statement that we have compiled with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Further we report that

- Replies to the queries as per the demand were provided,
- the balance sheet, off-balance sheet transaction, profit and loss account, cash flow statement and other financial statements, as well, have been prepared in required format.
- the accounts, records, books and ledgers have been maintained accurately in accordance with prevailing laws,
- any official of the company has not committed any act contrary to the prevailing laws or committed any irregularity or caused any loss or damage to the company,
- matters to be informed to the members have been adequately provided in notes to accounts and other disclosure,

We did not come across cases, based on our audit, of accounting related fraud and the cases where the board of directors or any director or any office bearer of the company has acted contrary to the provisions laws or caused loss or damage to the company or committed any misappropriation of the funds of company.

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Jagadishowr Devkota, FCA
Proprietor
J.D. Associates
Chartered Accountants

J.D. Associates Kathmandu Nepal Chartered Accountant

Place: Kathmandu, Nepal
Date: 2082-05-06
UDIN: 250824CA00605ccYyG

Global IME Securities Ltd.

K.M.C.-10 Kathmandu

Statement of Financial Position

As at 32nd Ashad 2082 (16th July 2025)

in NPR

Assets	Notes	Current Year	Previous Year
Non Current Assets			
Property, Plant and Equipment	3.1	2,431,312	2,628,862
Intangible Assets	3.2	474,600	632,800
ROU Assets	3.2.1	12,941,462	-
Investment Property	3.3	-	-
Deferred-tax Assets	3.4	657,760	-
Total Non-Current Assets		**16,505,135**	**3,261,662**
Current Assets			
Trade and Other Receivables	3.5	154,589,059	81,475,505
Income Tax Receivable	3.5.1	4,497,161	783,162
Cash and Cash Equivalents	3.6	108,654,209	131,855,692
Total Current Assets		**267,740,430**	**214,114,359**
Total Assets		**284,245,564**	**217,376,021**
Equity			
Share Capital	3.7	200,000,000	200,000,000
Reserves & Surplus	3.8	6,231,411	(566,627)
Total Equity		**206,231,411**	**199,433,373**
Liabilities			
Non Current Liabilities			
Loans and Borrowings	3.9	-	-
Lease Liabilities	3.9.1	13,659,493	
Deferred Tax Liabilities	3.4		15,733
Total Non-Current Liabilities		**13,659,493**	**15,733**
Current Liabilities			
Loans and Borrowings	3.9	-	-
Lease Liability	3.9.1	1,005,376	-
Income Tax Liability		1,595,893	-
Trade and Other Payables	3.10	61,753,392	17,926,915
Total Current Liabilities		**64,354,660**	**17,926,915**
Total Liabilities		**78,014,153**	**17,942,648**
Total Equity and Liabilities		**284,245,564**	**217,376,021**

The accompanying notes form an integral part of these financial statements.

As per our attached report of even date

Teknath Pokhrel
Chairman

Bikash Raj Pandey
Director

Jagadishowr Devkota
Proprietor
J.D. Associates
Chartered Accountants

Prabina Pandey
Managing Director

06/05/2082
Kathmandu, Nepal

Global IME Securities Ltd.

K.M.C.-10 Kathmandu

Profit or Loss Statement

For the year ended 32nd Ashad 2082 (16th July 2025)

in NPR

Particulars	Notes	Current Year	Previous Year
Service Income	3.11	30,495,206	6,470,350
Direct Expenses	3.12	(6,282,016)	(1,332,891)
Gross Profit		**24,213,189**	**5,137,459**
Other Income	3.11	331,981	-
Administrative Expenses	3.13	(7,544,809)	(8,009,894)
Other Operating Expenses	3.14	(163,475)	(900)
Staff Costs	3.15	(5,136,022)	(1,525,236)
Depreciation on PPE	3.1	(409,050)	(314,076)
Amortization on IA/ROU Assets	3.2	(1,775,883)	(158,200)
Profit From Operations		**9,515,932**	**(4,870,847)**
Finance Costs	3.16	-	-
Provision for Staff Bonus Sxpenses		(951,593)	
Profit Before Tax		**8,564,339**	**(4,870,847)**
Income Tax Expense	3.17	(922,399)	(10,771)
Net Profit for the Year		**7,641,939**	**(4,881,618)**

The accompanying notes form an integral part of these financial statements.

As per our attached report of even date

Teknath Pokhrel
Chairman

Bikash Raj Pandey
Director

Jagadishowr Devkota
Proprietor
J.D. Associates
Chartered Accountants

Prabina Pandey
Managing Director

06/05/2082
Kathmandu, Nepal

Global IME Securities Ltd.

K.M.C.-10 Kathmandu

Statement of Other Comprehensive Income

For the year ended 32nd Ashad 2082 (16th July 2025)

in NPR

Particulars	Notes	Current Year	Previous Year
Net Profit for the year as per Profit or Loss Statements		7,641,939	(4,881,618)
Other Comprehensive Income			
Loss on Revaluation		-	-
Available-for-sale Investments		-	-
Exchange Gain/Loss arising on translation of foreign operations		-	-
Total Other Comprehensive Income		**-**	**-**
Total Comprehensive Income		**7,641,939**	**(4,881,618)**
Earning Per share:			
Net Profit Available to shareholder		**7,641,939**	**(4,881,618)**
No of share		**2,000,000**	**2,000,000**
EPS		**3.82**	**(2.44)**

The accompanying notes form an integral part of these financial statements.

Teknath Pokhrel
Chairman

Prabina Pandey
Managing Director

06/05/2082
Kathmandu, Nepal

Bikash Raj Pandey
Director

As per our attached report of even date

Jagadishowr Devkota
Proprietor
J.D. Associates
Chartered Accountants

Global IME Securities Ltd.

K.M.C.-10 Kathmandu

Statement of Cash Flows

For the year ended 32nd Ashad 2082 (16th July 2025)

in NPR

Particulars	Note	Current Year	Previous Year
Cash Flows from Operating Activities			
Profit for the Year		**6,968,446**	**(4,870,847)**
Adjustment for:			
Depreciation on Property, Plant and Equipment		409,050	314,076
Amortization of Intangible Assets/ROU assets		1,775,883	158,200
Finance cost on lease liability		1,361,823	
Income Tax Expense charged to profit or loss statement			-
Increase / Decrease in Trade and other receivables		(76,827,554)	(81,617,597)
Increase / Decrease in Trade and other payables		45,422,369	17,208,386
Cash generated from Operations.		**(20,889,983)**	**(68,807,782)**
Interest Paid			
Income Tax Paid		-	
Net Cash Flows from Operating Activities		**(20,889,983)**	**(68,807,782)**
Cash Flow from Investing Activities			
Acquisition of Property, plant and Equipment		(211,500)	(2,716,937)
Purchase of Intangibles			(791,000)
Net Cash flows from Investing Activities		**(211,500)**	**(3,507,937)**
Cash Flow from Financing Activities			
Proceeds from the issue of share capital			
Proceeds from other non- current borrowings			
Finance cost on Lease liability			
Repayment of lease liability		(2,100,000)	
Repayment of Borrowings			-
Net Cash Flows from Financing Activities		**(2,100,000)**	**-**
Net Increase in Cash and Cash Equivalents		**(23,201,483)**	**(72,315,719)**
Cash and Cash Equivalents at the beginning		**131,855,692**	**204,171,411**
Cash and Cash Equivalents at the end		**108,654,209**	**131,855,692**

The accompanying notes form an integral part of these financial statements.

As per our attached report of even date

Teknath Pokhrel
Chairman

Bikash Raj Pandey
Director

Jagadishowr Devkota
Proprietor
J.D. Associates
Chartered Accountants

Prabina Pandey
Managing Director

06/05/2082
Kathmandu, Nepal

Global IME Securities Ltd.

K.M.C.-10 Kathmandu

Statement of Changes in Equity

For the year ended 32nd Ashad 2082 (16th July 2025)

in NPR

Particulars	Share Capital	Share Premium	Revaluation Reserve	General Reserve	Retained Earnings	Total
Balance at 16th July 2024	200,000,000	-	-	-	(566,627)	199,433,373
Adjustment as per NFRS 16					(843,901)	(843,901)
Restated Balance at 16th July 2024	**200,000,000**	**-**	**-**	**-**	**(1,410,528)**	**198,589,472**
Profit for the year	-	-	-	-		-
Transfer From Income statement				1,146,291	6,495,648	7,641,939
Other Comprehensive Income	-	-	-	-	-	-
Issue of Share Capital	-	-	-	-	-	-
Balance at 16th July 2025	**200,000,000**	**-**	**-**	**1,146,291**	**5,085,120**	**206,231,411**

The accompanying notes form an integral part of these financial statements.

As per our attached report of even date

Teknath Pokhrel
Chairman

Bikash Raj Pandey
Director

Jagadishowr Devkota
Proprietor
J.D. Associates
Chartered Accountants

Prabina Pandey
Managing Director

06/05/2082
Kathmandu, Nepal

08

Stakeholder Information

STAKEHOLDERS' INFORMATION

Stakeholder engagement is integral to the Bank's commitment to building trust, fostering innovation, and creating shared value, while reinforcing its standing as a responsible and forward-looking financial institution. The Bank believes that meaningful engagement with stakeholders provides valuable insights into emerging trends, risks, and opportunities. These insights support innovation, help the timely adoption of regulatory changes and best practices, and contribute to community development. They also guide the Bank in implementing solutions that promote sustainable economic growth while minimizing environmental and social impacts.

Guided by the principles of transparency, inclusivity, collaboration, and sustainability, the Bank follows a structured approach to identifying and engaging its stakeholders. Their needs and expectations are considered in decision-making processes. Engagement is supported by strong governance frameworks, sound ethical practices, transparent reporting, and regular communication with key decision-makers. This ensures stakeholder perspectives are embedded in the Bank's strategy and supports the creation of shared value and a more resilient, innovative, inclusive future.

OUR STAKEHOLDERS

Customers

The Bank recognizes that today's customers are more financially aware and increasingly selective. Customer centricity is therefore embedded as a core principle of the Bank, serving both as a strategic imperative and an ethical guide. This principle underpins the Bank's commitment to continuously enhance customer experience through a strong focus on quality, reliability, and excellence in service delivery. Over time, it has moved beyond a narrow focus on operational efficiency to cultivate a service-oriented culture aimed at consistently exceeding customer expectations.

To meet changing customer needs, the Bank offers innovative products and simplified processes which are shaped by customer feedback and complaints, regulatory requirements, market developments, and industry best practices. This approach helps the Bank to deliver relevant, responsive, and sustainable financial solutions while strengthening long-term relationships.

The Bank's commitment to customer centricity is reflected in a comprehensive suite of products and services, including branch-based banking, retail and SME financing, corporate banking and mega project solutions, and digital banking platforms. It regularly reviews customer feedback and aligns its offerings and service delivery accordingly.

Customer engagement takes place across multiple channels such as call centers, social media, customer surveys, awareness programs, and targeted marketing campaigns. This multi-channel approach enables consistent, shameless and effective interaction across all customer touchpoints.

Employees

The Bank recognizes that investment in human capital is fundamental to achieving its strategic objectives. It promotes employee engagement and motivation through structured capacity-building programs, recognition initiatives, and opportunities to participate beyond core job roles.

Alongside professional development, the Bank encourages continuous learning and employee well-being through initiatives such as:

- Year-round learning and development programs
- The Global Toastmasters Club,
- A monthly internal newsletter showcasing achievements and creative contributions through a monthly internal newsletter, and
- Employee awareness campaigns and engagement activities

Shareholders

Creating sustainable, long-term value for shareholders is one of the main objectives of the Bank. Shareholder confidence plays a vital role in shaping the strategic direction and supporting long-term growth.

The Bank engages with shareholders primarily through Annual General Meetings, which provide a platform for dialogue on performance and future plans. In addition, regular press releases, quarterly results, and annual financial statements ensure transparent and ongoing communication with shareholders.

Regulatory Bodies

The Bank maintains regular and constructive engagement with regulatory authorities to ensure compliance and prudent operations. This includes periodic reporting and scheduled meetings throughout the year. Key regulators in the industry include the Nepal Rastra Bank, the Securities Board of Nepal, the Office of the Company Registrar, the Nepal Stock Exchange, the Inland Revenue Department, and other relevant authorities.

Rating Agencies

The Bank engages actively with credit rating agencies that assess its creditworthiness and the ratings of its debt instruments and financing arrangements. These ratings provide independent assurance to prospective lenders, investors, collaborators and other stakeholders, and support confidence in the Bank's credit quality and financial strength.

Suppliers and Service Providers

The Bank considers its suppliers and service providers as strategic partners who play a critical role in enabling the delivery of value to customers and shareholders. Through effective relationship management, the Bank enhances operational efficiency, manages supply chain risks, and encourages innovation across its digital and physical service offerings. These partnerships support the procurement of high-quality goods and services at competitive costs and help build long-term, mutually beneficial relationships.

Community and Society

The Bank engages with communities through sustainable Corporate Social Responsibility (CSR) initiatives. These efforts support inclusive social and economic development, and focus on priority areas for intervention, including education, health, social welfare, environmental sustainability, leadership development, and the promotion of sports, arts, and culture.

Media

The media plays an important role in communicating the Bank's vision, mission, values, and performance to customers and other stakeholders. The Bank uses both traditional and digital platforms to share timely and accurate information.

Through proactive engagement, the Bank promotes awareness of financial literacy, green banking, digitization, regulatory developments, products, and campaigns. The Bank remains committed to open communication with the media to strengthen transparency, brand visibility, and corporate reputation.

Interests of key stakeholders and Trends

Stakeholder	Interest	Trends
Customers	▪ Best-in-class product and services	▪ Innovation; Digital platforms for providing services; Service agility
Employees	▪ Career progression; Work-life balance; belonging needs; Transparency	▪ Timely pay; Training; Swift on & off-boarding; Health and Wellbeing
Shareholders	▪ Maximized returns ▪ Timely dissemination of all material information in accordance with the regulatory requirements	▪ Profitability, trust and ongoing engagement
Regulatory Bodies	▪ Compliance with laws and regulations	▪ Trusted partner
Rating Agencies	▪ Accurate information; Regular connectivity	▪ Forward-looking opinion on credit worthiness
Suppliers	▪ Timely Payments ▪ Long term relationship via strategic deals	▪ Transparent competitive bidding process ▪ Robust enlistment process of vendors with sound track record of service delivery
Community	▪ Social welfare and community support	▪ Sustainability and Corporate Social Responsibility
Media	▪ Timely and accurate information	▪ Timely and accurate information

Stakeholder Engagement Process and Frequency of Such Engagements

Customers	Employees	Investors/ Shareholders	Regulatory Bodies
Engagement - Branch Banking - Internet/Mobile Banking - Global connect Call Center - Complaints - Social Media - Advertisements - Feedback and Surveys - Services through touchpoints - Websites	**Engagement** - Trainings, employee policies, awards and awareness - Services through touchpoints - Grievances - Friday Forum - Sessions with Senior Management - Departmental /Branch Meetings - Update on regulators provisions	**Engagement** - Financial Statements - Websites - AGMs/SGMs - Press Releases/ Announcements - Grievances - Dividend Distribution - Merchant Banker	**Engagement** - Compliance with Laws and Regulators - Proactive Engagement with Regulatory Agencies - Circulars /Notices on amendments
Frequency - On need basis	**Frequency** - Daily	**Frequency** -Monthly -Quarterly -Annual -On need basis	**Frequency** - As per regulatory timelines
Importance to Bank - Customer Satisfaction - Service Excellence - Brand Reputation	**Importance to Bank** - Employee Satisfaction - Strategic Goals Achievement	**Importance to Bank** - Sustainable Returns - Reputation - Trust and Reputation	**Importance to Bank** - Transparency - Check and Balance - Trust and Reputation

Rating Agencies	Suppliers and Service Providers	Community and Society	Media
Engagement - Rating Reports - Rating result release	**Engagement** - Procurement of goods and services - Staff Outsourcing - Suppliers service annual review	**Engagement** - Employment - Health & Safety - Environment awareness - Education and social awareness - CSR activities	**Engagement** - Products and Service Outreach - Awareness through - Advertisements and Promotions - Press Releases
Frequency - Quarterly - Annually	**Frequency** - Daily - Annually - On need basis	**Frequency** On need basis	**Frequency** On need basis
Importance to Bank - Independent view on Bank - Support Credibility - Trust and Reputation	**Importance to Bank** - Long term partners - Quality Services/Output - Cost effectiveness	**Importance to Bank** - Sustainability - Socially Responsible Citizen	**Importance to Bank** - Public Image - Swift Sharing of Information - Brand awareness

CUSTOMER EXPERIENCE AND GRIEVANCE MANAGEMENT

The Bank is committed to providing a consistent, reliable, and high-quality customer experience across all service channels. Customer centricity remains a core principle of the Bank and guides the design of its products, processes, and service delivery models. By using customer insights, digital innovation, and clear service standards, the Bank continues to improve convenience, accessibility, and overall customer satisfaction.

The Bank operates a structured and transparent grievance management system to address customer complaints promptly and effectively. Complaints are tracked through defined escalation paths and resolution timelines. Root cause analysis is carried out to improve processes and strengthen internal controls. Regular reporting to senior management ensures oversight and accountability, and helps integrate customer feedback into service improvements and risk management. Through this approach, the Bank reinforces trust, strengthens customer relationships, and upholds its commitment to responsible and responsive banking.

The Customer Grievance Handling Unit serves as the focal point for protecting customer interests and advancing the Bank's customer-centric strategies. The Unit mainly addresses grievances through:

Regularly conducted customer feedback survey form through the website

Global Connect support is available for 16 hours a day and can be reached through email: globalconnect@gibl.com.np, social media, or through the Bank's toll-free number.

Global Connect is available:
Sunday to Friday: 6:00 AM to 10:00 PM
Saturday and Public Holiday: 10:00 AM to 4:00 PM
18102077777 (Toll Free: NCell)
16600121314 (Toll Free: NTC)

SHAREHOLDING STRUCTURE

Capital Structure of the Bank

Share Ownership	%	No. of Shares	Share Capital
A. Local Ownership	**-**	**-**	**-**
Government of Nepal	0.08	300,245	30,024,514
"A" Category licensed Institutions	-	-	-
Other Licensed Institutions	-	-	-
Other Institutions	14.00	53,361,143	5,336,114,260
General Public	48.76	185,857,122	18,585,712,166
Promoter	37.16	141,640,017	14,164,001,676
Other	-	-	-
B. Foreign Ownership	**-**	**-**	**-**
Total	**100.00**	**381,158,526**	**38,115,852,616**

Shareholders Pattern

Shareholding pattern	Total Shares	No. of Shareholders	% of Capital
Fraction Shares	93,380		0.02
1 to 500	27,375,382	305,034	7.18
500 to 1,000	14,619,091	21,566	3.84
1,000 to 5,000	40,738,404	21,275	10.69
5,000 to 10,000	16,986,967	2,467	4.46
10,000 to 50,000	56,545,796	2,696	14.84
50,000 to 100,000	22,550,779	330	5.92
100,000 to 500,000	62,774,839	304	16.47
500,000 to 1,000,000	30,060,869	41	7.89
Above 1,000,000	109,413,019	38	28.71
Grand Total	**381,158,526**	**353,751**	**100.00**

GRIEVANCE AND THEIR HANDLING

Global IME Bank Ltd. addresses all the queries and grievances raised by our customers, for which the Bank has established the information and grievance handling desk. The details related to grievance handling desk are updated on website.

During the year the Bank received 741 grievances from its stakeholders which has been addressed immediately on the raise.

QUARTERLY FINANCIALS

Quarterly Results	Period	Published Date	EPS (Rs.)
1st Quarter	16th July 2024 to 16th October 2024	23rd October 2024	16.74
2nd Quarter	17th October 2024 to 13th January 2025	20th January 2025	16.02
3rd Quarter	14th January 2025 to 13th April 2025	20th April 2025	15.86
4th Quarter	14th April 2025 to 16th July 2025	13th Aug 2025	16.28

TIMELINES FOR HOLDING ANNUAL GENERAL MEETING

Under the Companies Act, 2006 (Nepal), every company is required to hold its Annual General Meeting (AGM) within six months from the end of the financial year. For companies following the Nepali fiscal calendar (Shrawan–Asar), the AGM must therefore be conducted before the end of Poush of the subsequent year. This statutory timeline promotes timely disclosure of financial results and strengthens corporate transparency and accountability.

The Act further mandates that companies provide at least 21 days' written notice to all shareholders prior to the AGM. This notice requirement ensures that shareholders have sufficient time to review the agenda, audited financial statements, and other supporting documents, thereby enabling informed and meaningful participation in the meeting proceedings.

ANNUAL GENERAL MEETING

Particulars	2024-25	2023-24
Financial Year end date	16th July 2025	15th July 2024
AGM No.	19th	18th
AGM Notice Date	16th October 2025	6th November 2024
16th AGM Holding Date	12th November 2025	12th December 2024
No. of days (Notice to AGM holding Date)	27	36
Dividend Approved		
Cash (%)	8.00	-
Bonus (%)	-	5.50

STOCK DETAILS

Particulars	NEPSE
Stock Symbol	GBIME
Market Category	Banking "A"
Year of Listing	07th April 2009
Face Value	100
Market Value as on 16th July 2025	259.97

MARKET PRICE INFORMATION

Month	Highest Price	Lowest Price	No. of Shares Traded	No. of Days Traded
Mid-August 2024	285.00	193.60	13,983,303	22
Mid-September 2024	302.00	233.80	8,085,216	19
Mid October 2024	266.70	231.00	2,934,880	16
Mid November 2024	271.00	248.10	3,268,880	17
Mid December 2024	260.00	220.00	2,759,865	19
Mid-January 2025	239.00	217.60	1,599,344	19
Mid-February 2025	228.00	214.00	2,009,041	19
Mid-March 2025	251.00	216.00	3,016,003	18
Mid-April 2025	241.00	210.70	1,974,320	19
Mid May 2025	231.00	213.00	2,147,046	20
Mid-June 2025	257.00	213.10	6,456,465	19
Mid July 2025	267.50	227.50	7,068,782	24
			55,303,145	**231**

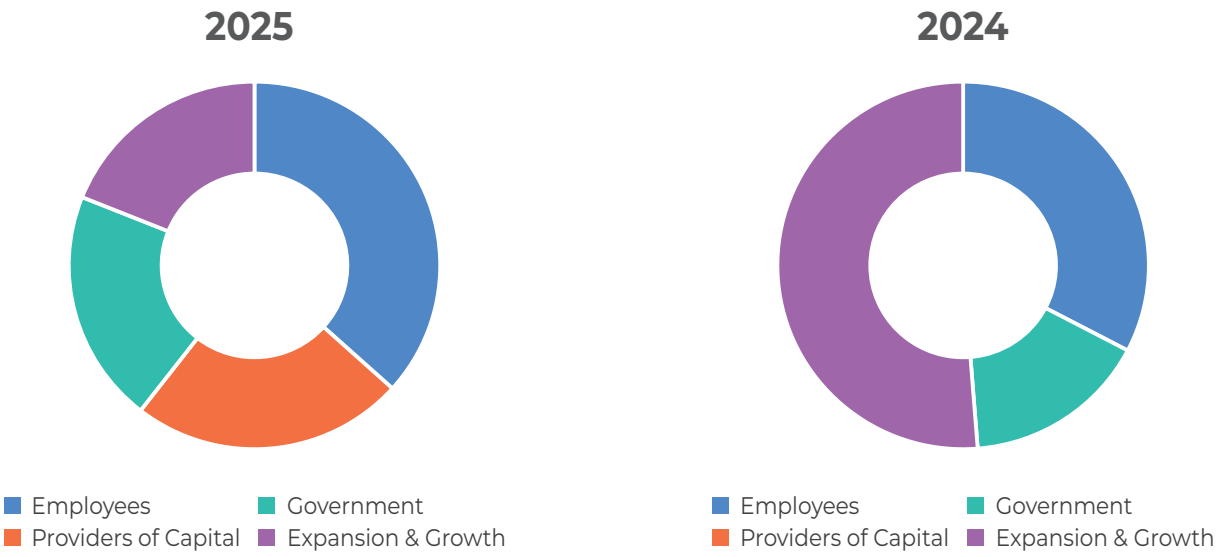
CREDIT RATING HISTORY

ICRA Nepal Limited has assigned Issuer Rating of "[ICRANP - IR] A-" as on January 2025. Issuer with rating of "[ICRANP - IR] A-" are considered to have adequate degree of safety regarding timely servicing of financial obligations and the rated entity carries very low credit risk.

Financial Year	Credit Rating
FY 2020-21	[ICRANP - IR] A-
FY 2021-22	[ICRANP - IR] A
FY 2022-23	[ICRANP - IR] A&
FY 2023-24	[ICRANP - IR] A-@
FY 2024-25	[ICRANP - IR] A-@

VALUE ADDED STATEMENT

	FY 2024-25		FY 2023-24	
Vale Added Statement	**Amount in Mio**	**IN PERCENTAGE**	**Amount in Mio**	**IN PERCENTAGE**
Income from Banking Activites	49,495		56,250	
Net Cost for the Services	(30,726)		(37,993)	
Impairment for loans and other losses	(5,977)		(3,617)	
Total Wealth Created	**12,792**	**100.00%**	**14,641**	**100.00%**
Wealth Distributed as				
To Employees				
Benefits and Remuneration	4,692	36.68%	4,782	32.66%
To Providers of Capital				
Cash Dividend to Shareholders	3,049	23.84%	-	0.00%
To Government				
Current Taxation	2,629	20.55%	2,355	16.09%
To Expansion and Growth				
Retained Income	2,027	15.85%	5,650	38.59%
Retained through Stock Dividend	-		487	3.33%
Depreciation and Amortization	854	6.68%	991	6.77%
Deferred Taxation	(458)	-3.58%	375	2.56%
	12,792	100.00%	14,641	100.00%
Employees	36.68%		Employees	32.66%
Providers of Capital	23.84%		Providers of Capital	0.00%
Government	20.55%		Government	16.09%
Expansion and Growth	18.94%		Expansion and Growth	51.25%



VALUE CREATED TO STAKEHOLDERS

	FY 2024-25	FY 2023-24
Direct economic value generated		
Interest Income	43,930.15	51,680.02
Fee Commission Income	4,187.05	3,447.29
Other Operating Income	1,377.27	1,122.65
Total direct economic value generated	49,494.47	56,249.97
Economic Value distributed		
To depositors/debenture holders as interest	27,250.21	34,823.69
To depositors as deposit insurance premium	220.65	193.43
To employees as salaries and allowances	4,628.07	4,715.53
To employees as development expenses	63.48	66.58
Depreciation /Amortisation set aside	854.03	991.25
Impairment Charges for loans and other losses	5,976.60	3,616.61
Deferred Taxation set aside	(458.34)	374.71
To providers of supplies and services	3,147.44	2,903.61
To government as taxation	2,628.67	3,679.19
To Shareholders as cash dividends	3,049.27	
To community as CSR	107.35	71.88
Total Economic value distributed	47,467.43	51,436.47
Economic Value Retained	**2,027.04**	**4,813.49**

FIVE YEARS FINANCIAL HIGHLIGHTS

Amount in Mio

	FY 2020/21	FY 2021/22	FY 2022/23	FY 2023/24	FY 2024/25
INCOME STATEMENT					
Interest Income	21,693.58	29,058.37	48,210.08	51,680.02	43,930.15
Interest Expenses	12,554.46	18,768.81	31,103.09	34,823.69	27,250.21
Net interest income	**9,139.13**	**10,289.56**	**17,106.99**	**16,856.33**	**16,679.94**
Fees and Commission Income	1,914.286	2,217.828	2,744.142	3,447.295	4,187.05
Operating Income	1,288.28	1,070.32	698.15	1,122.65	1,377.27
Operating Expenses	5,248.36	6,084.69	7,857.62	8,942.28	9,021.02
Operating Profit (profit before provision and tax)	**7,093.34**	**7,493.02**	**12,691.66**	**12,484.00**	**13,223.23**
Provision for Loans, Investments and other Assets	1,125.26	466.43	3,426.14	3,616.61	5,976.60
Profit Before Tax	**5,968.08**	**7,026.58**	**9,265.52**	**8,867.39**	**7,246.64**
Tax Expense (Income Tax and Deferred Tax)	1,802.93	2,067.36	2,571.17	2,729.94	2,170.33
Profit After Tax	**4,165.15**	**4,959.22**	**6,694.36**	**6,137.45**	**5,076.30**
BALANCE SHEET					
Authorized Capital	25,000.00	25,000.00	50,000.00	50,000.00	50,000.00

Amount in Mio

	FY 2020/21	FY 2021/22	FY 2022/23	FY 2023/24	FY 2024/25
Paid-up Capital	21,632.50	23,795.75	35,771.06	36,128.77	38,115.85
Reserve and Surplus	11,806.35	13,943.71	23,282.65	25,278.38	28,511.55
Total Shareholders' Fund	**33,438.86**	**37,739.46**	**59,053.71**	**61,407.15**	**66,627.41**
Deposits	283,348.58	286,559.78	439,349.07	504,889.39	575,052.14
Borrowings NRB	10,894.00	14,438.91	470.72	373.32	331.84
Borrowings Foreign	2,371.77	5,747.23	3,282.55	12,100.95	12,416.42
Debenture Outstanding	4,500.00	4,500.00	12,200.00	10,700.00	10,700.00
Loans & Advances (Excl Staff Loans and Accrued Interest)	242,447.29	272,211.67	374,356.36	390,767.00	440,622.11
Accrued Interest	1,554.76	1,867.21	5,471.68	7,464.21	5,659.46
Investments	49,916.64	47,537.12	90,082.53	123,401.92	150,930.00
Fixed Assets (Net)	3,252.01	5,884.77	7,740.93	8,028.73	8,264.15
Total Assets	**345,423.28**	**360,537.22**	**526,882.56**	**604,518.12**	**688,080.40**
Total Liabilities	**312,702.84**	**322,797.76**	**467,828.85**	**543,110.97**	**621,452.99**
Total Off-balance Sheet Items	71,767.63	82,600.88	99,857.39	99,279.02	121,012.84
CAPITAL MEASURES					
Risk Weighted Exposures	278,717.95	326,987.91	460,065.46	473,090.54	525,859.70
Core Capital (Tier-I)	29,418.23	33,259.37	50,219.06	48,833.02	54,384.59
Supplementary Capital (Tier-II)	7,384.39	8,163.53	11,148.47	9,771.99	12,144.59
Total Regulatory Capital	**36,802.62**	**41,422.90**	**61,367.53**	**58,605.01**	**66,529.18**
Capital Adequacy Ratio (%)	13.20	12.67	13.34	12.39	12.65
Tier-I Capital Ratio (%)	10.55	10.17	10.92	10.32	10.34
CREDIT QUALITY					
Non Performing Loans (Gross NPL)	3,422.24	3,477.64	11,787.87	16,308.72	21,410.30
Provision for Non Performing Loans	2,516.38	2,671.93	7,396.67	11,082.35	16,042.75
Gross NPL Ratio (%)	1.41	1.28	3.15	4.17	4.86
Net NPL Ratio (%)	0.37	0.30	1.17	1.34	1.22
Provision for Performing Loans	3,782.26	4,093.15	6,711.05	6,641.98	7,658.18
DISTRIBUTION TO SHAREHOLDERS					
Market value per Share (Public)	441.00	251.40	186.00	194.20	259.57
Price to Earning Ratio	22.90	12.06	8.43	11.43	19.49
Total Assets Value Per Share	1,596.78	1,515.13	1,472.93	1,673.23	1,805.23
Net Worth Per share	154.58	158.60	165.09	169.97	174.80
Return on Assets (%)	1.35	1.40	1.34	1.08	0.79
Return on Equity (%)	13.38	13.93	12.09	10.19	7.93
Dividend Paid					
Cash (Rs. Per 100)	3.50	10.60	8.00	-	8.00
Stock (Rs. Per 100)	10.00	3.00	1.00	5.50	-
PERFORMANCE RATIO					
Net Interest Margin (Spread) (%)	3.49	3.68	4.66	4.19	3.87
Earnings per Share (Rs.)	19.25	20.84	22.06	16.99	13.32
Credit to Core Capital-Deposit Ratio (%)	72.65	-	-	-	
Credit to Deposit Ratio (%)	-	89.21	83.47	75.87	76.07
Cost of Fund (%)	4.99	6.41	8.42	7.26	5.00

Amount in Mio

	FY 2020/21	FY 2021/22	FY 2022/23	FY 2023/24	FY 2024/25
Cash Reserve Ratio (%)	7.59	3.18	4.16	4.27	4.33
Statutory Liquidity Ratio (%)	25.08	18.11	25.24	31.15	31.17
CASA Ratio (%)	43.35	37.60	35.34	38.85	44.61
Liquidity Ratio (%)	29.89	23.55	30.34	37.11	37.75
NII Ratio (%)	42.13	35.41	35.48	32.62	37.97
Total Cost to Total Income Ratio (%)	42.53	44.81	38.24	41.74	40.55
Operating Profit per Employee (Rs in Million)	2.39	2.53	3.45	3.29	3.48
Operating Profit per Branch (Rs in Million)	25.98	25.93	35.45	35.27	37.57
OTHER INFORMATION					
Number of Branches	273	289	358	354	352
Number of ATMs	247	262	367	384	384
Number of Represetative Offices	3	3	3	3	3
Number of BLB Agents	257	275	322	277	155
Number of Extension and Revenue Counters	47	51	64	68	68
Number of Deposit Accounts	2,529,309	3,136,603	4,565,236	5,142,537	5,591,849
Number of Loan Accounts	56,510	61,663	78,966	80,986	88,087
Debit Card	657,416	868,748	890,239	1,006,556	1,168,815
Credit Card	20,817	24,385	18,753	18,677	26,638
Mobile Banking Customer	1,137,218	1,472,526	1,956,214	2,229,972	2,574,803
Internet Banking Customer	174,237	233,988	273,509	203,694	345,691
Number of Employees	2,962	2,966	3,678	3,789	3,802
Male Employees	1,887	1,878	2,209	2,276	2,281
Female Employees	1,075	1,088	1,469	1,513	1,521
Managerial Level Female Employees	12	14	33	36	42
Managerial Level Male Employees	85	96	129	177	190
MARKET SHARE with other Commercial Banks					
Loans & Advances (%)	6.52	6.51	8.68	8.56	8.88
Deposits (%)	6.74	6.30	8.64	8.77	8.79
CASA Ratio (%)	6.46	6.28	8.59	9.25	8.85
Deposit Customers (%)	7.68	8.06	10.38	10.74	10.88
Mobile banking Users (%)	**9.00**	**9.15**	**10.61**	**10.55**	**10.82**

ADDITIONAL DISCLOSURES

1. CLASSIFICATION AND VALUATION OF INVESTMENTS

The bank has diversified investment portfolio across various assets, encompassing subsidiaries, associates, and other investment securities like government issued development bods, equity shares and mutual fund units. The classification and valuation principles adopted in recognizing each of the statements have been laid down in the paragraphs below:

a. Classification and Valuation of Subsidiaries

Subsidiaries are entities in which the Group directly or indirectly holds the majority of the voting rights and where it determines their financial and business policies and is able to exercise control over them in order to benefit from their activities. At each reporting date the Bank reassess whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned. Subsidiaries are fully consolidated from the date on which control is transferred to the Group in accordance with the provisions outlined in NFRS 3 Business Combinations and NFRS 10 Consolidated Financial Statements. They are de-consolidated from the date on which control ceases.

Inter-company transactions, balances and intergroup gains on transactions between group companies are eliminated. Intergroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred. Investment in subsidiaries are measured at amortized cost less any impairment by the parent company. No impairment has occurred during the reporting period for any of the investment in its subsidiaries.

The Bank has following subsidiaries each with distinct nature of operation:

Name	% of Holding
Global IME Laghubitta Bittiya Sanstha Ltd.	57.48%
Global IME Capital Ltd.	81.50%
Global IME Securities Ltd.	100%

b. Classification and Valuation of Associates

An associate is an entity over which the investor has significant influence where significant influence is defined as power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies. If an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee or if entity has its representative as a director in the investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence. Investment in associates have been recognised at cost in standalone statement of financial position.

Irrespective of the holding percentage, the bank accounts the investment as associates if there is atleast one representative from the Bank in the Board of the investee company.

Investments in associate entities are accounted using the equity method initially recognized at cost as mandated by Nepal Accounting Standards – NAS 28 on "Investments in Associates and Joint Ventures".

The Group has accounted its investment in associates using equity method. Equity accounting is based on the profit reported by associate entities on their audited/unaudited financial statements using the policy disclosed in the financial statements.

The details of associates of the Bank along with other details are presented in Note 4.11.3 of this report.

c. Classification and Valuation of Other Investments

The Group and Bank's investments in securities are classified and accounted in line with NFRS 9 Financial Instrument and NFRS 13 Fair value Measurement, which are presented in Note 4.5 and 4.8 of this report.

i. Valuation of Listed Shares and Mutual Funds.
All the listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 input as described in NFRS 13 "Fair Value Measurement". Level 1 inputs are quoted prices (unadjusted) in active market that the entity can access at the measurement date.

ii. Valuation of Unlisted Shares.
All of equity securities whose fair value cannot be obtained from the Level 1 and Level 2 inputs are valued using the most recent available Net worth per shares to represent the fair value of these investments at the reporting date. This valuation is done as per the Level 3 input as described in NFRS 13 "Fair value Measurement" which denotes the fair value measurement based on significant unobservable inputs.

iii. Investment in Securities and Bonds
All the investment in securities and bonds are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment. Any gains or losses on financial assets measured at amortized cost, not involved in a hedging relationship, are recognized in profit or loss through the amortization process during the de-recognition, impairment, or reclassification of the investments.

2. DISCLOSURE ON LOANS AND ADVANCES PORTFOLIO CLASSIFICATION

Banks and financial Institution are mandated to provide the loan loss provisions based on Unified Directive no. 2 issued by Nepal Rastra Bank along with the loan loss provision calculated as per expected credit loss methodology in principles to NFRS 9. The provision to be charged is higher of the two. The details of loans based on classification as per Nepal Rastra Bank's Directive is as below:

Loan Category	Regulatory Provision	Loan Amount	
		Current Year	**Previous Year**
Good Loans	1.00%	369,587,923,635	319,445,347,621
Watch list Loans	5.00%	49,623,892,099	55,012,931,674
Restructured Loans	12.50%	242,184,362	1,614,955,630
Sub Standard Loans	25.00%	3,021,805,996	3,136,336,289
Doubtful Loans	50.00%	5,545,632,886	2,372,131,329
Bad Loans	100.00%	12,600,675,769	9,185,294,676
Total		**440,622,114,747**	**390,766,997,219**

3. DISCLOSURE ON NON-PERFORMING ASSETS

Loan Category	NPA Loans	
	Current Year	**Previous Year**
Restructured Loans	242,184,362	1,614,955,630
Sub Standard Loans	3,021,805,996	3,136,336,289
Doubtful Loans	5,545,632,886	2,372,131,329
Bad Loans	12,600,675,769	9,185,294,676
Total	**21,410,299,012**	**16,308,717,924**
NPA %	**4.86%**	**4.17%**

MOVEMENT OF NON- PERFORMING LOANS

Particulars	Amount	
	Current Year	**Previous Year**
Opening Balance of Non-Performing Loans	**16,308,717,924**	**11,787,866,966**
Less: Cash recoveries during year	(795,947,338)	(411,287,899)
Less: Upgradation during year	(3,415,136,713)	(1,240,136,734)
Less: Settled through collateral takeover	(1,582,418,852)	(3,353,338,355)
Less: Write off during year	-	-
Add: Degradation during the year	10,894,968,326	9,525,613,946
Closing Balance of Non-Performing Loans	**21,410,183,347**	**16,308,717,924**

4. COMPLIANCE WITH INTERNATIONAL FINANCIAL REPORTING STANDARDS

Nepalese banks are mandated to comply with the Nepal Financial Reporting Standards (NFRS), which align with International Financial Reporting Standards (IFRS). This compliance ensures transparency, consistency, and comparability in financial reporting across the banking sector. The table provided below serves as a comprehensive guide to the Nepal Financial Reporting Standards (NFRS) or Nepal Accounting Standards (NAS) that are applicable to the various accounting policies outlined.

Principle Notes	Accounting Policies	NFRS/ NAS
2.8	Statement of Cash Flows	NAS 7
2.9	Fair Valuation	NFRS 13
3.1	Basis of Consolidation	NFRS 10, NAS 28
3.2	Business Combinations	NFRS 3
3.3	Foreign Currency Transactions and Balances	NAS 21
3.4	Initial Recognition, Classification and Measurement of Financial Instruments	NFRS 9/ NFRS 13
3.5	Trading Assets	NFRS 9/ NFRS 13
3.6	Derivative Assets and Liabilities	NFRS 9/ NFRS 13
3.7	Property and Equipment	NAS 16
3.8	Leases	NFRS 16
3.9	Goodwill and Intangible Assets	NAS 38
3.10	Investment Property	NAS 40
3.11	Income Taxes	NAS 12
3.12	Provisions	NAS 37
3.15	Earnings Per Share	NAS 33
3.16	Segment Reporting	NFRS 8
3.17	Impairment of Non-Financial Assets	NAS 36
3.19	Revenue recognition	NFRS 9/ NFRS 15
3.20	Interest Expenses	NFRS 9/ NFRS 15
3.20	Employee Benefits	NAS 19

MEDIA HIGHLIGHTS

20/03/2025

Global IME Bank Unveils 2082 Calendar Featuring Rare Photographs Reflecting Decades Old Nepali Lifestyle

Global IME Bank Limited has unveiled its New Year 2082 calendar featuring rare photographs of past Nepali lifestyles.

The calendar was launched by Chairman Chandraprasad Dhakal at the bank's corporate office in Kamaladi. The images capture traditional living patterns from decades ago and aim to help younger generations learn about Nepal's social and cultural history.

23/12/2024

Global IME Bank Launches "Global Haat Bazaar" to Support Market Access for Micro, Small, and Medium Entrepreneurs

Global IME Bank Limited has launched the "Global Haat Bazaar" to help market products made by micro, small, and medium entrepreneurs supported by the bank.

The weekly market will be held every Friday at the bank's Kamaladi branch in Kathmandu to expand market access for local, organic, and indigenous products. The haat bazaar was inaugurated by the bank's Chief Executive Officer Surendra Raj Regmi.

29/06/2025

Global IME Bank Launches "Paddy Farming Loan" and Organizes Rice Planting Program on National Paddy Day

Global IME Bank Limited has launched a paddy farming loan on the occasion of National Paddy Day to support the government's plan to make Nepal self sufficient in rice production within two years.

Under the scheme, farmers can obtain loans of up to Rs 2 million to purchase seeds, fertilizers, equipment, and other farming inputs. The bank also organized a rice planting program in Tokha Municipality with the participation of its staff and local residents.

23/05/2025

Global IME Bank Honored with Infosys Finacle Innovation Gold Award 2025

Global IME Bank Limited has won the Gold Award in the Product Innovation category at the Infosys Finacle Innovation Awards 2025 for its Digital Innovation Integrated Force Loan Platform, which has streamlined back office credit operations.

This is the bank's third consecutive win at the awards. It received the Platinum Award in Process Innovation in 2024 and the Transformation Excellence Gold Award in 2023 for its digital transformation initiatives.

16/05/2025

Global IME Bank Achieves PCI-DSS Certification

Global IME Bank Limited has received certification under the Payment Card Industry Data Security Standard (PCI DSS v4.0.1), confirming the security of its cardholder data.

The certification was issued after a security assessment by Network Intelligence, a Qualified Security Assessor recognized by the PCI Security Standards Council.

05/06/2025

Global IME Bank Launches EV Charging Station

Global IME Bank Limited has installed an electric vehicle charging station at its corporate office in Kamaladi to mark World Environment Day.

Set up in collaboration with Gadi Charge Pvt. Ltd., the 40 kilowatt charger is available for customers visiting the bank as well as for bank employees to charge their electric vehicles.

MEDIA HIGHLIGHTS

04/05/2025

Global IME Bank Concludes Hackathon Program

Global IME Bank Limited has concluded the "Global IME AI/ML Hackathon," aimed at encouraging technology based solutions for banking.

A total of 21 teams took part in the competition. Team Calculus won the first prize of Rs 100,000, while WDK, Larke Pass, Team Janakpur, and Frodex secured the second, third, fourth, and fifth positions respectively.

22/04/2025

Global IME Bank Introduces Rooftop Solar Loan Scheme

Global IME Bank Limited has launched a rooftop solar loan scheme on the occasion of Earth Day to promote solar installations in industrial and commercial buildings.

The scheme aims to expand renewable energy use and support businesses such as hotels, hospitals, cold storage facilities, commercial buildings, and educational institutions.

27/03/2025

Global IME Bank and IFC Sign Advisory Partnership on Digital Transformation and Embedded Finance

Global IME Bank Limited and the International Finance Corporation (IFC) have signed an agreement for advisory services to strengthen digital financial services and embedded finance models.

Under the agreement, IFC will assess the bank's digital transformation and data systems, identify gaps, and provide recommendations. It will also conduct a feasibility study on fintech opportunities.

BRANCH DETAILS

HEAD OF PROVINCE

Koshi Province	Madhesh Province	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudur Pashchim Province
Mr. Sulav Hari Joshi	Mr. Chitra Kumar Chalise	Mr. Rupendra Wagle	Mr. Sushovan Devkota	Mr. Dilip Pokharel	Mr. Nawaraj Dahal	Mr. Mahesh Silwal

KOSHI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Bhojpur	Bhojpur Branch	Pramod Khatry	9802261146
Dhankuta	Hile Branch	Rudra Prasad Gautam	9802261144
Dhankuta	Pakhribas Branch	Prajwal Shrestha	9802261175
Ilam	Ilam Branch	Raju Dhimal	9802261231
Ilam	Phikkal Branch	Suraj B.C.	9802261027
Jhapa	Bhadrapur Branch	Bodha Nath Pandey	9802261277
Jhapa	Birtamod Branch	Dhundi Raj Bhattarai	9802261058
Jhapa	Buddhabare Branch	Umesh Gautam	9820126306
Jhapa	Charali Branch	Sanjeeb Koirala	9802261077
Jhapa	Damak Branch	Narayan Kumar Puwar Magar	9802261115
Jhapa	Dhulabari Branch	Chhatra Prasad Adhikari	9802261023
Jhapa	Kakarvitta Branch	Manish Pokharel	9820126307
Khotang	Diktel Branch	Biplab Kafle	9802261142
Morang	Biratchowk Branch	Krishna Gupta	9802261120
Morang	Dangihat Branch	Bhim Prasad Bhandari	9802261199
Morang	Hanumandas Road Branch	Nischal Adhikari	9802261015
Morang	Kanchanbari Branch	Vijay Niraula	9802261276
Morang	Teenpaini Branch	Parash Adhikari	9802261243
Morang	Traffic Chowk Biratnagar Branch	Mukesh Kumar Shah	9802261165
Morang	Urlabari Branch	Prabesh Lamsal	9820126302
Okhaldhunga	Okhaldhunga Branch	Prabin Ghimire	9802261154
Panchthar	Phidim Branch	Aman Sundas	9802261074
Sankhuwasabha	Bhotkhola Branch	Shekhar Chaudhary	9843557642
Sankhuwasabha	Chainpur Branch	Aakash Karki	9802261069
Sankhuwasabha	Khadbari Branch	Chiranjibi Shah	9802261287
Solukhumbu	Solukhumbu Branch	Rabindra Dhungel	9802261143
Sunsari	Dharan Branch	Surya Prasd Sedai	9802261068
Sunsari	Inaruwa Branch	Sanjay Mishra	9802261164
Sunsari	Itahari Branch	Binod Karki	9802261051
Sunsari	Jhumka Branch	Sanjay Dhar Joshi	9802261270
Taplejung	Faktanglung Branch	Santosh Neupane	9847397946
Taplejung	Phungling Branch	Dipesh Niroula	9802261054
Terhathum	Jirikhimti Branch	Kumar Dahal	9802261178
Terhathum	Myanglung Branch	Binaya Dhakal	9802261076
Udayapur	Gaighat Branch	Lok Nath Paudel	9802261022
Udayapur	Katari Branch	Birodh Neupane	9802261288

BRANCH AND BRANCH MANAGER

MADHESH PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Bara	Amlekhgunj Branch	Bishwa Pratap Tripathi	9820126308
Bara	Feta Branch	Bidhyananda Chaudhary	9802261129
Bara	Jitpur Branch	Amrit Prasad Sapkota	9802261223
Bara	Kalaiya Branch	Anshu Verma	9820126309
Bara	Nijgadh Branch	Maheshwor Parajuli	9802261121
Bara	Simraungadh Branch	Janendra Chaudhary	9802261225
Dhanusa	Dhalkebar Branch	Roshan Kumar Panjiyar	9802261272
Dhanusa	Janakpur Branch	Lokendra Bhandari	9802261044
Dhanusa	Janakpur Station Road Branch	Reeshi Lohani	9820126313
Dhanusa	Mithila Bihari Branch	Puja Kumari Dhami	9802261128
Mahottari	Bardibas Branch	Purushottam Acharya	9802261141
Mahottari	Gaushala Branch	Bhesh Bahadur Neupane	9820126340
Parsa	Belwa Branch	Rup Narayan Prasad Mahato	9802261131
Parsa	Birgunj Branch	Sabin Rajbhandari	9802261011
Parsa	Bypass Road-Birgunj Branch	Surendra Chalise	9802261166
Parsa	Kalikamai Branch	Satish Kumar Singh	9820126311
Rautahat	Chandrapur Branch	Iswar Kattel	9802261218
Rautahat	Fatuwa Branch	Sanjib Kumar Shah	9802261130
Rautahat	Gadhimai Branch	Dhirendra Raj Dhakal	9820126312
Rautahat	Gaur Branch	Kishwor Chaudhary	9802261163
Saptari	Chhinamasta Branch	Roshan Yadav	9820126314
Saptari	Dakneshwari Branch	Basant Kumar Chaudhary Tharu	9802261127
Saptari	Rajbiraj Branch	Mohan Prasad Sah	9802261063
Saptari	Rupani Branch	Trikanta Mani Yadav	9802261233
Sarlahi	Hariwon Branch	Ramhari Bhattarai	9802261217
Sarlahi	Lalbandi Branch	Rabindra Prasad Nepal	9802261073
Sarlahi	Malangawa Branch	Hari Narayan Sah	9820126346
Sarlahi	Nawalpur Branch	Santosh Kumar Shah	9802261149
Siraha	Golbazar Branch	Sandeep Gautam	9802261055
Siraha	Lahan Branch	Suresh Yadav	9802261016
Siraha	Lahan Ghantaghar Chowk Branch	Pankaj Kumar Yadav	9820126315
Siraha	Mirchaiya Branch	Anil Raj Das	9802261056
Siraha	Siraha Branch	Suresh Kumar Shrestha	9802261060
Siraha	Sukhipur Branch	Sanjay Adhikari	9802261271

BAGMATI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Bhaktapur	Gathaghar Branch	Laxman Kumar Regmi	9802261282
Bhaktapur	Itachhen Branch	Pushkar Bala	9820126325
Bhaktapur	Kamaladi Branch	Prabhu Narayan Pradhan	9802261075
Bhaktapur	Lokanthali Branch	Avishek Shrestha	9820126316
Bhaktapur	Suryabinayak Branch	Krishna Raj Barakoti	9802261061
Bhaktapur	Thimi Branch	Suresh Oli	9802261251
Chitawan	Belchowk Branch	Yubaraj Poudel	9802261104
Chitawan	Bhandara Branch	Sushma Poudel	9802261234
Chitawan	Bharatpur Branch	Khem Nath Sharma Paudel	9802261188
Chitawan	Geetanagar Branch	Ramesh Niroula	9802261184
Chitawan	Kholesimal Branch	Devendra Raj Adhikari	9802261103
Chitawan	Kurintar Branch	Nawaraj Rimal	9802261110
Chitawan	Lanku Branch	Prakash Sharma	9820126319
Chitawan	Madi Branch	Pravin Karkee	9802261187
Chitawan	Narayanghat Branch	Dipesh Raj Shakya	9802261018
Chitawan	Parsa Branch	Mukunda Tripathee	9802261183
Chitawan	Rampur Branch	Sunil Paudel	9802261182
Chitawan	Sahid Chowk Branch	Dhirendra Shrestha	9802261179
Chitawan	Sharadpur Branch	Manju Adhikari	9820126389
Chitawan	Tandi Branch	Keshab Prasad Woli	9802261042
Dhading	Baireni Branch	Prakash Shrestha	9802261081
Dhading	Dhadingbesi Branch	Pranav Lohani	9802261283
Dhading	Galcchi Branch Branch	Bikash Pokhrel	9820126336
Dhading	Khaniyabas Branch	Ganesh Sharma	9820126335
Dhading	Ruby Valley Branch	Subash Ghale	9841888655
Dolakha	Charikot Branch	Krishna Prasad Sapkota	9802261152
Kathmandu	Aason Branch	Nisha Shrestha	9802261095
Kathmandu	Anamnagar Branch	Dipendra Bahadur Singh	9802261039
Kathmandu	Bafal Kalanki Branch	Subash Kanta Joshi	9802261168
Kathmandu	Balaju Chowk Branch	Atma Ram Baskota	9802261286
Kathmandu	Balaju Industrial District Branch	Bhupal Ghimire	9820126334
Kathmandu	Baluwapati Branch	Manish Raj Regmi	9802261260
Kathmandu	Banasthali Branch	Nabin Acharya	9802261010
Kathmandu	Battisputali Branch	Deepa Shrestha	9820126332
Kathmandu	Budanilkantha Branch	Ashma Regmi	9820126345
Kathmandu	Chabahil Branch	Ram Chandra Paudel	9802261037
Kathmandu	Chabahil Chowk Branch	Bishnu Prasad Pokhrel	9820126333
Kathmandu	Chandol Branch	Sandhya Mahat	9802261291
Kathmandu	Charkhal Dillibazar Branch	Dakshyata Gyawali	9802261177
Kathmandu	Chhetrapati Branch	Suresh Sharma	9802261025
Kathmandu	Corporate Branch	Deepa Neupane	9802261116
Kathmandu	Dahachowk Branch	Sabita Aryal	9820126305

BAGMATI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Kathmandu	Dallu Branch	Mahendra Khatiwada	9820126342
Kathmandu	Dhapasi Branch	Bijju Subedi	9802261008
Kathmandu	Dhunge Adda Branch	Raju Kumar Kashyap	9820126331
Kathmandu	Dillibazar Branch	Rithee Shahi	9802261032
Kathmandu	Gongabu Branch	Bibekananda Aryal	9802261035
Kathmandu	Gothatar Branch	Mahesh Sharma	9802261114
Kathmandu	Gyaneshwor Branch	Pankaj Man Shrestha	9802261107
Kathmandu	Hattigauda Branch	Khagaraj Acharya	9802261124
Kathmandu	Imakhel Thankot Branch	Yogendra Rayamajhi	9802261255
Kathmandu	Indrachowk Branch	Bijayaswori Shrestha	9820126344
Kathmandu	Jorpati Branch	Subodh Adhikari	9802261117
Kathmandu	Jyatha Branch	Sudhir Prasad Dhakal	9802261173
Kathmandu	Kalanki Branch	Ritu Pradhan	9802261038
Kathmandu	Kamalbinayak Branch	Pradeep Kumar Neupane	9802261261
Kathmandu	Kandaghari Branch	Prakash Sanjel	9802261257
Kathmandu	Kantipath Branch	Bipul Devkota	9802261001
Kathmandu	Kapan Branch	Rabin Paudel	9802261265
Kathmandu	Kharibot Banasthali Branch	Rajendra Dhakal	9802261254
Kathmandu	Khusibu Branch	Santosh Lamichhane	9802261284
Kathmandu	Koteshwor Branch	Dipak Khanal	9802261036
Kathmandu	Kuleshwor Branch	Shruti Hada Shrestha	9802261006
Kathmandu	Machhapokhari Branch	Binod Lamsal	9802261169
Kathmandu	Maharajgunj Branch	Kabi Ghimire	9802261289
Kathmandu	Manamaiju Branch	Pitamber Pokharel	9802261123
Kathmandu	Mid - Baneshwor Branch	Nabin Subedi	9802261029
Kathmandu	Nagarjun Branch	Deepak Dhakal	9802261150
Kathmandu	Narephat Branch	Santosh Prasad Dhungel	9802261290
Kathmandu	Naxal Branch	Pawan Kumar Poudyal	9820126329
Kathmandu	Nayabazar Kirtipur Branch	Ramesh Maharjan	9802261253
Kathmandu	New Baneshwor Branch	Prabin Chandra Subedi	9820126341
Kathmandu	New Road Branch	Sachin Neupane	9802261002
Kathmandu	Panipokhari Branch	Arjun Paudel	9802261033
Kathmandu	Putalisadak Branch	Samjhana Kandel	9802261204
Kathmandu	Sankhamul Branch	Shova Neupane	9802261232
Kathmandu	Sankhu Branch	Sagar Lamichhane	9820126330
Kathmandu	Sano Gaucharan Branch	Reshu Shrestha	9802261004
Kathmandu	Shantinagar Branch	Ganga Bahadur Roka	9802261268
Kathmandu	Sinamangal Branch	Achala Poudel	9802261084
Kathmandu	Sitapaila Branch	Kabita Bartaula	9802261003
Kathmandu	Sukedhara Branch	Shailaja Rajya Laxmi Shah	9802261091
Kathmandu	Sundhara II Branch	Sanat Acharya	9802261099
Kathmandu	Thamel Branch	Manisha Shah	9802261009
Kathmandu	Thankot Branch	Yek Raj Bartaula	9802261090
Kathmandu	Thapathali Branch	Merina Shrestha	9802261195
Kathmandu	Tinkune Branch	Shambhu Karki	9802261215
Kathmandu	Tokha Branch	Nabina Sharma	9802261269
Kathmandu	Tripureshwor Branch	Dinesh Bahadur Thapa	9802261034

BAGMATI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Kathmandu	TU Kirtipur Branch	Gunjita Sharma	9802261005
Kavrepalanchok	Banepa Branch	Prakash K. C.	9802261089
Kavrepalanchok	Bethanchowk Branch	Ramesh Dahal	9802261111
Kavrepalanchok	Bhakundebeshi Branch	Dipen Shrestha	9802261194
Kavrepalanchok	Dhulikhel Branch	Ujwal Pokharel	9820126322
Kavrepalanchok	Kuntabeshi Branch	Alice Budhathoki	9802261196
Kavrepalanchok	Panauti Branch	Badri Kumar Acharya	9802261193
Lalitpur	Balkumari Branch	Basanta Babu Karki	9820126351
Lalitpur	Bhaisepati Branch	Priyanka Karki	9802261281
Lalitpur	Dhobighat Branch	Anup Mangal Joshi	9802261280
Lalitpur	Ekantakuna Branch	Srijana Karki	9820126339
Lalitpur	Gwarko Branch	Niraj Khanal	9802261088
Lalitpur	Imadol Branch	Pramod Shrestha	9820126326
Lalitpur	Jawalakhel Branch	Saroja Hada Nyachhyon	9802261080
Lalitpur	Khumaltar Branch	Shristi Pradhan	9802261258
Lalitpur	Kumaripati Branch	Alina Ghimire	9802261167
Lalitpur	Kupondole Branch	Bimal Parajuli	9802261028
Lalitpur	Lagankhel Branch	Rubina Ranjit Karmacharya	9802261007
Lalitpur	Mangalbazar Branch	Kanchan Shrestha	9802261285
Lalitpur	Nakhu Branch	Pratap Kumar Tamang	9802261085
Lalitpur	Sanagaon Branch	Ranadip Phuyal	9802261264
Lalitpur	Satdobato Branch	Nabin Kadariya	9802261040
Lalitpur	Sundhara Lalitpur Branch	Pallabi Rajbhandari	9802261252
Makwanpur	Hetauda Branch	Rabin Raj Dahal	9802261046
Makwanpur	Indrasarovar Branch	Mahesh Bhakta Bhaju	9820126323
Makwanpur	Kamane Branch	Pratima Pokhrel	9845029024
Makwanpur	Raksirang Branch	Rudra Raj Ghalan	9820126324
Nuwakot	Battar Branch	Dipak Pokhrel	9802261216
Nuwakot	Trishuli Branch	Ishwor Dhakal	9802261101
Ramechhap	Doramba Branch	Dipak Raj Sedai	9860829158
Ramechhap	Manthali Branch	Saroj K.C.	9802261100
Rasuwa	Dhunche Branch	Bidur Adhikari	9802261160
Rasuwa	Kalikasthan Branch	Ramesh Paneru	9802261174
Rasuwa	Naukunda Branch	Dwarika Sandha	9802261237
Rasuwa	Timure Branch	Deependra K.C.	9802261181
Sindhuli	Sindhuli Branch	Bijay Kumar Shah	9802261140
Sindhuli	Tinpatan Branch	Bishnu Raut	9820126328
Sindhupalchok	Barhabise Branch	Sanjeeb Prasad Humagain	9802261078
Sindhupalchok	Chautara Branch	Navin Shrestha	9802261162
Sindhupalchok	Khadichaur Branch	Dhana Bhai Basan	9802261147
Sindhupalchok	Tatopani Branch	Janga Bahadur Jhyari Magar	9841265272

GANDAKI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Baglung	Baglung Branch	Sokendra Thapa Magar	9802261012
Baglung	Balewa Branch	Bishnu Prasad Poudel	9802261292
Baglung	Burtibang Branch	Sambidhan K.C.	9802261098
Baglung	Galkot Branch	Guru Prakash Paudel	9802261094
Baglung	Kushmishera Branch	Pushpa Mani Sharma	9802261045
Gorkha	Gorkha Bazar Branch	Deepak Basnet	9802261119
Gorkha	Gorkha Siranchowk Branch	Yuba Raj Sharma	9802261109
Gorkha	Manakamana Branch	Jitendra Bhakta Pote	9802261079
Gorkha	Sulikot Gorkha Branch	Nabin Shrestha	9802261224
Kaski	Amarsingh Chowk Branch	Purnima Ale	9802261125
Kaski	Bagar Branch	Dharma Raj Gurung	9820126348
Kaski	Begnas Branch	Ram Chandra Kandel	9802261106
Kaski	Birauta Branch	Pradeep Baral	9802261263
Kaski	Budhibazar Branch	Jeevan Gurung	9802261227
Kaski	Chipledhunga Branch	Hem Raj Sharma	9802261159
Kaski	Lakeside Pokhara Branch	Jyoti Kafle	9802261219
Kaski	Lekhnath Branch	Raju Shiva Bhakti	9802261214
Kaski	Pame Branch	Santosh Adhikari	9802261098
Kaski	Pokhara (New Road) Branch	Mandip Baral	9802261014
Kaski	Pokhara Branch - Sabhagriha Chowk	Bhuwan Wagle	9802261065
Kaski	Powerhouse Branch	Ganga Aryal	9820126347
Lamjung	Besisahar Branch	Nirajan Shrestha	9802261092
Lamjung	Bhorletar Branch	Sumit Subedi	9802261097
Lamjung	Bhotewodar Branch	Bikash Shrestha	9802261096
Lamjung	Dordi Branch	Sandip Sedhai	9802261220
Lamjung	Sundar Bazar Branch	Janmabhumi Gurung	9802261105
Lamjung	Udipur Branch	Pradeep Joshi	9802261148
Manang	Manang Branch	Saroj Adhikari	9802261275
Mustang	Mustang Branch	Dipendra Subedi	9802261263
Myagdi	Beni Branch	Tanka Prasad Sharma	9802261048
Nawalparasi East	Amarapuri Branch	Keshav Raj Adhikari	9820126317
Nawalparasi East	Bungdikali Branch	Yadav Raj Dhungana	9802261246
Nawalparasi East	Daldale Branch	Prakash Timalsina	9802261185
Nawalparasi East	Dumkibas Branch	Darshan Bahadur Gharti Magar	9802261229
Nawalparasi East	Gaidakot Branch	Nagendra Raj Gautam	9802261136
Nawalparasi East	Kawasoti Branch	Kishan Shrestha	9802261052
Parbat	Kusma Branch	Shyam Prasad Dhakal	9802261066
Syangja	Waling Branch	Ashish Tiwari	9802261230
Tanahu	Aabukhaireni Branch	Dinesh Regmi	9820126391
Tanahu	Bandipur Branch	Diwakar Gautam	9802261153
Tanahu	Damauli Branch	Santosh Thapa	9802261093
Tanahu	Dulegauda Branch	Anish Karki	9802261266
Tanahu	Dumre Branch	Dinesh Adhikari	9802261108
Tanahu	Khairenitar Branch	Yojan Thapa	9820126349

LUMBINI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Arghakhanchi	Arghakhanchi Branch	Pralhad Neupane	9802261049
Arghakhanchi	Pokharathok Branch	Bikram Shah	9802261192
Banke	Kohalpur Branch	Praveen Shah	9802261083
Banke	Kohalpur Main Bazar Branch	Virat Bikram Verma	9820126367
Banke	Nepalgunj Branch	Dilli Raj Bhusal	9820126368
Banke	Nepalgunj Branch - Puspalal Chowk	Mukunda Prasad Bhatta	9802261062
Banke	Nepalgunj Branch - Tribhuwan Chowk	Nimesh Puri	9802261021
Bardiya	Bhurigaun Bardiya	Subodh Jnawali	9802261228
Bardiya	Gulariya Branch	Subash Kandel	9802261158
Bardiya	Rajapur Branch	Ashok Pant	9820126369
Dang	Bhaluwang Branch	Bimal Dhakal	9820126364
Dang	Ghorahi Branch	Thek Raj Binadi	9802261041
Dang	Lakhan Park Ghorahi Branch	Umang Adhikari	9820126365
Dang	Lamahi Branch	Renu Ghimire	9802261274
Dang	Tulsipur Branch	Dhurba Khanal	9802261057
Gulmi	Gulmi Durbar Branch	Krishna Prasad Nepal	9802261112
Gulmi	Isma Branch	Kamal Kunwar	9820126356
Gulmi	Majuwa Branch	Lok Bahadur Bakabal Thapa	9802261071
Gulmi	Malika Branch	Buddha Mani Kharal	9820126357
Gulmi	Tamaghas Hospital Line Branch	Uma Panthi	9820126358
Gulmi	Tamghas Branch	Padam Raj Pokharel	9802261070
Gulmi	Wami Branch	Bishnu Kunwar	9802261072
Kapilvastu	Bangain Branch	Madhav Prasad Gyawali	9802261207
Kapilvastu	Chandrauta Branch	Madhav Upadhyay	9802261205
Kapilvastu	Jeetpur Kapilvastu Branch	Pawan Kc	9802261086
Kapilvastu	Krishnanagar Branch	Madhav Belbase	9802261156
Kapilvastu	Maharajgunj Kapilvastu Branch	Krishna Prasad Bhattarai	9802261210
Kapilvastu	Pipara Branch	Anil Karki	9802261206
Kapilvastu	Taulihawa Kapilvastu Branch	Lok Narayan Neupane	9802261242
Nawalparasi West	Bardaghat Branch	Sangam G.C.	9802261200
Nawalparasi West	Bhumahi Branch	Dilli Raj Khanal	9802261102
Nawalparasi West	Parasi Branch	Mahesh Kumar Mahato	9802261278
Nawalparasi West	Pratappur Branch	Bimlesh Chaudhary	9802261176
Nawalparasi West	Sarawal Branch	Bishal Paudel	9802261013
Palpa	Chhahara Branch	Rajesh K.C.	9802261198
Palpa	Pravash Branch	Asmit Pant	9802261203
Palpa	Purba Khola Branch	Narayan Sharma	9802261135
Palpa	Rampur Palpa Branch	Sagar Shrestha	9802261222
Palpa	Sarai Branch	Hari Bhattarai	9802261190
Palpa	Tahu Branch	Jeetendra Agrahari	9802261191
Palpa	Tansen Branch	Prakash Aryal	9802261118
Pyuthan	Bijuwar Branch	Dilip Bista	9802261211

LUMBINI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Rolpa	Duikholi Branch	Deepak Bahadur Kunwar	9802261244
Rolpa	Holeri Branch	Kamal Lamichhane	9802261151
Rolpa	Liwang Branch	Dinesh Kumar Gharti	9802261050
Rolpa	Sukidaha Branch	Tachman Chand	9802261245
Rolpa	Sulichaur Branch	Raj Kumar Thapa	9802261082
Rolpa	Thawang Branch	Gehendra Bohara	9802261259
Rukum East	East Rukum Branch	Sagar Thapa	9802261273
Rupandehi	Bhairahawa Branch	Sudip Bhakta Wagle	9802261026
Rupandehi	Bhairahawa Sez Branch	Rachana Dhital	9802261157
Rupandehi	Bhalwari Branch	Raju Bhandari	9802261208
Rupandehi	Butwal - Ram Mandir Line Branch	Manish Shrestha	9802261017
Rupandehi	Butwal Main Branch	Sanjay Bagale	9802261186
Rupandehi	Chauraha Butwal Branch	Anil Bhandari	9802261047
Rupandehi	Devinagar Branch	Kashi Raj Bhandari	9802261212
Rupandehi	Gallamandi Bhairahawa Branch	Bishnu Prasad Acharya	9820126359
Rupandehi	Kerwani Branch	Shiva Prasad Gaire	9802261209
Rupandehi	Khaireni Branch	Ajaya Kumar Shrestha	9802261256
Rupandehi	Lumbini Branch	Sharad Sharma	9802261202
Rupandehi	Manigram Branch	Tej Narayan Neupane	9820126363
Rupandehi	Motipur Branch	Baburam Lamsal	9802261197
Rupandehi	Murgiya Branch	Binod Kumar Yadav	9802261189
Rupandehi	Naya Mill Branch	Uma Gyawali	9802261221
Rupandehi	Saljhandi Branch	Hari Pant	9802261201
Rupandehi	Traffic Chowk Butwal Branch	Arun Bhat	9820126360

KARNALI PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Dailekh	Dailekh Branch	Ranjeet Bhatta	9802261145
Dolpa	Dunai Branch	Lokendra Bahadur Shahi	9802261293
Humla	Adanchuli	Surendra Bahadur Saud	9802261247
Humla	Chankheli	Binod Kumar Acharya	9802261248
Humla	Tajakot	Bhelen Bohara	9802261249
Jajarkot	Chhedagad	Ganesh Kumar B.C.	9858050561
Jumla	Jumla Branch	Dipendra Kumar Joshi	9820126352
Jumla	Patarasi Branch	Bir Bahadur Saru	9820126353
Jumla	Tatopani Jumla Branch	Man Bahadur Sijapati	9844835952
Kalikot	Kalikot Branch	Bhakta Raj Jaishi	9802261087
Kalikot	Raskot Branch	Sujal Kumar Malla	9802261126
Mugu	Mugu Branch	Bharat Raj Timilsina	9802261262
Rukum West	Rukum Branch	Vikash Shrestha	9802261053
Salyan	Salyan Branch	Krishna Sodari	9802261138
Salyan	Tharmare	Anil Chaudhary	9802261213
Surkhet	Gurbhakot	Bhupendra Devkota	9802261235
Surkhet	Jumla Road Surkhet Branch	Padam Timilsena	9820126350
Surkhet	Surkhet Branch	Kedar Vasistha	9802261030

SUDUR PASCHIM PROVINCE

District	Name of Branch	Name of Branch Manager	Contact Number
Achham	Achham Branch	Arjun Bahadur Batala	9802261171
Baitadi	Baitadi Branch	Bharat Singh Bhull	9802261031
Baitadi	Dogada Kedar Branch	Laxman Datt Joshi	9802261134
Baitadi	Patan Branch	Bhupendra Joshi	9820126387
Baitadi	Purchoudi Branch	Pushpa Raj Ghimire	9802261113
Bajhang	Bajhang Branch	Tirth Bahadur Malla	9802261267
Bajura	Bajura Branch	Bhesh Raj Devkota	9802261279
Dadeldhura	Ajayameru Branch	Sushil Pant	9802261133
Dadeldhura	Dadeldhura Branch	Birendra Kumar Shahi	9802261019
Darchula	Darchula Branch	Harish Awasthi	9802261172
Darchula	Gokuleshwor Branch	Dipendra Singh Thagunna	9802261180
Darchula	Naugad Branch	Bharat Bahadur Saud	9802261240
Doti	Bogtan Branch	Paresh Bista	9802261122
Doti	Pipalla Bazar Dipayal Branch	Kabi Raj Bhatta	9802261155
Doti	Purbi Chauki Branch	Dabal Bahadur Bohara	9802261132
Kailali	Attariya Branch	Abinash Sapkota	9802261137
Kailali	Baliya Branch	Bishal Bhatta	9802261250
Kailali	Campus Chowk Dhangadi Branch	Gaurav Singh Kc	9802261170
Kailali	Chauraha Dhangadi Branch	Nirmal Raj Budhathoki	9802261024
Kailali	Dhangadhi Main Road Branch	Rajendra Prasad Bhatt	9820126371
Kailali	Lamki Branch	Harish Chandra Bhatt	9802261020
Kailali	Tikapur Branch	Yubak Ojha	9802261226
Kanchanpur	Belauri Branch	Toyanath Joshi	9820126375
Kanchanpur	Mahendranagar Branch	Bhuban Prasad Bhatt	9802261043

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